Sudarshan Chemicals (SUDARSCHEM)

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Call: May 2023

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30th May, 2023
BSE Limite
d National Stock Exchan ge of India Limite d
Phiroze Jee jeebho y Towers, Exchan ge Plaza, C-1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex, Scrip Code – 506655 Scrip Code NCDs - 974058 Bandra (East),
Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Si
r / Madam,

Sub : Transcript of Analysts / Inst itutional Investors Conference Call
We are enclosing herewith transcript of the conference call with analysts / institutional investors, which took place on Tuesday, 24
th May, 2023, after announcement of the
Audited Financial Results (Stand-alone and Cons olidated) for the quarter and year ended
31st March, 2023.
The said transcript is also uploa ded on the website of the Company.
Kindl
y take the same on record.
Thankin
g You,
Yours Faithfull y,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED MANDAR VELANKAR GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited Q4 FY23
Earnings Conference Call"

May 24, 2023

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR ,
SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER ,
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MODERATORS : M R. TEJAS SONAWANE – DOLAT CAPITAL

Moderator: Ladies and gentlemen, Good morning and welcome to the Sudarshan Chemical Industries Limited Q4 FY23 Earnings Conferen ce Call hosted by Dolat Capital.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' and then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Tejas Sonawane from Dolat Capital. Thank you and over to you.
Tejas Sonawane: Thank you Ryan. Good morning everyone. On behalf of Dolat Capital, I would like to thank the management of Sudarshan Chemical Industries Limited for giving us the opportunity to host their Q4 FY23 Earnings Conference Call.
From the management Team we have with us today Mr. Rajesh Rathi – Managing Director and Mr. Nilkanth Natu – Chief Financial officer.
Without further ado, I would like to hand over the call to the management for their opening remarks post which we will open the forum for a Q&A se ssion. Thank you and over to you Sir.
Nilkanth Natu: Thank you Ryan. Thank you, Dolat Securities and Mr. Tejas, for hosting our earnings call.
Good morning ladies and gentlemen welcome to Sudarshan's Q4 FY23 Earning Conference Call. Our investor presentation has been uploaded on the stock exchanges for your ready reference.
I would like to take you through the financial highlights for this quarter.
On the overall basis, it has been a strong performance in the 4th quarter of the current financial year both on sales and margin side compared to the challenging quarters of Q2 and Q3 of FY23.
On a consolidated basis for the quarter, total in come from operations stood at INR 691 Cr as compared to INR 627 Cr for the same period last year, higher by 10% YoY.
EBITDA for the quarter stood at INR 85 Cr as compared to INR 86 Cr in Q4FY22.
EBITDA margins stood at 12.3% as compared to 13.7% over the same period last year.
Profit after Tax stood at INR 33 Cr as compared to INR 45 Cr for the same period last year.
Sequentially revenue has grown by 31% at INR 691 Cr compared to INR 528 Cr of Q3'FY23 and EBIDTA has grown by 100% + at Rs 85 Cr compared to Rs 42 Cr of Q3'FY 23 with improvement in EBIDTA margin from 7. 90% in Q3 to 12.3% in Q4'FY23.

On yearly basis, total income from operations on consolidated basis stood at INR 2,302 Cr vs INR 2,201 Cr for FY22, a growth around 5%. EBITDA for period ending 31st March 23, at INR 211 Cr vs INR 275 Cr last year. EBITDA margin at 9.2% vs 12.5% over same period last year. PAT is at INR 45 Cr compared to INR 130 Cr for the same period in last year.
Now going into details of our Pigment business. Q4'FY23 has been the strong quarter both on domestic and export markets.
For the Q4FY23, Income from operations stood at INR 594 Cr as compared to INR 558 Cr for the same period last year, growth of 6%YoY. On a Sequential basis, revenue is higher by 23% compared to Rs. 483 Cr of Q3'FY23.
India sales for the quarter at INR 301 Cr as compared to INR 286 Cr in same period last year.
On a sequential basis, India sales is higher by 20% compared to INR 251 Cr of Q3'FY23
Exports for the quarter were at INR 293 Cr as compared to INR 272Cr, higher by around 8% YoY. On sequential basis, revenue is higher by 26% compared to Rs 232 Cr of Q3'FY 23
In both, Domestic and export markets, we have seen early sign-of demand revival in plastic and coating segment.
Specialty pigments sales stood at INR 412 Cr as compared to INR 388 Cr for previous year same quarter, 6% YoY higher On sequential basis, revenue grew by 21% compared to Rs 340 Cr of Q3'FY 23.

Non-Specialty sales for the quarter stood at INR 181 Cr as compared to INR 171 Cr for the same period last year while on sequential basis, revenue grew by 27% compared to Rs 143 Cr of Q3'FY 23.
Gross Margins for pigments for the quarter stoo d at 41.5% as compared to 41% for the same period last year. Comparing with the sequential quarter, it shows improvement over Q3'FY23 which was at 40.0%. After experien cing the volatility in Raw Material prices for first 3 quarters, we are seeing softening of RM prices now in Q4'FY 23 due to drop in basic cost drivers such as crude oil, benzene, toluene. This should help in stabilizing the Gross Margin levels.

Apart from raw material costs, we are seeing soft ening of energy costs in Q4 and also reduction
in Coal prices which should benefit manufacturing cost in the coming quarters. Logistic costs are
coming off the peak level seen earlier and we expect this trend to continue.
EBITDA for the quarter stood at INR 73 Cr in Q4FY23 as compared to INR 76 Cr for the
previous year same quarter. EBITDA margins stood at 12.3% as compared to 13.7% over the
same period last year. Sequentially EBIDTA has grown by 93% compared to INR 38Cr in
Q3'FY 23. EBIDTA % also sh ows improvement over sequen tial quarter EBIDTA Margin,
reported at 7.8%.

Given the difficult external environment, management has aggressively focused on cost
reduction initiatives throug hout the year. Overall increase in sales, soft ening of RM and other
costs and aggressive push on cost reduction has helped in increase in margin and EBIDTA for
the quarter under review.
However, we will have to continue with pricing decisions with calibrated approach to balance
on volume growth.
We have worked extensively on reduction of working capital especially on inventory level,
Accounts receivables releasing free cashflow which has helped in reducing the working capital debt levels.
On yearly basis, total income from operations stood at INR 2,079 Cr vs INR 2,020 Cr in same
period last year, a growth around 3%. EBITDA for period ending 31st March 23, at INR 194 Cr
vs INR 269 Cr last year. EBITDA margin at 9.3% vs 13.3% over same period last year.
The company has on 6
th April 2023, executed Deed of Conveyance with Birla Estate Private
Limited to sell Company's freehold, clear and marketable titled land admeasuring approximately
5.76 acres along with the structures standing thereon located at 162 Wellesley Road, Pune – 411 001, Maharashtra, India, for
a total net consideration of Rs. 356 Crores.
The company has completed the said transaction and the company plans to strengthen the balance
sheet from the proceeds from the transactions.
Now let me inform you the status of the CAPEX projects which will drive the company's future
growth. I am happy to inform you that we have successfully commissioned all the capex projects
in this financial year. With this we have transformed our product portfolio with one of the widest and most comprehensive
product range in the industry.
For new product lines, we are getting good responses from customers and these products are at
an advanced stage of evaluation.
Given the current global scenario we expect a slow ramp up in the short term but are confident
in mid-term Capex will accrue the expected benefits
There are many positive tailwinds from external side like consolidation of top players in the
industry, supply disruptions from prominent player in North America, emergence of India as key global manufacturing industry
and softening of ra w material prices and energy costs etc. which
will be positive for the company.
At the same time, we are very well prepared internally with all the capex projects being
commissioned, with wider range of product po rtfolio, cost efficient op erations and capacities to
quickly

ramp up the sales.

To summarize, the year had been challenging for the pigment industry on sales as well as margin
front. We had seen these pressure s in the first three quarters of the current FY. Q4'Fy 23 shows
strong revival and performance on overall business & financial parameters. We are confident in our growth journey and look
forward to continuing the same and delivering value to all our
stakeholders.
With this. Now I open the floor for questions and answer session. Thank you.
Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from
Sanjesh Jain with ICICI Securities. Please go ahead.
Sanjesh Jain : I have few questions first on the China competition, we have been hearing from the other
chemical company that China is getting aggressive, the domestic consumption has slowed down
and that has led to a lot more aggressive Chines e operator for the export market and now that
the commodity is also softening and demand even on the global side does not look very exciting
considering all this situation how should we expect FY24 for Sudarshan Chemical?
Rajesh Rathi: So, I think China if you compare the last year, last year China's demand was at the lowest due
to the various lockdowns etc. and there was surplus production. So, that trend I think has improved or at the same time you

are right we do not see that ramp up happening on that.
The second thing which has happened is there has been anti-dumping duties post in China for blue and green pigments from India. So, both I think from a perspective of India supplying blue
green pigments into China that has become a concern for the entire industry and China surplus whatever they have in terms of supplies they have been kind of I would say supplying at very
aggressive cost in Asia and other regions. So, I feel from a perspective of last year the situation
is slightly better, but the situation still remain s concerning and that is where we differentiate
ourselves with some of our product portfolio and the services which we offer to our end
customers.
Sanjesh Jain : So, considering that our all the CAPEX program are completed and commodity prices have also
used reached out, how should we see the revenue growth for FY24, can we achieve a 20% growth
considering that we had a very soft quarter here in FY23, do you see a challenge to that and
again you did mention that you have seen revival in both coating and plastic segment I think that
there is a little bit of confidence , but purely from the sa les perspective is that 20% kind of growth
really achieved?
Rajesh Rathi: I think first from an external tailwind perspec tive we are very good tailwinds as Mr. Natu
explained in the conference. A lot of top players c onsolidating little bit internally focus, lot of
focus on India as a key hub at the same time, we are also well prepared with our CAPEXs and the product portfolio offering. So, I cannot give the subtle answer in this market. I cannot give
you a figure saying that this is what it is, but we do feel that the worst is over and we should be
able to kind of move on from here in the right direction.

Sanjesh Jain : Next on the margin perspective first one the gross margin, second one the other expenses.
Gross margin on a consolidated basis we are at 43% and the segment you mentioned that we are
at 41.5%. Historically, we were at anywhere between 43% to 44%, but 200 basis point improvement can be achieved with this softening in commodity is that th e right understanding.
Second on the other expenses there has been a drop in coal prices, credit cost and everything, but from our other expenses perspective it still shows a very high inflation of 25%, 26% for our revenue growth of 10%, can you help us reconcile us the other expenses?
Nilka

nth Natu: So, on the gross margin perspective yes what we are seeing is the gross margin of 43.5% in the
year of FY21 when there were normalized cost consideration. What we are now seeing in the
current quarter the gross margin of 41.5% compar ed to the earlier quarters which were at around
40% or sub-40%. We expect that this stabilization in the raw mate rial cost. One is the softening
and second is the stabilization in the raw material prices should help us because earlier we have
seen it has not been only the infl ation, but the timing during the qu arter also we used to get those
disruption in the raw material prices. Given the stable outlook I expect that this particular gross
margin trend should continue. It is also the impact we have seen in the couple of earlier quarters,
the demand pressure and the pricing pressure, due to that wherein the certain pass through were
difficult, with the current revival in the demand we expect that this leve l should get stabilized
and we should get some uptick in the coming quarter if the raw material prices remain at the same level. On the other expense side while I agree with your observation. On totality the
company has done aggressive cost push in terms of the various cost levers. A couple of factors which has impacted during the year is one, is on the FOREX exchange loss amount which is
around 16 crores which has been published in the notes. This is due to the CAPEX loan and it is
more structural and we mo nitor it based on our XIRR basis. So , we are aware of those variability
in the foreign exchange. Second factor also which has impacted during the quarter and overall,
during the year is our RIECO business has also shown a good growth and the site expenses
related to that has gone up during the quarter as well as corresponding year and the certain factors which was also impacted during th is particular year is the rising coal cost. So, while we saw the
stabilization coming in the Quarter 4, but the co al cost predominantly were higher in the first
three quarters, which has also impacted that variability in the other costs while we have taken a
lot of measures in controlling the other experiences which are more of a discretionary. Second, the company has to reach to the customer as a part of key customer engagement and
key account management. We have also started investing in what I can say as a good business expenditure, which is travel as well as the exhibition cost. So, we have reached out and we have
participated in a couple of exhibitions in the last quarter and in the H2 of this financial year.
So, with this the other expenses is on a slightly higher side, but these are more of a structural
and which are from the long-term perspective.
Sanjesh Jain : For next year this should significantly normalize, right?

Nilkanth Natu: Absolutely. So, while there has been a focus on cost reduction, which helped us during this year, the focus remains constant. We would like to cut the cost whether it is a fixed or variable. The manufacturing operation has become very cost ef ficient and we will continue that trend. We will be prudent in that matter.
Sanjesh Jain : My last set of question is in the new product contribution now that we have commission the CAPEX, what is the number of products we anticipate and what is the contribution we expect in next two years from the new product in our over all revenue and what is the capacity utilization as of FY24 for us and what is the CAPEX plan for FY24?
Rajesh Rathi: So, I think from a CAPEX perspective we have completed our CAPEX plan completely. We do not expect any CAPEX except the regular maintenance CAPEX or any minor CAPEX coming up, but otherwise the CAPEX program is full on. As Mr. Natu explained in the note I think all our products are put to use now so several chemistries have been

launched whether it's the violet 23 new product, yellow 138 which we have introduced earlier. Various versions we have launched through this CICP complex pigments, CICP we have launched, solvent dyes we have launched. So, all our product portfolio now is complete and we have launched this. We expect we are already seeing a good attraction for these product line. We in the short term we expect a little slower ramp up given the ec onomy slowdown, but we are very confident in the three year, four year horizon we should be able to meet our midterm horizon, we should be able to meet our CAPEX targets on benefits.
Sanjesh Jain : And the capacity utilization?
Rajesh Rathi: So, right now we have ramped up our capacities and we are ready to go. I think right now we are not publishing from a competitive sensitive information, but we have enough headroom to grow with the CAPEX program.
Moderator: Thank you. Our next question comes from Ankur Periwal with Axis Capital. Please go ahead.
Ankur Periwal : So, continuing with the product side you did mention launch of many products there from a stability perspective. Have we re ached a stable state here or ther e could be some sort of time taken for these products?
Rajesh Rathi: So, we have launched these products sir now it is the time to get the approvals and we ramp up sales on that. So, from an internal perspective we are all ready now. Now it is all getting approvals and pushing those products into the market.
Ankur Periwal : From technicality teething trouble typically, it ma y take time for the produc t to stabilize that part is done it is only the product approval?
Rajesh Rathi: Absolutely right.

Ankur Periwal : And so second question related to that from a product positioning or the target market perspective are large part of these products dom estic market oriented or international and how much time will it take in both the geography?
Rajesh Rathi: It is a global product range and we expect to realize the benefits between three to four years.
Nilkanth Natu : As Mr. Rathi mentioned these are the niche product and as we already mentioned earlier these are into the Specialty pigment side. So, the market will be both in domestic as well as the export markets, slightly the tilt will be on the export side. As Mr. Rath i also explained technically these products are proven. Customer approval, we are in the process of getting these approvals. So, it will help us in both the market going forward.
Ankur Periwal : Just on the product approval timelines so I understand different products may be different, but broadly a range will be helpful?
Rajesh Rathi: The approval time kind of varies between three months to six months so we started this process. What we are saying is that the ramp up earlier expected would be slightly slower given the slowdown in the market. So, from that perspective especially some geographies like Europe etc. means here slightly lesser uptake than what we were expecting initially, but we should soon see a ramp up in the midterm side given the tailwinds which we have.
Ankur Periwal : On the margin front we have seen a good jump on a QoQ basis as well, just trying to understand the earlier delays in RM inflation or the pricing like discounts that we were facing earlier both of them are largely through and now there could be some benefits of RM deflation let us say starting next quarter?
Nilkanth Natu : So, I agree with you. So, with softening of the RM prices and with the stable RM environment, given that we also have the good Q4 wherein our sales number were higher, the effect of this RM fresh purchasing or new pricing should come in and which we are seeing in Q4 also and if this trend continues, we expect that this will get stabilized and we sh ould see the normalized gross margin going forward.
Ankur Periwal : And this normal

ize will be the historical average of around 42% to 43% odd?
Nilkanth Natu : If you really see historically, we were in the range of if you see from FY19 to FY22 we were in the range of you know 41% to 43.5%. I would like to have the number maybe 42% - 42.5% on normalized basis. So, maybe

100 basis points further, but it will take time to go to that level.
I am right now expecting the current level of the gross margin to sustain for a quarter as we move along with the new inventories coming in and with all that we should be at the midpoint level soon.
Ankur Periwal : And the last bit from my side for the quarter specifically if I look at the consolidated and standalone which is the subsidiary revenue had seen a pretty sharp jump, so could you help us understand what exactly are thes e subsidiary revenues for these are largely the marketing entities

that we have and correspondingly the overheads are also slightly elevated here, so just to clarity on that?
Nilkanth Natu: Ankur ji if you really see the performance on the segment side so there has been the increase in the RIECO business revenue from 44 crore to 96 crore on the consolidated basis. While our business in USA, Mexico and to some extent Europe also has helped us in revival of the demand there and overall growth on the foreign subsidiaries has been also good in Q4. In terms of the other expenses which have been elevated as I mentioned earlier RIECO being a site-oriented business into the capital good industry with the revenue ge tting doubled between Q3 and Q4 there has been some ramp up in the cost there and couple of spent which we did in the Q4 on the execution and reaching out to the customer has slightly given me the elevated Q4 cost, but we see it should get normalized in the coming quarters.
Moderator: Thank you. Our next question comes from Amar Maurya with AlfAccurate Advisors. Please go ahead.
Amar Maurya : Couple of questions from my side, firstly sir what would be the volume growth for us in this quarter?
Nilkanth Natu: We have not published yet the volume data, but just to give you the directional number the growth has been good in terms of the volume pickup compared to the Q3.
Amar Maurya : And this volume pickup was largely let us say from the coating segment or from your basically the plastic segment?
Nilkanth Natu: So, Amar this volume pick up or volume growth we have seen in both the markets domestic as well as export and in both predominant segments which are plastic and coating both. See with the plastic segment what we had earlier also said in the couple of quarters Q1, Q2 wherein we have seen that there was a lot of raw material variability in the plastic segment, which was on polymer side, it was the variability in the prices and second was the avai lability and with the scenario wherein the raw material prices were ve ry much elevated the master batch manufacturer used to hold their buying decisions which we have seen in the earlier quarter. Now with the stabilization in the raw material prices and with the stable outlook we have seen the pickup in the plastic segment and we expect this to continue.
Amar Maurya : And sir in the coating the coating is largely linked to th e automobile or this is decorative coating let us say in the export perspective?
Nilkanth Natu: It is in both slightly the tilt is on a higher side as far as the decorative coating is concerned.
Amar Maurya : Both in global market also?
Nilkanth Natu: Yes sir.

Moderator: Thank you. Our next question comes from Nitesh Dhoot with Prabhudas Lilladher. Please go ahead.
Nitesh Dhoot : So, my first question is on the market shar e so for few years now I saw a presentation our domestic market share has remain constant at 35%, so why

is it that we have not been able to gain market share despite the increased focus towards the pigment business over the years and will this increase especially with the large CAPEX that has been put on ground over the last couple of years?
Rajesh Rathi: So, I think from a domestic market what we are able to gain is more on this product Specialty product side. There is fierce competition on some of the commodity products. So, though we will lose on that side we are able to gain on the Specialty product side and I think we will continue our trend towards focusing on the Specialty side. We do see good tailwinds coming in with lot of investment in the paint section which in the paint manufacturing area and we are really focusing on the participating on that growth only.
Nitesh Dhoot : Another question is whether there is a meaningful difference between the pigments which you sell in the domestic market and then in exports in terms of end applications and the pricing of the products?
Rajesh Rathi: So, sir I mean some of the product portfolio is so even the Indian market is changing where a lot of Specialty products are getting used, but the percentage of usage in some of the advanced

economies I would say is more there and that is how the product I would say the product mix changes and certain product range we do not take it globally, some of the inorganic chrome
pigments or the iron oxide pigments etc. We do not sell these globally, we sell only in India.
Moderator: Thank you. Our next comes from Gagan Dixit with Elara Capital. Please go ahead.
Gagan Dixit : I think the quarterly trend looks like your Specialty this domestic and the quarter-on-quarter
basis includes almost 70 crore something while I s ee similar growth in this export revenue also
this 60 crore plus, so can I safely assume that this mostly your Specialty growth is driven by the
export market revival that is more or you say relatively as compared to domestic?
Nilkanth Natu: If I see the domestic and export split which is 51%, 49% and as you mentioned there has been a
60-crore growth in the exports quarter-on-quarter similar way we have seen 50 crore in the Q3
to Q4 for the domestic. The Speci alty and Non-Specialty tilt is be tween 69% and 31% as a basket
and we see this particular growth coming in from both the markets, which is domestic as well as export. As Mr. Rathi mentioned a couple of inorganic products are not being marketed in those
export markets because of the regulations, so there is a slight tilt in the export market on the
Specialty side.

Gagan Dixit : And sir which are the export market you see more revival because as I see in the presentation
that you mentioned still the problem is still going on in the Europe this demand is flat and also
they have a China issues also. So, if you can indicate that I mean overall, just on the quarter-on-
quarter basis or where I mean the demand is more this ramping up as compared to others?
Rajesh Rathi: I think sir as a long-term trend we see great potential in the Americas even in the South American
market which we are also focusing and driving our growth. There are several initiatives which should really help us in the mi dterm including Europe, for exampl e, Europe we have on boarded
BASF subsidiary BTC as a distributor and it also talks our, it is also testimony of we being a
reliable and high quality supplier that BASF BTC has taken us on board and this will definitely
help us strengthen our midterm perspectives in reaching out to small and medium customers.
So, each geography I would say has the area it depends on how it plays out right. So, with Europe probably demand revising I think these two area s should help us. Americas we are driving
growth. So, these are some of the areas which we are going in Japan the digital ink market and
Korea digital ink market is very favorable whic h we are selling

some of our products in the
digital inks and we are ramping up our sales there.
Gagan Dixit : Sir, regarding the China competiti on in the export market, so typi cally this on th e pricing front
typically is there any Chinese price advantage or they are at par with your product prices?
Rajesh Rathi: So, it depends on the product range there is definitely a product range where we are not able to
compete especially in some of the commodities. So, those are the areas where we with China we
are not able to compete. On the other Specialty ar eas if the presence of Chinese is less, but we
are able to compete on those areas.
Moderator: Thank you. Our next question comes from Rohit Nagraj with Centrum Broking. Please go ahead.
Rohit Nagraj: Sir first question is on the Specialty and Non-Specialty mix, so currently you mentioned 69% to
31% over the next three years once we ramp up the newer CAPEX of 750 crores will this mix
change more towards 75%-25% or what is your perspective?
Nilkanth Natu: So, with respect to the Spec ialty and Non-Specialty tilt wh ich is at around 69% and 31%
currently with the CAPEX program which is commissioned and major focus is on the Specialty
side. We expect this particular tilt will be on the Spec ialty wherein the Specialty current
percentage in terms of the revenue should move up from 69%. I would not like to put the number
as such, but it should be around on the higher side compared to what we have seen now with
respect to the Specialty. So, upward direction will be there. Second thing is also between India and domestic what we have seen 51% and 49% which is fairly a balanced mix. With this CAPEX being commissioned the tilt also should slightly move on the export side going forward.

Rohit Nagraj: And second question is particularly on the balance sheet side, so we have seen a very strong
improvement in working capital to 74 days from 96 days, so earlier probably it was closer to 90
to 100 days, is this 75 days of working capital sustainable going forward and second question is given that we have received the money from land sale, what is the kind of debt reduction that
we expect by FY24?
Nilkanth Natu: So, on the working capital side as you have rightly mentioned, we are at now 74 days of the net
working capital cycle and as I mentioned in my opening remarks the great work done by the

team internally to reduce the inventories and al so to make the operation lean and with the collection of the account receivable. If you really see our networking capital as a percentage to sale is at around 20% and historically we used to operate between 24% to 25% earlier and earlier we indicated as a management that we would like to go gradually to the 20% level and we were targeting 22% as one of the midway to get into that particular aspiration level, but happy to share that we are at around 20% at the yearend while ther e may be certain variability in this particular percentage during the year based on the raw material supplies availabilities maybe some strategic call. We expect and we will work towards maintain ing this level plus minus 1% that is something I can look at and that has also helped during this particular year for the debt number despite the EBITDA being down by 70 - 80 crore, our debt number are flat which is between 794 -796 crore in terms of the net debt. Regarding your second question on the land monetization so yes this land monetization will help us in improving our balance shee t. Currently we are at around 794 crore of the number and if I see the net debt if I consider this 300 plus crore of land monetization we are as closer to 500 crore. So, we as a management has taken a call to reduce that debt over a period and we should be more leaner in the next year as far as the debt numbers are concerned.

Rohit Nagraj: Just one clarification during FY23 were there any one

time consultancy charges for the projects which were undertaken and which will not be recurring in FY24?

Nilkanth Natu: Come again Rohit.

Rohit Nagraj: Any consultancy charges that we had paid for any third-party consultant I think we were working on the margin improvement projects with some of the external consultants, is there any I mean onetime expense for those consulting charges during FY23 and which may not recur incrementally?

Nilkanth Natu: Rohit we did not have any one timer consultancy charges on the margin improvement etc. in the current financial year FY23. So, there was no one timer there.

Moderator: Thank you. Our next question comes from Archit Joshi with B&K Securities. Please go ahead.

Archit Joshi : Sir, I have just one question so the market leader has kind of indicated that there are a couple of areas where there has been an improvement and the outlook in cosmetics and displays as a category within which pigments are used that is showing some signs of revival, I just wanted to

understand if we have any exposure to these industries where we can see some revival globally. Also they have mentioned that some of the ke y categories like coatings, plastics and printing inks are still dealing under a lot of pressure with respect to inventory adjustment, in our view, when do we see this reversing for us specifi cally even if it is not for the industry?

Rajesh Rathi: So, I think for us yes cosmetics and dispersions are important segment for our growth too. However, if you look at the market size compared to the entire market size these two markets size are quite small compared to percentage to the total market. So, though we will be growing there whether they have a significant impact on our overall perspective is the question, but these are very important segment strategic segments for us to grow. With this sir so it is a competitive area and we are seeing some improvements compared to last year on the demand side from these the three traditional industrial sector which you sp oke about and so we do believe that the worst in demand things are over and there is a gradual improvement which is coming up.

Archit Joshi : Sir while you say that the dispersions or the cosmetics these categories are pretty small in the overall scheme of things can you throw some light on this displays business or the display industry where exactly are these pigments I mean from the application perspective is it more towards electronics and laptops or with smart p hones growing quite significantly, would this be a growing area going ahead if you can share some of your insights on this segment?

Rajesh Rathi: So, this comes under digital links and under di gital links there are two segments. One is the inkjet, the toners and displays widespread displays. So, overall perspective these are the areas where these products go. We think it is a strategic area which is a good growth area though the entire volume is this the margin should also be better and that is how we had embarked on this. All our development work in this area was co mpleted between our R&D in India and Germany lab and our product ranges completely ready and these are the products which we are really selling into Japan and Korea now and we are several approvals in this area.

Moderator: Thank you. Our next question comes from Aatur with ICICI Prudentia l Mutual Fund. Please go ahead.

Aatur : Just two questions one what would be our CAPEX number for next year in terms of ballpark range?

Nilkanth Natu: So, as we mentioned the majority of the CAPEX program is over and this year will be the stabilization phase for us. So, we will only continue with the sustenance and the maintenance CAPEX. We would not like to put the nu mber, but it will not be significant.

Aatur: Our engineering business, which was a small portion has been ramping up well.

So, any evaluation to eventually sell it or any thoughts on how one thing given it is non-core?

Nilkanth Natu: Aatur yes so there has been a revival in the RIECO business. The board is also looking at this revival and this year has earmarked in terms of the turnround compar ed to last year.
So, board will take at an opportune time the decision regarding that. As of now there is no discussion in terms of this.
Moderator: Thank you. Our next question comes from Madhav Marda with FIL. Please go ahead.
Madhav Marda : The sense I am getting is you are sounding much more confident on ramping up the new capacity versus earlier and probably seems like there could be some like decent market share gain opportunities which has been the thought proces s in Europe, South America and North America, is that right understanding on having that finally all this consolidation which is happening in the pigment industry and our new CAPEX coming in product portfolio expanding now all of those things are coming together and now we should see like steady growth of course materials is something not in our control, but what is in our control seems like things are falling into place is that is that the right sense I am getting?
Rajesh Rathi: I think Madhav ji well summarized like you said so we were always very confident about our CAPEX program that was the area of transformation for the company in order for its growth and good sustainable growth, so given that we have so many headwinds in the last two years when we began the CAPEX program. We did face it very well I think and we have now kind of completed the whole CAPEX program. We too feel that the ramp up will be there. The first initial part may be a little tougher because of the slowdown, but I think given that there has been no dirt of attracting the customer for the produc t line. So, there is a lot of full layer, how we ramp up is the real questi on in the short term is a little bit of a concern, but I think in the overall midterm period we are very confident that we should meet our CAPEX benefit targets.
Madhav Marda : And then the second question was seems like our gross margins like Mr. Nilkanth also said that one quarter more maybe and then we should see some bit more of an uptake on the gross margin side and even on the fixed cost side there has been obviously like high freight cost I think on the other expenses and then high coal prices. So, all these things I think and we have always like if I look before COVID used to be 14%. 15% EBITDA margin range, so do you think we can get back there towards the end of FY24 as we approach like Quarter 3 Quarters 4 of course given like macros remaining and inflat ion remaining where it is, on a st eady basis our margins can see some more uptake from gross margins and little bit more on the other cost side?
Nilkanth Natu: So, as I mentioned here with the gross margin stabilization currently at 41.5% with the raw material stabilization and the stable outlook I expect that this trend should continue and should sustain and if it continues then definitely it will reflect in terms of the EBITDA. While we had historically achieved the number of 15% in FY21 given the market scenarios then, would not like to put the number as of now for what will be the EBITDA for the next year, but directionally with this stabilization coming in and overall the confidence of volume bounce back, I expect it should help us in improving the EBITDA percentage in a couple of quarters.

Madhav Marda : And last question the land proceeds already come in like we have already received the money from the land?
Nilkanth Natu: Yes, Madhav we have received the money in this financial year in April.
Moderator: Thank you. Our next question comes from Che

tan Thacker with ASK Investment Managers Limited. Please go ahead.
Chetan Thacker : Sir, just wanted to understand more from a medium-term point of view so we have historically seen your gross profit margin in the range of 41% to 43% given that the product that we have launched and we filled the basket in, would it be a fair understanding that over a medium term we can add couple of basis point to this range as those products increase in terms of contribution and that plus the efficiencies will eventually drive the OPM over a more medium term?
Nilkanth Natu: So, directionally yes given the current range of what we have seen earlier 41% to 43% more stabilized range of 42% where the Specialty and Non-Specialty take was around 69% - 31% with the ramp up and the new product CAPEX which are more in the high-performance pigment Specialty side directionally in the coming year this should give us a better benefit in terms of the gross margin.
Chetan Thacker : And the capacities that we set up fair to assume in three years if things go normally which we have not seen some time, but stil l assuming it goes most of these capacities would then be utilized that would be a fair understanding?

Rajesh Rathi: Absolutely. So, given the current scenario we are expecting that this ramp up will be during three to four years period of time.
Moderator: Thank you. Our next question comes from Jainam Ghelani with Sv an Investments. Please go ahead.
Jainam Ghelani : Sir, I missed the initial part so could you tell me what was the amount we received in the land deal?
Nilkanth Natu: So, we have received 356 crore in terms of our land monetization.
Jainam Ghelani : Sir assuming we achieve peak utilization in three to four year what can be our current revenue like that revenue the peak revenue that can be reached in three to four years or with our current capacity?
Rajesh Rathi: So, assuming the capacity ramp up from the new product CAPEX and the full utilization. We expect that the revenue with the current normalized rising scenario should be in the range of around 3,000 to 3,300 crores going forward in the next three to four years period of time.
Moderator: Thank you. Our next question comes from Jay Ketan Shah with Capital PMS. Please go ahead.

Jay Ketan Shah : A couple of questions mainly on the Specialty side when you say that you are trying to increase the mix to Specialty product and already has started the work what is the approach of the company is it more like we do the sector or a client and then we look at creating entry barrier using chemistry or it more of a pool from the client saying that this is the kind of application they are looking at and then you become a helping hand to them, so I just wanted to understand one is that question and second like you said.
Rajesh Rathi: Sorry to disturb you there was some disturbance can you please repeat the question?
Jay Ketan Shah : When you say that the mix between Specialty and the not so Specialty is going to be leaning more towards Specialty what is the approach of the company, is it more that you first choose a typical chemistry and try to create entry barriers for the peers or is it more like the client ask you to make something which is technically challenging in a way you can pay in terms of chemistry which kind of gives you a more like what is the approach when you say Specialty of the company?
Rajesh Rathi: So, I think three years ago we embarked on looking at a whole global strategy and how what is going to differentiate us in the market. The answer came out very clearly that we have several capabilities which we can exploit in and one area was in the differentiated product range because the commodity product range was already very crowded and we could see the writing on the walls that the margins in that area is going to reduce and this i

s where we are seeing a lot of blood bath if you look at the phthalocyanine or other pigments. So, that was the overall strategy to kind of travel the difficult path in creating this product portfolio and I am very glad to say that right from scratch to developing the chemistry to budget trials to commercializing this on the plant putting up the whole plants th is our internal team has been ab le to do this and it is a wide variety of chemistries when we talk about all the product range we are saying. It is not in the pigment industry you have one product which is going to give you like a bullet of 4,000 crores or something it is a very, very broad portfolio where you have to look at. So, from that been our strategy then of course once this was clear in our strategy then we started engaging with customers on what was their pathway obviously at each stage lab samples were exchanged, detailed discussions were happening and we are right now in the stage where this has got fructified into real products where we are engaging with customers now for these products.
Jay Ketan Shah : And secondly I wanted to ask you said that there is a lot of movement happening in the paint manufacturing sector, so are you guys looking to even tap into the pigment dispersion chemistry like someone like what Ducol Organic or Saujanya are doing, so are we even looking as that as an ancillary stream of revenue or we focu s on pigment itself?
Rajesh Rathi: So, pigment dispersion is an important strategy, but we would never compete with our customers and that's how we had exited our master batch busi ness also where we said we want one of our values is going to be and it is a close partnership I mean how one of the pillars of our differentiation is customer intimacy and building that trust. So, we would never compete in fact with our customers you mentioned about Saujanya very dear customer to us and we would never

think of competing, but what we do is on th e pigment dispersion side, coating companies are always making a make or buy decision and from that perspective so that is where we work with the customer to make those product a pigment dispersions for them. So, that is one segment for coatings for pigment dispersions, but there are Specialty applications where pigment dispersions also go in and we are again ramping up our product range to reach out there and we have already done that actually.

Moderator: Thank you. Ladies and gentlemen we have reached the end of the question-and-answer session.
I would now like to hand the conference over to Mr. Nilkanth Natu for closing comments.
Nilkanth Natu: Thank you Ryan, thank you Tejas and thank you participants for your time and interest in
Sudarshan Chemical. We remain confident in the long-term prospect of our business and we look forward to engaging with you again in future. Thank you.
Moderator: Thank you. On behalf of Dolat Capital that can close this conference. Thank you for joining us.
You may now disconnect your lines.
*****

Call: Aug 2023

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17th August, 2023
BSE Limite
d National Stock Exchan ge of India Limite d
Phiroze Jee jeebho y Towers, Exchan ge Plaza, C-1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex, Scrip Code – 506655 Scrip Code NCDs - 974058 Bandra (East),
Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Si
r / Madam,

Sub : Transcript of Analysts / Inst itutional Investors Conference Call
We are enclosing herewith transcript of the conference call with analysts / institutional investors, whic h took place on Wednesday, 9
th August, 2023, afte r announcement of
the Unaudited Financial Results (Stand-alone and Consolidat ed) for the quarter ended
30th June, 2023.
The said transcript is also uploa ded on the website of the Company.
Kindl
y take the same on record.
Thankin
g You,
Yours Faithfull y,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED MANDAR VELANKAR GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited
Q1 FY2024 Earnings Conference Call"

August 09, 2023

ANALYST : MR. VIDIT SHAH – IIFL SECURITIES

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED

 Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY2024 earnings conference call
of Sudarshan Chemical Industries Limit ed hosted by IIFL Securities As a reminder,
all participant lines will be in the listen-only mode and there will be an opportunity for you

to ask questions after the presentation conclu des. Should you need assistance during the
conference call, please signal an operato r by pressing "*" then "0" on your touchtone
phone. Please note that this conf erence is being recorded. I now hand the conference over to
Mr. Vidit Shah from IIFL Securities. Thank you and over to you Mr Shah!
Vidit Shah: Thank you Michelle. Ladies and gentlemen, good morning and thank you for joining us on
the post results conference call of Sudarshan Ch emical Industries Limite d. It is my pleasure
to introduce the senior management team of Sudarshan Chemical Industries Limited who
are here with us today to discuss the results. We have with us Mr. Rajesh Rathi,
Managing Director and Mr. Nilkanth Natu, CF O. We will begin the call with opening
remarks by the management and thereafter we will open the call for Q&A session. I would like to now hand over the call to Mr. Nilkanth Natu to take the proceedings
forward. Thank you and over to you Nilkanth.
Nilkanth Natu: Thank you IIFL Securities and Mr. Vidit for hosting our earnings call. Good morning ladies
and gentlemen, welcome to Sudarshan's Q1 FY2024 earning conference call. Our investor
presentation has been uploaded on the stock ex changes for your ready reference. I would
like to take you through the financial highlights for this quarter. On overall basis, we have
commen

ced the current financial year with improved financial performance compared to the
challenging previous year. Taking to the quar terly performance on a consolidated basis for
the quarter, total income from operations stood at Rs.608 Crores as compared to
Rs. 554 Crores for the same pe riod last year, higher by 10% year-on-year. EBITDA for the
quarter stood at Rs.70 Crores as compared to the Rs.41 Crores in Q1 FY2023.
EBITDA margin is at 11.5% as compared to 7.5% over th e same period last year.
Profit after tax is at Rs.21 Crores compared to Rs.7 Crores for the same period last year.
Now going into the details of our pigment business. For the Q1 FY2024 income from
operations stood at Rs.536 Crores as compared to Rs.526 Crores for the same period last
year, a growth of 2% year-on-year. On a sequential basis revenue is lower by
10% compared to Rs.594 Crores of Q4 FY2023. India sales for the quarter is at Rs. 265 Crores marginally lower by 1% as compared to Rs. 269 Crores in the same period last year. On a sequential basis, India sales is lower by 12% compared to Rs. 311 Crores in
Q4 FY2023. Exports for the quarter are at Rs. 272 Crores as compared to Rs. 258 Crores
higher by around 6% year-on-year. On a sequent ial basis revenue is lower by 7% compared
to Rs. 293 Crores of Q4 FY2023. Value growth ha s remained soft due to pass through in the
selling prices due to fall in the raw material prices and the logistic cost.
 In the plastic segment, we are seeing re latively stable dema nd and expect further
improvement in the coming quarters. We ha d seen subdued demand scenario from coating
and ink segments majorly due to domestic pl ayers deferring buying decisions owing to
destocking and falling price regime. Demand in this segment is expected to pick up in the coming quarters in H2 FY2024 and we continue to be vigilant towards international
geographies considering the global micro-ec onomic situation. Specialty pigments sales
stood at Rs.363 Crores as compared to Rs.352 Crores for the previous year same quarter,
3% year-on-year higher. On a sequent ial basis revenue is lower by 12% compared to
Rs. 412 Crores of Q4 FY2023. Non specialty sale s for the quarter is at Rs.174 Crores which
remains flat as compared to the same period last year. On a sequential basis revenue is lower by 4% compared to Rs.181 Crores of Q4 FY2023.
We see good engagement with the customers to build healthier opportunity from recently
commissioned capex. As guided earlier, revenue ramp up will be slightly delayed due to the
macroeconomic conditions. Gross margin of pigment business for the quarter increased to
42.9% as against 40.3% for the same period previous year. Comparing with the sequential
quarter gross margin have gone up by 140 basis points. Apart from raw material cost,
we continue to see softening of coal prices as compared to the previous year. Logistic cost
have also come off peak levels earlier. In th is softening price region, we will continue with
the calibrated pricing decisions to balance volume growth in the coming quarters. EBITDA margin for the quarter stood at Rs.64 Crores in Q1 FY2024 as compared to Rs. 44 Crores for the previous year same quar ter. EBITDA margin is at 11.9% as compared
to 8.3% over the same period last year. On a sequential basis EBITDA is lower by
40 basis points and this is due to lower opera ting leverage and annual employee increment.
Recent update on the land monetization, during the quarter, the company completed sale of land located at Pune, Maharash tra for a total consideration of Rs.356 Crores. Net gain of
Rs.315 Crores from the sale transaction has been reported as a part of exceptional gain in
the P&L statement. Proceeds fr

om the land monetization are being utilized towards
deleveraging the balance sheet.
To summarise, business environments have mixed vibe from headwinds due to the
macroeconomic situation and positive tailwinds from the external factors such as
consolidation of top players in the industry, China plus one strategy, etc., which are
expected to favor India cement industry. We ar e well prepared internally with all the capex
that is being commissioned with wider range of product portfolio, cost efficient operation
and capacity to quickly ramp up. To summarise, we are confident in our growth journey and
look forward to continuing the same and delivering value to all our stakeholders.
With this, I now open the floor for que stion-and-answer session. Thank you.
 Moderator: Thank you very much Sir. We will now begin the questi on-and-answer session.
The first question is from the line of Sanjesh Jain from ICICI Securities. Please go ahead.
Sanjesh Jain: Thank you. Good morning Sir. Thanks for ta king my question. First, on the domestic
revenue growth if you look at the plastic compan ies, five companies, they have reported a
volume growth anywhere between 15% to 30% and coating industry got benefited because
of the delayed monsoon. While if I see our number , it really does not show that kind of an
increased volume. It is because that we have passed on the price benefit to the customer and
volume growth has been healthier than what we see in the revenue gr owth that is number
one? Number two how have been our market shar e in Indian market because if that is not
true the earlier statement and it looks like we are losing market share in the domestic.
Can you provide some color to it? That is my question.
Nilkanth Natu: Thanks for your question, Nilkanth here. So, as I mentioned in my opening commentary we
have seen the good sales growth in the plas tic segment and there is a good traction. While
the coating company has reported good numbers, we are seeing the destocking effect there and value growth was subdued
there and we expect that that this should be transitionary and
the demand revival in the India market should come in. As regards to your second question
in terms of our market share in India, we ar e currently the market leader with 35% market
share in the domestic industry and currently we do not see any degrowth in our market
share. We are not losing out on the market share in Indian market.
Sanjesh Jain: But we have invested so much into the high-performance pigment. We are expanding the
portfolio. If I see this 35% number for last f our or five years despite such a significantly
higher investment that has not been moving up. Who are the other players who have been
equally aggressive because we have not seen too much of a capacity addition in the pigment
segment, why our market share is not reflecting that?
Rajesh Rathi: This is Rajesh Rathi here. As Mr. Natu men tioned we have seen a good growth in plastics
where the growth has happened and the second is in the coating section. We have not lost
anything but we have not seen growth because of the destocking happening in the coatings industry. Our entire product
portfolio was design ed for a global market and of course some
products to go into India and from that perspe ctive for all our new products whichever were
designed for India they are getting well entr anced in the product and so I do not know why
do you come to a conclusion that we are losing market share that is not clear.

 Sanjesh Jain: No, I got your point that volume growth could be higher and destocking could be a
transitory phenomena, I am just dwelling on this 35% market share which has been stable
for last four or five y

ears if I remember it right? Why is it not improving considering that
we have been investing so much in the product portfolio and all, one would have anticipated
it to go up materially.
Rajesh Rathi: So, I think once you reach a certain product and certain market share it is difficult to and
especially on some of the commodity sides, we have been losing our products there and that
has been by design and that is where this ne w product portfolio was designed that we gain
market share there. There is big if you see the chrome industry inorganics there is a very a big competition there and margins
are constantly falling in that region so there is a certain
level of market which we have lost in the last few years.
Sanjesh Jain: Got it. So to just summarize you are telling that we are improving on the product portfolio
where we are shedding some of the market share in the lower end or highly competitive
product and moving up in the value chai n is that the fair assumption?
Rajesh Rathi: Yes absolutely.
Sanjesh Jain: Okay my second question is competition from China. We have generally heard from many
chemical companies that due to the lower do mestic demand in China those products are
flooding in the export market and we do have a competition from China on the

Azos portfolio, how has been our experience? What has been the competitive intensity, pricing, and margins in the export market for that part of the portfolio?

Rajesh Rathi: We have seen intense competition and probably some of the utilization has been at their lowest for the Chinese companies so we have seen intense competition, but I think last year also we saw huge competition there so compared to last year I will not say that it has become worse so whatever we saw last year has been continued and with our product portfolio and even in Azos we have been able to get back some of our market which we had lost in the export market.

Sanjesh Jain: Got it. Last two questions. One on the new product approval and the ramp up, I know you have told that it will get slightly delayed considering the global demand scenario but can you tell us how is the yellow and violet being accepted by the customer? How many have approved it? Some color qualitative statement to give us a confidence that when the demand turns around we should be able to gain that benefit that is one? Number two on the Phthalo side I think China antidumping on India is now limited? It is already in the base? Are you seeing that continues to hurt us these are my two questions?

 Rajesh Rathi: Right Sir, new capex sales are getting good engagement and what we had given you a guidance that earlier we had anticipated to utilize the full in three years. It will go to four years that is what the guidance we are giving you last time so currently we are on track on this year's target, also as per defined by that four year target. So, if the macroeconomic situation changes we all hope that we will go back to the normal the three years utilization what we had thought so a good engagement on all those products across customers and across geographies and so that is one question if I have answered. As the second question was on China antidumping, it hurt the entire industry. The pigment manufacturing association has decided to fight this together and we hope that we do this so what has happened in the Phthalo industry is the macroe conomic situation globally it was majorly blue and green was an export market so we have seen a depression and demand plus the China demand going off so it is a double bang for the industry.

Sanjesh Jain: Okay but the antidumping has been put beyo nd a year now right? At least there is no incremental hurt from the antidumping for the Phthalo side of the portfolio? I can understand the des

tocking part of it but from the purely antidumping there is no incremental impact now because it is already in the base correct?

Rajesh Rathi: I think yes. I mean I do not exactly remember whether it is nine months or a year but there is no incremental after the last incident of antidumping. Whether it was a year I do not recollect the exact date.

Sanjesh Jain: Okay that is it from my side. Thanks Mr. Rathi and thanks Mr. Natu for answering all the questions and best of luck for the coming quarters.

Moderator: Thank you. The next question is fro m the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Thanks for the opportunity, so continuing with the earlier discussion on the overall demand scenario and given that exports are more relevant for us in terms of ramping up the newly launched products capacities, etc., if you can share your thoughts on how you are looking at different geographies both from a specialty as well as a non-specialty por tfolio perspective?

Nilkanth Natu: Ankur, Nilkanth here. So, as we guided in our opening commentary, in the short term we may see the demand variation due to de stocking of the inventory level and buying deferment due to the softening of the prices however we expect that this to be the transitionary phase. On the domestic demand we expect the recovery in the coming quarters that is in H2 of FY2024. On the export front, as we mentioned, the uncertainties due to the global geopolitical scenario rema in and with the tighter monetary policy the demand is expected to be moderate, however given the last year performance in the first three quarters,

 we expect the growth will be there in the expor t as well as domestic market as far as our company is concerned and we will continue to monitor that.

Ankur Periwal: Sure, secondly on the RM deflation side now since we have been improving on the gross margin front? This gross margin improvement is more optical because of the decrease in freight cost or there is a genuine whole pass through of RM inflation and probably the deflation is helping now?

Nilkanth Natu: So, Ankur the current quarter gross margin is at 42.9% and which shows the improvement over the last year Q1 as well as the last year Q4 and if you really see historically, we were operating at the similar level of gross margin and we aspire to have this gross margin level always. However, this gross

margin improvement what we have seen in the current quarter is due to softening of the RM prices and also so me part of the lag effect of the pass through.
Our endeavour is always to maintain the gro ss margin level at the same percent and we
expect that the gross margin should remain at the similar percent given the softening of the cost element in terms of the raw material, in terms of the coal. We expect that this should
remain at around same level in the coming quarter, however we will have to take the
balance as I mentioned earlier between the vo lume and the price looking at the demand
scenario in the coming quarters given the uncertainty around, but we will try and aspire to
have the gross margin leve l around the same level.
Ankur Periwal: Sure, so Mr. Natu where I was coming from was the existing portfolio, if I look historically
our gross margins have been largely stable in that 40% to 43% range but given the new
Rs. 7 billion capex that we ha ve done and over the next let us say four years if we are
looking at a ramp up there which is more on th e specialty side this number should move up
materially so from not immediate near term, but let us say from a three year perspective, we
should see a decent improvement in the gross margin number or will it be a case that
probably we will have to offer our products at a slightly discounted or maybe lower prices
to gain market share and hence the ma

rgin accretion may not be as high while revenue
growth will be good?
Rajesh Rathi: Ankur, Rajesh here. It is a very good ques tion. So obviously this product portfolio was
designed that it receives a higher gross margin. There are two things happening is that given
the current macro scenario and the levels which all the industries are operating on our
existing portfolio also we have to look at how to maintain the volumes and in many cases
we have to drop our gross margin and we are aggressively pushing our other portfolio also.
So it is a combination. So this portfolio with a higher gross margin and a combination of
our existing portfolio is yielding this. Directio nally once we come back to a normal scenario
our gross margin trends should improve in th e long term, once the ma croeconomic situation
 changes and the demand. The Chinese are not at the same level of utilization to what is
happening today, etc.
Ankur Periwal: Sure, and Rajesh just a follow-up on that so from a product approval perspective right and
all these products will have different time cycle in terms of approvals, etc., where are we right now and maybe when should we expect the full approval in place?
Rajesh Rathi: So, we are absolutely on track on sales reaching our first-year target given the four-year
horizon so Q1 also we have been able to meet that target and we will continue to have a
great emphasis in the company to drive that.
Ankur Periwal: Okay great and if I may follow up just one on the coal cost comments that we had in the
initial remarks, coal cost being lower earlier, there was a hit on the gross margin because of
the coal cost being higher so if the coal cost is coming down the benefit stays with us on the
margins front will that be the right assumption?
Rajesh Rathi: The coal will affect the contribution margin, not the gross margin and you are absolutely
right. So, coal we will try and maintain the margins which we had lost.
Ankur Periwal: Yes Sir. Thank you for your reply and all the best. Thanks.
Moderator: Thank you. The next question is from the line of Madhav from
Fidelity. Please go ahead.
Madhav: Good morning thank you so much for your time once again. I think in the annual report of
FY2023 you already mentioned that one of the key North American competitors for
Sudarshan is facing major challenges? Could you help us understand what is happening
there? Is it part of the global consolidation whic h is played out? Is that part of that or what
is happening then?
Rajesh Rathi: So one of the competitors based in Canada is facing financial difficulties and they have
been curtailing their product portfolio and we ha ve seen also in the market that supplies
from them to customers have been disrupted for some areas.
Madhav: Okay got it. How big they were given we are ranked three I think today within
top 10 players in the pigment space or any ballp ark because they were very large players?
Rajesh Rathi: Yes Sir. They are definitely am ong the top six or seven players.

 Madhav: Okay understood and then the other commentary which was in the annual report was you all
said that China plus one in the pigments indus try specifically is gathering pace now and you
expect the Indian pigment players to benefit so is it the pigment space is now beginning to see that trend picking up where some of the othe r sub segments in chemical are benefited in
the last four to five years at least? Is pi gments coming through now is? That is what I

gathered from the annual report? I am not sure if I read it properly?
Rajesh Rathi: I think China plus one has been a talking point for a long time, but firs t time we are seeing that customers are looking at alternatives and Indi a is definitely in

the focus area so this is a great tailwind for us that is what we see.
Madhav: Got it and just lastly again from the annual repo rt only you also said that in Europe there could be higher imports of pigments in the ne xt few years given of course they have their own cost challenges is that th e right understanding that imports into Europe pigments could pick up in the next three to four years?
Rajesh Rathi: So, I think the second tailwind which we talk about is the energy crisis in Europe. They have become uncompetitive and also looking at the whole deindustrialization or what is happening in Europe where they are reducing capacities we are hoping that there is more opportunities for us to export into Europe.
Madhav: Understood. Got it. Thank you, Sir.
Moderator: Thank you. The next question is from the line of Archit Joshi from B&K Securities. Please go ahead.
Archit Joshi: Thanks for the opportunity. Sir I just wa nted to seek your understanding on your geographical presence in Europe and US sp ecifically? This entire inventory destocking story that is playing out, which is possi bly we are not able to push our volumes incrementally because of that so what is the exact situation there? How big is the level of inventory that needs to be corrected so that we start seeing some recovery in terms of volume if you can speak on both the geographies specifically?
Rajesh Rathi: Sure, in general I think the destocking in the inventory has been through the geographies specifically to Europe and US I would say th at Europe last year we saw worsening of demand. We see demands slightly better than la st year. Last year we saw the worst coming in. In terms of US so far destocking but th e future demand scenario in US given the economic situation, etc., customer s are giving us a cautionary note in US so that is the area where we are closely monitoring how to gain our sales with our new products.
 Archit Joshi: Sure Sir, so in the supply chain while we are into a pure B2B business the inventories are stocked up at what end exactly? Is it that th e customers brought in quite a lot in the last financial year or is it in the distribution panel somewhere if you are at all dealing with distributors because so there are two things right ? Sir one is that the inherent demand if that is weak then probably it will be difficult to push the inventory from any of the end, but if the demand is picking up then the levels of inventory liquidation going ahead will be quite useful if we have to push that the volume that we have produced in our facilities so where exactly is the pinpoint if you somewhat fro m whatever interactions if you had you can throw some light on?
Rajesh Rathi: So, I think the first pinpoint was the Indian market especially coa ting industry where we saw the reached so that is destocking that we did not see the muted demand. It now all depends on how the Diwali season now picks up and the coating demands comes up so that is one scenario. The second scenario is also really Europe and North America the macroeconomic situation where the demand it self is subdued but what we find it all depends on the reference to context so if you co mpared to last year right we are in a better position even in Europe and US but on to the absolute where we want to reach and what we want to do that is a little subdued.
Archit Joshi: Understood Sir. Sir, my last question so when we planned this new capacity we have added Rs. 700 Crores to Rs. 750 Crores to our gross bl ock so while we plan these products which are essentially as you rightly said earlier have a relatively higher gross margin profile than our existing products which we are trying to curtail so wh ile we plan these products, do we immediately start getting in touch with our customers for quali

fications of these products and if at all these products have al ready been qualified or is it that once the demand starts picking up we start this proce ss all together newly wherein we can expect some delays because of the gestation period also that is involved in approving those products at the customer end so just wanted your thoughts on how the planning is done from your standpoint when it comes to intr oducing these new products and just one supplementary information if which you can pr ovide, you have spoken about this earlier, but to what extent have we started setting these assets and from these new assets what would be the current cap acity utilization?
Rajesh Rathi: So actually we do not wait for the demand to come back. We are engaging with customers for approvals however like the guidance we gave in the last call we were expecting to utilize the capacities in three years. This has been now given the situation it looks like four years and we are on target to

achieve the target of four years today and we will continue to
push this because given when th e situation improves we hope to bring this back to three
years.
 Archit Joshi: Got it so basically we do not have to really wait for the approvals? The engagement is
ongoing and that will not increase the gestatio n period of realizing the benefits from the
capex and Sir if you can also answer the utilization part that I asked?
Rajesh Rathi: Utilization part as I mentioned we are on track to achieve the four-year target right.
Archit Joshi: Sure Sir. Thanks. That is helpful. All the best.
Moderator: Thank you. The next question is from the line of Nitesh Dhoot from Dolat Capital.
Please go ahead.
Nitesh Dhoot: Sir I was asking that if we look at the reported segment assets, the net assets what I see has
increased by Rs. 270 Crores quarter-on-quarter so if you just elaborate on the same?
Nilkanth Natu: This is Nilkanth here. So I think on the segment asset side the major increase which has
come is on account of the investment in the mutual fund which is based on the
monetization. Since our monetization happened in Q1, so we utilized proceeds for
repayment of the borrowing and some part of that is parked right now in the mutual fund so
that is giving us the increase value in the a sset side. Also, I mentioned earlier there have
been some effect from the inventory slightly on the higher side for the quarter. To some
extent that is also impacting. Third point is on the RIECO side, the business has gone up so
there has been some also billed as well as unbilled revenue which is also contributing
increasing overall segmentation asset.
Nitesh Dhoot: So my next question is on the pigment busin ess so if you see that sequentially the gross
margin has gone up from 41.5% to 42.9%, however our EBITDA margin has come down
from 12.3% to 11.9% so is this purely because of the weaker fixed cost absorption given the lower volume sequentially or is
there an increase in some overheads also?
Nilkanth Natu: Nitesh your understanding is absolutely corr ect. So if you see the EBITDA margin is down
sequentially by 40 basis points, but the sales value has come down by around 9% to 10% so
it is more of the operating leverage there. No increase in the overheads.
Nitesh Dhoot: Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Dhruv Muchhal from HDFC Mutual Fund.
Please go ahead.

 Dhruv Muchhal: Thank you so much. Sir the Chinese market we understand the real esta te market is weak
and probably that is also influencing the coating market, the coating pigment segment so is
that the reason that which is impacting the overall supply demand situation globally
Chinese are exporting more a

nd more probably in your European and US market which you earlier used to target and probably also the do mestic market
or is it that a lot of new
capacities have come up which is infringing th e market just trying to understand what is
causing this?
Rajesh Rathi: China has nothing to do with the coatings markets. Coating market what we saw was in
India where we did not see growth. I think Ch ina is generally active in the printing ink
markets and some lower end plastic market wh ere we have seen good competition, but that
is not the main reason where we seeing, in ge neral we are saying that the macroeconomic
situation is such that we are not seen that growth which we used to see earlier in the market.
Dhruv Muchhal: So pressure is related to the domestic mark et in printing inks and plastics, but for your
export markets like?
Rajesh Rathi: Not domestic Sir. This is the global market I am saying.
Dhruv Muchhal: Global market okay got it. Sure this is helpful. Sir the se cond thing is now that the
RM prices are falling. I believe you will also ta ke some adjustments in your selling prices to
some extent probably so your earlier guidance of incremental revenue from new capex
I think it was about Rs. 1500 odd Crores does that remain or will that see some change
given that the RM is now falling?
Rajesh Rathi: If you see our slide not a material difference, probably a 10% difference. What the material
difference is earlier was three years which is moving to four years that is the bigger
difference.
Dhruv Muchhal: The value broadly remains the same irrespective of this? You had already factored in for
this RM price fluctuation or the decline as such?
Rajesh Rathi: No I am saying the decline right now we expected is to make an impact is 10%.
Dhruv Muchhal: Sure Sir. Great Sir. Thank you so much and all the best.
Moderator: Thank you. The next question is from the line of Chetan Thacker from ASK Investment

Managers Limited. Please go ahead.

 Chetan Thacker: Sir the question is more on the other expens e line items? I just wanted to understand how will this move as a percentage of revenue over the next four years because some bit of our capex has also gone into backward integration so how should we expect this line item to move as capacity utilization inches up?
Nilkanth Natu: Nilkanth here. Our capex has been predominantly on the revenue side, growth side and as we guided earlier we have not done any signif icant capex for the backward integration. That will be the next stage once we stabilize the current capex. So as regards to other expense there are two to three fixed cost which I see in that particular bucket to remain fairly constant. The other part which is the manu facturing as well as the selling variable will vary as we ramp our capacity, but it shoul d get reflected in our contribution margin so I expect the margin should be at the similar level or we s hould see growth compared to year-on-year basis.
Chetan Thacker: Sure, so it is largely coming from the fact that if I look at your more long-term other expense as a percentage of revenue it would hover between 20% and 21% while this quarter it is 25% because utilization would be lower so is it fair to assume we would start inching towards that number as utilization starts to inch up?
Nilkanth Natu: We had been predominantly in the range of around 23% to 24% as a percentage to sales. If I see last year for the pigment bus iness, we were at around 24% and cu rrently 23%. As we move along and as we see the capacity utilization ramp up, I expect this percentage to drop further. We should stabilize this on the lower end.
Chetan Thacker: Sure and Sir just last bit on the interest expense line item what is the current cost of debt and given that we wou

ld have utilized to repay debt we have done that so what should we expect going ahead on the inte rest expense as well also?
Nilkanth Natu: Currently if you really see our loan portfolio it is a mix of the ECBs and the rupee loan. It is more on the export commercial borrowing which is foreign currency borrowing and as a management policy we have majority of them covered into the fixed rate so I expect the blended rate on this should be around 5% to 5. 5% given the foreign currency loans in the portfolio.
Chetan Thacker: Got it and whatever we have repaid so to that extent that benefit will flow as we move ahead?
Nilkanth Natu: Absolutely. Whatever we have repaid you can see in the quarter compared to the sequential quarter you will see the reduction in the inte rest cost numbers. As we go along further repayment also will have the impact on the reduction in the interest cost.

 Chetan Thacker: Sure Sir. Thank you so much Sir. All the best.
Moderator: Thank you. The next question is from the line of Hussain Bharuchwala from Carnelian Asset Management. Please go ahead.
Hussain Bharuchwala: Sir I just wanted to understand on the or ganic pigment side since we are moving more towards the export market so can we see the gross margins increasing from hereon and is there any target gross margins that we are looki ng at so just wanted to understand some bit of that and secondly I wanted to understand sir your plan to increase the ROCE going forward I think that was there in the presenta tion so where are we and how will be able to increase the ROCE? One thing I understand in th e last call you said we will look at working capital and bring along the working capital down so is there any other means that we are looking at in order to improve the ROCE how ar e we planning to do that so that were the two questions from me?
Nilkanth Natu: Nilkanth here. So the first question was on the gross margin. Rather than looking at organic and inorganic, I see the split between the spec ialty and nonspecialty to play the important role. As we mentioned, our capex has been tilted more towards specialty pigment side so over a period directionally we should see the gr oss margin expansion. We have seen earlier the gross margin in the range of 43 to 44, if I see the peak of FY2021. So we should expect that there should be expansion in the gross marg in directionally, not in the immediate future once we get along more sweating of the curre nt capex, new capex which are put into use that is on the first part. The second is on the ROCE, yes so ROCE has a couple of leavers wherein we are working. The last year which we had seen is the drop in overall gross margin, EBITDA and which has reflected in the EBIT percentage as such. With the current quarter with overall financial performance, we expect the margin trajectory to be maintained compared to last year, first three-quarter performance. So we have seen that traction coming in and the management is focused how to expand our margins which will reflect better in terms of the EBITDA

percent as well as the EBIT percent. On the capital employed side, we are also working more on th e net working capital. If you have seen last
year there has been a good net working capital relief over a one-year period and we
continue to do that. There may be some seasonality which will be there as far as the net working capital cycle is concerned, but over a period I expect we should stabilize the net
working capital around 21% and third as we move along in terms of the ramping up of the
sales from the new capex projects, more sweatin g of those capex will give us the further
benefit going forward. So as we have the grow th will follow the capex we are in the initial
phase. You will see the ROCE ramp up in th e coming years and these other two to three
major lever

s which we are working at. Also, one point Hussain is we have taken a decision
that there will not be any further expansion of new capex to the tune which we have seen
 except the maintenance capex. So this will al so help us in managing our capital employed
better.
Hussain Bharuchwala: Got it and Sir your maintenance capex will be around Rs.40 Crores am I correct that is what
you have guided earlier.
Nilkanth Natu: Yes, around Rs. 40 Crores to Rs. 50 Crores yes.
Hussain Bharuchwala: Got it. That was the questions.
Moderator: Thank you. The next question is from the line of Rohit Nagraj from Centrum Broking
Limited. Please go ahead.
Rohit Nagraj: Thanks for the opportunity. So first question is on the European competitors so given that
the top, I mean out of top ten players, most of them are located in Europe and on a year on year, the energy situation has been relative ly lenient plus you also mentioned the raw
material prices have been falling so how is the competition shaping up over there and are
there any incidences where some of the mid or small size players have gone out of the
system as you explained for one of the competitors in Canada, thank you?
Rajesh Rathi: So like we said in Europe, a lot of consolidation has happened in the large areas and I think
with consolidation comes oppo rtunities for independent players like us where we get
opportunity to the grab market share so in term s of if you see Europe really if you scan
through Europe they are like two major players who are present who are the top two people.
Rohit Nagraj: Right. So, have we seen competitions from th e top people, given that from the raw material
side or from the energy side, the situation is also favorable for them as it is favorable for us?
Rajesh Rathi: So, basically I think two areas. One is obviously the energy in Eu rope is still, we have some
advantage over that. So, we are still in favor from a cost perspective and given that
consolidation is happening, we do see a more traction towards better engagement for us
with the customers.
Rohit Nagraj: Right Sir got it. Sir the second question is that on the commodity pigments capacity so you
mentioned in one of the comments that we are driving ourselves from commodity to specialty, however the market share has remain ed constant so just wanted to understand
from the operating point of view the capacity that we have put for commodity pigments, the
previous ones plus in the new capex are thos e capacities fungible and can be used for
specialty pigments or at any point in time if we were to scale those down we will again have
 to incur some capex if we go to market upgr ade those capacities to specialty pigments?
Thank you.
Rajesh Rathi: We have not put in any new capex on the comm odity side. Most of our capex has been on
the specialty side and if you look at fungibility, it is not possible to transform a commodity capacity into a specialty.
Rohit Nagraj: Right, got it. Thank you so much and best of luck.
Moderator: Thank you. The next question is from the line of Yogesh Bathia from Sequent Investments.
Please go ahead.
Yogesh Bathia: Sir like you mentioned that our target is to ramp up this new capacity in the coming three
years, so is it a possibility that if things are better off earlier than we expect so we can ramp
it up faster and my second question is like you sa id that we have started utilizing the new
capacity recently from Q1 also so is it fair to assume that some higher fixed cost must have been a part of the P&L in the last one or two quarters given the ramp up had started in the
new capacity?
Nilkanth Natu: So with regards the ramp up in terms of the new capex, as we mentioned we earlier
estimated this ramp up should be within th

ree years. Given the current scenario, we expect
that this should be around four year and we are on target to have the ramp up of this new capacity by four years. As we move al ong, if we see the improvement in the

macroeconomic conditions, our endeavor is to bring back this particular ramp up to three years period, but that will always depend on th e external factor. That is the first part. Second part is in terms of the additional fixe d costs so this project has been commissioned in the last quarter and majority of the fixed costs in terms of the manpower and all that is already being there. I do not expect any incremental fixed cost to come for this newly commissioned capex.

Yogesh Bathia: Okay so basically higher fixed cost has been incurred in the last quarter and maybe this quarter also for the new capacity, right?

Nilkanth Natu: Yes. So I expect more of a normalization, no incremental cost, fixed cost due to this recently commissioned capex.

Yogesh Bathia: Okay. Thank you, Sir that should be all.

 Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference ov er to the management for closing comments. Over to you, Sir.

Nilkanth Natu: Thank you Vidit and thank you participants for your time a nd interest in Sudarshan Chemical Industries L imited. We remain confident in the long-term prospects of our business and we look forward to engaging with you again in future. Thank you.

Moderator: Thank you Sir. Ladies and gentlemen, on beha lf of IIFL Securities that concludes this conference we thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Nov 2023

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11 th November , 2023

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Blo ck G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Scrip Code NCDs - 974058 Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call

We are enclosing herewith transcript of the conference call with analysts /
institutional investors, which took place on Monday , 6th November, 2023, after announcement of
the Unaudited Financial Results (Stand-alone and Co nsolidated) for the quarter and
half year ended 30th September, 2023.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You ,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited
Q2 and H1 FY '24 Results Conference Call"
November 06, 2023

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER –

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '24 Earnings Conference Call of Sudarshan Chemical Industries Limited, hosted by IC ICI Securities Limited. As a reminder, all participant lines will be in the listen-only mode a nd there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, t hen zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you, and over to you, Mr. Jain.
Sanjesh Jain: Thanks, Michelle. Good morning, everyone. Thank you for joining on Sudarshan Chemical Industries Limited Q2 and H1 FY '24 Results Confere nce Call. We have Sudarshan Chemical Industries Limited management on the call, represen ted by Mr. Rajesh Rathi, Managing Director; and Mr. Nilkanth Natu, Chief Financial Of ficer.
I would like to invite Mr. Nilkanth Natu to initia te with the opening remarks, post which we will have a Q&A session. Over to you, sir.
Nilkanth Natu: Thank you. Thank you, ICICI Securities and Mr. Sanj esh for hosting our earnings call. Good morning, ladies and gentlemen. Welcome to Sudarshan 's Q2 FY '24 Earnings Conference Call. Our investor presentation has been uploaded on the stock exchanges for your ready reference.
I would like to take you through the financial hig hlights for this quarter. On overall basis, there has been a growth in the top line as well as improv ement in the EBITDA margin. However, global uncertainties and macroeconomic factors coup led with recent geopolitical development, continues to be the key challenge.
The quarterly performance on a consolidated basis for the quarter, total income from operations stood at INR601 crores as compared to INR528 crores for the same period last year, higher by 14% year-on-year. EBITDA for the quarter stood at I NR66 crores as compared to INR43 crores in Q2 FY '23, and EBITDA margin is at 10.9% compare d to 8.1% over the same period last year. Profit after tax stood at INR18 crores compared to INR5 crores for the same period last year.
Coming to H1 performance, on a half yearly basis, total income from operations stood at INR1,209 crores versus INR1,083 crores in the same period last year, a growth of 12%. EBITDA for the first half is at INR135 crores versus INR84 crores last year, and EBITDA margin is at 11.2% for the current half year versus 7.8% over th e same period last year. PAT is at INR39 crores compared to INR12 crores for the same period in the last year.
Now going into the details of our pigment business ; for the Q2 FY '24, income from operations stood at INR522 crores as compared to INR476 crores for the same period last year, a growth of 10% year-on-year. On a sequential basis, revenue is marginally lower by 3% compared to INR536 crores of Q1 FY '24. India sales for the qua rter is at INR272 crores, higher by 16% as compared to INR235 crores in the same period last y ear. On a sequential basis, India sales is marginally higher by 3%, compared to INR265 crores of Q1 FY '24.

Export for the quarter were at INR250 crores compa red to INR242 crores, higher by around 3% year-on-year. On a sequential basis, export revenue is lower by 8% compared to INR272 crores of Q1 FY '24, mainly due to weak demand resulting f rom inflationary pressure in EU, U.S. and effects of destocking. We continue to be vigilant t owards the international geographies, considering the recent geopolitical issues and glob al macroeconomic situation.
In Plastics segment, we continue to see relatively stable demand and ink segment has seen improvement in demand in Q2 FY '24. We expect this to continue in the coming q

uarters. We
continue to see subdued demand scenario from coatin g segment, majorly due to domestic players, deferring buying decisions, owing due to f alling price regime and also due to the late festival season. Demand in the Coating segment is e xpected to pick up in H2 FY '24.
Specialty segment sales stood at INR362 crores as compared to INR330 crores for the previous year same quarter, 10% year-on-year higher. On a se quential basis, the revenue has remained

flat as compared to INR363 crores of Q1 FY '24. Non -specialty sales for the quarter is at INR160 crores, which was higher by 10% as compared to the same period last year. On a sequential basis, revenues lower by 8% compared to INR174 cror es on Q1 FY '24.

We are seeing healthy and progressive engagement w ith our customers for our product basket offering from the recently commissioned capex. Gros s margin of pigment business for the quarter increased to 44.8% as against 38.8% for the same period previous year, comparing with the sequential quarter, gross margin have gone up b y 190 basis points. This is mainly due to lower price, raw material prices and change in the product mix.

During the quarter, we continue to see softer raw material costs and coal prices as compared to the previous year. Logistics costs have remained st able in Q2 FY '24, while it has come off from the peak levels seen earlier from the previous year . Further evolving geopolitical environment can pose some uncertainty, which may have impact on crude prices and other intermediary prices.

EBITDA for the quarter stood at INR67 crores in Q2 FY '24 compared to INR39 crores for the previous quarter. EBITDA margin stood at 12.8% as c ompared to 8.2% over the same period last year.

On a sequential basis, EBITDA is higher by 90 basi s points. In H1 FY '24, total income from operations for pigment business stood at INR1,058 c rores versus INR1,002 crores in the same period last year, a growth of 5%. EBITDA for H1 is at INR131 crores versus INR83 crores last year, and EBITDA margin is at 12.3% versus 8.3% ove r the same period last year.

Now coming to the Balance Sheet: the balance sheet of the company has strengthened with stable business operation in current first half of the yea r and funds received from monetization of the assets. The net debt of the company has reduced sub stantially to INR445 crores in Q2 FY '24 from INR926 crores in Q2 FY '23 and INR503 crores i n Q1 FY '24. The reduction in debt has resulted in improved net debt-to-EBITDA to 1.7x in Q2 compared to 3.8x in Q2 of the last year.

The working capital cycle has been effectively mana ged, thereby, resulting into the cash

conversion base at 82 days in current quarter, comp ared to 90 days in the sequential quarter Q1 and 108 days in Q2 of the last year.

On ESG focus, before we conclude our management co mmentary, I would like to take this opportunity to highlight our ESG focus. Sudarshan a lways maintained high standards in this area, as seen from the direct discharge permission for treated effluents from Roha plant. British Safety Council 5-Star Ratings Sword of Honor Award and Sudha CSR work in the plant location community.

Our focus is further enhanced with clearly formula ted vision to be the global leader in pigment industry, by operating responsibly and growing sust ainability. To achieve this, we have formulated a strategy towards key pillars of the en vironment responsibility, strengthening social inclusiveness, business accountabilities, with cont inuous focus on manufacturing excellence.

We believe that companies will get differentiated b ased on the ESG practices in coming years, and our continued focus and sustainability journey with concentrated efforts, will strongly position us globally.

To summarize, positive tailwinds from the external factors, such as consolidation of top players in

the industry, China plus one, India gaining econ omic momentum due to continuing global uncertainties are expected to favor Indian pigment industry. However, we continue to be cautious, considering evolving geopolitical situati on and global macroeconomic situation.

We are well prepared internally with all the capex projects being commissioned, with widening of the product portfolio, cost-efficient operation and capacities to quickly ramp up. We are confident in our growth journey and are committed t o deliver the long-term value to our stakeholders.

With this, I now open the floor for question-and-a nswer session.

Moderator: Thank you very much. We'll take the first question from the line of Madh av from Fidelity. Please go ahead.

Madhav: Just wanted to get an update on now that our produc t ranges are finally ready, we have our expanded capacity in place. Could you just help us understand how the traction is building up? Not from a near-term perspective, I understand ther e are geopolitical challenges that could happen near term. But if you take a 2-year, 3-year view on the company, could you give us some sense? Are we like in a better shape to sort of gai n more business in export market, from like a 3-year perspective?

Nilkanth Natu: Thanks, Madhav, Nilkanth here. So as we mentioned i n our opening commentary, we have recently commissioned our capex and the product off ering in terms of our new products has been well received from the customer. As we mentioned, c onsidering the current scenario, we are

seeing this ramp-up to happen over a period of 4 ye ars. And with this, whatever the internal
target we have set for ourselves, in the first half , we are achieving those. So we are on track in
terms of achieving the target for this ramp-up, and you will see those results coming in, over a
period.

Madhav: And this 4-year is, in your view, you're being a li ttle bit conservative or is more realistic? Like
what kind of assumptions are we making?
Nilkanth Natu: Madhav, the 4-year view, which we are right now giv ing is more based on the conservative
basis, given the current geopolitical scenario and the macroeconomic conditions, while our
endeavour remains for the quick ramp-up, 4 years is more on the conservative side.
Madhav: Sure. And the second question I had was, you know n ow that our product mix has expanded,
and we have more, how should I say, like more speci alty portfolio in place versus what
Sudarshan was 5 years back. If you look at our marg in profile before COVID, where we used to
do 14%, 15% EBITDA margin, would it be fair to say if we take a 3-year, 4-year view that
EBITDA margin should be higher? We don't want an ex act number, but just given the change
in the product portfolio, margin should be higher v ersus what it was over a 5-year period before
COVID?
Nilkanth Natu: So Madhav, to answer this, yes, directionally, it s hould be higher than what we had seen earlier
as a 15%. If I say that we had the EBITDA margin of 15% in '21, which given the new capex,
which are put to use, more focus will be on the spe cialty, over the period of the time horizon
which you have mentioned 3 years to 5 years period, I see that structurally, the gross margin and
the EBITDA should move up, and we should see the EB ITDA margin higher than the numbers
which we had reported earlier. But it is over a per iod of time. Directionally, what you're
interpreting is correct.
Moderator: We'll take the next question from the line of Ankur Periwal from Axis Capital.
Ankur Periwal: First question on the pricing or the overall growth on the revenues front. So congratulations for
a decent performance across domestic specialty, as well as the export bit. Just trying to
understand, how should we look at this growth from a pricing and volume breakup perspective?
Is pricing a component here or it's largely volume

driven?
Nilkanth Natu: Hi Ankur. Nilkanth here. So as we mentioned, we are seeing the softening in the raw material
prices, logistics cost and coal costs. So the curre nt revenue scale up which we are seeing, is more
from the volume front, because there has been the s oftening of the price regime, which we have
seen in the first half. So it is more driven from t he volume side.
Ankur Periwal: Sure. And Natuji, just a clarification, the RM defl ation, has this been passed through in Q2 or
we'll be passing it on, let's say, next quarter onw ards?
Nilkanth Natu: So we have passed on this, Ankur. So this is the so ftening of the raw material prices, other costs,
we do the pass on every quarters.
Ankur Periwal: Okay. Second question on the global competitive and our positioning as well as from a landscape
perspective. We have been seeing excess capacities in China, which has kept prices under
pressure for most of the chemical companies and for most of the chemicals. How is competition
for us, given that there were certain plant shutdow ns earlier? And China, in dyes they are big,
but in pigments, probably you can highlight how the demand-supply situation sort of pans out
there?

Rajesh Rathi: Ankurji, this is Rajesh Rathi. I think the situatio n has 2 sides sir. One is the industry in general
is probably passing through a worst phase. If you s ee our European competitors or the large
players, they are not doing well either. Also, give n the demand scenario, especially in the major
geographies, if you talk about U.S., Europe, China, Japan, is not very good right now. So the
situation is tough, but I think we are able to make good traction, given our goals, our whole story
line and on the whole strategy on growth over a ver y reliable and a broad-based product
manufacturer.
Ankur Periwal: Sure, Rathiji. But any new capacity coming in globa lly or maybe excess of supply given the
demand is lower and hence.
Rajesh Rathi: No, I think we're seeing a shutdown in capacities, certain capacities in Europe have shut down,
no major addition of capacities in China, I would s ay.
Ankur Periwal: Great. And from a new product approval or, let's sa y, ramp-up perspective, I know the macro
has been weak, so probably won't be look at or won' t be right to look at the ramp up as such. But

from a product approval perspective, where are we f or our new products that have been commissioned?

Rajesh Rathi: I think we're doing quite well, sir. Whatever our o riginal plan was, we are right on track. The next 1.5 years to 2 years would be to see how can w e expedite that and do that. But as of now, we are on track sir.

Ankur Periwal: Great, sir. Just one last question, if I may, for N atuji. Our working capital has improved in this quarter, largely led by lower inventory. Is it sust ainable? What are your thoughts there?

Nilkanth Natu: So Ankur, as we guided earlier, we were at around 2 5% last year, and we said that our endeavor is to be in the range of 20% to 22%, given the situ ation around. So right now also, we are at around 21% of the working capital. And I expect tha t we will be in the same range of 20% to 22%. I don't expect major jump in the working capit al. It has been fairly managed, and we will continue our focus in managing our working capital efficiencies.

Moderator: We'll take the next question from the line of Archi t Joshi from B&K Securities.

Archit Joshi: I have a few questions, sir. Firstly, just wanted t o pick your brains on a comment that you have made in the presentation, with respect to value cha in integration in some of the projects, can you elaborate what sort of value chains are we looking at here? Is this in the current scheme of things with respect to the product portfolio we have, or t here is an exploration of any other HPP sort of a pigment in the value chain?

Nilkanth Natu: Archit, Nilkan

th here. So you are referring to the transcript or the presentation?

Archit Joshi: No, sir, the slide, business outlook, FY '24 and be yond, wherein we have mentioned commencing execution of cost improvement and value chain integration projects.

Rajesh Rathi: So I think that what it means is, some of our backw ard integration projects will continue to focus, some of the waste streams, which are generated and getting some value out of it. I think those are the 2 areas which we are focusing on.

Archit Joshi: Okay. So there is nothing new on the product side, right? Or any other...

Rajesh Rathi: No. I think we've completed all the products. Nothi ng new on the product side.

Archit Joshi: Okay. Okay. Got it, sir. Sir, secondly, with respec t to the application areas, if I split this into 3 larger categories of the industries that we service , paints coatings, wherein you have mentioned auto and decor, and packaging and inks, plastics pa ckaging and inks. So where exactly are we seeing pain globally? I see that you have seen some traction sequentially in the domestic front. But where do we see this destocking or demand banks being prevalent on the exports market?

Rajesh Rathi: The question is only pertaining to export market? S o export, I think it's more of a geography phenomenon, , rather than the applications where I think in U.S., we are seeing U.S. was doing well till last year and this year, we are seeing a major effect and a lot of destocking happening in U.S.

Europe is at the same trend as last year, a little bit improvement, but China has also been it's more of a geography phenomenon rather than the indu stry areas globally, in the exports market, international markets.

Archit Joshi: Got it, sir. Sir, if I just put it in the ascending order, U.S. followed by Europe and then China, would that be a fair assumption, where we are seein g more pain?

Rajesh Rathi: So in general, as a market, I think China, U.S., Eu rope, I would put that in the sequence. But for us, our largest stakes are in U.S. and Europe.

Archit Joshi: Got it sir. Sir, one last, this quarter, our subsid iary, if I just do a console minus standalone; subsidiary performance seems to have improved quite a bit. Can you throw some light on what's driving this and what should be a fair run rate to look at, going ahead, with respect to the subsidiary performance?

Nilkanth Natu: So Archit, so you are mentioning about the RIECO, c orrect?

Archit Joshi: Yes.

Nilkanth Natu: Yes. So in terms of the RIECO, they are receiving t he good order, being in the capital goods industry, they are seeing the up cycle and current order book and the revenues you have seen in the current year, it has been at INR151 crores comp ared to the last year of INR80 crores, and they are positive in terms of the EBITDA and EBT. S o they have turned around over the last 2 years period in terms of their performance. And we expect that this trend to continue for the current year. And we should see the decent improvem ent over INR233 crores of the last year in terms of the revenue.

Moderator: We'll take the next question from the line of Yoges h Bathia from Sequent Investments.

Yogesh Bathia: I wanted to ask, can you tell us from the new facil ity, what is the revenue that we have booked in this quarter, and what are the expenses that we are currently incurring for this facility?
Nilkanth Natu: Hi Yogesh, this is Nilkanth here. So currently, we are not publishing that number, as we mentioned that we are on target, as far as our inte rnal targets, and the revenue ramp up, the sizeable ramp-up we should see in the coming year. So this is from our side.
Yogesh Bathia: Basically, if we get some sense on the expenses sid e also, we'll be able to understand that if the margins are subdued because

of the excess cost of t he facility, or something of that sort. It will give us some idea that how far are the margins expa nding for the company?
Nilkanth Natu: Yogesh, Nilkanth here. So as you have rightly menti oned in your question, so currently, the capacities which are there for the new products are utilized at the lower end of the cycle. So as we improve our utilization, we will see the benefit s of the higher utilization getting into the gross margin and contribution margin over the period.
So currently, we are monitoring all the parameters . And whatever we have taken for this particular year, considering the utilization level, we are achieving those numbers. So maybe I request you to be at least, maybe a couple of quart ers, you will see the performance getting into there, and then we will start looking at it separat ely.
Moderator: The next question is from the line of Nitesh Dhoot from Dolat Capital.
Nitesh Dhoot: So my first question is on the European distributio n tie-up. I mean, how are we or have we really started benefiting from there and how do we see thi s tie up for the next 2 years, 3 years going forward?
Rajesh Rathi: So I think we are engaging well with the European d istribution tie-up. Like we said, these were for midsize and smaller companies going through a p roduct approval cycle. And I think in times to come, it should expand. So right now, the ground work is going on with that.
Nitesh Dhoot: Sure. So my next question is on the sale of RIECO I ndustries, I think we had planned earlier for disposing this arm. So where are, we as far as that proposal was concerned?
Rajesh Rathi: So the Board is constantly reviewing the area, at w hat stage we should be doing that. And as soon as they come to some conclusion, we will defin itely come back to everyone.
Nitesh Dhoot: Right. And sir, just lastly, on capacity utilizatio n, you mentioned that, I mean, your new facilities, obviously, are at lower utilizations. B ut I mean, I just wanted to ask, on the pigment EBITDA margins. Right now, we are at 12.8%. So on a n optimum utilization, where can we see these margins going forward? I understand that from a product portfolio perspective, these will add to the margins. But purely from the utilization s of the previous facilities, ex of the new products that you've added, where can we head to?
Nilkanth Natu: So Nitesh, Nilkanth here, as I mentioned earlier, w hat we are seeing this year is, getting back our margin trajectory, which we have seen in the la st year, up from 9% to now 12%; 12.5%, and this is a positive incremental change, which we are seeing. A couple of factors which has

helped us is, one, is the softening of the RM price s, good governance in terms of the pricing, in terms of the pass-through as well as the pricing in terms of the products which are being offered. And third is also the volume gain, which we had see n in the current year. All these factors are benefiting us in terms of getting back to our margi n trajectory back by to 12.5%, maybe 3% to 4% up from the last year.
Now structurally, I see this particular year, wher ein we should see the margin momentum to continue. And once we go back to the higher level o f the utilization with the new products being also getting scaled up in the years to come. As I m entioned to Madhav earlier, we should directionally see our EBITDA margin going up from w hatever the highest level, which we had seen earlier at 15% plus, but this will be over a p eriod, and this we will continue to monitor as a management.
But directionally, it has to go and scale back to the level which we had seen earlier over a period of time. And right now, we are seeing that particul ar momentum in the first 2 quarters also, which is positive for us.
Nitesh Dhoot: Yes, sir, certainly. That's very helpful. Sir, just one last thing, I mean, on the

domestic side, which new segments have driven the growth for us in Q2?
Nilkanth Natu: So on the domestic front, the plastics segment has continued doing well. So that segment has given us a good growth.
Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.
Rohit Nagraj: Sir, my first question is, in your comment, you men tioned that European some of the capacities have shut down. So what is your assessment in terms of, whether these are permanent shutdowns

or mothballed, or whether it is because of the curr ent crisis in terms of the energy and high cost, these capacities have been shut down?
Rajesh Rathi: It's a permanent shutdown.
Rohit Nagraj: And just a clarification, are these sizable capacit ies in the overall scheme of global capacities?
Rajesh Rathi: I would say, I wouldn't say they have reasonable fr om a perspective of, if you look at the total European capacity for that product line.
Rohit Nagraj: Fair enough. Sir, second question is one of the art icles suggested that RIECO Industries is planning to increase its workforce to about 500 plu s by 2025, and we are focusing more on the powder processing and bulk material handling soluti ons. So just wanted your view on this particular subsidiary of ours. At one point in time , you were trying to divest it and then it turned around in the last couple of years. So what is the focus on this part of the business? And on a normalized basis, what could be the margin trajecto ry for RIECO? And I understand that quarterly fluctuations may be there, depending on p rojects, but on a yearly basis, so what could be the margin trajectory?

Rajesh Rathi: So as mentioned earlier, sir, RIECO is not absolute ly core business for Sudarshan, and the Board is constantly reviewing at the performance and what should be the future plan, I think. As soon as there is more clarity and what we are doing, we will definitely come back to you.
Moderator: We'll take the next question from the line of Sanje sh Jain from ICICI Securities.
Sanjesh Jain: First is on the product portfolio that we are expan ding and the European shutdown? Can you give us some update on the new product launches whi ch have happened, as we're getting the approval, have we started supplying them? Where are we in terms of milestone on those new products?
Nilkanth Natu: Thank you, Sanjeshji. So as I mentioned earlier in my opening remarks also, and to a couple of questions also, we are seeing a very healthy and pr ogressive engagement with our customers for our new product offering from our recently commissi oned capex. We are seeing the approval for our products being given by the customer and th e engagement with the customer is ongoing. As I mentioned, in terms of our internal target fo r this current year, as far as the revenue from the new product is concerned, we are absolutely on target, and we will continue our drive to get the new business from this product.
Sanjesh Jain: And what will be the contribution of new products t oday in our overall revenue basket?
Nilkanth Natu: So currently, as we mentioned, it is at the lower e nd of the capacity utilization. So it is not that significantly material to report the number. So onc e we scale up to a number in a year's time, we will start publishing that. We will look at it, how to publish that number.
Sanjesh Jain: Second question is on the European shutdown and 2 p articular products seeing a supply shock, how many of those products are in our portfolio, wi ll we benefit out of it?
Rajesh Rathi: I think the European shutdown will benefit more on the printing ink areas and some plastic areas, but mainly printing ink areas.
Sanjesh Jain: Printing and, sorry?
Rajesh Rathi: Plastics.
Sanjesh Jain: Plastics. Okay.
Rajesh Rathi: I could go for or we could just understand U.S. mar ket.
Sanjesh Jain: U.S. auto coating s

egment, we were trying to expand our footprint...
Rajesh Rathi: Automotive segment is not just U.S., but it was a g lobal phenomenon, which we made good progress on that and we continue to work on it sir.
Sanjesh Jain: Got it. One last one on the Chinese side, we have s een increased supplies from China, both raw material as well as finished product. We also buy a lot from China and we are also competing with them. Is it positively impacting this or do yo u think that it is still detrimental for us?

Rajesh Rathi: Sir, can you please repeat your question? Again, th ere was some lag?
Moderator: Mr. Jain, there is a disturbance. I mean, like we a re feeling that you are not in the network area. And previously when, please talk from the place fro m where you were talking previously.
Sanjesh Jain: I was talking on the China side. China, we have see n increased production. So we do buy from China as well as we do compete with the Chinese on the end market. How is...
Moderator: We'll take the next question from the line of Rohan from Nuvama.
Rohan: Sir, first question if you can just share for the c urrent quarter in revenue, the contribution from volume growth and the price decline, if you can giv e some sense on that?

Nilkanth Natu: Nilkanth here. Since there has been a very broad pr oduct range and the values are, you know, the range of the value is very high. So we are not declaring it in terms of the volume as such. But as I mentioned to Ankur earlier, we are seeing the softening in the raw material prices and other costs. So sales revenue which we are seeing n ow in our quarterly numbers, as well as in the previous quarter, majority of this is coming fr om the volume side. And this also gets translated in our EBITDA percentage compared to the last year. So majority of this thing is also getting driven from the volume side.
Rohan: Okay. But in general, with the falling raw material prices, this overall basket would have seen some decline in average realization? What I'm just trying to get at, our volume growth would have been much higher than 12% in revenue growth. S o that's what I just wanted to understand.
Nilkanth Natu: Yes. So sir, as you have rightly mentioned, raw mat erial prices have declined. So majority of the, the revenue is from the volume side, and this is also giving us a benefit in terms of our gross margin percentage in terms of our realization, whil e our realization per kg has gone down due to the softening of the prices. But in terms of our percentage EBITDA, we are seeing the positive sign.
Rohan: Okay. Sir, second question is on our non-pigment, t hough it's very small in terms of revenue contribution, but seems like that we have incurred some losses there in our non-pigment basket. Any particular reason, any inventory losses or some thing like that?
Nilkanth Natu: Yes. So sir, in the quarter 2, your observation is correct. In the quarter 2, they had an overrun in the project business, and they have executed a coup le of big project orders. And in the quarter 2, we had seen, due to the size of the project, it got slightly delayed and that time delay has caused some overrun in the costs, which has been re flected in the quarter 2 performance.
Rohan: So it should normalize going forward, right? I mean even the non-pigment business is also profitable. It's not like that, that it will be...
Nilkanth Natu: In the H1 performance, they are profitable. For Q2, there has been a dip, due to the project delay, time delay, execution and the related costs. H1 the y are positive, and we expect that for the current year, they will remain profitable.

Rohan: Sir, you just share the what will be the going forw ard share of specialty in pigment? I mean, mix, how it is likely to change, and what kind of averag e m

argin difference we have between specialty versus commoditized rate of the pigments?
Nilkanth Natu: So sir, if you have seen our specialty and non-spec ialty split, it has been fairly 2/3, 1/3, 67% specialty and 33% on the non-specialty side. While majority of our current capex is on the specialty side, once the scale-up starts in terms o f the new capex, we see that the tilt towards the specialty revenue will go up maybe by a couple of b asis points, maybe upward 70% and which will further drive our gross margin as a percentage , because the specialty always has some shade better in terms of the gross margin.
I think the next question was the difference betwe en the specialty and non-specialty gross margin. So as we mentioned earlier, the difference between these 2 is in the range of 4% to 5%.
Rohan: Okay. So just last from my side, and I'll come back in queue. Sir, we have seen a very solid volume growth for you in the current quarter, thoug h the world markets are struggling, the export markets are definitely under pressure, with the end user industries even including auto paints and all and everything, showing the weakness, a lot of inventory destocking that's what we are hearing in China dumping.
Irrespective of that, we have grown very significan tly in volume. Where, what was the main driver for this volume growth, and have we taken so me share from Europe and replaced some of the European suppliers? And how is the pressure basically coming from China, because we have been hearing a lot of pressure in commodity gr ade coming from China. So how, what was the main driver for the growth for us in the curren t quarter?
Rajesh Rathi: Our entire strategy is to get market share in these newer geographies, which we are entering. And we've been now successful with the broader port folio, and our connection with the customers looking at and saying that a story on bei ng broad portfolio and being a reliable supplier. So we are able to penetrate more in the m arket with this. So obviously, the growth isn't there, and obviously and hence we are taking market share.
Rohan: So these are basically new geographies which we hav e entered with a new product that has helped us in volume growth. However, there is press ure in terms of overall volume in the market?
Rajesh Rathi: Can you please repeat?
Rohan: Sir, I'm saying that the volume growth driver for u s was basically more product launches with the new geographies. However, in general, there was still a weakness in the market, in terms of end user industries or volume growth, in general, i ndustry would have lost volume in the first

half or current quarter?
Rajesh Rathi: Yes. So industry has lost volume, but we, it's not just the new products, but even our existing products, given we have been able to piggyback our existing products with our new products, and it's having a better engagement with the custom ers, given the broad portfolio now, So it's

not just getting the new product sales, but also ha ving getting a larger buy on the existing products.
Rohan: Okay. And this was mainly in exports market. You al so added new territories, that's what has helped.
Rajesh Rathi: Yes,.
Rohan: However, sir, the presentation represents that Q1 v ersus Q2, the exports market have declined. So it's clearly indicating that the exports have no t done well from Q2 versus Q1. A lot of growth is only driven from the domestic. So...
Rajesh Rathi: Looking at a longer trend, like if you compare last Q2 to Q2, from that perspective, it's a much better growth..
Nilkanth Natu: So sir, if you also look at the H1 number, so quart er being a very point period comparison, if you really see the H1 performance compared to the l ast year, we are seeing 5% net increase in our export revenue from INR499 crores to INR522 cro res. As we explained, given the backdrop of falling pr

ices, this 5% is the value, but there has been a good amount of the volume growth, which we have seen in the export market. That is wh at Mr. Rathi was highlighting.
Moderator: We'll take the next question from the line of Aryan Paresh Makwana from Axis Securities.
Aryan Makwana: So my question is on the top line front. So we had said that we expect some INR3,000 crores to INR3,300 crores top line in the next 3 years to 4 y ears. So shall we stay on the same guidance or are there some revisions expected?
Nilkanth Natu: Sir, can you repeat your question, please?
Aryan Makwana: Yes. So my question was on top line front. So we ha d said that earlier that we expect that INR3,000 crores to INR3,300 crores of top line in t he next 3 years to 4 years. So can we expect the same guidance or are there any revisions?
Nilkanth Natu: Yes. So earlier we said that we should do that into around 3 years period as we have guided now the market, that conservative estimate for us to sc ale up the revenue from the new capex is 4 years. So we expect that this guidance is valid now for 4 years or over a 4 year period time.
Moderator: We'll take the next question from the line of Madha v from Fidelity.
Madhav: I just wanted to check that in the Q1 call, we ment ioned about the Canadian pigment suppliers looking to scale down capacity. I think this call w e are mentioning about a European player or few European peers looking to scale down capacity. So it seems like demand/supply outlook, if you see in the last 3 years, 4 years, seems to have improved quite a bit, which is kind of showing up in our volume market share also picking up. Is t hat a fair assessment that we're making of the pigment industry globally, from Sudarshan?
Rajesh Rathi: So Europe, I would say, one supplier has decided on reduced capacity. I think also last year and now even, the industry is going through troubled ti me. So it's a matter of how and when talking

about one of the suppliers who was in France, I thi nk probably the strong players are able to kind of walk through this industry. It's not been f avourable with the Indian industry getting antidumping duty in China, So from this perspective , since we have a broader product range, and we have a good story line where we are able to capitalize on some of the tailwinds of the industry, That's where I think our growth story is and will continue.
Madhav: And how much longer before the destocking in the pi gment value chain comes to an end? Is it another quarter or 2 quarters before the destocking occurs?
Rajesh Rathi: Because I don't understand this destocking and I ke ep asking customers how much stock did you have that you are still destocking, right? So but o n a more serious note, people expect to destock in Q3 in the international markets, especially bein g the year end. And Q1 onwards, we expect not Q4, sorry, Q4 onwards, we expect stock building , again, buying to start in a normal way.
Moderator: The next question is from the line of Archit Joshi from B&K Securities.
Archit Joshi: Sir, I just wanted to check with you with respect t o the business that we are into on the supply chain side. So you mentioned that we have a Europea n distribution setup. Sir, compared to maybe a few quarters back or maybe a few years back , has there been a change with respect to the way we do business? Have most of our sales been largely B2B driven with the customer

directly or has there been a distribution angle alw ays?
Rajesh Rathi: We've always had a dual distribution policy, where we deal with the major customers directly as a company sales person, and that's where we main tain our stocks too. And for the smaller customers, we use distribution. The only difference now is, we had different distributors in different geographies in Europe. Now we have a pan European distributor.
Archit Joshi: Okay. So wo

uld that mean, sir, for the larger custo mers also that we have in Europe, the model will be led by distributors?
Rajesh Rathi: Can you please repeat the question, sir?
Archit Joshi: Yes. Sir, I was asking, like Rathi sir said, there' s a pan distributor for the European geography. Would that mean most of our sales in Europe, even w ith the larger customers are through the distribution model?
Rajesh Rathi: I'll repeat again. We have a dual distribution syst em. We do direct customers, the direct customers are handled by our sales team directly, a nd we supply directly to them from our stocks in Europe. We earlier had our smaller customers ear lier, we had distributors country-wise, for which we have now replaced them with a pan-European distributor.
Archit Joshi: Got it. Got it, sir. And meanwhile, speaking of the same issue, we were sort of targeting some market share gains because of the level of consolid ation that we saw in the last few years, among the multinational companies. Would that have a posi tive bearing to the current dual distribution model that we are having, or would the next leg of market share gains that we might gain in the future, would that be through our existing relation ship with some of the large customers or the

model seems to be tilting more towards smaller cust omers, where distribution is kind of able to generate more sales for us?
Rajesh Rathi: I think the consumption on the larger customers hav e much better consumption, So I think we'll continue growing with the existing customers, our l arger customers, and we should be doing more with the larger customers. On the smaller cust omers, we are not doing so well. With this new distribution arrangement, we are hoping that we are able to penetrate the market better.
Moderator: We'll take the next question from the line of Nites h Dhoot from Dolat Capital.
Nitesh Dhoot: So just on the pigment revenue mix, in terms of app lications, that is coatings, plastics and inks, so where are we currently and where do you see this mix, say, 3 years down the line, when the new products have ramped up?
Rajesh Rathi: So we have 4 areas of our business; coatings, plast ics, printing inks and cosmetics, and we are focusing on growth in coatings, plastics and cosmet ics, So we look at as we go on our trend, we to answer your question in the next 3 years, this s hould grow. And there should be a larger growth in the coatings area. We already have a very good presence in plastics.
Nitesh Dhoot: Sure. Sir, just in terms of numbers, I mean, if you can give, say, in FY '23, what percentage of our revenues came from coatings, plastics, inks and cosmetics separately?
Nilkanth Natu: So as Mr. Rathi mentioned, coating and plastic cont inues to be a significant application for us. Cosmetics is a niche application, but it has as a p ercentage of the sale, it is not that material to report. But we'll continue our drive to get the cos metics margins are better there.
Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comme nts. Over to you, sir.
Nilkanth Natu: Thank you, ma'am. Thank you, Sanjesh, and thank you , participants, for your time and interest in Sudarshan Chemical Industries Limited. We remain confident in the long-term prospect of our business, and we look forward to engaging with you again in the future. Thank you.
Moderator: Thank you very much sir. On behalf of ICICI Securit ies Limited, that concludes this conference. We thank you for joining us, and you may now discon nect your lines. Thank you.

Call: Feb 2024

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Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call

We are enclosing herewith transcript of the conference call with analysts / institutional investors, which took place on Monday , 5th February, 2024, after announcement of the Unaudited Financial Results (Stand-alone and Co nsolidated) for the quarter and nine months ended 31st December, 2023.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You ,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited
Q3 FY '24 Earnings Conference Call"
February 05, 2024

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. AMEY ATHALYE – GENERAL MANAGER , FINANCE
– SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MODERATOR : M R. NITESH DHOOT - DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Q3 FY '24 Sudarshan Chemical Industries Earnings Conference Call hosted by Dolat Capital. As a reminder, all partic ipant lines will be in the listen-only mode and there will be an o pportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on a touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitesh Dhoot from Dolat Capital. Thank you and over to you, sir.

Nitesh Dhoot: Thank you, Muskan. Good morning, everyone. On behalf of Dolat Capital, I would like to thank the management of Sudarshan Chemical Industries for giving us the opportunity to host the Q3 and 9 months FY '24 earnings conference call. From the management team, we have with us today, Mr. Rajesh Rathi, Mana ging Director; Mr. Nilkanth Natu, Chief Financial Officer; and Mr. Amey Athalye, General Manager, Finance.

Without further ado, I would like to hand over the call to the management for their opening remarks, post which we'll open the forum for a Q&A session. Thank you and over to you, Mr. Natu.

Nilkanth Natu: Thank you, Dolat Capita l and Mr. Nitesh Dhoot for hosting our earnings call. Good morning, ladies and gentlemen. Welcome to Sudarshan's Q3 FY '24 Earnings Conference Call.

Our financial results and investor presentation has been uploaded on the stock exchanges for you ready reference.

The company continues to deliver growth in revenue as well as improvement in EBITDA margins in Q3 FY '24 as compared to the previous year. I will initiate the call by briefly taking you through the key financial highlights for the period under review, following which we will open the forum to have question-and-answer session.

Quarterly performance.

On a consolidated basis for the quarter, total income from operations stood at INR566 crores as compared to INR528 crores for the same period last year, higher by 7% year-on-year. EBITDA for the quarter stood at INR62 crores compared to INR42 crores in Q3 FY '23, higher by 48% and EBITDA margin is at 10.9% compared to 7.9% over the same period last year.

Profit after tax is at INR15 crores as compared to INR1 crore for the same period last year.

9 months performance. In 9 months, the total income from operations stood at INR1,775 crores versus INR1,611 crores in the same period last year, a growth of 10%. EBITDA for the period is INR197 crores versus INR126 crores last year, higher by 56% and EB ITDA margin is at 11.1% versus 7.8% over the same period last year.

PAT stood at INR54 crores compared to INR12 crores for the same period last year. Now going into details of our Pigment bu siness. For the year -- for the quarter FY '24, income from operations stood at INR521 crores compared to INR483 crores for the same period last year, growth of 8%.

On a sequential basis, revenue of Q3 FY '24 has remained flat in comparison with Q2 FY '24.

India sales for the quarter is at INR278 crores, higher by 11% as compared to INR251 crores in the same period last year. On a sequential basis, India sales is marginally higher by 2% compared to INR272 crores in Q2 FY '24.

Exports for the quarter is at INR244 crores as compared to INR232 crores last year, higher by 5% . Q3 is seasonally a weak quarter for some of the international geographies considering the calendar year-end and holiday season. On the international demand, we have seen it is a mixed

pack where EU region continues to have subdued demand, whereas for other geographies,
we have seen the moderation in the demand.
We see the impact of destocking is nearing the closure and we expect t

he demand revival from
the international geography. However, we remain vigilant towards these geographies considering the multiple geopolitical issues, inflationary pressure and global macroeconomic
situations.
In the Plastics segment, we are seeing improved demand while Ink segment has remained stable in Q3 FY '24.As mentioned during the last quarter, demand from the Coatings segment is expected to pick up in H2 FY '24 and we are seeing uptick in the Coatings segment in Q3 of this year compared to the Q2 of FY '24. Specialty segment sales stood at INR358 crores as compared to INR340 crores for the previous year same quarter, 5% year-on-year higher. Non-Specialty sales for the quarter is at INR163 crores, which is higher than 14% as compared to the same period last year.
We continue to witness positi ve response for our product offe ring from our recently completed capex resulting from continuous engagement with the customers. We are progressing well in terms of ramp-up from the new commissioned capex.
Gross margin of the Pigment business for the quarter increased to 45.5% as against 40% for the same period previous year. Comparing with the sequential quarter, gross margins have gone up by 70 basis points. The increase in gross margin is due to improvement in the product mix and also due to some effect of time lag in selling price pass-through.
We will continue to take our calibrated pricing decisions based on volume growth. During the quarter, we have seen the stabilization in the raw material costs and coal prices as compared to the previous year. Evolving geopolitical environment can put some uncertainty, which may have the impact on the crude prices and other intermediary prices.
With a better gross margin, EBITDA for the quart er stood at INR69 crores in Q3 FY '24 as compared to INR38 crores for the same quarter previous year, higher by 82%. EBITDA margin stood at 13.3% compared to 7.8% over the same period last year. On sequential basis,
EBITDA margin is higher by 50 basis points.

In nine months, total income from operations from Pigment business stood at INR1,579 crores versus INR1,486 crores in the same period last year, a growth of 6%. Gross margin has improved to 44.4% in 9 months ended December '23 as compared to 39.7% same period last year. EBITDA is at INR200 crores versus INR121 crores last year and EBITDA margin is at 12.7% versus 8.1% over the same period last year.
Now coming to the balance sheet.
The balance sheet of the company as of December 31, 2023, has strengthened with stable business operations, improvement in the EBIT DA, effective working capital management and funds received from monetization of the assets in Q1 FY '24. Net debt of the company has reduced substantially to INR434 crores in Q3 FY '24, from INR946 crores in Q3 FY '23 and INR445 crores in Q2 FY '24.
The reduction in debt has resulted in improving net debt-to-EBITDA to 1.5x in Q3 compared to 4.5x in Q3 of the last year. The working order cycle has been effectively managed, thereby resulting into cash conversion days at 88 days in Q3 FY '24 compared to 112 days in Q3 FY '23.
The current ratio has improved to 1.4x in Q3 compared to 1.1x in Q3 of the last year.
ESG focus
Before we conclude management commentary, I would like to take this opportunity to highlight our ESG focus. We have formulated strategy towa rds key pillars of environmental responsibility, strengthening social inclusiveness, business accountability, with continued focus on manufacturing excellence. We believe that companies will get differentiated based on the
ESG practices in coming years and our continued focus and sustainability journey with the concentrated effort will stro ngly position us globally.
In our endeavour to achieve the benchmark performance on business practices and responsibility towards environme

nt, we have recently achieved silver medal certification from ECOVADIS
2023, reaffirming the company's dedication to sustainable and responsible business practices.
During the quarter, the company also received prestigious certification OEKO-TEX.
OEKO-TEX, this certificate recognizes our adherence to environmentally responsible manufacturing processes and the use of sustainable materials in our products.
To summarize, we believe the I ndian pigment industry will benefit from continuing India growth story in global volatile environment, China plus one global customer derisking theme and consolidation of the leading industry player. However, we remain attentive and continue to be

cautious to the geopolitical developments and global macroeconomic situation. Our long-term growth prospects remain intact given commissioning of the new products and positive response
from the customers, availability of product portfolio and geographical reach. We remain confident in our growth story and continue towards commitment to deliver long-term value to
our stakeholders.
With this, I now open the floor for question-and-answer session. Thank you.

Moderator: Thank you very much. And the first question is from the line of Sanjesh Jain from
ICICI Securities. Please go ahead.
Sanjesh Jain: First, on the Rieco side, just wanted to understand that this quarter also, it's again in the red.
Can you explain what's happening on the Rieco side? And how should we look at that part of the business? We also earlier tried to divest that part of the business. Are we still pursuing that?
Nilkanth Natu: Hi, Sanjesh. Nilkanth here. So during the current year and for the year YTD performance,
we had seen the performance dip in the Rieco business. And this was mainly due to the lower
revenue in one of their segment, grinding business and also the execution of 1 large order in other segment where we have seen the estimation shortfall and during the execution, the cost
overrun. However, based on the current order book, which we have an order balance and the margin on that and the current projection, we remain confident that this business will turn around
the performance in the coming quarters and we should see that from Q4 onwards.
Rajesh Rathi: This is Mr. Rajesh Rathi, so year-end, we expect Rieco to deliver positive results.
Sanjesh Jain: In general capital goods, you're seeing a significant order booking and all those things, increased
capex intensity in India is clearly helping that segment. Are we seeing the same trend in the Rieco as well?
Rajesh Rathi: So some of the business segments are seeing a good order book. However, one segment is
dragging it down. And what we are asking the business to focus on is EBITDA margin rather
than growth, So we are now focusing on more profitable growth in that segment.
Sanjesh Jain: Fair enough. Second, on the pigment side of the business, on the specialty pigment side, it's a
third quarter where we have seen a sequential decline. And that's true for exports as well. Is it a
correlation that specialty is selling lower or exports demand is lower and hence the specialty
sales has also got impacted because of that? And how should we see the recovery from here? We have said that H2 will be better. But clearly , 3Q is not showing that trend with sequentially
flattish revenue. How should we see that?
Nilkanth Natu: It's Nilkanth here. So as I mentioned in my comm entary, typically, the Q3 is seasonally the weak
quarter for the export market. And the export market has been a mixed pack wherein the Europe region continues to deliver the subdued demand, whereas other geographies, we are seeing the
demand revival. In terms of the Specialty segment also, while quarter-on-quarter, it remains flat
but what we had also seen in there is a moder

ation in the realization given softening of the raw material prices. So while value wise, you will see the moderation or maybe the flattish trend but
we are seeing a good traction in the volume side.
Rajesh Rathi: And to add to that, if you see last year quarter to this quarter, I mean, both on the margin side
and on the growth side, it's been a very good quarter. Unlike Mr. Natu ji explained, even sequential quarters, we are seeing good traction on volume growth.
Sanjesh Jain: Can you help us understand what was the volume growth and the realization mix in this to
appreciate the performance?

Rajesh Rathi: So, I think the volume growth has been in double-digit numbers and we see a good traction on
demand continue there.
Sanjesh Jain: This is on a year-over-year basis, right?
Rajesh Rathi: Yes.
Sanjesh Jain: Fair enough. And one last question. Again, volumes, if I see Y-o-Y for the pigment exports out
of India, they have grown at a very strong 20%, 25% on a low base. I could understand that in
the October and November month data, whatever has been put in interim, we appear to be
lagging there. It's more of a commodity. So they are selling higher specialty and generally seeing a muted demand. Are we seeing some erosion in our market share? Any color there?
Rajesh Rathi: No, absolutely, we are not losing any market internationally. I have not looked at the figures you
are talking about of 20-25%. But I think the industry in general, if you se e the results of quite a
few companies, the industry in general is not doing very well. I think we've been able to deliver good results.
Moderator: The next question is from the line of Ankur Periwal from Axis Capital.

Ankur Periwal: First question on the global demand outlook. Any feedback you can share from the clients, given we have been launching new products, any addition to the new customers across the geographies?
Rajesh Rathi: This is Rajesh Rathi. I think we 're getting good attraction on the new products, good engagement and we continue to engage with customers. However, in general, the demand on the international side outside of India has been a mixed pack, wher e Europe demand is still subdued. U.S., we are hoping that the demand destocking, which really happened in Q3, that effect is over and our Q4 would look much better in that perspective. And so I would say internationally general demand is a mixed pack. And our new Capex sales, there is good engagements are happening,
Ankur Periwal: Sure, Rathi ji. And just a follow-up on that. Our earlier timelines of opti mum utilization for this -- the new Capex that we have put in, in terms of revenue run rate over a 3- to 4-year window, any changes to that?
Rajesh Rathi: No, sir. I think like we said last time, we would still -- looking at this 4 year is our window. As we start ramping up, we will start looking at how we can reduce that window. But still, I would still give a guidance of 4 years.
Ankur Periwal: Second question on the RM deflation as well as the freight cost increase that we are seeing. If I heard it right, Natu ji did mention in between that the pass-through of RM deflation is more gradual. And you mentioned double-digit volume growth here. What time frame should we look at in terms of full pass-through of this RM deflation? And secondly, on the freight cost front, any increase that we are seeing? And will it be passed through? Or can it impact our margins in the interim?

Nilkanth Natu: Nilkanth here. So in terms of the RM prices gett ing stabilized or deflationary trend there, what we see normally that it can take one quarter or two quarters for full pass-through. And as I mentioned in the commentary also that we will take that particular call based on the

volume and the demand side so that it should be a very calibrated approach. In terms of the freight cost, yes, we are seeing the increase in the freight cost given now the red sea crisis. And our endeavour is to pass on this cost incr eases to the customer wh ile getting our focus on delivering the goods to them. So this will be a calibrated approach there but our endeavour is to pass on the cost increases to the customer because this is something which is a kind of force majeure for all the companies and which customer also recognizes.
Ankur Periwal: Sure. Sure, Natu ji. So directionally, if I look at it, 9-month average gross margins at around 44-odd percent. I'm looking at more Pigment business gross margins here. Do you believe directionally, we will either sustain or probab ly improve these numbers? Will that be right enough there?
Nilkanth Natu: So absolutely, Ankur, sir, YTD number for the gross margin is at 44.4%. So directionally, I believe that we will be sustaining this gross margin number.
Ankur Periwal: Great, sir. And last question, if I may. From a cash flow perspective, you had earlier highlighted that you will be lo oking to optimize the work ing capital further. And given that there are no significant incremental capex plans, what's your thought on the utilization of cash apart from the debt repayment, which may happen.
Nilkanth Natu: So Ankur ji, currently we have a debt of INR434 crores. So it is -- in the short term, our endeavour will be to repay that first. And as we get more cash in, in the system, then the management may at appropriate time look at the interim dividend or maybe the dividend outflow for our stakeholders. But current focus is to deleverage the balance sheet.
Moderator: The next question is from the line of Archit Joshi from B&K Securities.
Archit Joshi: So my first question is, on one of the Canadian competitors that we had, I thin k, DCL Corporation who had to kind of shut their shops, have you seen any benefit coming in from the percentage of market share? I think they used to do close to $35 million, $40-odd million of sales. In the current scheme of things, have you seen any positive traction building up from their closure?
Rajesh Rathi: This is Rajesh Rathi. First of all, sir, they've not shut down. They've shut down one of their plants. And they are having financial difficulties. Their sales was also much higher, in the triple-digit numbers, so it wasn't $40 million. But in general, to answer your question, they were more focused on America. And we are able to capture some of the demand, some of their demand in America.
Archit Joshi: Got it, sir. So that's already seen in our numbers? Would that be a fair assumption that we have been able to cater to some of that demand already?

Rajesh Rathi: So we've been able to cater. But I think, as I mentioned, U.S. market had a big destocking effect there in our Q3. So the numbers there were a little bit subdued.
Archit Joshi: Got it, sir. But that should improve sequentially going ahead, the demand coming back?
Rajesh Rathi: Yes.
Archit Joshi: Got it. Sir, my second question is on the Red Sea issue, not from the exports perspective but I believe that quite a significant chunk of our RM does come from China, especially some of the key raw materials or intermedia tes required to manufacture high-performance pigments. I think one of our global competitors is already kind of speaking of increasing the freight surcharges and trying to secure raw material as soon as possible. Would that also have some bearing on the freight cost that we might have to kind of bear the burden of because of the Red Sea issue from the imports perspective?
Rajesh Rathi: So far, sir, we've not seen so much of an issue on the import perspective. An

d our anticipation, at least for the next quarter, we don't see that issue. We are seeing a major hike in our export, especially to Europe and U.S. that we continue to see.
Archit Joshi: Right, sir. Sir, my last one, just a general historically that was part of one of our investment arguments that, globally, we have seen a major consolidation. Now that's already in the past and I know that then you kind of went through -- the industry entirely went through some supply shocks and COVID and geopolitical tensions.
But in general, would you still believe that the consolidation of the 2 or 3 majors that has happened is rather to benefit us even going ahead, that there might have been some spillover of their products coming into our foray, wherein we have been able to benefit because 2 or 3 of our large major competitors have consolidated.
I know that this may not have happened in the last few years because, like I said, for some external pressures. But going ahead, would still that be a theme that we might get some market share because of the consolidation that has already happened, sir, your thoughts.
Rajesh Rathi: So absolutely, I think that's a major thing. We're already seeing good traction because of that. And it will continue for us to be in the market as a very good, reliable supplier, as an alternative, reliable supplie r to some of these major competitors.
Archit Joshi: So sir, are we still seeing -- even in the past, sir, we have seen that play out in our favor. Is that a fair assumption? And that we have gained market share, even by a single percentage point?
Nilkanth Natu: Archit, can you repeat the question, please?
Archit Joshi: Sir, my question was, in the past, also the consolidation has already happened, like I said, have we seen that benefit accrue into our financials? Have you been able to gain market share at all even if by a percentage point, has that -- do you think that in your assumption that has played out for us in our favor?

Rajesh Rathi: It's a very dynamic situation. So what we can tell you as trends, is that customers look for alternatives. Also consolidation makes our comp etitors look more inward s, of course, several you must have already heard abou t some of our competitors are facing major concerns, issues.
So there are 2 aspects, One is, of course, the external environment where there's consolidation going on, there are internal issu es going on with our competitors.
Secondly, Sudarshan is a company who has come up with these all new products, very focused on the business. So I think both factors put together, I would say, the extrinsic and the intrinsic, where we strengthened ourselves over the last 3, 4 years, definitely helps us to place ourselves much better before the customer. And in years to come, we will definitely keep gaining more market share.
Moderator: The next question is from the line of Nitesh Dhoot fro m Dolat Capital.
Nitesh Dhoot: Congratulations on a good set of numbers, especially in the core Pigments business. So my first question is, even you highlighted about deeper penetration in international -- in select international geographies in the presentation. So if you could provide some more details in terms of which geographies, which end applications are these? So we got associated with the BASF distribution. Is this beginning to take shape?
Nilkanth Natu: Nitesh, Nilkanth here. So when we are talking about deeper penetration in the international geography, as mentioned earlier, we are getting a good traction in the Japan market as well as the Korea market and also a few other geographies wherein we are trying our sales force, wherein we are getting a good traction. So we are strengthening ourselves in South Americas also.
And in terms of our engagement with the BTC, the BASF distribution arm, so currently, this engagement is the

re and we are seeing a gradual ramp-up and the progress there.
Rajesh Rathi: And so we're still not seeing the complete benefit of the engagement because products do take longer to sync. We are hoping next financial year, we are able to see this benefit of this

cooperation.
Nitesh Dhoot: Sir and if you could share your overall capacity utilization, the ballpark number would be good.
Just trying to understand that we are currently at 13.2% EBITDA margins in the Pigment business, while a large part of the capex is still to be absorbed. So where do you see these margins
progressing during a couple of years as the capacities get absorbed? So I do understand that this
is also a function of the RM prices but say, we assume constant prices in this period, where could
the product mix change and the operating leverage take us to in terms of EBITDA margins.
So any indications there would be helpful.
Nilkanth Natu: So Nitesh, Nilkanth here. So as a management, we also guided earlier that capacity utilization,
we are not right now publishing the data. But with regards to your question in terms of the EBITDA improvement, so if you really see the current EBITDA percentage is at 12.7% YTD
numbers compared to the 8.1% of the last year. Structurally, if I see our company's performance
going forward, the two levers, which we mentioned earlier and which we believe will drive the growth, one is the specialty and second is the export market, given the new capex product,

new capex, which is commissioned and majority of the products are in the high performance or
specialty pigment side, we believe that we will see the uptick in the EBITDA margin.
Our highest EBITDA margin, which was around 15% in '21. So structurally and directionally,
I can see over a period, we should scale back to that level. And then once the utilization ramp-up benefits will come in, we should see northward of that particular percentage. So directionally,
this year, if I see the performance, we are scaling back to our original run rate. And as we go along and see the demand improvement, as well as the new Capex commercialization, it should
directionally give us the EBITDA margin on a higher side.
Nitesh Dhoot: Sure, sir. This is helpful. Sir, just one last small bookkeeping one before I join back the queue.
So how much is the gross debt currently? So how much of a reduction have you -- we've seen sequentially from around INR622 crores reported at the end of Q2?
Nilkanth Natu: So Nitesh, as mentioned, our net debt number for Q3 is INR434 crores versus INR946 crores of
the last year Q3 and sequentially, if I see the INR445 crores in Q2 FY '24.
Moderator: Thank you. The next question is from the line of Sandeep from LKP Securities Limited.
Please go ahead.
Sandeep: Congratulations on a good set of numbers. So just I wanted some like guidance from you in
terms of your Specialty and non-Specialty business. Can you give us like what would be the
major difference between both these major things, consisting the high-performance pigment
specialty and like can you provide us some guidance on that?
Rajesh Rathi: So as the specialty and non-specialty, non-specialty mainly is the complete commodity products
where most of our commodity products where we are not able to have, I would say, a sustained
customer engagement, sales. People are able to quickly switch because of our pricing. That's the
major. And the specialty products are more towards higher-end applications and products which are more sticky with the customers.
Sandeep: Okay sir, can we say that the specialty products are majorly like customized kind of products,
which are having the customer requirement from customer side. Can we conclude that?
Rajesh Rathi: No, it's not customized but it's mainly -- it's higher-end applications, products, products which
probably w

ill not have that intense competition.
Sandeep: Okay. Okay. And just in terms of outlook for this quarter, so generally Q4 is one of your best
quarters in terms of -- like, if I see the past numbers. So can you expect the next quarter to be
around similar levels? Are we expecting like a good spillover effect or the lag effect in the Q4 as well?
Nilkanth Natu: So as you rightly mentioned, we believe that we will continue the current momentum. And we,
the management are bullish on the Q4 numbers, given the current demand scenario.
As mentioned, the India demand seems good, the coating destocking effect is over. We see the
good demand in the plastic and similar trend we expect in the export market, subject to the

geopolitical situation, though. So in nutshell, we expect to keep the momentum continuing for
Q4 also.
Sandeep: Okay. Okay. So just last question, I think like give breakup of your brands in coating, inks,
plastics and automotives or cosmetics, like if you provide any breakup of these verticals.
Nilkanth Natu: So currently, we are not publishing these numbers, and we are internally reviewing this.
Maybe going forward, we will look at which kind of dataset further release can be possible and then we will connect back to

you.
Sandeep: Okay. Just like generally coatings is the higher in terms of -- India as far as industry as well as
more than 50% coating, almost 50%. So can we also like gauge for Sudarshan that coatings
would be the highest in terms of your verticals?
Rajesh Rathi: For us, our strong area is plastics. Though the ma rket size of plastics is lower, our sales in
coatings is #1. But the difference between coatings and plastics is much narrower for us then would be printing inks and then cosmetics in the rank.
Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC.
Dhruv Muchhal: Sir, the last time when we sea freights had increased, our export market was a bit impacted
because the local players probably in Europe and U.S. had become more competitive. So we are seeing that same trend now but do you think the implication can be a bit different this time?
Rajesh Rathi: I think the question is on 2, 3 areas. One is, obvi ously, they're also majorly impacted all the raw
materials comes through the Red Sea. So they're majorly impacted due to that. So the impact,
I feel this time will not be th ere from a perspective of being competitive because of logistics.
Dhruv Muchhal: And sir, secondly, if I look at the other expenses in the Pigment segment, I mean the gross profit
minus the EBITDA, the absolute other expenses are increasing, say, if I compare it versus 3Q of '22, they have increased despite broadly similar sales. And this I would assume is despite the
fact that the power and fuel costs for you would have declined and in the base quarter that is 3Q
of '22, your freight cost would also be significantly higher. So just trying to understand what's driving this cost increase.
Nilkanth Natu: So Dhruv, if I -- you are comparing this with the last year Q3, correct?
Dhruv Muchhal: No. So 3Q '22, that is when your-- I mean 2 years back, I thought last year was very weak, so --
but 3Q '22, when you had the worst of freight cost, worst of probably the fuel and power and fuel cost, so.
Nilkanth Natu: So Dhruv, it is also the impact of the volume, correct? So the realization which we are seeing
right now versus the past 2 years' trend, wherei n we have seen the inflationary pressure there
and the price pass through. So currently, we are seeing the volume scale up compared to those particular period and which will definitely ha ve impact in our other expense results also.
Dhruv Muchhal: So basically, the volumes are significantly better but revenue is low because of the realization
impact?

Nilkanth Natu: Yes, absolutely.
Dhruv Muchhal: Sir, some sense, sir, you can give what -- how has the realization declined, I'd say, over 1, 2
years? On a per kg or percentage?
Nilkanth Natu: So Dhruv, this is indirectly getting back to the volume question. Since we are not declaring the
volume, will not be able to give you the exact number. But you had seen the inflationary range,
which has been at the higher end of 8% to 10% over last 2 years period based on that you will be able to see the impact.
Moderator: Thank you. The next question is from the line of Madhav Marda from Fidelity International.
Please go ahead.
Madhav Marda: Am I audible now?
Nilkanth Natu: Yes, Madhav you are.
Madhav Marda: Sir, my first question was just on the supply side lands cape. I think last couple of quarters, you've
been speaking about some disruption at, in like some of the larger competitors in Canada and
Europe. So just any update there in terms of are we beginning to see some market share shift happening from those vendors or any sort of opportunities coming up on the sort of product side?
Rajesh Rathi: So Madhav ji, I think, as I mentioned, we contin ue to see good tailwinds for us from an external
perspective of the competitive landscape and the engagement w ith customers increases because
of these tailwinds. And given that our stronger product portfolio, there is more reason for our
customers to talk with us, engage with us more.
Madhav Marda: Understood. Got it. And in terms of the newer products, which we have -- the new portfolio,
which we have commercialized in the last 1 or 2 years, basically, how much higher is the gross
margin profile for these newer SKUs versus our, say, the pre FY '19 or '18 portfolio which we had, if you could share some outlook there, that will be helpful.
Rajesh Rathi: So sir, I think it's a little bit of a mixed bag, Because our volume utilization, as you may realize
is low. And we also in itially went through some -- as we were commercializi ng the capex we
went through some of the teething problems. So we've not realized the full potential there, for
the gross margin. And as we mentioned, the whol e idea of getting into these product lines was
having improved margins. So this side of the product line should give us a better margin, sir, in
the future years.
Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking.
Rohit Nagraj: Congrats on good set of numbers. So first question is in terms of the customer engagement that
we are having after the start of 2024. How are we pursuing, then in terms of outlook for their
businesses and probably giving us some firm commitments in terms of orders? So last couple of years have been completely in turmoil. But now, is there a greater sense of confidence and

probably the same is percolated to us in terms of some firm commitments on a quarterly or yearly volume basis?

Rajesh Rathi: Sir, this is Rajesh Rathi. And I think demand is a mixed pack, So if you look at India, we are hoping that the destocking of coatings is over and we should be able to see good demand now going forward from coatings, plastics. We are ho ping that the plastic demand will continue in India. So that's the India story.

If you look at the global scenarios, Europe, demand is still subdued. Q3 in U.S. had a big destocking effect, which the supply chain should be dried up and we expect that our Q4, we should see better demand in U.S. Middle East, Africa, we have a very strong position but I think couple of countries where there are either issues from a currency perspective, etc. That's kind of has a damper on our demand. Though the demand is there, we are not able to service some of that demand.

Rohit Nagraj: Right. Got it, sir. Sir, second question in terms of the cost increase because of freigh

t rate increases, would this be a transito ry nature that in Q4, probably we will have to take a hit before the prices are increased and that effect of freight cost increase will be nullified in subsequent quarters? Just your perspective on this.

Rajesh Rathi: Sorry, can you repeat the question?

Rohit Nagraj: Yes. So the freight cost increase because of the Red Sea issue on the exports front or even from the raw materials front, so just to get a perspectiv e, whether we will have to absorb these cost for the time being, as it is transitory in nature. And then further in coming quarter, the customers will give us the price increases and that impact will be nullified.

Rajesh Rathi: So sir, I think what we are planning to -- what we are doing right now is, as far as possible, we are pushing the cost increases because this is a very transparent cost increase. Everyone is aware of this, There are few areas which we are not able to pass on the complete increases. That's the area we will further look at this but we don't expect material impact on the margin.

Rohit Nagraj: Sure, sure. And just 1 last clarification on Rieco. In terms of management bandwidth, how much of our energy is invested on Rieco and whether there will be a further thought on to divest Rieco as we had indicated probably few years ago.

Rajesh Rathi: So sir, the handover has been done. We should not defocus from our growth business of pigments. So I think our bandwidth and so the company is very well independently managed.

However, the Board has given us a direction that the growth has to be profitable. And our focus and drive of Sudarshan -- the overall corporate management now will be to help them, guide them towards profitable growth.So we will not get distracted from our Pigment business but help Rieco reach respectable, profitable numbers.

Moderator: Thank you. The next question is from the line of Jay Shah from Capital PMS. Please go ahead.

Jay Shah: Congratulations to the management for a good set. Sir, my question was more on the specialty side, that having the whole generation of new products happening, is it like we are pushing new products? Or is it like the customers are telling us that what is their need? Because why I ask this is, we've seen that a lot of our peers, especially the one called Heubach, also moving towards specialty and high-performance segments.

And this move is seen globally that people are going up the value chain. So I want to know 2 things. One, how does the ideation and commission happens? And second is, what would give Sudarshan the right to win if the space gets very competitive.

Rajesh Rathi: Excellent question, sir. I think, first of all, Heubach, with the Heubach and Clariant's merger, Clariant already had the existing portfolio. So I don't see -- I see the market differently because their portfolio, they're not transforming It's because of the merger. That's what the portfolio is. But in Sudarshan case, we have created the new portfolio and I think the market is looking for a good reliable supplier other than the traditional.

I would now classify Heubach into it a -- since you've said Heubach, they're one of the traditional because Clariant and Heubach has combined their business, So we do become a good alternative, given a very broad portfolio, broad competitors in terms of quality, in terms of value to the customers.

Jay Shah: Okay. And if you could throw some light on how the ideation generally happens? Is it like constantly R&D from our end? Or is it like even the clients are asking us some -- for value add or a functional trend?

Rajesh Rathi: So what happens is, we had a -- 4 years ago when we launched, we already had done a good market survey, we had a good engagement with customers, identified the products and we've introduced those products. Now we do engage with key accounts. And there are t

imes when with key accounts, some of our products do not work to their expectations. And then you come back to the lab, you modify the product and go back to them.

So it's a dual approach. There is a mass market where you go and you launch the product, right? And there are a few key accounts where the volumes justify, you would customize the product for them because they do have a little bit of a different requirement.

Jay Shah: Got it. Got it. Understood, sir. Sir, just last question. Throughout the call, I could figure out that the management focus is more on coatings, inks and plastics. I just wanted to ask from the management, is it that the paint industry is a lesser focus for us? Because I mean, given the way the country is India and the real estate tailwinds that we are seeing, is the management not planning to focus on paints as an industry?

Rajesh Rathi: I'm sorry to use our jargon some times but coatings is paints. So coatings and paints is used interchangeably. So our focus, sir, is paints, plastics, cosmetics and printing inks, all 4 industries where we drive. Of course, we choose segments in each of them where we should go and drive.

Moderator: Thank you. The next question is from the line of Prolin, an individual investor. Please go ahead.

Prolin: I have a few questions. The first one is on your specialty and non-special ty mix. Could you help me understand either in terms of your capacity, in terms of gross block, how much is the gross block which is dedicated to specialty, how much is for non-specialty or once all our Capex come downstream and is optimally utilized, what could the sales mix looks like?

Nilkanth Natu: Nilkanth here. So on the split between the specialty and non-specialty, we have been in the range of around 66%, 67% on the specialty side, 33%, 34% on the non-specialty side. While we don't publish the gross block separately for specialty and non-specialty, what we had also guided the market earlier that the new capex, which has been commissioned is more towards the specialty side.

And once we get the full scale up, I see the specia lty pigment as a proportion in our entire sale, will move over the higher numbers, maybe a couple of basis points higher than what we had. So the current 66%, 67%, we will see the move upwards once we get the full benefit of the capex commercialization.

Moderator: That was the last question, I would now like to hand the conference over to management for closing comments.

Nilkanth Natu: Thank you, Nitesh Dhoot from Dolat Capital and thank you participants for your time and interest in Sudarshan Chemical. We remain confident in the long-term prospects of our business and we look forward to engaging with you again in the future. Thank you.

Moderator: Thank you. On behalf of Dolat Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Call: May 2024

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28 th May , 202 4

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Blo ck G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Scrip Code NCDs - 974058 Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call

We are enclosing herewith transcript of the confere nce call with
analysts / institutional investors, which took plac e on Tuesday, 21 st May, 2024, after
announcement of the Audited Financial Results (Stan d-alone and Consolidated) for the quarter
and year ended 31st March, 2024.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You ,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

“Sudarshan Chemical Industries Limited
Q4 FY '24 Earnings Conference Call”
May 21, 2024

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. AMEY ATHALYE - GENERAL MANAGER , FINANCE
– SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MODERATOR : M R. ANKUR PERIWAL - AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to the Sudarshan Chemical Industries Limited Q4 FY '24 Earnings Conference Call hosted by Axis C apital Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star th en zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ankur Periwal from Axis Capital. Thank you, and over to you, sir.

Ankur Periwal: Yes. Thank you, Manisha. Good morning, everyone, a nd welcome to Sudarshan Chemical Industries Limited Q4 and 12-month FY '24 post-resu lt earnings call. The management team from Sudarshan Chemical Industries Limited will be represented by; Mr. Rajesh Rathi, Managing Director; Mr. Nilkanth Natu, Chief Financi al Officer; and Mr. Amey Athalye, General Manager, Finance. We'll start the discussion with a brief management overview on the earnings performance, followed by an interactive Q&A session . Over to you, Natu ji, for the initial comments.

Nilkanth Natu: Thank you, Ankur. Thank you, Axis Capital and Ankur Periwal for hosting our earnings call for Q4 FY '24. Good morning, all of you and thanks for joining to discuss Sudarshan quarter 4 FY '24 and financial year '24 financial results. It is a pleasure to be with all of you.

During the call, we could make forward-looking sta tements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ from those expressed in today's c all. We do not undertake to update any forward-looking statements made on this call. We have uploa ded our financial results and investor presentation on the stock exchanges.

Now I will request Mr. Rajesh Rathi to give his per spective on the business side.

Rajesh Rathi: Thank you, Mr. Natu. Thank you Axis Capital and Mr. Periwal for hosting the earnings call. I'm very pleased to report that our pigment business ha s delivered a robust financial performance in FY '24. We went through a phase of subdued performa nce in FY '23, however we have bounced back much stronger. This quarter and fiscal year is a milestone moment for our pigment business. We have achieved highest ever quarterly EBITDA abov e INR100 crores in Q4 and an annual EBITDA above INR300 crores in the financial year FY '24.

At the same time, we've made a strong foundation f or future growth. This turnaround in business performance is a result of our overall strategy on building Sudarshan's core pillars towards Leap to 3, which we are working for the past few years. One of our strong pillar is focus on Research and Development. We have more than 100-plus technic al members working in R&D under the leadership of global pigment veterans and the team constantly strives to explore new products, technology and processes that can be used to develo p superior and sustainable color solutions. The R&D center is well equipped with the state-of- art equipment, a world-class application lab and analytical testing facility, thus enhancing the product development and scale-up process.

This has helped us in creating the widest product p ortfolio in the industry, which is at par with any Tier 1 supplier. This gives us a definite edge offering a holistic solution to our customers.

Our second pillar is world-class manufacturing. We have two world-class manufacturing sites located in Roha and Mahad. In fact, after the expan sion, Roha is one of the largest single pigment manufacturing site globally. We have created global scale capacities and infrastructure in terms of best-in-class affluent tr

eatment plants, warehou sing. With our world-class manufacturing
capabilities, Sudarshan is well positioned as a glo bal reliable pigment supplier.
To enable our reach to customers, Sudarshan has es tablished a strong go-to-market framework, consisting of local regional sales teams, customer service support, technical marketing teams and local stocking points. This has resulted in Sud arshan serving all significant pigment markets directly.
We believe that our growth should be sustainable an d for this, we have a well defined sustainability pillar. We already have more than 60 % to 70% of our purchase power from green energy. In addition to this, we have a strong decar bonization plan, and we have committed to SBTi targets.
We have many accolades for our care for society. We moved our focus from "workplace safety" to "process safety" and set up a strong corporate g overnance framework.
All the above pillars have strengthened Sudarshan a nd has provided a unique opportunity to take the global leadership position. The current tailwin ds, such as Make in India initiative, the turbulence in the global pigment industry and the u ncertain global geopolitical situation would further accelerate the growth for the company.
I would like to conclude by expressing my gratitude to all our stakeholders for their continued support and faith in us. I look forward to growing together with all of you and achieving our collective vision of being a global leading color s olution provider.
I will now request Mr. Natu to speak about some of the financial highlights.
Nilkanth Natu: Thank you, Mr. Rathi. I will begin with the quarter ly financial performance.
On a consolidated basis for the quarter, total inco me from operations stood at INR764 crores compared to INR691 crores for the same period last year, higher by 11%. EBITDA for the quarter is at INR119 crores compared to INR85 crore s in quarter 4 FY '23, higher by 41%. EBITDA margin stood at 15.6% as compared to 12.3% o ver the same period last year. Profit after tax is at INR57 crores compared to INR33 cror es for the same period last year.
On the annual performance for FY 23-24, total incom e from operations on a consolidated basis is at INR2,539 crores versus INR2,302 crores in FY '23, a growth of 10%. EBITDA for the period is INR316 crores versus INR211 crores last y ear, higher by 50%. EBITDA margin has improved by 330 basis points and seen at 12.5% vers us 9.2% during FY '23.
Net profit is at INR110 crores compared to INR45 c rores for the year FY '23.

Now going into the details of our pigment business. For Q4FY '24, income from operations stood at INR644 crores compared to INR594 crores for the same period last year, a growth of 8%. On a sequential basis, operating revenue has grown by 23%.
Domestic sales for the quarter is at INR345 crores , higher by 15% compared to INR301 crores same period last year. On a sequential basis, domes tic sales have grown by 24% compared to INR278 crores of Q3 FY '24. Exports for the quarter grew to INR299 crores versus INR293 crores in the same period last year, higher by arou nd 2%. On a sequential basis, exports have grown by 23% compared to INR244 crores of Q3 FY '24 .
Year-on-year, flat sales in exports is owing to co ntinued challenge in the Europe market. While Europe region has shown improved demand environment quarter-on-quarter, this region has registered marginal degrowth on an annualized basis . North America market continues to register double-digit growth on sequential and year -on-year basis. Other major export geographies have also shown improvement in the dema nd scenario. We continue to remain watchful towards international geographies consider ing the geopolitical issues.
Specialty Pigment sales stood at INR439 crores com pared to INR412 crores in the same period last year, higher by 7%. On sequential ba

sis, reven ue has grown by 23% compared to INR358
crores in Q3 FY'24. Non-specialty sales for the qua rter is at INR205 crores, higher by 13% as compared to the same period last year. On a sequent ial basis, non-specialty revenue has grown by 25% compared to INR163 crores of Q3 FY'24.
Gross margins of Pigment business for the quarter is increased by 250 basis points to 44% as against 41.5% for the same period previous year. Ye ar-on-year increase in the gross margin is due to softening of the raw material prices and als o improvement in the product mix.
EBITDA for the quarter is at INR100 crores in quart er four FY'24, the highest ever EBITDA for the quarter as compared to INR73 crores in the same period last year, which is higher by 37%. This is the highest ever EBITDA we have achieved in our Pigment business. EBITDA margin stood at 15.6% as compared to 12.3% over the same p eriod last year. On a sequential basis, EBITDA margin is higher by 230 basis points. Speaki ng about the financial year performance of Pigment business. The total income from operatio ns stood at INR2,223 crores versus INR2,079 crores in the same period last year, a gro wth of 7%. We did see double-digit volume growth in this year.

However, value growth is lower due to price pass-th rough. Gross margin has improved to 44.3% for March '24 as compared to 40.2% for FY'23. EBITD A is at INR300 crores, which is highest ever versus INR194 crores in the previous year and EBITDA margin has increased by 420 basis points to 13.5% versus 9.3% in the previous year.
The company has, during the year, declared interim dividend of INR3.6 per share, which is 180% and the Board has recommended final dividend of INR 1 per share, which is 50% of its value, taking total dividend outflow to 230% for the year, which translates to the dividend pay-out of 35% of profit after tax.

Now coming to the balance sheet. The balance sheet of the company as at 31st March, 2024, has strengthen and this is reflecting from the improved financial ratios. The net debt of the company stood at INR394 crores in Q4 FY'24, down from INR79 7 crores in Q4FY'23 at INR434 crores in Q3FY'24. With the overall better results from th e operation and monetization of assets during Q1 FY'24, the debt of the company has reduced subst antially resulting in better financial ratios. The net debt to EBITDA stands at 1.2x as of March '24 compared to 3.8x in Q4 FY'23 and 1.5x in Q3 FY'24. Debt-to-equity stands at 0.3x at March 31st, 2024, compared to 1x in Q4 FY'23 and 0.4x in Q3 FY'24. The working capital cycle has been effectively managed throughout the year, thereby resulting into cash conversion days o f 66 days in Q4 FY'24 as compared to 74 days in the last year Q4 FY'23, which has, in turn, impr oved the current ratio to 1.4x compared to 1.1x last year same quarter.
To summarize, it has been a good quarter and finan cial year. We are poised for growth given the capabilities we have built and strong tailwinds in our favour. We are confident that our long-term prospects remain intact. We remain confident i n our growth strategy and continue towards commitment to deliver long-term value to our stakeh olders. With this, we now open the session for Q&A. Thank you.
Moderator: Thank you. We will now begin the question and answe r session. The first question is from the line of Sanjesh Jain from ICICI Securities.
Sanjesh Jain: Yes good morning sir. Thanks for taking my question . First on the global scenario of the Pigment, now that it looks like we are back to the growth track and utilizing the network. How do you see next year spanning out for the Pigment b usiness? And how is this global supply chain disruption going to aid us, that’s number one. Numb er two, which of the geographies do you think will benefit Sudarshan. Will it be more North America or Europe or rest of the wo

rld?
Number three, there is consolidation in the industr y. Can you help us understand which are the Pigment category where you think the opportunities are rising and will Chinese competition is more benign say as – and so it’s more competitive, high-performance for Pigment or less competitive. More colour into it would be helpful. This is initial questions. Thank you. Hello, operator?
Moderator: Yes, sir.
Sanjesh Jain: I hope I was audible, right?
Moderator: Yes, sir.
Rajesh Rathi: Yes. Sorry, I was just saying that if you could rep eat the first question for me, there were two, three questions, right?
Sanjesh Jain: Okay. First question is on the Pigment growth for n ext year, considering that there is a shift in the industry and which geography do we think we are better placed to capitalize that? That's number one. Number two, from your perspective, wher e are we well placed and where the competition is more benign, say and AZO versus HPP versus effect pigment? And probably a

follow-up question is on the application, which are the applications which will benefit because of all this. Yes.
Rajesh Rathi: So, I think there are two, three areas to answer yo ur question for our growth. From a perspective, Sudarshan has been investing in itself on the journ ey of becoming a global leading player. We're trying to set the four, five pillars, which we've b een working on and which are now playing out. So we've created the broadest product portfolio, cr eated a good world-class manufacturing facility.
And given the current events, when you've seen a lo t of turbulence in the pigment industry, it gives us a golden opportunity of accelerating our g rowth. And so in terms of quantifying the numbers, I would say, our margins are back to norma l and now we are really focusing on growth.

With the recency of the event and the uncertainty, it is very difficult to give you a pointed number.
However, I can tell you directionally that with all these positive tailwinds, we are very deeply engaged with customers, the velocity of our opportu nity funnel has really accelerated. So we do see a good set of numbers coming forward. In terms of our global landscape, I think Sudarshan has a very unique place where we are placed now in terms of being the global reliable supplier with the broadest product portfolio. There are othe r competitions from China and India with a narrow product portfolio and a limited go-to-market strategy. So that's where, we kind of distinguish ourselves or that's our USP in the mark et.
Sanjesh Jain: No, again, my question was which geography do you t hink we are better placed to grow that's all from my side?
Rajesh Rathi: So geography is definitely Europe, North America, S outh America. I think all these geographies are going to be playing a significant role in our g rowth going forward and that's where the engagement is more.
Sanjesh Jain: No, I think I asked a question on the portfolio ove rlap versus the consolidation happening. I know we have the broadest portfolio, but that broad est portfolio does it overlap with the customers who are in the turbulence and number two how long does that approval cycle for those product takes if somebody wants to replace them?
Rajesh Rathi: So, yes, we probably have the most complementary pr oduct with the global players probably 80% of our portfolio would be complementary and we have been preparing ourselves where we've been like I said the opportunity has accelera ted. Now it depends on customer to customers. Some customers have really decided to accelerate th e approval process and so whatever would have taken 6 months or 1 year; could happen in 3 to 4 months.
Sanjesh Jain: So that process has already begun. Is that understa nding right?
Rajesh Rathi: Yes the process has begun and a customer for the ba se and the biggest opportunity we have is in the coat

ings industry and the approval process gene rally is in year, but we feel this will get shortened.

Sanjesh Jain: Got it. That is very helpful. Second question on th e gross profit margin. Though I understand Y-o-Y has improved, but sequentially there has been a drop in the gross profit margin. Any particular reason because I think the raw materials still remains at a very reasonable level and what is the reason for a decline in the gross profi t margin sequentially and I don't see mixing too different in this quarter versus previous quarter?
Rajesh Rathi: So I think this is a pass-through of raw material p rices. We were able to hold a larger portion in Q3 than Q4. That's one reason. Mr. Natu, you would like to add anything more?
Nilkanth Natu: One reason as we explained is we were able to hold on the raw material price pass-through in Q3 compared to Q4. Also, there has been a marginal product mix between the specialty also. There has been a product mix changes and the invent ory effect. So total put together we see that our gross margin for the quarter has been in the ra nge of around 44% which is if you really see on a long-term basis, it is a long-term average.
Sanjesh Jain: But I think we -- over a period our mix has only be come better with more high performance, more effect. So long-term average is not a benchmar k we're looking at.
Nilkanth Natu: Yes, Mr. Sanjesh. So I agree with you. The long-ter m average the reason why we mentioned is both the raw material inflationary trend we had see n that are coming back to the normalcy. And as you rightly mentioned the mix would play out fav orably in the coming years.
Sanjesh Jain: That's very clear. Thanks sir I will come back in the queue for more questions and best of luck for the coming quarters.
Nilkanth Natu: Thank you Sanjesh.
Moderator: Thank you. The next question is from the line of Ma dhav Marda from Fidelity Investment. Please go ahead.
Madhav Marda: My question was on the margin profile for Sudarshan over the next 2 years or 3 years. If you look at the past I think our product mix used to be very different than what it is today and we've been working for the last 4 years, 5 years to expan d the portfolio which seems like is the case now. So given that through COVID used to...
Nilkanth Natu: You're not clearly audible. Maybe can you be slight ly closer to the mic and slightly slow down the pace. It is coming -- I'm not able to hear it c learly.
Madhav Marda: I will just speak a little loudly little slower. My question basically was that if you look at Sudarshan's margin profile pre-COVID we used to be in that 14% to 15% range. That is in our product portfolio. We used to be very different tha n what it is today. And I think since 2017 or '18, we've been speaking about expanding this portf olio which seems that it is in place now. So my question was that if you think from a 2 year, 3 year perspective as some of these newer

product SKUs starts giving s for us, can the margin profile of the company move above that 14%, 15% into the, let's say, 17%, 18% range. I don 't want an exact number, but directionally is there scope for margins to be higher in the coming few years versus what it was pre-COVID?

Rajesh Rathi: So that's a very good question. I think there are t wo factors. I think if you see average before COVID our margins probably were around 14%. One yea r was kind of outlier, but our endeavor first now was to come back on margins and create a healthy balance sheet which has happened now. Now we are focused on growth.

We need to get growth first and then again focus on optimizing and improve our margins. So going forward definitely economies of scale should play up and our EBITDA margins should improve going forward.

Madhav Marda: And could you give some sense

in terms of how diffe rent the gross profit margins are for the newer portfolio versus the older portfolio like how many is it like 300 basis points, 400 basis points higher or how different is the margin profil e broadly?

Rajesh Rathi: Natuji, would you like to take this question?

Nilkanth Natu: So we don't give the specific between the specialty product portfolio and the range between the specialty product portfolio. But as Mr. Rathi has m entioned that the new capex is more on the specialty side and that on the higher performance p igment. We see that overall basis our margin -- it should be margin accretive once we see the ca pex ramp up happening.

Madhav Rathi: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Ro hit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Thanks for the opportunity and congrats on good set of numbers and margin recovery. Sir, first question is on the sequential side in domestic. So domestic again we have shown a very strong growth. So which in all are the segments that we ha ve seen this growth and which in all segments are still relatively lagging behind?

Rajesh Rathi: So in India, usually the Q4 quarter is a stronger q uarter and what we found is in this quarter a lot of our plastic customers the ramp-up has happen ed and they were also stocking up. So plastics stood very well. I think printing inks was in muted growth.

Rohit Nagraj: Sure. And second question is globally the second la rgest player has called off for an insolvency. So are you seeing any signs of traction because of that and I mean based on our talks with our customers across the geographies how does the fores eeable future looks like? And what is your understanding of the entire phenomenon that because of the insolvency would there be any capacities which have already gone out of the syste m or will go out of the system?

Rajesh Rathi: So sir I think it's a dual effect. I think we were positioning ourselves as a global reliable supplier and that's what we've been engaging with our custom ers. I would also like to admit that the current event has accelerated product samplings, mo re in-depth interaction with customers and our velocity of opportunity funnel has improved. Th at's the current scenario from the perspective of the market. And your second question -- sorry, c ould you repeat your second question?

Rohit Nagraj: Yes. So have we seen any capacity going off the scr een or whenever we are talking to our customers, customers are now looking at incremental order flow to us given that there could be some disruptions.

Rajesh Rathi: Yes, sure. So wherever we are already approved, we are seeing a better flow, but I think what's more important is a lot many new set of customers a re getting engaged, which is very important for us. It's not that the capacity is going off as it is very difficult to comment right now because of the recency of the event. So, it will take some time to kind off to come to that stage.

Moderator: The next question is from the line of Archit Joshi from B&K Securities.

Archit Joshi: Congrats on a very solid Q4 performance. So my firs t question is with regards to the new assets that we have capitalized after the INR750 crores ca pex that we did. I just wanted to understand what would be the utilization levels of the new ass ets given a strong operating leverage that we saw in the fourth quarter? Point being trying to un derstand is on the current base, how much would be the realizable sale that we can garner fro m the leftover utilization that we have?

Rajesh Rathi: Natu Ji, would you like to address a few things and I can add on?

Nilkanth Natu: Sure, So on the new capex ramp up, these new capex projects, we have commissioned in the FY '23. And as we guided the market then -- these prod ucts has been well received by the

customer.
The approvals are in place, and we are seeing the g ood traction. The targets which we are setting for us as a company for the first year, we are on t arget for that. And we earlier guided the market that it will be the gradual ramp up. So we are seei ng that we are on track in terms of getting those assets utilized over a period. Mr. Rathi, over to y ou if you would like to add anything.
Rajesh Rathi: Yes. So I think on your question on how this plays out, we are hoping that we are able to, our earlier guidance was that we will get these assets fully utilized in four years. We are hoping that we would be able to, accelerate this now, but it's too early to comment on what that period would be.
Archit Joshi: Sure. Sir, one final question on the previously spo ken of comments on the insolvency proceedings. Sir, obviously, there are multiple sub sidiaries of the incumbent. And I think the news is that there's only insolvency proceeding hap pening in -- with their parent entity. Would you have any assessment of the scenario across the group given that they have a sizable market position in terms of market share. And would these lead to irreversible opportunities for us in garnering whatever market share that we can with th e enhanced stocks that we are having with our customers as on date? Thank you, sir.
Rajesh Rathi: So, sir, I think, it has definitely created a big u ncertainty in the market, which has opened up some of the doors for us And we started a deeper en gagement with our customers. Now, how this plays out and how this works out is going to, time will -- we will find out in recent times.
But I would say that we are looking at not one-off demands. We are looking at ensuring that we are deeply engaged, we are able to get a sustained order book, and we are not playing with one-off demands.
Moderator: The next question is from the line of Noel Vaz from Union Asset Management.

Noel Vaz: Yes. I just had one query. So what has been the pri ce -- I mean I think you had mentioned that the recovery in FY '24 versus '23 has been largely volume-lead. So, how do we see pricing in fourth quarter versus third quarter and fourth quar ter versus first quarter? Thank you.
Rajesh Rathi: Mr. Natu, would you like to take this question?
Nilkanth Natu: Sure. Thank you. So as we have seen during the year , the raw material prices have been, you know, more or less stable after the Q 2. Between Q3 and Q4, we saw the raw material prices were fairly stable. And as I mentioned in my openin g commentary and then in the follow-up question, you know, we had done the raw material pa ss-through, which is very calibrated, during these two quarters. But in terms of the pricing dif ferentiation between Q3 and Q4, there has not been much data.
Noel Vaz: Okay. And Q4 versus Q1 so far?
Rajesh Rathi: Can you repeat the question, please?
Noel Vaz: 1Q as in the current quarter, which we are in, vers us the fourth quarter average. I mean, is it higher, lower?
Nilkanth Natu: Versus the last year, correct? Q4 to Q1, you are ta lking about?
Noel Vaz: Yes.
Rajesh Rathi: Yes, sequentially.
Nilkanth Natu: Yes,. So as I mentioned, between Q3, Q4, sequential ly, it has been fairly stable. If I compare with the Q1, it has been a steady decline in the ra w material prices. And last year Q1 FY '24 compared to now Q4 '24, we have seen the sequential price reduction compared to the H1.
Noel Vaz: Okay. And regarding capex for FY '25, how much are we looking at? And what will be the focus of the capex?
Rajesh Rathi: Natu Ji, we've already given the guidance, right?
Nilkanth Natu: Yes.
Rajesh Rathi: Do you want to take this?
Rajesh Rathi : The capex is mainly maintenance led. And the figure for capex is around INR100 crores.
Moderator: The next question is from the line of Dhavan Shah f rom Alfaccurate Advisors.
Dhavan Shah: My ques

tion is on the growth of the fourth quarter. So we did roughly 35% quarter-on-quarter growth. I understand that the fourth quarter is alw ays the largest one. But can you share, I mean, how much of the incremental revenue has come up fro m the recently, we did the capex of roughly INR700-odd crores. So how much of that reve nue comes from the new capex? And at what utilization that capex operating right now?

Rajesh Rathi: So as I have given the guidance, our capacity was g oing to get utilized in 4 years and we would

be this was the first year of our capex. So we were at around 1/4, I mean that kind of number less than that as some of the capex has got online a little later, right. Natuji, would you like to add more?
Nilkanth Natu: Yes. So thank you Mr. Rathi. As we mentioned in our opening commentary and the follow-up question, this has been a gradual ramp-up. And curr ently, what we see the current scale-up for the first year has been as per the target which has been defined. And we don't declare the capacity utilization as a group. So I would not like to comm ent on that, but it is in the early utilization stage for this capital.
Dhavan Shah: Sure. And on the quarter-on-quarter and Y-o-Y, what we are seeing the margin improvement in EBITDA. This is largely coming from the lower O&M, I mean, operating and maintenance machine expenditure. And if I look at the breakup o f these manufacturing costs, I think the majority of them are variable like power and fuel, freight. And given that the volumes have been increased, so what led the lower other cost during this quarter. Can you please explain?
Rajesh Rathi: Natuji?
Nilkanth Natu: So as Mr. Rathi also mentioned that we worked on th e dual strategy. One is the growth and then the coupled with the EBITDA improvement. So there a re two effects. During the quarter, the revenue has been on a sequential basis, has grown u p, which is normally the strong quarter during the year. At the same time, we have also see n that on the other expense side, we have seen the reduction in the coal prices, which has al so helped the company in lowering the manufacturing cost. Third effect is overall increas e in the revenue and with the cost being moderated or lower has also helped us in better ope rating leverage. Thank you.
Moderator: The next question is from the line of Nitesh Dhoot from Dolat Capital.
Nitesh Dhoot: Congratulations on a good set of numbers. So my fir st question is with the strong volume growth coming through and with a healthy improvement in ca sh flows and the balance sheet, are we looking to reevaluate the backward integration cape x?
Rajesh Rathi: I will take it. So basically, our focus right now is on growth and given the opportunity of what we have on board, we are focused on that currently. We are getting some benefit of our backward integration because we get some of our raw material s toll manufactured, right, the technologies which we have developed.
We don't see this investment coming back in the nex t -- this financial year at least for the backward integrations. So that's what the board has taken. I think we wanted to ensure that our balance sheet becomes very healthy. But the technol ogies are developed. And though we are not getting all the benefits of -- if you are able to m ake them ourselves as we get it toll manufactured at a higher price.
Nitesh Dhoot: Sure, sir. So are we buying the competitors, domest ic assets or any part of it?

Rajesh Rathi: So sir, I think, firstly, like I said, we wanted to ensure that the debt which has gone to a very high level. So first thing was to manage the debt B ecause this was not by design. The Board never wanted us to -- this was only because of COVI D happening -- our capex is getting delayed and the geopolitical s

ituation, which came in So fr om that perspective, from an M&A perspective, once now our balance sheet is also hea lthy. We want to make sure that we don't take on debt very much. But at the same time, we are ve ry open to any inorganic opportunities if it makes financial and strategic sense.
Nitesh Dhoot: And sir, are we reevaluating the divestment of Riec o Industries Limited by which is now that, you know it is an EBIT positive and there's a turna round happened. So are we reevaluating the divestment there?
Rajesh Rathi: So I think there's a scope to improve the operation s further and we are now focused first on strengthening the business performance. So that's w here the Board is taking a decision to transform that company too.
Nitesh Dhoot: Which is why precisely I ask that now with the risi ng focus further on the pigment business, this noncore business could be reevaluated. But thank yo u for your answer that. Wish you all the best. These were the questions from my end. Thanks a lot.
Moderator: The next question is from the line of Dhruv Muchhal from HDFC AMC.
Dhruv Muchhal: Question was in the last few quarters, we have seen improvement in your working capital days, cash conversion days that we report. So is that bro adly achieved? Or is there still further scope? And broadly, if you can give some sense, is this be cause of some change in industry structure? Or this is something that internally we've achieved ?
Rajesh Rathi: This is defiantly, internal what we've achieved, we 've improved our planning cycles or inventory management greatly. There may be a slight scope, in further improvement, but I think we are very much to that level. Natuji, would you like to add?
Nilkanth Natu: Thank you, Mr. Rathi. So Dhruv as Mr. Rathi has exp lained, there has been a lot of process

improvements, which we have done and which we have driven it internally. And if you really
see the last entire year, the working capital cycle has improved and we will continue that.
Currently, it is at 66 days so maybe the optimal da ys, but we will also look for any further
opportunities. However, given the current short-ter m scenario and the way market is looking
out, as you know, given the recency of the event, w e might take some calls in terms of the
stocking up at our overseas marketing arms. But oth erwise, we remain confident that this
working capital efficiency will remain in the syste m.
Dhruv Muchhal: Got it Yes, sure. And sir, my second question is br oadly probably just a clarification. If you look
at the performance of the last few quarters, it has been given primarily domestic and primarily
non-specialty, which would suggest that your specia lty is yet to reasonably ramp up, which is
more, I think, to export and relatively higher marg in products.
So I understand you don't give exact margin guidanc e, but it is reasonable to assume that 15%,
16% that you have currently has a meaningful scope of improvement as some of your new

product segment starts to deliver, primarily on the exports and the specialty side. That would be
a fair understanding?
Nilkanth Natu: Dhruv, can you please repeat the question. There wa s a some disturbance at my end.
Rajesh Rathi: I could hear it. He is talking about Q2. So I think two areas,. One is, I think as we mentioned,
our baseload will be the some of the non-specialtie s, which is already there. There would be
improvements, of course, some margins coming throug h specialties and as we ramp up the
capex,. But more importantly, I think where the mar gin improvements will come in through
economics of scale as our fixed costs gets leverage d. That’s what we give the main increase in
margins going forward.
Moderator: The next question is from the line of Sabyasachi Mu kerji from Bajaj Bajaj Finserv AMC.
Sabyasachi Mukerji: A very good set of numbers. Two questions primarily .

One is on the peak revenue potential from
our current fixed asset base, A few quarters back, you had guided that it would be somewhere
around INR3,000 crores to INR3,300 crores in the ov erall pigment business. Now if I look at
FY'24 specialty versus non-specialty, specialty is somewhere around INR1,500 crores, whereas
non-specialty is INR700 crores. Can we get a sense of the peak revenue segment wise, specialty.
What can be our peak revenue potential vis-a-vis no n-specialty?
Rajesh Rathi: Natu Ji? I don't -- I'm not sure what numbers...
Nilkanth Natu: Yes. So, thanks, Sabyasachi, for this question. So currently, the revenue mix between the
specialty and non-specialty 2/3, 1/3 which is 67%, 68% to 32% in the non-specialty side. Given
the recently commissioned capex, majority of them, which is on the specialty side. So when we
guided the market of INR3,300 crores, we also guide d them saying that we expect the tilt in the
specialty to go upward maybe in the percentage poin t by -- around 4% to 5% across number. So
that tilt will be closer to 72% to 74% number compa red to the now based on the full utilization
of the newly commissioned capex.
Sabyasachi Mukerji: Okay. That's helpful. A follow-up to that, directio nally, our exports and specialty mix should
improve. And that should further help in margin imp rovement? I know this is a bit repetitive in
nature, but just wanted to have your views on it?
Nilkanth Natu: So, thanks, Sabyasachi. So, as we had mentioned that directionally, what we see is , specialty
segment and export as a market, we should see the g rowth coming in. And it is more -- the
margin will be led more by the increase in the spec ialty segment over a period, which will have
the margin accretive profile for us as a company.
Sabyasachi Mukerji: Second question on the -- you have mentioned in one of the slides in the presentation that Y-o-
Y growth in full year non-specialty segment is due to improvement in the Phthalocyanine
pigments. You reported about 9% growth whereas the specialty pigments segment saw 6% Y-
o-Y growth in revenues. This in value terms, if you could help us, what would be the volume
growth in both non-specialty and specialty?

Nilkanth Natu: Yes. So sir, we don't give the specific volume grow th number. But as we have mentioned that
during this year, we have seen a volume growth, whi ch is on the higher double digit. Between
specialty and non-specialty on the overall period, I see both the segments are performing equally
well. Barring the quarterly abbreviation, but other wise, on a yearly performance, both the
segment growth has been in line.
Sabyasachi Mukerji: Okay. Thank you. That's all from my side. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Ja tin Sangwan from Burman Capital. Please go ahead.
Jatin Sangwan: Thank you for taking my question. I wanted to ask h ow much of our sales come directly to clients and how much of our sales comes from distributors?
Rajesh Rathi: So I think we always have a dual distribution strat egy in every geography. So the range of our direct business would be between 60% to 70% and our distribution would be balanced.
Jatin Sangwan: And you mentioned that you are seeing increased tra ction after the Heubach bankruptcy announcement. So I wanted to understand under which category of pigment Azo, HPP pigments are we seeing increased traction?
Rajesh Rathi: So sir, I think we are seeing for our specialty pro ducts more traction.
Jatin Sangwan: And under speciality, we count Azo pigments and HPP pigments?
Rajesh Rathi: Yes. HPP, yes.
Jatin Sangwan: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Ad itya Sen from Robo Capital. Please go ahead.
Aditya Sen: Hi, thank you for the opportunity. So with the ramp-up of the new capacity, how much v olume growth do we antic

ipate for FY'26 and FY'27, any gu idance there?
Rajesh Rathi: So I think from a perspective, sir, we don't give v olume. But like I said, directly, we are seeing a good traction. And we should be able to grow our business. But I think we won't be able to give you particular numbers. Natu Ji, would you lik e to add anything?
Nilkanth Natu: Yes. So, sir, we don't give the number for forward- looking statements. But as Mr. Rathi has mentioned, there have been a lot of positive tailwi nds company is poised and having a lot of capabilities built up over a period. So, we expect this current year should be good in terms of overall performance. But directionally it will be g ood, but we would not like to put a number.
Aditya Sen: All right, sir. Got it. Thank you.
Moderator: Thank you. Due to time constraint, that will be the last question for the day. I would now like to hand the conference over to the management for clos ing comments. Over to you, sir.

Nilkanth Natu: Thank you, Axis Capital and Ankur Periwal, and than k you all for participating, for your time and interest in Sudarshan Chemical Industries Limit ed and putting forth business questions. We remain confident in the long-term prospect of our b usiness, and we look forward to engaging with you again in the future. Thank you.
Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Call: Aug 2024

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12 th August , 202 4

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Blo ck G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Scrip Code NCDs - 974058 Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call

We are enclosing herewith transcript of the confere nce call with
analysts / institutional investors, which took plac e on Monday, 5th August, 2024, after
announcement of the Unaudited Financial Results (St and-alone and Consolidated) for the quarter
ended 30 th June, 2024.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You ,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited Q1 FY '25
Earnings Conference Call"
August 05, 2024

MANAGEMENT : M R. RAJESH RATHI - MANAGING DIRECTOR
MR. NILKANTH NATU - CHIEF FINANCIAL OFFICER
MR. AMEY ATHALYE - GENERAL MANAGER FINANCE
MODERATOR : M R. NILESH GHUGE - HDFC SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the S udarshan Chemical Industries Limited Q1 FY '25 Earnings Conference Call, hosted by HDFC Securities.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the pres entation concludes. Should you need assistance during the conference call, please signa l an operator by pressing the "*", then "0" on your touch tone phone. Please note that this confer ence is being recorded.

I now hand the conference over to Mr. Nilesh Ghuge from HDFC Securities. Thank you. And over to you, sir.

Nilesh Ghuge: Thank you, Steve. Good morning, everyone, and welco me to Sudarshan Chemical Industries Limited Q1 FY '25 Post-Results Earnings Call.

The Management Team from Sudarshan Chemical Industr ies Limited will be represented by Mr. Rajesh Rathi – Managing Director; Mr. Nilkanth Natu – Chief Financial Officer; and Mr. Amey Athalye – General Manager Finance.

We will start the discussion with a brief Managemen t "Overview" on the Earnings Performance, followed by an interactive Q&A session. Over to you , sir.

Nilkanth Natu: Thank you, Nilesh and HDFC Securities for hosting o ur Earnings Calls for the Q1 FY '25. Good morning to all of you and thanks for joining us to discuss Sudarshan Q1 FY '25 Financial Results. It's a pleasure to be with all of you.

During the call, we could make forward-looking stat ements. These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ from those expressed in today's c all. We do not undertake to update any forward-looking statements made on this call.

Let me begin with an important update about the cha nges in the constitution of our esteemed Board of Directors:

Members from the existing Board, Mrs. Rati Forbes, Mr. Dara Damania, Mr. Padmanabhan, and Mr. Sanjay Asher are retiring from 6th August.

On behalf of the entire Management Team, I would li ke to thank them for their exemplary contribution towards the growth of Sudarshan. I wou ld like to welcome Ms. Anu Wakhlu, Ms. Bhumika Batra and Ms. Sudha Navandar, who joine d the Board from 2nd August. We look forward to gain from their experience in our journe y towards leading global pigment player.

There are two key achievements to highlight:

I am happy to inform that the long-term external ra ting of the company has been upgraded by India Rating, a Fitch group company from AA(-) Stab le to AA Stable. While our short-term rating of the company remains affirmed at A1+. This rating upgrade demonstrates strengthening of the business profile, improvement in the financi al performance and healthy financial ratios. This long-term rating is upgraded in a span of thre e years, rising from AA (-) to AA. Furthermore, in the last 10 years, the long-term ra ting has been upgraded from A to AA, which is three notch up, while short term rating is upgra ded from A1 to A1(+), which is the highest rating. This rating upgrade reflects testament of o ur prudent financial management practices and resilient business performance.

We also wish to update that the company has recentl y achieved EcoVadis Gold Medal with 97 percentile. With this rating, we join the league am ong the top three percentile company in the chemical sector. The upgrade from silver to gold is a reflection of our strong ESG value proposition and committed measures which are taken by the company, which will be pivotal going forward during our customer engagements.

We also achieved a score B management band on CDP C limate Change and CDP Water Security Assessment 2023. This accolades reflects our strong focus towards ESG and our commitment towards sustainability.

I will now begi

n with the update on the quarterly f inancial performance. We have uploaded our
financial results and investor presentation on the stock exchanges, hope you have gone through the results.
Quarterly performance :
On a consolidated basis, for the quarter the total income from operations stood at Rs. 634 crores as compared to Rs. 608 crores for the same period l ast year, higher by 4% year-on-year. EBITDA for the quarter stood at Rs. 81 crores as co mpared to Rs. 70 crores in Quarter 1 FY '24, higher by 15%. EBITDA margin is at 12.7% as co mpared to 11.5% over the same period last year. Profit after tax is Rs. 29 crores as com pared to Rs. 21crores for the same period last year.
Now, going into the details of our pigment business :
For the Q1 FY'25, income from operations stood at R s. 589 crores as compared to Rs. 536 crores for the same period last year, a growth of 1 0% year-on-year. Domestic sales for the quarter is at Rs. 287 crores, higher by 9% as compa red to Rs. 264 crores in the same period last year. Export for the quarter grew to Rs. 302 crores versus Rs. 272 crores in the same period last year, higher by around 11 percent.

We have seen in Q1 is a normal demand increase. And normally Q4 is a seasonality effect and a strong quarter. We see demand improvement in the overseas geographies. After the second pigment player insolvency filing in April, there is a clear increase in the customer enquiries for samples and product approval process getting moment um. With the recently commissioned CAPEX, we are well positioned to capture the market opportunities in the domestic and export markets going forward.
Specialty pigment sales stood at Rs. 402 crores as compared to Rs. 362 crores in the same period last year, higher by 11 percent. Non-specialty sale s for the quarter is at Rs. 187 crores, which was higher by 7% as compared to the same period las t year. The gross margin of the pigment business for the quarter is at 47.2% as against 42. 9% for the same period last year, and it is higher by 320 basis points compared to the sequenti al quarter. The year-on-year increase in the gross margin is due to softening of the raw materia ls and ramp up of sales in high performance pigments.
EBITDA for the quarter stood at Rs. 90 crores in Q1 FY '25 as compared to Rs. 64 crores in the same period last year, higher by 41%. EBITDA margin stood at 15.3% as compared to 11.9% over the same period last year.
Now, coming to the balance sheet:
The balance sheet of the company as at June 30th, 2 024, has further strengthened, this is reflected from the improving financial ratios. The net debt of the company stands at Rs. 375 crores in Q1 at FY '25, down from Rs. 395 crores in Q4 at FY '24. With overall better results from operations, the debt of the company continues to reduce and placing itself with strengthen balance sheet.
Net debt to EBITDA stands at 1.28x as compared to 2 .1x in Q1 FY '24.
Debt-to-equity stands as 0.3x as at June 30, compar ed to 0.5x in Q1 FY '24.
The working capital cycle has been managed as per t he plan, resulting in the cash conversion days at 73 days in Q1 of FY '25 compared to 66 days in Q4 FY '24. Higher days is mainly due to planned increase in the raw material inventory, the current ratio is at same level of 1.4x in Q1 FY '25 as seen in Q4 FY '24.
To summarize:
I would like to thank our customers, partners, empl oyees, analysts and shareholders who contributed to and stood by us during our growth jo urney. We continue to leverage our strength and remain confident in the company's potential to be a leading pigment solution provider to global players.
With this, we can now proceed for question-and-answ er session. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer s

ession. The first question
is from the line of Nitesh Dhoot from Dolat Capital . Please go ahead.
Nitesh Dhoot: Congratulations on an encouraging pigment performan ce. So, my first question is, despite the

gross margin jump of 320 bps, the EBITDA margin is flat sequentially. So, as we understand, sequentially the volumes would be lower, but why ha ve the segment overheads, that is you know the absolute gross profit minus EBITDA remained fla t or only increased marginally to around Rs. 188 crores from Rs. 183 crores in Q4? So, is th ere any unusual or one-off increase in any cost item for your segments in Q1?

Nilkanth Natu: So, there are two points. One, what we have seen is increase in the gross margin of 47% compared to 44% last year in Q4. However, as we men tioned earlier, the Q4 is seasonally strong quarter, and compared to the Q4 are fairly like Rs . 590 crores. So, the operating leverage to that effect in the Quarter 1 will not get reflected, tho ugh there is an increase in the gross margin. Second is also on the cost side, Q1, we normally se e a quarter wherein there will be threesome of the participation on the exhibitions which will be there in the overseas geography. So, we see that normalized G&A and the cost structure in the n ext couple of quarters.

Nitesh Dhoot: So, what will be the cost base, I mean, anything th at you can quantify? I get your point on the operating leverage bit, but the only thing is that the cost has only increased. So, I mean, ideally it should have come down, but given the cost that y ou're explaining, any quantification you can provide that will be really helpful.

Nilkanth Natu: So, there's this another point also there is we hav e also seen, so if you are looking at the other expenses in the region, there is also the impact of the increase in the exports, So, there also has been some part of the variability, selling variabil ity is also there. And in terms of the exhibition cost, since these are event specific, case specific , I would not like to give the comment on the number. What I can say, it is a front-loaded in the Q1, I don't expect that to come in the coming quarters.

Nitesh Dhoot: So, sir, can we say that the per kg gross margin of the gross spreads what we are currently witnessing would be sustainable going forward? Or c an you improve from here on given the improvement in the product mix side and maybe some price leverage also led by the industry consolidation?

Nilkanth Natu: Nitesh, we expect this 47% gross margin to impact w hat we have also seen is the specialty pigment is growing. We have seen good traction to o ur high-performance pigments. So, I expect this gross margin to remain in this range, subject to the raw material variability what we have already seen in the past. So, currently the raw mat erial prices are more or less stable. And given the current market scenario, I expect this should r ange in the similar range.

Nitesh Dhoot: Sir, given your earlier outlook of being able to ut ilize the capacity in four years' time, first, I mean, any revision in terms of the guidance that we are looking given the kind of strong volume growth that we would be having? So, any upgrade on the guidance side that we would be looking at?

Rajesh Rathi: This is Rajesh Rathi, I think it's a little too ear ly to give a guidance for that. But I think like we are seeing the engagement with customers, the inqui ries, etc., we do feel that we will be able to achieve this within three years instead of four yea rs. But I think as we progress through the year, we will be able to give you a better number on that .

Nitesh Dhoot: And so just a follow-up on that. So, I mean, even i f we take a four-year period to say by '27 we will be fully utilized. So, by when do we need to s tart working on the next leg of CAPEX? So, any color on there, or if you ha

ve maybe evaluated or you can give some chance?

Rajesh Rathi: We don't expect, sir, any CAPEXs in the current yea r. So, the board has not approved anything. We don't need any CAPEXs right now currently. And a nyways, everything will be Brownfield expansion which will probably take six months to on e year. So, at that time we will evaluate that probably.

Nitesh Dhoot: Okay, only about six months to one year would be re quired, fair. And sir just one last thing, so are we evaluating, or do we have any plan to acquir e the Heubach assets in any part or the entire thing, any plans on that side?

Rajesh Rathi: So, there are two aspects here. I think there are s everal indirect opportunities which keep coming to the management. We do evaluate several of them. And given the sensitivity of the information, can't say anything more on this subjec t.

Nitesh Dhoot: Sure, sir. Appreciate you answering the questions a nd wish you all the best for the future. Thank you.

Moderator: Thank you. The next question is from the line of Sa njesh Jain from ICICI Securities. Please go ahead.

Sanjesh Jain: First on the Rieco side of it. This quarter looks l ike it was a challenging quarter for them. We had losses at the EBIT level and revenues on a Y-o- Y basis have also materially declined. While if you look at the general capital goods industry, it appears to be very buoyant as of today in

India. What's happening with the Rieco and how are we evaluating this as a going concern entity?
Rajesh Rathi: This is Rajesh Rathi. Sir, I think we are embarking now on the transformation of Rieco. We are working on that. We feel we will be able to build a good healthy business. Currently, there are a few challenges in the business which have come to this point. Going forward this year we don't expect to have a negative impact on the numbe rs. But going forward, we would definitely look at, I guess, we should give it a two to three years transformation time, and the

transformation we're going to kick start in Septemb er. Mr Natu, you would like to add anything more on Rieco?
Nilkanth Natu: Yes. Sanjesh ji, thank you for your question on the Rieco. As Mr. Rathi has mentioned that the current quarter has been subdued in performance com pared to the last year Q1. So, last year Q1 we had the value of the orders which were executed in the quarter. So, normally while the capital goods industry is also doing good and we have seen the current order book, Rieco is having the healthy order book and also the contribution from t he order book seems to be comfortable. In the current quarter, the revenue has been more in l ine whatever has been projected for the quarter. But with the current cost base, this kind of revenue will always have the challenge on the EBITDA. What we as a management are focusing ou r two strategies, one is, while the revenue growth we have seen in the last four years, how to have the sustainable growth also in terms of the EBITDA. And we are working on that par ticular transformation project. Going forward, you will see quarter-on-quarter improvemen t in the Rieco performance. I expect the year-end should be positive going forward. And then the years to follow, you will see sustainable EBITDA improvement. That is what we are focusing as a management as far as the Rieco business is concerned.
Sanjesh Jain: When you say you're looking at transformation, so w hat are we really trying to do? Are we changing the product segment? Are we changing the f acility? Are we changing the go-to-market approach? What are we really transforming in the Re co?
Rajesh Rathi: So, first is, how do we get an healthy EBITDA, and a consistent EBITDA. So, focusing on some of the core processes where we can kind of increase the EBITDA on the current business. And a little bit of a lean approach, we see the fixed c ost has swelled up a lot. That's one.

And the second is, then can we really build an healthy busi ness, with a stronger top line. As I said, we are just launching this transformation, but these w ill be the top two directions. So, first is focusing on the current and improving the EBITDA, a nd then focusing on the top line.
Sanjesh Jain: And second on the pigment side, when we say that we are looking at a very good inquiry, particularly from the international market, are the se inquiries for the existing product, high performance product or the new product which we hav e launched? The demand is largely coming from coating plastics or ink, can you give m ore color on the inquiry which we are receiving?
Rajesh Rathi: So, I think the inquiries are in general more on th e coatings side and plastic side. And of course, on plastics we were already quite strong, so the co ating industry is where we are getting several more inquiries and engagement.
Sanjesh Jain: And this will be for what, high performance pigment , the new product that we have launched?
Rajesh Rathi: So, these are these are mainly for the new products and the new CAPEXs.

Sanjesh Jain: Because I thought the new product is only 50% of th e capacities which we have put, while the existing was remaining 50%, that's what we said in the earlier calls. How is the traction from the existing product? Are we seeing more demand com ing in from the international market?
Rajesh Rathi: Sorry, can you repeat your question?
Sanjesh Jain: Sir, you said that out of the Rs. 750 crores of CAP EX, 50% was for the new product, 50% was for the existing. When we say that there is a stron ger demand which we are seeing for the newer product, how is the demand inquiry for the existing product where we have enhanced the capacity?
Rajesh Rathi: It is there for both these, both the lines. So, the entire CAPEX, new products and the existing products.
Moderator: Thank you. The next question is from the line of An kur Periwal from Axis Capital. Please go ahead.
Ankur Periwal: Thanks for the opportunity and congratulations on a good pigment performance here. First question on the specialty portfolio. If I look at t he last four or six quarters run rate, we have reported a double-digit revenue growth here, slight ly ahead of the non-specialty portfolio. This

is expected to continue going ahead as well? And a parallel question to this will be, is this led by the existing clients gaining more business? You gaining more business from existing clients or there is new client additions here as well?

Rajesh Rathi: Ankur ji, great question. I think it's a combinatio n. It's executing our strategy right which was based on these new CAPEXs which we did, and changin g our product portfolio to more of specialties. If you look at the health of the pigme nt industry, people with a broader portfolio and a specialized product portfolio are doing well, whereas the other industries, whether it's phthalocyanine or the traditional other pigments, t here's a big profit pressure. So, given our engagement on the new products, on all these new pr oducts and the existing CAPEXs which increased volume, this is where the business is com ing in. It's mainly to similar customers but with the broader portfolio, because we had probably one or two product customer combination information earlier, and now the same thing has exp anded to several products with those customers. Sorry, did I answer your question?

Ankur Periwal: Yes, sure Rathi ji. Just a follow-up there, we had expanded our distribution network to Japan, South America, other countries as well, and plus we had the distribution tie up in Europe.

Rajesh Rathi: Yes.

Ankur Periwal: Have those benefits have started coming in? And if I recollect right, we were waiting for product approvals from newer clients as well. So, has that benefit started coming in in this quarter or it is yet

to come?

Rajesh Rathi: So, this quarter we are seeing our normal demand co ming. So, we haven't seen any demand still coming in due to the turbulence because, as I menti oned last time, it takes some time to get the approvals and then get the products going right, wh ich is happening. And we expect, as we ramp up through this year, we will see the numbers stepp ing up, right. So, to answer your question, sir, Q1 quarter was our normal demand, but a lot of ground work done on engagement with customers. We would see some results in Q2, but as we keep ramping up the quarters, we will see much better numbers coming in.

And our certain strategies sit on, Japan is a slow market, it will take some time to ramp up, but we're getting into more, I would say, demanding fie lds like digital inks, etc., there, which we are getting good success. But to ramp up the busine ss it takes time. Our European distribution which we had appointed, it still needs to ramp up. And our South America strategy, is doing well for us.

Ankur Periwal: And just lastly on the freight rates rising. Histor ically we had seen some impact of an increase in freight rates on our margins as well, given ther e was no pass-through arrangement, especially in terms of export. What is the scenario now with r espect to our client contracts incremental for the existing business, as well as for the older one s?

Rajesh Rathi: So, generally what we are not able to pass-through is any utility indirect cost increases But freight cost, raw material cost, it's a little easi er to pass on. And so we will be able to pass on the increase in cost, we have to absorb certain cos ts. But going forward, we will be able to pass on the increase in freight cost. We don't see that as a challenge for margins.

Moderator: Thank you. The next question is from the line of Ma dhav from Fidelity. Please go ahead.

Madhav Marda: I have two questions. Firstly on the pigment busine ss margin, Quarter 1 obviously isn't the strongest quarter for Sudarshan from a seasonality point of view. But we have crossed 15% in Quarter 1, which I thought was quite encouraging. A nd given that the earlier commentary of gross margins at these levels also seem sustainable for us, so would you think that as we move ahead and our CAPEXs ramp up, EBITDA margins should move ideally closer to the 17% to 19% range for the company? Would that be a fair ass essment, like without giving a number, actually is that the right thing to think?

Rajesh Rathi: Absolutely,. Directionally you are on the right are a. I would say, whether the gross margin would be in this area or slightly ahead, but the ma in advantage would be through operational leverage. So, as we ramp up our volumes , we should be able to improve our EBITDA margins.

Madhav Marda: And what would our capacity utilization be currentl y on the expanded capacity?

Rajesh Rathi: So, we don't give out capacity utilization numbers.

Madhav Marda: And sir my second question basically was that I thi nk you have mentioned that next round of expansion for the company will likely be Brownfield in nature, which again basically means that operating leverage benefits should keep coming through for us, not just in the next two

years but even three, four years out. So, just how much is the scope of Brownfield expansion? Like if you're at, let's say, capacity is 100 today , how much should we add via the Brownfield

route over the next five to seven years for the com pany?
Rajesh Rathi: We have enough land, enough scope to improve to add on capacities on our existing sites, and that's what I meant by Brownfield expansion. So, to o early to comment on how much we can do and how much would be needed. But whatever is re quired, I think we should be able to expand in these areas.
Madhav Marda: So

, some of the costs will get shared is what I was wondering, like at the existing sites you can share some of the cost as we add these new lines fo r the next round of expansion.
Rajesh Rathi: Yes, I mean, why we would want to do a Brownfield i s that you don't incur very large CAPEXs and fixed cost. So, your fixed cost gets leveraged going forward, too.
Moderator: Thank you. The next question is from the line of Ch etan Thacker from ASK Investment Managers. Please go ahead.
Chetan Thacker: Sir, just one question. When I look at the numbers, it appears that the international subsidiaries on the pigment side, they've not performed too well in this quarter, particularly both on the revenue and profitability side. So, anything in par ticular that you would like to highlight? Is there some one-off or something sitting there?
Rajesh Rathi: I would let Mr. Natu answer this. But basically, I don't not know how you interpreted that because there's a lot of transfer pricing which hap pens, and transfer pricing rules happen. But I think our international business is doing well and we've seen good growth. Mr. Natu , would you like to add anything?
Nilkanth Natu: As Mr. Rathi has mentioned, our sales at those subs idiaries is normal. Rather, if you have seen that export sales for the quarter is also on the hi gher side compared to Q4. So, what we have seen in the current quarter is that there had been a intercompany sale anticipating the demand in the quarters to come in. So, if you really see, the n this standalone profitability versus consolidates profitability in the pigment business, in the segmental you will find that delta. But as the overseas subsidiary sales and the EBITDA and all the margins are intact, it is just as we have done some stocking up of the stock at the subs idiaries which will get reflected in the coming quarters.
Chetan Thacker: Because I didn't see too much difference between th e increase in inventory, both at consol and standalone levels, both those numbers were nearly s imilar. So, that is why I was trying to understand where has this impact come from.
Nilkanth Natu: So, these are the inventories in transit.
Rajesh Rathi: I think Amey would like to comment.

Amey Athalye: I'm not sure in terms of global versus standalone i nventory, because in June we do not publish the balance sheet figure. So, just to get a referen ce, which is the datapoint you are referring to?
Chetan Thacker: I was just looking at the increase decrease, which is the change in inventory which is Rs. 30 crores, both at consol and standalone. So, while st andalone I understand you've explained there is a buildup of raw material, that has happened, an d to some degree finished goods. So, I just wanted to get a sense of I see the same number on c onsol, so the only thing I wanted to clarify is, is that there is inventory that is sitting on t he international subsidiary where sales are yet to be made, which is impacting this quarter number.
Amey Athalye: This number is mainly from a standalone perspective . Whatever sales are routed through subsidiary; it directly impacts the COGS. So, it is not part of the change in stock line which you're referring to.
Moderator: Thank you. The next question is from the line of Ka ustav Bubna from BMSPL. Please go ahead.
Kaustav Bubna: Wanted to understand more about the Heubach situati on. So, we are saying that inquiries are coming in and gradually we will see demand shifting at Sudarshan. But my question is kind of different, what happens if someone else comes up an d takes this asset off? Because I mean, the company is doing badly, it's open to acquisitions f rom other players and then this opportunity goes away. So, do you see the sustainability of thi s Heubach opportunity present to us? And what are we doing to capitalize on it? And do you s ee the risk that it's a very short-

term
opportunity given that some resolution happens on t heir side, or someone acquires them? And then all those capacities come back on track?
Rajesh Rathi: So, a good question . Firstly, I think there are tw o points. So, we are playing in the market on our strengths, and that's where we've been preparin g Sudarshan in the last three or four years for this while building the product portfolio, sett ing up a world class site and really posing ourselves as a global, reliable supplier to our cus tomers. And that's how customers now see us. So, that's what our strength is. What is getting ac celerated is the turbulence in the pigment market. I would say, turbulence in terms of several factors. One of the factors may be Heubach, but there are several other factors.

And these are long-term turbulences which people ar e looking to, whether it's the geopolitical situation that people want to move out of China, it 's the high cost of production in Europe, and India being favored. So, playing on our strengths, playing on the external areas, these are long-term advantages which we have. So, customers when t hey engage with us is not looking at the short term view, it's not a question saying that it 's the flavor of the month now and the situation is bad. They'll come to us and then they'll go away . So, that's how we've been kind of, that's how we've been seen by the customers and that's how we've acted in the market.

Kaustav Bubna: Sir, just last question, I was just trying to under stand the variance between Q4 numbers and Quarter 1 numbers, given also the understanding tha t there's seasonality. So, in quarter four, just wanted to get my understanding right, did the company see any advantage from the Heubach issue or it was just strong seasonal sales?

Rajesh Rathi: Q4 is the strongest quarter, the only thing probabl y we saw a little bit of is, because of the Red Sea crisis there was some stocking up by customers, but that was a minor one. So, that's what we saw. But going forward we will see a better traj ectory in our numbers.

Kaustav Bubna: So, there is no Heubach benefit in quarter four?

Rajesh Rathi: No, too soon.

Moderator: Thank you. The next question is from the line of Ja tin Sangwan from Burman Capital. Please go ahead.

Jatin Sangwan: So, my first question is, what's the peak revenue i n the pigment business that we can do at full capacity utilization?

Rajesh Rathi: I think for our new CAPEXs investment which we've d one, as we've been maintaining, our peak revenue on the new CAPEXs would be about Rs. 1 ,200 crores to Rs. 1,400 crores.

Jatin Sangwan: On these new CAPEXs at current prices?

Rajesh Rathi: Yes, new CAPEXs.

Jatin Sangwan: My second question is around the power cost, if I l ook at power cost let's say in FY '19 and FY '20, they were used to be 4.5% or so. Now they have increased to 7.5% in FY '23, of course it came down to 6.7% in FY '24 for the pigment busines s. So, how should we see the power cost going forward? Because the gas prices and all have started reducing.

Rajesh Rathi: So, firstly, we don't use gas. We have wind energy and we do have coal for our boilers, but I'll request Amey to kind of comment on this.

Amey Athalye: I think the FY '19 or '20 level, if you see it is p re-COVID, and coal was at much lower rate than it is today. And normally we have all in-house boil ers where we are producing the power. So, to that extent I think there will be impact in term s of the power cost, because that's the input into generation of power in-house. Compared to FY ' 23, if you refer, you will see that the overall cost has come down in terms of percent also, becaus e now the coal rates have come down however not to a level of FY '19 or FY '20.

Jatin Sangwan: My last question, sir, what kind of volume growth d id we saw in this quarter year-on-year?

Amey Athalye: Sorry, we are not disc

losing the volume growth. We won't be able to answer that question.

Moderator: Thank you. As there are no further questions from t he participants, I would now like to hand the conference over to the management for their closing comments.

Nilkanth Natu: Thank you. Thank you, Nilesh. And thank you partici pants for your time and interest in Sudarshan Chemical and putting forth business quest ions. We remain confident in the long-term prospect of our business, and we look forward to en gaging with you again in the future. Thank you.

Moderator: On behalf of HDFC Securities, that concludes this c onference. Thank you for joining us and you may now disconnect your lines. Thank you.

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Call: Oct 2024

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22 nd October , 202 4

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Blo ck G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Scrip Code NCDs - 974058 Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call in relation to execution of definitive agreement to acquire Global Pigment Business of Heubach Group

We are enclosing herewith a transcript of the confe rence call with analysts / institutional investors, which took plac e on Tuesday, 15th October, 2024, in relation to execution of definitive agreement to acquire Global Pigment Business of Heubach Group.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You ,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

Sudarshan Chemical Industries Limited
Discussion on acquisition of Global Pigment Busines s of Heubach Group
October 15, 2024

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER
MR. AMEY ATHALYE – GENERAL MANAGER , FINANCE

CO-ORDINATOR : MR. ANKUR PERIWAL – AXIS CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Suda rshan Chemical Industries Limited Conference Call hosted by Axis Capital Limited. The discussion will be on regarding acquisition of Global Pigment Business of Heubach G roup. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assista nce during the conference call, please signal an operator by pressing star then zero on yo ur touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ankur Periwa l. Thank you, and over to you, sir.
Ankur Periwal: Thank you, Neha.. Thank you everyone, for joining i n and welcome to Sudarshan Chemical Industries Limited Conference Call to discuss the a cquisition of Global Pigment Business of Heubach Group. The call will start with a brief man agement discussion followed by an interactive Q&A session. Sudarshan Chemical Industr ies Limited's management is represented by Mr. Rajesh Rathi, Managing Director Mr. Nilkanth Natu, Chief Financial Officer; and Mr. Amey Athalye, General Manager of Finance.
Over to you, Mr. Natu, for your initial remarks.
Nilkanth Natu: Thank you, Ankur and Axis Capital for hosting the i nvestor call. Good morning to all of you, and thank you for joining us to discuss to Sudarsha n's proposed acquisition of Heubach Global Pigment Business following signing of a definitive agreement on 11 th October 2024.
Transaction is subject to regulatory approvals. I h ope you all had a chance to access the Press Release and Investor deck uploaded on stock exchang es. Certain statements made or responses given to the questions during today's call may pert ain to future expectation and plans.
Our disclaimer regarding such forward-looking stat ement can be referred to in our investor presentation. As we are in silent period for Q2 FY '25 financial results, we will be addressing questions only related to acquisition of Heubach Pi gment Business and will not be able to answer any other questions.
Since we are yet to get regulatory approval, we wi ll not be able to talk about revenue, profitability or other balance sheet metrics for He ubach Group. However, we'll stick to qualitative comments about the deal rationale and s trategic levers to make this into profitable business.
With this, I would now like to invite Mr. Rajesh R athi to talk about the deal.
Rajesh Rathi: Thank you so much, Mr. Natu and Ankur and Axis Capi tal for hosting this call for us. I'm delighted and excited to announce that through this acquisition, Sudarshan’s dream of becoming a truly global player with a global asset footprint is coming through today.
To give you some facts, the revenue for CY'23 was a bout EUR900 million of Heubach.
There are 17 manufacturing sites and 33 stock point s. The legacy of this company has been for more than 200 years. We at Sudarshan are very excit ed about this opportunity.

We also have a very healthy global sales spread th rough the important markets like Europe, North America, ROW, they have a strong presence in paints, plastics, inks and digital inks.
I would also like to tell you that all manufacturin g sites are very well maintained and all are in very good running conditions with a very respectabl e capacity utilization.
Just to give you a little bit of history, until 20 21, the company had revenues close to EUR 900 million and had a consistent profitability track record. In '22, S.K. Capital Heubach acquired this Clariant's business, at a combined va luation of about EUR1 billion as they paid about EUR850 million for the Clariant business plus the val

uation of the Heubach business itself.

However, post this acquisition, Heubach faced seve ral challenges. There were headwinds from the Ukraine-Russia conflict, leading to global infl ation and demand reduction. I mean not only Heubach, the entire pigment and chemical industry g ot affected, but the pigment industry was quite badly affected as we saw a big demand reducti on in Europe and China.

However, some of the other pigment industries coul d respond faster and recover well. Heubach also had significant debt on their balance sheet and rising interest rates, which weakened their balance sheet. Some of their integra tion efforts may not have been able to capture all the benefits and this created a financi al distress situation for a great organization, which has been profitable for many years.

So, I think, we at Sudarshan, are very excited, as I mentioned, one of the areas which Sudarshan had a shortfall is that we didn't have a global asset footprint. All our manufacturing assets were based in India. So, this gives us a ver y good coverage to us and the customers for them we have derisked. This transaction is potentia lly EBITDA and EPS accretive. And we strongly believe that we would be able to add value to all our stakeholders.

Talking about the deal, we entered into the Asset Purchase Agreement for the insolvent entities in Germany and a Share Purchase Agreement to acquir e solvent entities of Heubach Group. We bought this business at a debt-free basis. We do expect some cash infusion for working capital, restructuring, meeting some of the regula tory requirements with a tune of about EUR100 million. And this acquisition would be throu gh a cash consideration funded by a mix of debt and equity.

The deal is expected to be closed in the first qua rter of 2025, subject to regulatory clearances. At Sudarshan, as I mentioned, we are very confident of making this acquisition a great success. There are several levers we are looking at. Firstly , we would integrate all these entities or businesses into one unified organization from day 1 .

We would capture synergies across SG&A, manufactur ing and procurement. A strong focus on working capital and cash management to release some cash in the future. We want to create a culture of customer centricity, our core value of S eva in Sudarshan, we would want to bring this part of the culture into this new organization and we would want to bring in agility and efficiency.

Lastly, I think we always believe people make a di fference. We create a high-performing management team with excellent quality of execution , skills and technical competency.

To talk about the areas of value capture, we think that there will be four levers for us.

First is to restructure some of the operations wher e some of the sites may not be performing well.

The second we find the big lever in SG&A optimizat ion, which also includes efficient IT system, manufacturing cost and procurement cost red uctions. And lastly, in the last 1 or 2 years, there has been some volume loss, which we fe el we will be able to regain by having the right customer connects and focus.

Thank you so much, and we'll be more than happy to answer any questions you may have.

Moderator: The first question is from the line of Sanjesh Jain : from ICCI Securities Limited.

Sanjesh Jain: I have a few of them. First on you said that they h ad a lot of financial trouble, the merged entity of Clariant and Heubach and that led to them looking to sell out at a distress valuation. But if I look at the entire deal structure, the deb t still sits with them, it really doesn't give me a n impression that it was only a financial restructuri ng they were looking at, they were also looking to completely sell off the operations, whic h was, I think, bleeding for last 1- 1.5 year

s.

And if I look at the Clariant own disclosure, and BASF when they were looking, they were talking of the Western pigment company losing marke t share because cost leadership was moving more towards India and China. In this contex t, how do we look at this entire turnaround plan for the acquired entity?

Rajesh Rathi: When we look at it, this entity has got certain val uable technology, great customer connect and strong in marketing and sales. Sudarshan brings on table low-cost and a great manufacturing facility in India. These are complementary capabili ties over a period of time through an integration process, the synergies of the both orga nization will be tapped, and we will be moving to create a successful organization, and tha t is going to be at the -- that will form the bed of the pillars on which this new organization w ill be built.

Sanjesh Jain: No, that's fair. I think that organization possesse d it even while it's in the previous avatar, then why that entity was not able to capitalize on that was my whole question?

Rajesh Rathi: Due to confidentiality reasons, we would not be abl e to disclose into some of the details. But what I can assure you is that we have captured what -- how would we turn around this business and create value and bring back the glory, which this company always had. through

some of our levers, which I just shared.
Sanjesh Jain: I respect that. Probably, I will take this question once the merger is fully completed.
But a follow-up question, sir, is that you said tha t we want to bring in low-cost manufacturing
efficient, I would call it more efficient manufactu ring process in the unified entity. This also
means that we may look at reducing the footprint of the plant to become more agile,
and increase overall utilization of the unified ent ity.

Rajesh Rathi: So, I think we definitely feel that Europe has a ma nufacturing place for specialties. So, we
would create the European manufacturing sites into specialty, serving the specialty markets.
These specialty products are very sticky. And we wo uld be able -- Europe would be able to
cater to these areas, And any commodities or manufa cturing or intermediate or raw materials
would be shifted to LCCs.
Sanjesh Jain: Okay. So, we will be looking at realigning where co mmodity and backward integration will be
focused at India entity and specialty and contract manufacturer will be focused in the European
entity? Is that the way to look at, say, 2 years, 3 years down the line how the unified entity will
look at?
Rajesh Rathi: Yes.
Sanjesh Jain: Got it. A follow-up question on India entity. So, w e will now post-merger have 2 listed entity
in India. How do you plan to integrate that? And wi ll there be an open offer and more cash
outflow to India entity buyout?
Rajesh Rathi: Our legal team is still working on the details of t he open offer, and it will be announced as per
the regulatory time lines.
Sanjesh Jain: And on the integration of India business?
Rajesh Rathi: As I said, from a legal entity perspective, whether we operate as two different, but as a
business, we will be one unified business.
Sanjesh Jain: Got it. On the talent retention because now we are talking of one unified entity, so what will
happen to the existing top management who were mana ging the business of the merged entity
of Clariant and Heubach. How would the organization structure look like?
Rajesh Rathi: So, from day 1, we will fully integrate this organi zation. We would want to create a
high-quality management team with good technocrats and execution skills. This will be based
on meritocracy from the combined organization.
Sanjesh Jain: Got it. I think these were my initial questions. Fo r more, I will come back in the queue.
Thanks and best of luck for the m

erger and the way forward.
Moderator: The next question is from the line of Jignesh Kaman i from Nippon Mutual Fund.
Jignesh Kamani: Congratulations for the great deal. Just one more o n the cash requirement and the funding
requirements in immediate basis and over a period o f the next 2 or 3 years, I just want to find
like, just if you think about -- as you say, we acq uired more asset transfers in large part with
revenue of, say, close to around INR8,000 crores. S o, what would be working capital
requirements? Say, if you take about Sudarshan in s tand-alone company, our working capital is
close to around 20 -25 percentage. Say if I go with them, my number is then close to around
INR 1,500 crores to INR2,000 crores. Our requiremen t will be there for the working capital
largely and say, additionally, once we take our ent ity.

Second thing, if there will be accumulated growth in the past, and there will be -- being since
the plant is there in Europe with regulation requir ement is very stringent. There have been
many contingent liability and everything. And assum ing that accumulated losses might
continue in the future, there might be additional l oss funding for next 2 or 3 year requirement
from our side. And third, you can say and indeed al so as you mentioned that we will need to,
you can say, take a 25 percentage of an offering, w hich will also require, I can say. So, if you
think about...
Rajesh Rathi: Let me take, your, first question,? I think I under stood the second question was on contingency
liabilities? So as per our due diligence, there are no significant potential contingent liabilities,
which exists there. So that gives us the comfort. T he first question?
Jignesh Kamani: And not even the pension liability and other part.
Rajesh Rathi: No. All those have been through our due diligence. We have got that comfort that there are no
significant liabilities coming across. And your fir st question was, sir, regarding?
Jignesh Kamani: Working capital requirement because...

Rajesh Rathi: We are acquiring the asset. We are acquiring the in solvency entities with agreed limits of inventory and the solvent entities has a going conc ern as a regular working capital.
We don't see a major infusion required for working capital. There will be some, required which I mentioned some of our cash infusion or cash outla y, which we are planning, we have included that, but it's a small amount.
Jignesh Kamani: Just to understood, like INR8,000 crores kind of re venue assuming 20 percentage or 25% of the working capital to sales will need to close to around INR 1,500 crores to INR 2,000 crores in working capital largely. So that has to be finan ced either through bank loan at the entity level of the...
Rajesh Rathi: As I mentioned, we would inherit that working capit al.
Jignesh Kamani: That will be part of the loan or how the post...
Rajesh Rathi: No. It will come to us as a working capital. As I m entioned, this transaction is a debt-free
Jignesh Kamani: Sir, if we inherit the working capital also?
Rajesh Rathi: Yes
Jignesh Kamani: And third on the time line of the restructuring and the synergy considering the regulation requirement is very stringent and everything. How i s it difficult to, you can say, the manufacturing, you can say, realignment and manufac turing costs, reoptimized manpower or reduced I think how is difficult, it will be consid ering the regulatory environment, the European and what will be the time line you can bef ore you earmark you can say?

Rajesh Rathi: So, our integration and our value capture planning, we are already working on. Our execution will start –from day 1 when we close the deal. and from our perspective, the time line, the significant value capture would happen in a

year bu t to get full benefit, probably it will take 2 years.
Moderator: The next question is from the line of Archit Joshi from B&K Securities Limited.
Archit Joshi: Congrats on this great deal. A few questions on num bers. Earlier, yesterday in the interview you said that the entire entity was doing a little north of EUR100 million in operating profits or EBITDA terms. Now given that the German entity was insolvent, like you mentioned earlier, but the other entities were pretty healthy in gener ating cash, what would have been there the entire entity's EBITDA as we close the calendar yea r '23 because you have sales numbers that you have given for the last calendar year?
Rajesh Rathi: Sir, due to confidentiality reasons and given the a ntitrust laws, we are not able to speak about the EBITDA numbers, the sales numbers we have seen. The number which I had shared was pre-acquisition, which is a public information befo re 2021, the EBITDA numbers.
Archit Joshi: Sure, sir. But can we assume that because there are 17 manufacturing plants and the plant in Germany was insolvent, and that was only entity mak ing operating losses and the other ones were fairly profitable, would that at least be an a ssumption that we can make?
Rajesh Rathi: Yes.
Archit Joshi: Sir, just one more question on when the deal that h as happened with Heubach and S.K. Capital, which was another entity involved in the a cquisition of Clariant, what was the agreement with S.K. Capital? When did they exit? If you can share some information on that also?
Rajesh Rathi: Sir, I think we won't be in a position to answer an y of those questions from a confidentiality perspective. We are still under confidential obliga tions.
Moderator: The next question is from the line of Madhav from F idelity Investments.
Madhav: I just wanted to understand that given that this wa s previously owned by a private equity company and they had tried to combine 2 entities, H eubach and Clariant, just the key question is, what is it that we will do differently with the combined entity, which the previous management or the previous owners did not do, given that Sudarshan is a smaller company and acquiring a company, which is 3x the size in terms of sales? So, some of the synergies that you speak about in terms of SG&A or procurement, how do we execute that, which the previous management could not do? I'm just trying to underst and like what's sort of our advantage versus the previous one?

Rajesh Rathi: Sure. Excellent question, sir. And I think, firstly , we do understand the pigment business well. And we've created one of the most profitable pigmen t company globally today. So that's just one indicator that we do understand the pigment bus iness well. We know where -- and our cash management and cost consciousness has been ver y good, So that should give first the comfort, And now this gives us opportunity to scale up
So, what will be do differently, I think first thi ng is that we would integrate all the entities into one unified organization. We will see one Sudarshan , We will create one culture in the company. And I think a lot of the industry does not take into account how important it is to have the right people and the right culture in the company This is what we would be focusing from day 1.
The second is, of course, capturing value, which w e feel we are quite good at. We are not saying that we will grow exponentially. We are just saying in the first 2 or 3 years, our focus is going to generate EBITDA profitability through vari ous levers, which I just described. And the second area is going to be working capital and cash management. There is a great potential, I spoke about manufacturing procurement, but also o n the SG&A. There's a big potential on SG&A, which we could generate a good profitability.
Madhav:

And just one more. The second question from my side is, how much scope there is to shift production from some of these sites overseas to the India site because that seems like, at least in my view, a very clear synergy, given that we hav e a low-cost manufacturing operation. So, is there big scope to shift key products to our site in India and then obviously, which is much more profitable?
Rajesh Rathi: Sure. I think one push -- like I described sort of big lever is the SG&A. Of course, the second lever is creating the German sites into specialty p lants. They make great specialty products. We will focus on those specialty products and see h ow we can enhance those production. And the commodities and some of the intermediates, either we'll relocate or we will make, make or buy a decision on the raw materials.
Madhav: Okay. Just a follow-up. Would that mean that we wou ld need to probably just do a bit more of capex at our India site, given that there is a fair bit of products and intermediates, which can be shifted maybe at least on the commodity side? Would you expand our India site to cater to this?
Rajesh Rathi: No. First 2 or 3 years, we don't see a need. Betwee n all the sites, which we would have in LCC, we would have enough assets to bring this back . So, we don't envision any capexes. In fact, from a cash management perspective, we wou ld not be making any major capex.
Madhav: Okay. And the funding structure will maybe...
Moderator: Sorry to interrupt you, sir. I request you to come back for a follow-up question.
The next question is from the line of Nilesh Ghuge from HDFC Securities Limited.

Nilesh Ghuge: Sir, just one question. Can you compare the existin g Sudarshan Chemicals business and the new entities business in terms of the product quali ty, the types of customers, market and the technology and the R&D front?
Rajesh Rathi: Good question, sir. I think just talking at a broad level, of course, I can't go into details. I think Heubach has a strong focused products and markets i n the coatings and digital inks area. Sudarshan is quite strong, in plastics, and also so me of the cosmetic industries, which we serve. So, from that perspective, we do have comple mentary strengths.
Nilesh Ghuge: Sir, in terms of market technology that this new en tity has and that we are not yet developed or do not have that, and also in terms of R&D capabili ties?
Rajesh Rathi: In the last 5 years, sir, we've considerably enhanc ed our R&D capabilities, too. So, I would not say that we don't have. I think, however, given the 200 years legacy of this company, we would greatly benefit in both technology, manufactu ring practices. And we will definitely be sharing our best practices post-closure.
Moderator: The next question is from the line of Chetan Choler a from Pragya Equities Private Limited.
Chetan Cholera: Which other Indian operations other than Heubach Co lorants, we will get along with this deal?
Rajesh Rathi: Heubach has got two companies in India, one is Heub ach Colorants and another is Heubach India Private Limited, so both the companies and He ubach India Private Limited has got certain underlying entities also. So, both these wi ll come to us.
Chetan Cholera: Okay. And how the fundraising will be there, debt a nd equity?
Rajesh Rathi: As it was mentioned, it will be through a mix of de bt and equity. Once it is finalized, the decision in this regard is taken by the Board, we w ill share with you.
Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking Limited.
Rohit Nagraj: Sir my first question is, when the Europe is now st ruggling in terms of leaving the manufacturing probably from Europe to other countri es due to various operational challenges,

we have gone ahead and we have bought

a company. Ob viously, it's a defunct company, and
so we've got it at distressed valuations. Do we hav e -- I mean are there any chances that over a
period of maybe 3 to 5 years, the manufacturing ope rations from these countries can be shifted
to India due to its low cost and efficiencies, et c etera?
Rajesh Rathi: Thank you, sir. So firstly, I would say, I do not k now what your definition of defunct.
So, I would like to again clarify that all the asse ts are in a great working condition. Major part
of the business is solvent, and it's like a going c oncern. And all assets are well maintained,
decent capacity utilization. And I think a lot of q uestions are being asked around Germany.
Let me tell you that Germany is only about 30% of t he manufacturing. So, what we are really
acquiring is truly a global company, which we feel we'll be able to turn around very well in
front of this. We do have a strong turnaround plan, which I already presented and very
confident that we will be able to add great value t o our stakeholders.

So, there are 2 points to emphasize again for the entire team here that Germany approximately
presents only 30% of the product manufacturing, res t is all global. Secondly, we would
enhance Germany to become a specialty production si te, which it will make it self-sustaining
and profitable on its own.
Rohit Nagraj: Sure. Sir, second question is on our Slide 9, we ha ve given the rationale about the deal, where
we have said that this transaction is potentially E BITDA and EPS accretive deal. Does this
mean that as of now, if we consolidate, probably it may not be EBITDA or EPS accretive,
given the current state of business, the entity is operating at? And unfortunately, we have not
given the last couple of years other financials apa rt from the revenue numbers. So just wanted
to get a sense of it. And if you want to skip it fr om regulatory reasons, probably you can skip
it.
Rajesh Rathi: No. I think I would like to clarify that when we me an that this transaction will be potentially
EBITDA accretive, it will be great value adding to the stakeholders. That does not mean that
currently it is negative.
Moderator: The next question is from the line of Nitesh Dhoot from Dolat Capital.
Nitesh Dhoot: Congratulations on the deal and fast execution on s uch a large acquisition, and wish you best
for the future. My first question is that the large st player in the space, DIC, has been making
money only in its home market and losing money over seas quite largely for quite some time,
and the maximum operating margin you made was aroun d 8% and that too 5 years back.
So where can we get these in terms of margins and.. .
Rajesh Rathi: Sir, your line is very bad. We can't follow you at all.
Nitesh Dhoot: Sir, I will just repeat my question.
Rajesh Rathi: No, I understood DIC, but I could not follow the re st.
Nitesh Dhoot: Is it any better sir?
Rajesh Rathi: Yes, now it's better.
Nitesh Dhoot: I was asking that DIC has been making money only in its home market, Japan.
And everywhere else they have been losing money and that too for quite some time.
I mentioned that the operating margins they have ma de, the maximum operating margin they
have made was around 8% and that too 5 years back. So where can we get to in terms of
margins for that? Again, I mean how do you do see t he consolidated margin...
Rajesh Rathi: Sure. I think from a market perspective; I would sa y that the market is healthy and it's growing.
Globally, it's growing at 3%. From a perspective of whether there are 2, 3 levers, which we
feel may not have been executed in the other organi zations, and we feel that we are confident
about this. I think the first one is about how do y ou operate as a lean company in terms of
working capital, cash,

costs. How do you create a c ustomer-centric organization instead of
being an internally focused organization?

We do feel that some of the areas, which Sudarshan has been successful, that we need to bring
that is culture part. Of course, we would also like to learn Heubach's culture and integrate well.
So, we will integrate as one organization. We will be customer-centric and agile, and we'll
continue to be very efficient in our operations. Th ere's a huge lever on the SG&A side, which
we would be able to enhance and start working from day 1 on. That gives us the confidence

that we will be making it a very value-adding compa ny.

Nitesh Dhoot: Okay. Sir just, I mean, would it be possible to giv e some sense on what the...

Rajesh Rathi: Your line is very bad, I'm sorry, but we can't foll ow anything, sir. Can you get into a better reception area?

Nitesh Dhoot: Sir, I was asking in terms of numbers, I mean, woul d it be possible to share what are SG&A costs, what our employee costs would be as a percen tage of Heubach's revenue, if at all, some idea you can share?

Rajesh Rathi: Sir, would love to, but given the confidentiality a greements and the antitrust laws, we can't today share them. I'm sure post-closing, from a leg al perspective, we would be able to do that.

Nitesh Dhoot: All right. No problem. Can I just have one more que stion?

Moderator: Sorry to interrupt you sir, I request you to come b ack for a follow-up question. The next question is from the line of Dhruv Bhatia from Edel weiss Mutual Fund.

Dhruv Bhatia: Sir, a couple of questions. First is on the cost f ront. You did talk about each of the line items, but in your best understanding, which is the lowest -- low-hanging fruits in your sense where you can -- once you integrate this business into on e where we could start to see some cost benefits starting to play out? That's question numb er one. Question number two is, could you talk about the balance sheet in terms of what is th e asset base and the liability base? And if you could just break up the asset into what is the work ing capital and what's the gross block?

Rajesh Rathi: I think, firstly, sir, the biggest lever I feel is the SG&A cost and the manufacturing cost savings. I think these are two big levers, which we would start executing this from day 1. Regarding the balance sheet numbers, sir, given the confidentiality nature of this, we can't reveal the numbers today.

Dhruv Bhatia: But have you bought it more than onetime book, less than onetime book, any sense there?

Rajesh Rathi: We cannot reveal that.

Dhruv Bhatia: Sure. And just lastly, sir, I mean, you did mention that the contribution from Germany as an asset base is 30%. Could you just provide the split across, I mean, how big would Asia be and from both capacity standpoint and from a sales stan dpoint, a little bit of color on the geography mix?

Rajesh Rathi: No, sir. That I can't because those will be giving too many details. I think this was -- I did mention the German numbers only from a perspective of aligning concerns because there was a big fear on Germany, this being a complete German business, right, that's where I could, but I can't share any more details.

Moderator: The next question is from the line of Ranjit from I IFL Securities Limited.

Ranjit: Congratulations on realizing your dream of becoming the leading global pigment player. My first question is on the process. So, we believe that it was both solvent and insolvent is what we have bought. So, was it through a competiti ve bidding process that we have bidded for these assets and the highest bidder has got it or it was through a one-on-one negotiation?

Rajesh Rathi: This was a normal process. It started with NBO wher e there wer

e several, probably 15 companies participating. And that's how the funnel kept getting narrowed down. And in the end, Sudarshan was able to sign the definite agreem ent.

Ranjit: Second question is on the fundraising plans. We hav e a Board meeting scheduled soon, and the acquisition is also going to be funded through a mi x of equity and debt. Given that we have a bit of a low promoter holding around 30-odd percent , will that be a limiting factor in raising funds through fresh equity?

Rajesh Rathi: No, absolutely, sir. I think it will be a combinati on of equity and debt. As you all are aware, the Board has always been very conservative on debt . So, it will be a combination of debt and equity, and the Board would make a decision soon. A nd from a promoter holding, just to give you more clarity, none of the promoters other than me have any executive role in the organization. And as in the past, some of the promo ter groups may have chosen to not continue as a promoter, but they continued being shareholder s and supported management wholeheartedly and have been very committed to Suda rshan's growth story. Going forward, we don't see this as a concern.

Ranjit: One last question, if I may, please. So, in India, we do have a business where at times we have been overdependent on China for the raw materials. How are these assets, Are they fairly backward integrated? Or they do remain a bit of an asset light and have dependence for the raw materials?

Rajesh Rathi: Over the years, Sudarshan on its own had reduced it s dependence on China by working on either technologies on our own and getting these pr oducts toll manufactured. With this acquisition, we would also acquired several more IP on some of the critical intermediates.

So, I think our dependence will continue to reduce.
Moderator: The next question is from the line of Abhijit Akell a from Kotak Securities Limited.
Abhijit Akella: I just wanted to confirm if I got this guidance rig ht. In one of the media interviews a day or two back, it was mentioned that the EBITDA of the c onsolidated entity could go to INR 800 crores in 3 years from about INR300 crores today. I s that the kind of target you're holding out? Just wanted to confirm that.

Rajesh Rathi: No, sir. I think we're not sharing numbers. I mean, of course, the fact of the matter is that Sudarshan's last year's EBITDA was INR300 crores pl us. And this year Sudarshan itself should be in a better position, given the positive trends. As we said that we do have a very aggressive plan for turning around the business, bu t currently, we can't make any statements on numbers.
Abhijit Akella: Okay. Got it, sir. And just the other one for me wa s any sense of what the market share of the combined entity would be in the global segment mark et?
Rajesh Rathi: Sorry, sir.
Abhijit Akella: Just what would the market share of the combined en tity be in the global pigment industry, please?
Rajesh Rathi: Right. So, I think between, once Sudarshan and Heub ach gets combined, we will be a strong number 2, right, very close to the #1 player. From antitrust perspective and confidentially, I can't share market share numbers currently.
Moderator: The next question is from the line of Jatin Sangwan from Burman Capital.
Jatin Sangwan: I need more clarity on this INR925 crores number th at you've given for working capital restructuring and open offer. So, if I include your open offer, the number would be around INR300 crores or so. And working capital since you are already taking whatever is there in the balance sheet, it wouldn't be much. So why are the restructuring costs so high?
Rajesh Rathi: Like I mentioned, sir, I think we are looking at ha ving -- firstly, there would be some working capital infusion. There would be some minor capex o n restructuring, and we are also keeping some b

uffer cash, which may be required as we integ rate together. There will also be some areas where we would be working on some restructuri ng, which may require some cash. So that's the reason we are providing for everythin g so that we want to ensure that we have leg room to focus on the business and not worry on the cash set.
Jatin Sangwan: Sure, got it. Now, sir, with the acquisition of Heu bach, we will become the second biggest player and very close to #1 player. So, do you thin k it will give us more pricing power and margins to improve in our stand-alone entity, too?
Rajesh Rathi: Sir, I think it's all about delivering value to the customer. Sudarshan's attitude has never been to kind of have this, and we will continue to ensur e that we add value to our customers. And based on our value, we would be looking at how we can enhance. So, we do feel that we would have, from both technical marketing also from an R&D perspective, a lot more through this acquisition to add value to our customer.
Jatin Sangwan: Got it. And sir, what's the maximum debt-to-equity ratio that we are comfortable with? Since we will be raising a lot of debt and equity f or this transaction.
Moderator: The next question is from the line of Meet Gada fro m Emkay Global Securities.

Meet Gada: Congratulations on the agreement. I had just one qu estion. I wanted to understand like what will be the complementary set of customers for Suda rshan and Heubach and where we'll be losing some customers over there?
Moderator: Ladies and gentlemen, we have lost the management l ine connection. Please stay connected while we reconnect them. We have the management bac k on the call. Please, sir, go ahead with your question.
Meet Gada: Congratulations on the agreement. I wanted to just check that what will be the amount of revenue which we'll be completing at with Heubach a nd together? Let's say, there is X customer and you both are competing for the same, s o how much loss of sales will be happening on that front?
Rajesh Rathi: Sir, can you please repeat your question once becau se there was some disturbance in the line.
Meet Gada: Sir, wanted to understand that, so you initially sa id that you have complementary benefits. So currently, there might be products wherein they will be going for the same applications. So over there, will there be any loss of revenue wh en we are competing together or when we

are as one Sudarshan?
Rajesh Rathi: Meet, thank you for your question. As we mentioned, the company do not have much overlap in the product. However, given the confidentiality agreement and antitrust law, we will not be able to give you more specifics on this.
Meet Gada: Understood, sir. And will there be a change in term s of branding of the product, and it will be going by the name of Sudarshan's set of brands or.. .
Rajesh Rathi: It's too early to say that, but I think in the next 3 or 4 months, we would define our branding strategy and also the product strategy.
Moderator: The next question is from the line of Dhavan Shah: from Alfaccurate Advisors.
Dhavan Shah: Sir, my question is on the Germany, I think you men tioned that 30% of the manufacturing comes from Germany. So, is this the only insolvent entity or is there any other insolvent entities also? And if you can share the mix of reve nue between insolvent and solvent entities and what will be the mix of revenue between special ty and commodity of Heubach?
Rajesh Rathi: Sir, only the German entity is insolvent, the rest of the business is solvent. From a confidentiality perspective, we can't give t he revenue split. And from a trend perspective, I can tell you that the it's a very go od mix of specialty products.
Dhavan Shah: Okay. So, is it fair to assume that this 30% manufa ctur

ing from Germany is largely from the commodity side, and this will be eventually phased to -- eventually transferred to the Indian operation?
Rajesh Rathi: No, sir, I don't think -- that's not a good assumpt ion. I think it's a mix of specialty and commodities and intermediates.

Dhavan Shah: Okay. And other solvent entities are also mainly mi xed in the commodity? Or are they more towards the specialty ones?
Rajesh Rathi: It's a mix, sir.
Dhavan Shah: Got it. And do you foresee that the Indian Heubach entities will also be used to manufacture the commodity pigments going forth? Or they will ma nufacture the same kind of products, what they are doing right now?
Rajesh Rathi: Like I mentioned, sir, I think we'll be one unified company and the manufacturing strategies will be quiet, so specialties in Europe. The pigmen t preparations on the regional side and LCCs on the commodity and intermediate side probably.
Dhavan Shah: Sure, sir. And the last one is only on the gross sp read of acquisition, if you can share the numbers, I mean what is the -- you already mentione d that 17 sites has been acquired. So, what is the value of those 17 sites, replacement value o r any number that you can share?
Rajesh Rathi: From a confidentiality perspective, unfortunately, I can't share these numbers currently.
Moderator: The next question is from the line of Parth Mehta: from Vallum Capital.
Parth Mehta: Congratulations on the great acquisition. Just a co uple of questions from my end. If you could just help me understand, I mean, in the yesterday's interview, you had mentioned that the high energy cost in the Europe impacted Heubach's operat ions. So how do we plan on absorbing those high energy costs once the acquisition and op erations are resumed once acquisition is completed?
Rajesh Rathi: Good question, sir. I would like to clarify what I was saying is that in -- when the Ukraine and Russia conflict started, the entire pigment industr y, chemical industry faced a huge challenge, including Sudarshan, of very high global inflation, high energy crisis and reduction of demand. That attributed to the kind of loss EBITDA reductio n of the pigment industry and impacted the profitability. But it was a onetime serious event, which was over. As you can see from Sudarshan's numbers, we were quickly able to bounce back, and as things came back to normal. What I mentioned is Heubach could not come back at the same speed. And also, they had balance sheet side of issues, and that's what c aused the insolvency.
Parth Mehta: Okay. And just to have a clear understanding on thi s, once we consolidate the entity and with the given size and scale, will we have enough prici ng power or enough influence on the pricing that will help us maintain our margins and absorb s uch kind of costs in the future?
Rajesh Rathi: Like I mentioned, sir, Sudarshan's culture has neve r been of pricing power, but what we would want to create is the real value additions for our customers and it will be a combination of three levers. One is, of course, the product techno logy itself, technical marketing and our customer service. This combination, we would be abl e to add great value to our customers, and that's where customers would value it and give us - - would recognize the value.

Parth Mehta: Okay. Just last one. If you could help me, what wou ld be the gross margins of Heubach? You may not give me confidential info, but if you c an just give me whatever is in the public?
Rajesh Rathi: There's no information in the public, and that's wh y we are not able to give you this information.
Moderator: The next question is from the line of Amar Moriya f rom Lucky Investments.
Amar Moriya: Number one, as you said that the manufacturing of G ermany is 30%. So, does

this also mean
that the Germany as an entity also contributes arou nd 30% of your revenue as well?
Moderator: Ladies and gentlemen, we have lost management line connection. Please stay connected while we reconnect them. Ladies and gentlemen, thank you for patiently holding. We have the management line back on the call. Sir, please go ah ead with your questions.
Amar Moriya: Sir, I wanted to understand, like you said Germany as an entity is 30% manufacturing base, what would be the revenue contribution from Germany as an entity?
Rajesh Rathi: Sir, I cannot comment on the revenue from a confide ntiality perspective. The manufacturing products, sir, I think I just wanted to give you al l a feel of that. This is not all a German business. So that's why I used this number. And of course, 30% is an approximate number. But just wanted to give you all kind of a trend sense, right? Otherwise, I can't give you all any more information on this.
Amar Moriya: And secondly, sir, you highlighted that SG&A cost r eduction is relatively low-hanging compared to the manufacturing restructuring. So, le t's say, whenever this deal gets culminated, how fast we can basically see the reduction in the SG&A?
Rajesh Rathi: So, I think we are detailing out each initiative, b ut I think in the first year, we should be able to capture some of the SG&A costs. And that's where we would look at it. Some of the manufacturing cost initiatives also we would be abl e to capture in one year -- in the first year.
Amar Moriya: And secondly, sir, when you say the restructuring, so are we -- I mean, do we have to do a complete closure of some of the entity's plant over there? Or it will be like, as you said, some shift from commodity to specialty will happen at ev ery entity level?
Rajesh Rathi: We don't envision, sir, any closure of any plants. We do feel that it's a big advantage to have a global manufacturing footprint. We will see how to ensure that the capacity utilization efficiencies of each plant is enhanced. And from a product strategy perspective, I already spoke about our manufacturing strategy.
Moderator: The next question is from the line of Sandeep Abhan ge from LKP Securities Limited.
Sandeep Abhange: I just wanted to understand, like you mentioned Ger many is almost 30% of the overall Heubach Group. Just wanted to understand the debt p art, like whatever the debt amount is, I'm not asking the debt amount, but can we say that mos t of the debt is from the German entity and not from their other parts of businesses?

Rajesh Rathi: So, the debt is on the overall business, right? And what we are acquiring is on a debt-free basis.
Sandeep Abhange: Okay. And also, on the Heubach part, what are the m ajor synergies which we are looking at in terms of the products and in terms of the product m ix as well as the geography-wise synergies? What are the synergies you're looking at? Can you e laborate on this?
Rajesh Rathi: I think, firstly, from a market perspective, indust ry perspective, I think Heubach has great strength in coatings. Sudarshan has strength in pla stics, so we could enhance both these areas. The second area is Sudarshan has a very moderate pr esence in some of these geographies like Europe, Americas. And whereas Heubach does have a g ood presence in these markets. So, this will help some of our complementary produc ts also in market.
Moderator: The next question is from the line of Sanjesh Jain from ICICI Securities Limited.
Sanjesh Jain: Just one question. On a combined basis at the 3 yea rs' time frame, where do we see our EBITDA margin on an unified basis settling as per y our estimate? Will it be way to where we are today at what, 15%, 16% EBITDA margin? Will mar gin drift lower because of this consolidated entity towards 10%, 11%? Or we can sti ll manage this 15% kind of an EBITDA margin?

Rajesh Rathi: I think from a 3-year perspective, the combined ent ities, I would say somewhere in the region of teens, but I think very difficult to give you -- pinpoint exact numbers. But I think, I would say, somewhere in between the numbers which you wer e speaking.
Sanjesh Jain: Got it. And with this acquisition, how much backwar d integration we will become as an unified entity? Will we improve the backward integr ation from what we are today?
Rajesh Rathi: Yes, sir, it will definitely improve our backward i ntegration and the future would provide --

there's a lot of IP on some of the backward integra tion also available.
Sanjesh Jain: And from the Sudarshan perspective, this will also save the capex going forward because we have now lot of capacity available globally. That m eans the organic growth capex, which otherwise would have done, would be a saving for us .
Rajesh Rathi: Absolutely. I think within a year -- we would have utilized our own capacities within a year and 2. And we would have required a lot of capaciti es to be put in. In fact, if we needed to get to this size, probably we would have to put a green field plant because we wouldn't be able to do 3x of capex at this site, right? So definitely, sir, absolutely.
Moderator: The next question is from the line of Archit Joshi from B&K Securities Limited.
Archit Joshi: Sir, just one question on the funding part. So, the INR1,180 crores deal along with that close to INR925 crores, so we'll be potentially raising some thing north of INR2,000 crores. I just wanted to understand the time lines of this. Obviou sly, the acquisition money will be paid upfront, but this incremental capital infusion that we might require, would that be a part of the

current funding plan or that will happen over a per iod of time? This is just for bookkeeping purposes, if you can elaborate a bit on that.
Rajesh Rathi: We would plan for the entire finance in our master plan, but the funding would be required over the 1-year period, I would say.
Archit Joshi: Sure, sir. Just one small follow-up there. I think we already have some debt on our own books, close to INR450 crores. And would we have any numbe r in mind, let's say, 3 years down the line because this might take a while to not just in tegrate, but also start accruing benefits from the integrated entity. At what level of, let's say, gross debt-to-EBITDA, we might want to settle in a 3-year time frame?
Rajesh Rathi: Our current Net debt is in the range of INR350 cror es. And as I mentioned, our Board has always been conservative on this. And hence, it wou ld be funded through a mix of debt and equity. We would come back to you on more numbers o nce our silence period is over. And also, the Board has taken a decision on how we fund this.
Moderator: The next question is from the line of Jignesh Kaman i from Nippon Mutual Funds.
Jignesh Kamani: Just on the manufacturing side. So, you mentioned t hat you have 17 manufacturing facility across the 11 country. So, some of the facility mig ht be high cost in nature, be it high energy cost or high labour cost and everything. And it imp lies, you need to take some bold decision. So, as a part of the state where they operate or co untry they operate, is there a restriction or as part of the deal any restriction which will restric t your freedom to downsize the particular facility or even if you want to shut down or right size the employee?
Rajesh Rathi: As I mentioned, the only area where we look at is G ermany. Germany, we would be -- there was a continuous rightsizing of the sites in progre ss, and we will get a rightsized plant. We will inherit a rightsized plant when we close the deal. So, we don't see any major going -- after that, we see there will be minor adjustments, but nothing major from a restructuring perspective.
Moderator: The next follow-up ques

tion is from the line of Mad hav from Fidelity Investments.
Madhav: Just one follow-up on my side was, you also said th at SG&A is the key -- one of the important levers for synergy and margin expansion. Basically, could you give some more qualitative sense? Does that come from letting go of some peopl e at the acquired entity? And/or is it any sales force that we have an overlap? Where exactly versus SG&A synergy exactly come from? If you could give us some better sense.
Rajesh Rathi: Absolutely, sir. SG&A, first, is looking at the IT, right? The IT costs are quite high. The second is the entire back-end operations, wheth er it's finance, back end, HR, IT back end. So, these are the other levers. And of course, havi ng a lean efficient organization going forward and a very noncomplex, a very simple organi zation, So, these are some of the areas of the SG&A levels.
Moderator: Ladies and gentlemen, we'll take this as the last q uestion. I would now like to hand the conference over to the management for closing comme nts.

Nilkanth Natu: Thank you, Axis Capital, and thank you all the part icipants on the call. Thank you for joining this Sudarshan's call on the current acquisition an d we remain confident in our growth journey, and we remain confident in having your trust going forward. Thank you.
Moderator: Thank you. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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Call: Nov 2024

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5th November , 202 4

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Blo ck G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Scrip Code NCDs - 974058 Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call

We are enclosing herewith transcript of the confere nce call with
Analysts / Institutional Investors, which took plac e on Tuesday, 29 th October, 2024, after
announcement of the Unaudited Financial Results (St and-alone and Consolidated) for the
quarter and half year ended 30 th September, 2024.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You ,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited
Q2 FY'25 Earnings Conference Call”

October 29, 2024

MANAGEMENT : M R. RAJESH RATHI - MANAGING DIRECTOR
MR. NILKANTH NATU - CHIEF FINANCIAL OFFICER
MR. AMEY ATHALYE - GENERAL MANAGER , FINANCE
MODERATOR : M R. NITESH DHOOT , DOLAT CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to Sudarshan Chemical I ndustries Limited Q2 FY'25 Earnings Conference Call hosted by Dolat Capital.
As a reminder, all participant lines will be in a listen- only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you nee d assistance during the conference call, please signal an operator by pressing the " *" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Nitesh Dhoot from Dolat Ca pital. Thank you and over to you, sir.
Nitesh Dhoot: Thank you, Steve. Good morning, everyone. On behalf of Dolat Capital, I would like to thank the management of Sudarshan Chemical industries for giving us the op portunity to host their Q2 FY'25 Earnings Conference Call.
From the Management Team, we have with us today Mr. Rajes h Rathi, Managing Director, Mr. Nilkanth Natu, Chief Financial Officer and Mr. Amey Athalye, General Manager, Finance.
Without further ado, I would like to hand over the call to the “M anagement for their Opening Remarks,” post which we will open the forum for a “Q&A Sess ion.” Thank you and over to you, sir.
Nilkanth Natu: Thank you, Dolat Capital and Mr. Nitesh for hosting Our Earni ng Call.
Good morning, ladies and gentlemen. Welcome to Sudarshan's Q 2 FY'25 Evenings Conference Call.
Our Investor Presentation has been uploaded on the stock exchange s for your ready reference.
During the call, we could make forward-looking statements. These statements consider the environment as we see as of today and carry risks and uncertainti es that could cause our actual results to differ from those expressed in today's call. We do not unde rtake to update any forward-looking statements made on this call.
I would like to take you through the “Financial Highlights”:
On an overall basis, there has been robust growth in the top li ne and recorded highest ever pigment sales in Q2 as well as H1 FY'25. The robust performance i s also reflected in the higher gross margin as well as EBITDA margin.

Coming to the “Quarterly Performance”:
On a consolidated basis for the quarter, total income fro m operation stood at Rs.696 crores as compared to Rs.601 crores for the same period last year, higher by 15% year-on-year.
EBITDA for the quarter stood at Rs.94 crores compared to R s.66 crores in Q2 FY'24 and EBITDA margin stood at 13.6% compared to 10.9% over the same period la st year.
On a half yearly basis, total income from operations stood a t Rs.1,330 crores versus 1,209 crores in the same period last year, a growth of 10%. EBITDA for H1 i s at Rs.175 crores versus 135 crores last year and the margin is at 13.2% versus 11.2% over the sa me period last year.
Now, going into the “Details of our Pigment Business”:
Coming to the Pigment business:
I am glad to report that we have achieved the highest ever quar terly revenue and EBITDA.
This is the seventh consecutive quarter where the top line has grown on year-on-year basis and EBITDA margins are now closer to 16%. Our go-to-market st rategy has resulted in increase in the export revenue and we also see growth across all the major int ernational geographies.

There is a strong traction in the new products business as wel l.
For the Q2 FY'25, income from operations stood at Rs.660 cro res as compared to Rs.522 crores for the same period last year, a growth of 26% year-on-year. On a sequential basis, revenue is higher by 12% compared to Rs.589 crores of Q1 FY'25.
During the quarter, we have delivered robust export sales of Rs .360 crores as compared to Rs.250 crores, higher by 44% year-on-year.
On a s

equential basis, export revenue is higher by 20% compared t o Rs.302 crores of Q1 FY'25.
We have seen growth across geographies with contribution co ming from Europe, North America and Southeast Asia. With higher growth from the international geogr aphies, the export-domestic mix stands at 55%-45% compared to 47%-53% in the same period la st year.
India sales for the quarter is at Rs.300 crores, higher by 10% as compared to Rs.272 crores in the same period last year. On a sequential basis, India sale s continue to deliver consistent growth and sales is higher by 4% compared to Rs.287 crores of Q1 FY'25.
Speciality Pigment sales stood at Rs.457 crores as compared to Rs.362 crores for the previous year same quarter, 26% year-on-year growth. On a sequential basis as well, the revenue has grown by 13% as compared to Rs.403 crores of Q1 FY'25.

Non-Speciality sales for the quarter stood at Rs.202 crores , which is higher by 26% compared to the same period last year, and on a sequential basis, the revenue i s higher by 8% compared to Rs.187 crores of Q1.
The gross margin of pigment business for the quarter is 47.8% as against 44.8% for the same period previous year and compared with the sequential quarter, gross margin has marginally gone up from 47.2%.
EBITDA for the quarter stood at Rs.105 crores as compare d to Rs.67 crores for the previous year same quarter and the EBITDA margin is at 15.9% as compare d to 12.8% over the same period last year. On a sequential basis, EBITDA is higher by 60 basis points.
In H1 FY'25, the total income from operations for the pig ment business stood at Rs.1,249 crores versus Rs.1,058 crores in the same period last year, a gr owth of 18%.
EBITDA for H1 is at Rs.195 crores versus Rs.131 crores l ast year and the margin is at 15.6% versus 12.4% over the same period last year, thereby increase of 3 .2%.
Now, coming to the “Balance Sheet”:
The balance sheet of the company continues to strengthen with he althy business operation. The net debt of the company has reduced further to Rs.359 crores in Q2 fr om Rs.445 crores in Q2 of FY'24 and Rs.375 crores in Q1 FY'25. This has also resulted in improving the leverage ratio of 0.3x in Q2 compared to 0.4x in Q2 last year.
The working capital cycle continues to be managed efficiently. The cash conversion cycle is down to two days to 80 days in Q2 FY'25, while it is higher by seven da ys compared to the sequential quarter Q1, mainly due to planned increase in the inventory.
To summarize, the CAPEXs which we have built over the peri od has started showing the results and getting reflected in the financial performance. We have now pos itioned ourselves to provide a wider basket of the product to the customer globally. We are conf ident in our growth journey, and we are committed to delivering long-term value to our stakeholders.
With this, we now open the floor for question-and-answer sessi on. Thank you.
Moderator: We will now begin the question-and-answer session. The first question is from the line of Rohit Nagraj from Centrum Broking. Please go ahead.

Rohit Nagraj: Sir, first question is on the engineering business. Now, g iven that the pigment business has been showing robust growth in terms of both top line as well as margins , do we have now plans and given that we are now going for acquisition of Heubach, are there a ny plans of hiving of the engineering business given that's driving the overall margins and performance ?
Management: Sir, It's a great question. The board has taken a strategic v iew of building this business,. So, the transformation journey for this has been launched as we speak a nd give us one year. I think this business will also show good robust numbers.
Rohit Nagraj: In our presentation

on slide #19, we have given the outlook for FY'25 a nd beyond where in the first
column we have talked about the CAPEXs program to drive future growth and bring in EBITDA
improvement. Just clarification. Will there be any increm ental CAPEXs or once that we have done,
that is going to drive the incremental improvement?
Management: Rohit, thanks for the question. So, the clarification here is there will not be any new incremental
CAPEXs. The CAPEXs program which we had initiated in the past, was completed in FY'23.
As I mentioned in my opening remarks, we are seeing a good tr action for our new products which
has been launched in the market and we see that these new product s and the CAPEXs will contribute
going forward.
Moderator: The next question is from the line of Rajesh from Alfa Ac curate Advisors. Please go ahead.
Rajesh: I am just trying to understand that with what I would s ay consolidation in the number of industry
players, do you expect that the pricing power which has been hit significantly, because if I look at
the global companies P&L, most of them are operating at ze ro margins, do you think now there is a
some pricing power which will prevail and that can lead to better profitability? That's number one.
Number two, considering that lot of time which has been spen t in getting the approvals, do you expect
the CAPEXs which has been done, the asset utilization to improve and the asset turn can improve
over next 12 to 18 months?
Management: Thank you for your question, sir. I think the first thing is tha t some of the pigment companies have
not been doing well and Sudarshan had a different position in the market and one of the most value-
creating companies I think in the pigment segment and that wa s because of some of the principles
we followed. And I think it's going to be important that we continue and build the new organization
based on these principles: One is customer centricity. So, how do we be not inward looking and be
more customer focused and what are the areas where we wan t to focus on. And the second is a very
lean organization based on principles, and very much looking at w hat are the overheads we are
building, how do we streamline the SG&A costs, etc., So, I think the first, in building a profitable
company, I think it will be more on focusing on the cost side ra ther than on the pricing side.

Rajesh: But in last three to four years, do you think the pricing by and large would have reduced?
Management: No, sir, there are always segments of market, but the se gments which we play in, I don't think the
pricing has reduced.
Rajesh: Can you also answer my second question, which is about the asset turn improvement?
Management: As we had mentioned, our CAPEXs plan to achieve the whole was four years. So, anywhere between
three and four years was our plan and that's what we will t ry and achieve.
Rajesh: So, where are we in that, I mean, so basically, almost I think 24 months have been passed and
CAPEXs was happening every year, correct, from FY'19, FY'20 , FY'21. So, I am saying in that
journey where are we in -?
Management: I think we are about, let's say between one and two years, in that journey. So, we are in the mid 18
months.
Rajesh: By when you think you'll be doing the QIP through this resolution whic h was passed through to fund
this acquisition, by when you think that will be done?
Management: So, the QIP-related, the procedure will be followed as per the regulatory guideline.
Moderator: The next question is from the line of Arjun Joshi from B&K Securities. Please go ahead.
Arjun Joshi: I have two questions. Firstly, on the reported exports growth, which has been quite robust for this
quarter, I just wish to ask if this growth is driven by any p roduct-related or customer-related issues
that buyback might be facing at the global

level and there has be en a natural shift towards us in terms
of garnering that market share from them because we are going to be a unified entity sooner or later,
or is there any other green shoot in a particular industry or segment that we are witnessing, which is
the reason why there has been a strong export growth?
Management: This was a planned growth, right, given the new capexes . these were all oriented more towards the
international markets and that's where you see this growth com ing.
Arjun Joshi: Any particular industry that is aiding to this strong growth in exports? I am just clarifying that this is
not because of the buybacks issue, right, not any market share gains coming from buyback to us.
Management: So, this is mainly the coatings and plastics market, which we are gaining and there are headwinds in
the general industry, which has also helped building this. Nothi ng very particular to, I would say, but
general I think headwinds in the industries which are favorable for us.

Arjun Joshi: My second question is on the capital structure. I think from wh at we heard from you all during the
last con call is that we'll need somewhere close to 900 , 1,000 crores of incremental CAPEXs for

refurbishment, legal cost, etc., and we have obviously mad e an announcement towards raising 1,000 crores plus 250 crores with the green shoot option. That le aves us with another 1,000 odd crores left, right, to fund the entire acquisition along w ith further CAPEXs. Are there any plans beyond what we have announced on the QIP end, would we be looking to sell maybe the EPC business or maybe any spare land at our disposal or would this be ent irely funded through debt, if you can just help us outline the capital structure for this f undraise?

Management: There will not be any further plan to increase the equity b eyond what we had mentioned as far as our QIP issue is concerned. That is point one. Second is, as Mr. Rajesh Rathi mentioned in the opening question, as management, we have taken the decision to transform the Rieco business and build this business. So, currently there is no plan right now of monetizat ion of that particular asset and there is no spare asset like land, etc., available for monetization.

Arjun Joshi: So, would it be fair to assume the balance amount will be all funded through debt if one were to build in some numbers if you can just give some clarity on that acc ount?

Management: Yes.

Moderator: The next question is from the line of Noel Vaz from Union As set Management. Please go ahead.

Noel Vaz: It's mentioned that the current market for pigments is abou t $8.6 billion. So, relevant to Sudarshan. So, with the potential acquisition from Heubach, are we l ooking at market share being closer to about 30%-odd or 25%, how should we think about that?

Management: So, I think the organic pigment market is about I would say 5 billion and the balance you would include the inorganic, etc., right. So, from that perspective if you look at the market share, it would be about 20% going forward.

Moderator: The next question is from the line of Sanjay Jain from ICI CI Securities. Please go ahead.

Sanjay Jain: First is on the operating leverage in the pigment busine ss. You said that there is 400 basis points YoY improvement in the gross profit and there is another 400-basis poi nts improvement under EBIT level. We are not seeing the operating leverage playing out in the margin and even if I look at the other expenses that inflation remains quite steep. Can you help u s understand what is driving such a sharp increase in the other expenses?

Management: So, if you look at the other expenses, it is a combination of two, three cost levers. One is the manufacturing related cost. Second is the selling variable related cost an

d the small portion remains is on the admin or fixed cost. Predominantly, this other expens e has been on the higher side as far as the manufacturing and selling variable cost is concerned. With t he increase in sales and with the increase in the volume, it gets also translated into the pr oduction-related cost going up which is in line with the manufacturing volume and the sales increase gets reflected in the selling variable cost. So, with this, we see that this percentage should be more or less in this line and that is the reason how we are looking at EBITDA margin increasing in line with in creasing the gross margin.

Sanjay Jain: You are telling that there is absolutely no operating leverage because you say that the percentage remain static and it has been static till now as well. We are telling that there is no operating leverage in the business on the manufacturing side. I thought ETP and all we run continuously. That cost should not rise to equivalent, again utility cost should not be propor tional, admin costs should drive certain operating leverage, but clearly none of them are vis ible to that. Why would sales and marketing costs will go up similar to the gross profit?

Management: Sales cost will go up due to the freight, the freight and the commission which is related to the domestic sales part. So, to that extent those will be in line with the increase in the sales.

Sanjay Jain: Second is on the Rieco. Can you help us understand when you s ay we are in the process of transformation, what actually we mean in terms of transfo rmation, which does it involve more investment, what are we really trying to achieve when we say we are in a transformation of it?

Management: I mean, there's no investment envisioned. We are strengt hening that organization and business processes so that the numbers are more consistent, and we impr ove the numbers.

Sanjay Jain: No product changes, no product improvement, where are we reall y focused on? We are telling the only organizational, there's a problem right now in Rieco and r est of all in the place?

Management: There are a lot of levers in how the transformation takes p lace. To answer your question, obviously, there is no new investment we need. I think what we need is to execute our projects well and the entire process it's a project-based business so ensuring that any cost runs, are adhered to etc., So, there are several levers which today I can't tell you, but basi cally it's more on the executions areas. We believe that Phase-I whatever business we have, how do we deli ver better and get better value and then looking at any other diversification in that business.

Moderator: The next question is from the line of Dhavan Shah from AlfA ccurate Advisors. Please go ahead.

Dhavan Shah: So, my question is on the export side. I think you mentioned tha t because of the better growth in the coating and plastic, we did some good revenues in the export business. So, I just wanted to understand, I mean, is this largely because of the inventory fi lling in the system due to restocking or is it like the genuine demand in the end segment? How do you s ee inventory and the demand situation for our type of pigment in the export business?
Management: Just to clarify, sir, I didn't say that the markets are g rowing. This was what we aim to deliver through our CAPEXs projects, and transformation of our sales area. S o, that was the crux area and our CAPEXs program has now started delivering, which was foc used mainly on the coatings and plastics area and that's where we are seeing growth.
Dhavan Shah: So, exports were for the products which we were not manufacturi ng earlier and the competitors were there in the international business. So, we are getting the market share of those products, is that correct?
Management: Absolutely. This was the synthesis of getting into more sp

eci alties and doing the whole CAPEXs program.
Dhavan Shah: What is the market size of this coating and plastic in int ernational business and how much would be our addressable market? And based on 750 crores of CAPEXs what we did, how much revenue do you expect from these two verticals in the export business?
Management: As we've been giving guidance to the market, we expect the 750 Cr capex to deliver about in three to four years, with a potential of about 1,500 Cr revenue.
Dhavan Shah: And how much of that have we already done, I mean at this 360-odd crores kind of the revenue, how much asset turn at this moment if we annualize it becaus e there was earlier base business also was doing some revenue, right?
Management: Like we said, we are into this process to acquire 100% ut ilization. We would take three to four years. We are on the mid-mark. We have completed about 18 months in this journey.
Moderator: The next question is from the line of Rohit Nagraj from Cen trum Broking. Please go ahead.
Rohit Nagraj: There is an exceptional item regarding the fees related t o a transaction. So, have we accounted for all the fees or will it be carried forward over a period of tim e till the entire transaction is not consolidated and what could be the quantum for this?
Management: So, Rohit, the exceptional cost which we have reported, are the costs which are incurred in Q2 for this particular transaction, majorly on account of legal fe e and due diligence cost. We don't comment on the quantum till the time that the transaction is closed .

Rohit Nagraj: But there will be incremental cost which will come as a nd when the transaction is concluded, right?
Management: Yes, there will be incremental cost as and when we move a head in the transaction.
Rohit Nagraj: I am not too sure whether I should ask it from the Heubach per spective, but given that we had also explained in the earlier call that for domestic business, w e will not be doing any investments given that it has already been done. So, given that Heubach is also probably operating at relatively lower utilization levels, can we expect that for the next maybe thre e to five years, there may not be material investment from capacity increase perspective, however, it c ould be primarily because maybe some refurbishment and maybe some maintenance cost associated t o Heubach facilities?
Management: Absolutely well said, sir. At least three years, we don't s ee any major CAPEXs coming in. And as we mentioned, whatever CAPEXs is in the three years would be regular in nature in terms of maintenance, etc.,
Moderator: The next question is from the line of Jignesh Kamani from N ippon Mutual Fund. Please go ahead.
Jignesh Kamani: Just one Specialty segment, so if you take about export grew by around 44 percentage and generally export is slightly more you can say on the Specialty segme nt versus domestic. But if I look at the Specialty and the non-Specialty growth both is around 26 percentag e. So, why export higher growth rate is not reflected in the Specialty. So, are we not s elling more of Specialty in export at this point in time?
Management: Can you please repeat your question, sir once again?
Jignesh Kamani: So, export grew by 44% for us and generally export is very heavy o n the Speciality compared to the non-Speciality mix. But when I look at the Speciality and non-Sp eciality growth, it is almost 26 percentage, there is no additional higher growth in the hospita lity. So, just want to understand more of the commodity grade in the export we can say because Special ty growth is not reflective of the export growth?
Management: No, Sir, I think the Specialty growth for exports is good too, because it's all CAPEXs driven.
Jignesh Kamani: Second is on the operating leverage which earlier Sanjay has asked, so if you take about based on the

EBITDA margin and the

gross margin you mentioned on the pi gment division, we used to have close
to around 160 crores kind of quarterly cost you can say last quarte r which increased close to around
210 crores for this quarter on the pigment division. So, almo st 26% growth in the overhead cost you
can say and even if you compare QoQ it is almost 12% incre ase in our cost. So, why the overheads
everything is increasing drastically in pigment division?

Management: Sir, first of all, it is not the overhead. So, if I s ee the quarterly numbers, the consolidated number for
the other expenses which I mentioned, which is the combina tion of manufacturing, selling and other
cost is at 176 crores compared to 158 crores. So, it is not th e number which you are referring. And
as I mentioned that majority of this part is linked with the manufacturing production activity as well
as the sales activity. Since we have seen growth in the sales number, which also gets translated in our
production volume and utilization we see the cost getting incre ased in that line.
Jignesh Kamani: But like your pigment, sale has grown up by around 26% YoY whi le your overhead has grown by
26% YoY. So, there's no benefit of leverage you can say?
Management: Sir, it is not overhead again. So, it is the expenses which are related to the freight, commission, the
manufacturing cost related expenses. So, it has been in li ne with the increase in sales.
Jignesh Kamani: So, incrementally, also, whatever the growth in the revenue, we'll see similar kind of growth in the
cost item also, right?
Management: What you are saying is to some extent.
Moderator: The next question is from the line of Aditya from Security Inv estment Management. Please go ahead.
Aditya: This 26% growth which you're witnessing in the pigment divis ion, what would be the share of volume
and price mix for this 26%?
Management: So, the prices have been quite stable, but we don't split up the volume, etc., right now in a public
forum. But directionally I am saying that the pricing has now been stabilized.
Aditya: Last year there was raw material deflation, and the ma rket was also not doing good and the prices I
believe at a rock bottom. So, why haven't we seen an increas e in pricing of our end products?
Management: We are not able to follow your question, sir.
Aditya: Last year there was raw material deflation, which was i mpacting the end prices, and the market was
also not doing that great because of which the end product prices for our products were quite low.
So, we haven't seen any improvement from those low prices.
Management: The prices of raw materials remain to be the same si r. I have not understood why are you assuming
that the prices have increased.
Aditya: This strong growth which you witness is majorly due to volumes onl y?
Management: Yes.

Aditya: This strong volume growth, this is majorly because we have ga ined market share from our
competitors, or the end marketers also started improving in the export markets?
Management: As I explained earlier, sir, that our whole CAPEXs inves tment was for Specialty products targeted
towards the global coatings and plastics market, and that's playing out now, right?
Moderator: The next question is from the line of Tejas Sonawane from A sian Market Securities. Please go ahead.
Tejas Sonawane: I have two questions. Firstly, the exceptional that is re ported in our quarterly numbers, the notes
which are there, mentioned below the quarterly result which kin d of is the net amount which you
have kind of recorded which is net of the gain which you have re ceived from the sale of the old land
and the expenses which have incurred. So, correct me if I am wrong over here. So, the expenses
which you have incurred for Heubach transactions are close to 325 crores net of which we have

reported close to 11 crores of loss for this quarter?
Management: If you see the exceptional item line under note number 7 and 8, so note 7 gives reference to the
exceptional gain on account of the land sale, which we had done in the last year April '23 and that is
during the financial year '24. So, that transaction of 315 crore s is for land sale and currently the 11
crores which is reported for the quarter under consideration i s related to the cost in relation to this
definitive agreement entered on Heubach. So, these are tw o separate transactions.
Tejas Sonawane: Secondly, just wanted to ask you if you could provide us at l east some sense as to the Heubach group,
whether their EBITDA operating profit is on the positive si de or the negative side for CY'23?
Management: So, from a confidentiality and antitrust perspective, we c an't comment on their numbers currently.
Moderator: The next question is from the line of Rohan Patel from Turt le Capital. Please go ahead.
Rohan Patel: I just want you to share me with data points related the volume growth that for Q2 as well for first

half for domestic and export and Specialty, non-Specialty if y ou can provide that?
Management: So, Rohan, from a competitive perspective, we don't provi de these numbers.
Rohan Patel: If you can just give us an idea for the domestic revenue for half year which has grown 10% and export revenue which has grown 27% year-on-year, how much would tha t be from volume and how much would that be from price like, it would be more dominat ed by volume if you can give us any idea?
Management: Yes, it's the same question, sir. We can't give you volume, but like I mentioned, prices are quite stable now.

Rohan Patel: So, you are just referring that now it has bottomed out and now it's stable, now we cannot see anymore going down?
Management: Yes.
Rohan Patel: Can you share your perspective regarding phthalocyanine market like what are the trends and how the market is on year-on-year basis?
Management: I think as a company we do have that business, but we are spre ad across. The Phthalocyanine business is a very competitive business. There is overcapacit y in that business.
Moderator: The next question is from the line of Sabyasachi Mukherji from Bajaj FinServ. Please go ahead.
Sabyasachi Mukherji: Two questions. One is on the export side; we have seen very good growth this quarter and last few calls you were saying that there is an increase in custo mer enquiries and good possibility of shortening of approval cycle and all. Any update you can share, have there been conversations, any progress, anything on this thing if you can share?
Management: So, the progress is seen in our numbers and as I mentioned that our CAPEXs program has started yielding results and that's how we are seeing this growth.
Sabyasachi Mukherji: How do you see the rest of the year pan out, I mean, is the m omentum containing or do you foresee any challenges ahead?
Management: So, I think going forward, we don't see any major challenges but w hatever our average growth so far has been, I think we should be able to deliver those numbers on the half year.
Sabyasachi Mukherji: Second question is on this fundraise, will the promoters par ticipate?
Management: Can't comment on that currently. I think we are going thr ough the process right now.
Moderator: We have a next follow up question from the line of. Sandeep A bhange from LKP Securities. Please go ahead.
Sandeep Abhange: So, I wanted to understand the overall growth in the exports. So, how is the market looking over, what is your view on the export, you see this kind of a growth on a sustainable basis because see we have done the kind of CAPEXs and we are kind of trying to achie ve our targeted growth maybe in the Speciality market, so do you see this growth sustainable goi ng forward or how do you see it

, if
you can comment on this particular export growth?

Management: I think the CAPEXs program is yielding good results. I think a lot of our customers are looking at, initial trials are over, we have commercialized a few businesses. Going forward, we do expect growth in terms of I would say between somewhere in the mid-teens, numbers and I think that's how we should be able to do this.
Sandeep Abhange: Secondly, I wanted to know with the kind of revenue target whic h you had earlier given in your CAPEXs plan that you will be achieving between 3,200 to 3,600 kind of revenue by '26 and '27, just wanted to understand you're already almost inching up towards 3,000 crore s kind of a revenue for Sudarshan. So, are we expecting like a faster reach towards that target in the next coming one or two years, how do you see only on the Sudarshan's part like standalone basis?
Management: On the standalone basis, sir, our guidance was that the 750 cr ores capex, should give us about 1,500 crores revenue between three to four years of a time. Sinc e the Europe market and some of the other markets are recovering slightly, somewhere between three and four years, yes, we should achieve it.
Sandeep Abhange: When would we expect the integration for back end Sudarshan in terms of the financial?
Management: I think the closing should happen somewhere in our Q4. And after t he closing, the integration process will begin.
Moderator: The next question is from the line of Dhavan Shah from AlfA ccurate Advisors. Please go ahead.
Dhavan Shah: My question is again on the export side. You mentioned that we d id CAPEXs of roughly 750-odd crores and the peak revenue would be 1,500-odd crores. So, out of that, what would be the share of this coating and plastic in the overall pie and if you can share the global market size out of this $5 billion of the global addressable market, what would be this co ating and plastic market or maybe

what could be a different market for our products in those two segments?
Management: So, I think the majority of this 1,500 crores should come from c oatings and plastics. And the rough number, I don't recall, but about I would say $3.5 billion dolla rs should be the market for the coatings and plastics.
Dhavan Shah: The products what we are selling right now, out of this $3.5 bi llion, what could be the market, I mean there the competitors are also selling, right, so what woul d be the market of those products which we are selling right now?
Management: As I mentioned, sir, overall basis, there are a few che mistries which we don't do for the coatings and plastics. But I mean we are covering majority of the spectru m of the market. There'll be exceptions, but overall perspective.
Moderator: The next question is from the line of Noel Vaz from Union As set Management. Please go ahead.

Dhavan Shah: Just one follow up on the acquisition that can happen. So, the thing is that as it currently stands domestically, we have over 35% market share. Will there be some potential issues that could pop up because of anti-competitive rules in any specific geograp hies or even domestically?
Management: So, we are going through the antitrust filings, but I think w e have quite a complementary product portfolio from that perspective. But the process is being foll owed vigorously currently by a regulation.
Moderator: The next question is from the line of Rohit Nagraj from Cen trum Broking. Please go ahead.
Rohit Nagraj: Again, on the Rieco front, sir, in last four years from th e revenue front it has done extremely well and you said that there is a strategic focus on the same. J ust one clarification. So, the EBITDA margins of Rieco had been sub-10%. So, is it possible that once i t attains a particular size and based on our strategy it can reach the marg

ins of the pigment busines s or will it be always lower margin business than the pigment business?
Management: So, the first phase is to get into the low teens and have i t consistent. So that our processes are robust. I would look at it from a first phase of this. The second phas e, whether we can go in the mid teens, etc., I think that answer we can't give today sir, but firs t focus would be that to reach there.
Moderator: Ladies and gentlemen, that was the last question for today' s conference call. I would now like to hand the conference over to the management for their closing com ments.
Management: Thank you, Steve, thank you, Nitesh Dhoot and Dolat Capital, and thank you participants for your time and interest in Sudarshan Chemical. We remain confiden t in the long-term prospect of our business and we look forward to engaging with you again in fu ture and we also wish all of you a very happy and prosperous diwali. Thank you.
Moderator: On behalf of Dolat Capital, that concludes this conference. Th ank you for joining us and you may now disconnect your lines.
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Call: Feb 2025

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Corporate Identity No.: L24119PN1951PLC008409

24th February, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Scrip Code NCDs - 974058 Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam,

Sub : Transcript of Analysts / Institutional Investors Conference Call

We are enclosing herewith transcript of the conference call with Analysts / Institutional Investors, which took place on Monday, 17th February, 2025, after announcement of the Unaudited Financial Results (Stand-alone and Consolidated) for the quarter and nine months ended 31st December, 2024.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You,
Yours Faithfully ,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

Encl. As above.

“Sudarshan Chemical Industries Limited Q3 & 9 Months FY25 Earnings Conference Call”

February 17, 2025

RAJESH RATHI: MR. RAJESH RATHI - MANAGING DIRECTOR,
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU - CHIEF FINANCIAL OFFICER,
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. AMEY ATHALYE - GENERAL MANAGER, FINANCE,
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MODERATOR : MR. SANJESH JAIN - ICICI SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to Sudarshan Chemical Industries Limited Q3 and 9 months FY25 Earnings Conference Call hosted by ICICI Securities.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sanjesh Jain from ICICI Securities. Thank you and over to you, sir.
Sanjesh Jain: Thanks, Manav. Good afternoon, everyone. Thank you for joining on Sudarshan Chemical Industries Limited Q3 and nine-month FY25 Results Conference Call.
We have Sudarshan Chemical Management on call represented by Mr. Rajesh Rathi – Managing Director; Mr. Nilkanth Natu – Chief Financial Officer; Mr. Amey Athalye – General Manager, Finance.
I would like to invite Mr. Nilkanth Natu to initiate with the opening remark, post which we will have a Q&A session. Over to you, Nilkanthji. Thank you.
Nilkanth Natu: Thank you, ICICI Securities and Sanjesh Jain for hosting our earnings call. Good afternoon ladies and gentlemen. Welcome to Sudarshan's Q3 FY25 Earnings Conference Call. Our Investor Presentation has been uploaded on the Stock Exchange for your ready reference.
During the call, we could make forward-looking statements. These statements consider the environment as we see as of today and carry risk and uncertainties that could cause our actual results to differ from those expressed in today's call. We do not undertake to update you, update any forward-looking statement made on this call.
Now taking you to the financial highlights on the quarterly performance:
On a consolidated basis for the quarter, total income from operations stood at Rs. 666 crore as compared to Rs.566 crore for the same period last year, the growth of 18%. EBITDA for the quarter stood at Rs.79 crore as compared to Rs.62 crore in Q3 FY24. EBITDA margin stood at 11.9% as compared to 10.9% over the same period last year.
On the 9-months performance:
The total income from operations for the 9 months ended December 24, stood at Rs.1,996 crore vs. Rs.1,775 crore in the same period last year, reflecting a healthy growth of 12%. EBITDA for the period at Rs. 254 crore vs Rs. 197 crore last year and EBITDA margin is at 12.7% versus 11.1% over same period last year.

Now going into the details of our Pigment Business:
For Q3FY25, income from operations stood at Rs. 601 crore as compared to Rs. 521 crore for the same period last year, growth of 15% year on year. This is the 8th consecutive quarter of sales growth on a year-on-year basis. Seasonally Q2 is always strong quarter while post festive India demand and calendar yearend at the international geographies has translated into the softer Q3. The EBITDA from the pigment business has been Rs. 79 crore as Rs. 69 crore in Q3FY24.
During the quarter, the export sales stood at Rs. 315 crore as compared to Rs. 244 crore, higher by around 29% year on year.
During the quarter, we have seen healthy growth from the couple of large regions in the market. The export market continues to grow with the share of pie increased at 52% in Q3FY25 vs 47% in the previous year. India's sale for the quarter is at Rs. 286 crore higher by 3% as compared to Rs. 278 crore in the same period last year due to the muted demand from the coating segment.

Specialty pigments sales stood at Rs.416 crore as compared to Rs.358 crore for the previous year same quarter 16% year on year higher. Non-specialty sales for the quarter stood at Rs.186 crore which was higher by 14% as compared to the same period last year. Gross margin of the

pigments business for the quarter has remained flat to 45.2% as against 45.5% for the same period last year. In YTD FY25, the total income from operations for the Pigment business stood at Rs.1,850 crore vs. Rs.1,579 crore in the same period last year, a growth of 17%. In EBITDA for the 9 months at Rs.274 crore vs. 200 crore last year and EBITDA margin is at 14.8% versus 12.7% over the same period last year, thereby increase of 210 bps. The export has grown from Rs. 765 crore to Rs. 977 crore with the growth of 28% while the domestic sales have grown from Rs. 816 crore to Rs. 873 crore with the growth of 7%

Now coming to the balance sheet:

The balance sheet of the company continues to remain healthy. The net debt of the company has reduced to Rs. 362 crore in Q3FY25 compared to Rs. 434 crore of the last year Q3. The reduction in debt has resulted in improving leverage ratio to 0.3x in Q3 as compared to 0.4x in Q3 of the last year. The working capital cycle continues to be managed efficiently. Cash conversion cycle is lower by 4 days to 80 days in Q3FY25 and remain in the same range during the year.

Now coming to the Engineering business:

Rieco performance for the quarter compared to H1FY25 has shown improvement due to the execution excellence and control on the cost. The revenue for the quarter is at Rs. 65 crore compared to Rs. 45 crore last year, increase of 44%. EBITDA for the Q3FY25 is at breakeven compared to the negative EBITDA of Rs. 7 crore same period last year. We have initiated the transformation project to turn around Rieco business into sustainable profitable business and we expect this turnaround will be visible and will benefit of the same is expected over next 18 months to 24 months.

I would also like to update you on the status of the acquisition transaction:

Post Q3FY25, we have completed equity fundraising via qualified institutional placement and preferential allotments. Despite challenging secondary market, the QIP order book demand was healthy and we take this opportunity to thank our investors for their confidence in Sudarshan growth story. Equity financing raised along with the debt financing will be used towards the proposed acquisition of Heubach Global Pigment business. We have received all the antitrust approvals and we are making constructive progress to consummate this transaction by March 25. The company has incurred the acquisition and integration related cost of Rs. 41.9 crore in the current year and the same is being presented as an exceptional cost in the profitability statement.

To summarize:

We are confident in our growth journey and are committed to deliver long-term value to our stakeholders.

With this, we now open the floor for question-and-answer session. In this Q&A session, we request everyone to restrict the questions related to Q3FY25 financial performance. Thank you.

Moderator: Thank you so much, sir. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press '*' and '1' on their touchtone telephone. If you wish to withdraw yourself from the question queue, you may press '*' and '2'. Participants are requested to use handsets only while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity. First question is on the financials. So if I look at the pigment segment sequential EBIT as well as other engineering of the Rieco segment EBIT, both have improved QoQ. However, we have seen that the EBITDA and EBIT, which is in the reported consolidated numbers, it has declined sequentially by about 16% and 27%. Could you just help us with why this anomaly is there?

Nilkanth Natu: Rohit, can you please repeat your question once again?

Rohit Nagraj:

Yes, in the segmental revenues, if I look at the EBIT of Pigment as well as the other segment, sequentially that is Q-on-Q, from 2Q to 3Q, it has improved. The Pigment segment, EBIT has improved by almost 27%, while the other segment losses have reduced. But if I look at the EBITDA for Q2 and Q3, there is a decline. So just wanted a little more understanding why it has happened. Or even the EBIT has also declined. And if I consider the exceptional item, I will show that it is below EBIT.

Nilkanth Natu: So Rohit, if I see the segmental revenue which is given as a part of our notes, correct? Now if I break this down between the pigment and the engineering business, yes you are correct, the engineering business, the revenue sequentially has grown to Rs. 65 crore from Rs. 36 crore and as far as the EBIT is concerned, it is negative Rs. 1 crore compared to negative Rs. 11 crore in Q2. So there is a sequential, there is improvement. As far as the pigment results are concerned in terms of the EBIT, the revenue, as we mentioned, has come down to Rs. 601 crore. And this has been reflected in our EBIT segment result, which is at around Rs. 48 crore compared to Rs. 74 crore. And that is getting translated into EBITDA, Rohit.
Rohit Nagraj: Correct, segment EBIT was Rs. 38 crores, if I am not wrong, in Q2 and this quarter it is Rs. 48 crores, if I remember right. However, if you look at the EBIT on the consolidated reported numbers, it has come down sequentially, even the EBITDA has also come down sequentially. Just in terms of the EBIT, considering on a QOQ basis in the segmental reporting, it has improved, but on the consolidated basis, it has declined. So I just wanted to have your perspective.
Amey Athalye: You are comparing standalone results versus consolidated results?
Rohit Nagraj: I think it is consolidated only. Maybe otherwise I will take it offline.
Amey Athalye: Okay.
Rohit Nagraj: The second question in terms of individual consumer or user segments, how has the demand been during this quarter? Whether we have seen improvement or deceleration just from coatings, polymers and etc. ?
Rajesh Rathi: I think if you look at the two markets in India, in India we have seen Q3 is generally a softer quarter in general for the whole business. In terms of Q3, especially on the coating side, we have seen softer demand, also inventory destocking has taken place. That's why Q3, in coatings we saw a weaker demand. In terms of overseas, I think our new products are getting good traction and we are able to gain good share there. That's been the general.
Rohit Nagraj: Yes, and other polymers as well as the polymers etc. segment?
Rajesh Rathi: I think those have been fairly good. They have been doing okay.
Rohit Nagraj: Okay, and both in domestic as well as international markets?
Rajesh Rathi: Yes.
Rohit Nagraj: Fair enough. I will get back in the queue. Thank you.
Moderator: Thank you. We have our next question from the line of Ankur Periwal from Axis Capital. Please go ahead.

Ankur Periwal: Thanks for the opportunity. First question on the pigments business. So if I look at our gross margin, and I am referring to slide #11 on the presentation. So if I look at pigments business, the gross margin has sort of dipped on a quarter-on-quarter basis, and there is a decline in the EBITDA margin as well. While I understand that one should not look at this business on a sequential basis, but the upward trajectory in margin that we were seeing in first half. In the second half, we are largely flattish on a year-on-year basis in terms of gross margin. Any specific reason to highlight here?
Rajesh Rathi: Ankurji, generally our business has taken an upswing where the product mix change has helped us improve our gross margins which used to be probab

ly in the 43 range and below, which is now moving north of 45. I think we should be now in the range of 45 plus in the times ahead due to a product mix change. Obviously quarter on quarter, things will keep changing depending on what's the product mix, which customers have bought, etc., and how this has panned out, So I wouldn't be too concerned on the gross margin area. On the EBITDA bit, of course, few things we had to add in some extra resources to plan for the new growth which is coming up and also a few expenses which we had to incur also on the extra bit and generally December is also annual plant maintenance which we look at, which there is an extra, we had some extra costs and last year the annual shutdown came into January. So that's a little bit of a difference.
Ankur Periwal: Sure, Rajeshji, that's helpful. Just on the revenue breakup, and you rightly when you mentioned that gross margin now should be more 45% plus versus 43% plus historically, this is largely led by the product mix, higher proportion of specialty revenue versus the non-specialty?
Rajesh Rathi: Yes, sir. Absolutely. And the new molecules which we have launched, our whole strategy was to change the product mix
Ankur Periwal: So, this ramp up is led by the new products that we, the new CAPEX, the new products that we had commissioned?
Rajesh Rathi: Yes, sir.
Ankur Periwal: Okay. Sir, in the first half, we were seeing deflationary trend and hence volumetric growth was higher than the pigment revenue growth. Is that trend continuing in Q3 as well or we have largely caught up and now volumetric growth will be lower or at par to the revenue growth?

Rajesh Rathi: So I think we have caught up and I think they are in line now.
Ankur Periwal: Okay, fair enough. And just lastly, if you may highlight some initiatives that we have taken from a Heubach side. More at Sudarshan's and in terms of ramping up the software aspects, the manpower, the distribution network, etc. especially in European market? Thank you.
Nilkanth Natu: Hi Ankur, can you please repeat the question?

Ankur Periwal: So Natuji, just wanted your thoughts on the investments that we would have done in the company more on the software aspects, which is let's say from a technical manpower perspective, marketing distribution strength and how do you plan to ramp it up?
Nilkanth Natu: So obviously, sir, given the current scenario, I think today we are still operating on an arms-length basis and once we close the target, but we have been doing preparation for the integrated structure. So where we have looked at, we have rehired some of the technical area folks and we are preparing post day one to really have a customer centric technocrat organization. So a lot of preparation and investments have gone into that. But of course, post day one we can activate this.
Ankur Periwal: Sure, just one follow up. As I see, you have highlighted that by March, we should be able to consummate this transaction. By what time frame can we look at you ramping up Heubach's business? They are into operational losses right now. So how quickly we can see a recovery there? Any broad timelines will be great.
Rajesh Rathi: So it's very difficult to talk about it now because of the antitrust issues, even we don't have full transparency on the business. So I think we will at least require, once everything is closed, we will need some time to introspect and come up. We have very high level, but we need to go into depth, look at finer numbers, etc. to come up with the detail turnaround strategy. But I am quite confident that year one itself we should be able to at least deliver positive results.
Ankur Periwal: Great, sir. That's it for my side. Thank you and all the best. Thank you.
Rajesh Rathi: Thank you.
Moderator: Thank you. A reminder to all participants, you may press '*' and '1' to ask a quest

ion. We'll
move on to the next question from the line of Mr. Sanjesh from ICICI securities. Please go ahead.
Sanjesh Jain: Good afternoon, sir. Thanks for taking my question. First question on the mix and margin. The impression was that as the export grows, that will have a positive impact on the gross profit margin in the pigment business. In this quarter exports have done well versus domestic. But we see a gross margin slightly deteriorating. Any particular reason you want to use, I know you said that there is some product mix changes and sequentially it's difficult to call out, but just broader understanding from a trend perspective as the export grows, the margin should improve, right?
Rajesh Rathi: No, I think absolutely like we said with the product mix change we should be north of 45. And that's the area where we want to kind of focus our area and that's where we will continue to deliver the growth.
Sanjesh Jain: Got it. From the new product perspective, can you help us understand in the current scenario with the ramp-up in the CAPEX which we completed last year, how have we seen the contribution of new product growing in the overall business for Sudarshan?

Nilkanth Natu: Sanjesh, so as we as we mentioned earlier the revenue ramp up from CAPEX projects which were commissioned till FY23 is progressing as expected. We had earlier guided the market that the entire revenue ramp up from this particular project will take 3 to 4 years' time. We are at the midpoint of this particular projection period. Whatever the target which we have set in for this particular new CAPEX utilization and currently what ramp up we are getting are in line and that is also if you can see that there is a slight tilt which is also happening between specialty and non-specialty pigment revenue due to that ramp up which is happening. So we see a good progress, good acceptance from the customer and we are on target as we mentioned earlier to take this wrap up between three to four years period. We are just in the middle of this projection period. Thank you.
Sanjesh Jain: No, that's very clear, but from a new product which got introduced with this new clients, where are the contributions today?
Rajesh Rathi: So I think that's what Mr. Natu tried to describe. I think we are right on track on delivering those products, which we had said that three to four years we should be able to fully utilize the capacities. And we are right on track on delivering those numbers. And that's where you see the material margin change coming in to.
Sanjesh Jain: Got. Next on the CAPEX front, any CAPEX guidance you want to share for FY26?
Rajesh Rathi: No, right now I don't think we will have any major CAPEXs. as an integrated company, we will

present sometime once the day one happens, the new budgets, etc., to the board, but we don't see any major CAPEXs happening next year.
Sanjesh Jain: Got it. And now that Rieco is showing the benefit of the transformation what we have been speaking in last three quarters, how should we see Rieco performance going into FY26?
Rajesh Rathi: Full benefit of the, this should look, it should be at least 18 months where you see the benefit. I think as a standalone unit, we want to see good growth and a sustainable EBITDA of 10% plus in that business. And that's what we want to deliver through this transformation.
Sanjesh Jain: Got it. And when we say good growth, do we mean 20% plus or?
Rajesh Rathi: Like I said, sir, we don't give forward-looking statements, but I think the transformation will entail that. So we want to see how we could grow that business healthy. I think more important is the EBITDA growth, the ROCE, Working capital control. And then of course, some strategic initiatives on top-line growth too So all this is getting executed together now.
Sanjesh Jain: Right. Last question on the domestic pigment

business. This quarter appears to be unusually soft.
You did mention that coating had a drag, but if I look at the paint company's results from the volume perspective it's still doing better because I think for us plastics are doing growth as usual. I assume it means 8%-10%. So just plus 3% growth in overall domestic business means that in

coating business on a YOY basis, we have declined. I don't think paint companies numbers, whatever they have been reported there declining Where are we missing?
Rajesh Rathi: So I think I think there were two points. I think like I said, there was a de-stocking effect because they had taken a lot of in Q2 they had taken in more inventories, and which were lying at inventories at that and that's where we saw the de-stocking effect. Already in this quarter we are seeing a good gain back so I don't think there's any business loss, I think quarter-on-quarter this adjustments are happening on the basis. We are not losing any market share. we are not losing any market share but that's what I think he is looking at.
Sanjesh Jain: Just one last question. Are we also supplier for the new entrant in the pigment business so that we maintain the market share?
Rajesh Rathi: Absolutely.
Sanjesh Jain: Got it. Very clear. Thank you. Thanks for answering all those questions patiently. And best of luck for the coming quarters. Thank you.
Rajesh Rathi: Thank you, Sanjesh.
Moderator: Thank you. We have our next question from the line of Rajakumar Vaidyanathan from RK Investments. Please go ahead.
Rajakumar Vaidyanathan: Good evening. Thanks for the opportunity. Sir, the question is on the government push for this mono material flexible packaging, particularly when it comes to plastics, to make the plastics recyclable. There are some guidelines given in terms of reduced usage of carbon black and also usage of, I mean, we should not use the strong colored pigments and so on and so forth. So I just want to know what is the long-term impact of these initiatives on our business?
Rajesh Rathi: So we are studying the regulation and the impact, but our preliminary analysis shows that we should not have much impact because the segment we serve is not very strong and we are coming up with some solutions there. So, but our complete plan is not in place and we will share our plan as soon as we are ready. But we don't see a major impact on us.
Rajakumar Vaidyanathan: Okay. And second thing, so what is the scenario on the raw material inflation with the rupee depreciating? Are we seeing an escalation in costs or the material costs are still benign?
Nilkanth Natu: Hi Rajkumar. So we are the net exporter and with this rupee depreciation we have done the simulation analysis. The current impacts of the depreciation is not that material.
Rajakumar Vaidyanathan: Okay. And lastly, with respect to this Heubach acquisition, I just want to know, will we get the benefit of the whatever brought forward losses or we are only just acquiring the businesses?
Nilkanth Natu: Sir, your last line was not very clear. Can you please repeat?

Rajakumar Vaidyanathan: Sir, the question is, will we get the tax benefit of whatever losses this Heubach group has incurred in the past? Because when we turn around and make profit, will we be able to leverage the tax losses?
Nilkanth Natu: So sir, as we mentioned that this particular deal is a combination of asset deal as well as the share purchase deal. So wherever there is an asset purchase deal, those losses will not be available to the purchaser. So that will not be significant for us.
Rajakumar Vaidyanathan: Okay, thank you.
Moderator: Thank you. We have our next question from the line of Vishesh Dhoka from Nuvama Wealth. Please go ahead.

Vishesh Dhoka: Good evening, sir. Thanks for the opp

ortunity. This is Arjit Joshi from Nuvama. Sir, I just wish to get some clarification regarding the capital structure. I think beyond the Rs. 1,180 crores of acquisition cost, we are also expecting roughly 900,000 crores of refurbishments and legal costs, maybe some revamps required in the assets of Heubach. All put together, I think that number was coming somewhere between Rs. 2,000 crores to Rs. 2200 odd crores. And since we have closed the QIP at roughly Rs. 800 crores, the balance at Rs. 1,600 odd crores will be fully funded through debt? So that is the only question that I had, rather what kind of debt levels will we be settling at over the next two to three years? Thank you.

Nilkanth Natu: So I think we also have some preference shares issued. So the equity raise is about Rs. 1,100 crores and the balance will be raised through debt.

Vishesh Dhoka: Okay, so with the existing roughly Rs. 350 odd crores of debt, another thousand odd incrementally. So 1,300-1,400 would be a good number, just for modeling purpose. Would that be a right assumption?

Nilkanth Natu: Yes, so we are hoping that we don't need all the money right now immediately, but we are keeping all the lines open, but directionally you're right.

Vishesh Dhoka: Sure, sir, thank you. Thanks and all the best.

Moderator: Thank you. A reminder to all participants, you may press '*' and '1' to ask a question. The next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Yes, thanks for the follow-up. And apologies for the previous question on the segmental front. I think there was some calculation error. So first question is on the Heubach. If all the approvals are in place by March, when do we see the consolidation happening in our financials from Heubach numbers?

Nilkanth Natu: Hi, Rohit. So as we mentioned that all the regulatory approvals and the antitrust approvals have been received. As far as the consolidation is concerned, the financials will get incorporated into Sudarshan India financials after day one.

Rohit Nagraj: So technically speaking the day one should be April 1?

Nilkanth Natu: So as we have indicated day one we are hoping in March exact date will be informed as soon as we are able to conclude on that.

Rohit Nagraj: Second question is again on the Heubach front. So on exceptional items, we have incorporated the legal or consulting charges. But beyond that, in standalone or consolidated entity, have we taken any new manpower in terms of spearheading the business? Is it already in place or once the consolidation is done then we will try to look at it given that hopefully the business on a broader front will be managed from India, although it may be having individual subsidiaries in individual countries. So just on a manpower front or from the management front, any cost which we have incurred till now or will there be incremental costs which will come post the day one? Thank you.

Nilkanth Natu: It's a process which is in process. I think our core manpower is in place, which we have already hired or are in the process of getting hired. And as we go through, we will be building the organization, but I don't see any substantial costs coming into play.

Rohit Nagraj: That's it from my side. Thank you and all the best.

Moderator: Thank you. Ladies and gentlemen, you may press '*' and '1' to ask a question. The next question is from the line of Devansh Jain from Neo Wealth and Asset Management. Please go ahead.

Devansh Jain: Good evening. I have few queries regarding the Heubach open offer. So what are the approvals required in the open offer and what is the expected timeline?

Rajesh Rathi: So basically, this open offer process will trigger in post-closing of the transaction. And the draft letter of offer will be subject to SEBI's approval.

Devansh Jain: And what are the approvals

required? Are there any other approvals other than SEBI?

Rajesh Rathi: No, Stock Exchanges and SEBI.

Devansh Jain: So we are expecting the transaction to be closed in March '25 and then post that there will be DRHP which will be published?

Rajesh Rathi: Yes.

Devansh Jain: Okay, thank you.

Moderator: Thank you. Ladies and gentlemen, if you wish to ask a question, you may press '*' and '1' on touch telephone. We have our next question from the line of Nitesh Dhoot from Dolat Capital. Please go ahead.

Nitesh Dhoot: Thanks for the opportunity. My question is on the declining promoter stake or you can consider the declassification. So with this, is there a plan to transition the company towards a professionally managed entity and any changes in leadership, board composition or decision making processes due to the reduced promoter involvement?
Rajesh Rathi: I think as we go ahead, we are getting professionally managed and also we are strategic holders of our stock and that should continue, and I think we have a strong foothold. Going forward, of course, the board will look at how it should get reconstituted. Currently there is no such thought right now, but I think they will actively consider this in the next few board meetings.
Nitesh Dhoot: Thank you, sir, and all the best.
Nilkanth Natu: Thank you.
Moderator: Thank you. A reminder to all participants, if you wish to ask a question, you may press '*' and '1'. The next question is a follow-up question from the line of Rohit Nagaraj from B&K Securities. Please go ahead.
Rohit Nagraj: Thanks and follow-up. Just one clarification for the open offshore for Heubach colorants, once it goes through, to fund the open offer, will we need additional debt funding at the growth level beyond what we had currently considered in terms of the acquisition cost and the refurbishment of working capital expenses?
Nilkanth Natu: In our cash infusion, that was already taken into account.
Rohit Nagraj: Okay, sure. Thanks a lot. Thanks for the clarification.
Moderator: Thank you. Ladies and gentlemen, that would be the last question for today and I now hand the conference over to the management for closing comments. Over to you, sir.
Nilkanth Natu: Thank you. Thank you, Mr. Sanjesh Jain and ICICI Securities and thank you participants for your time and interest in Sudarshan Chemicals. We remain confident in the long-term prospect of our business, and we look forward engaging with you again in future. Thank you.
Moderator: Thank you so much sir. On behalf of ICICI Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
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Call: Aug 2025

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5th August, 2025

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam,

Sub : Transcript of Analysts / Institutional Investors Conference Call

We are enclosing herewith a transcript of the conference call with Analysts / Institutional Investors, which took place on Tuesday, 29th July, 2025, after announcement of the Audited Financial Results (Stand-alone and Consolidated) for the quarter and year ended 31st March, 2025.

The said transcript is also being uploaded on the website of the Company.

Kindly take the same on record.

Thanking You,
Yours Faithfully ,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

Encl. As above.

"Sudarshan Chemical Industries Limited
Q4 FY25 Post Results Earnings Conference Call"
July 29, 2025

MANAGEMENT : MR. RAJESH RATHI – CHAIRMAN & MANAGING DIRECTOR – SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER – SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. AMEY ATHALYE – GENERAL MANAGER – FINANCE – SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Sudarshan Chemicals Q4 FY '25 Post Results Earnings Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand over the conference call to Mr. Ankur Periwal from Axis Capital Limited. Thank you, and over to you, Mr. Periwal.
Ankur Periwal: Thanks, Neerav. Good afternoon, everyone. Welcome to Sudarshan Chemical Industries Limited Q4 and 12-month FY '25 conference call. We are pleased to host the management for the discussion post Heubach merger here. As usual, the call will start with a brief management discussion on earnings performance, followed by an interactive Q&A session.
Sudarshan Chemical Industries Limited management will be represented by Mr. Rajesh Rathi, Managing Director; Mr. Nilkanth Natu, Chief Financial Officer; and Mr. Amey Athalye, General Manager, Finance. Over to you, Rathi ji, for your initial remarks.
Nilkanth Natu: Thank you, Axis Capital and Ankur Periwal for hosting our earnings call. Good afternoon, ladies and gentlemen. Welcome to Sudarshan's Q4 FY '25 earnings conference call. Our investor presentation has been uploaded on the stock exchanges for your ready reference. During the call, we could make forward-looking statements.
These statements consider the environment we see as of today and carry risks and uncertainties that could cause our actual results to differ from those expressed in today's call. We do not undertake to update any forward-looking statements made on this call. Now I will request Mr. Rajesh Rathi to give his opening remarks.
Rajesh Rathi: Good morning, everyone and I hope you can hear me clearly. Thank you, Axis and Ankur ji for hosting our conference call. It's a great pleasure to be here on the desk. So, I would like to give you a little bit of history on our acquired group, Heubach. After World War II, one of the largest chemical company, which existed in the world was IG Farben.
IG Farben was split up after the World War II in three companies: BASF, Bayer and Hoechst. And Heubach, the acquired group belongs to the legacy of Hoechst. Hoechst was a EUR30 billion chemical company - in years to come later, it spun off its specialty chemical business into Clariant, which in 2022, SK Capital bought this pigment business and it was called as Heubach.
So going forward, to would be 3 legacies, one is the Clariant legacy, Heubach legacy and Sudarshan legacy. Clariant came with a great history of pigments. Many pigments were invented there. So for us, this acquisition is not only about a strategic and financial fit, but it's also preserving history. And we have deep rooted technical technology with us.
With this, and as you all know, Sudarshan legacy was the fastest-growing, most profitable company globally for pigments with 75 years of experience, entrepreneur and agile culture. Both these companies together, the new one Sudarshan, we feel that we could become the most value-creating pigment company with customer centricity and agility.

So as One Sudarshan, we have 19 manufacturing facilities in 11 countries across 5 continents. We represent all major industry segments. We have 4,000-plus global customers and a very large range of products. Our combined turnover is about 1 billion euros together and it's a very exciting opportunity for us.
Rajesh Rathi: This is a global manufacturing footprint of the 19 manufacturing facilities. If you see our product range, we have one of the widest product range now in the industry.
Organic pigments, a very wide range of high-performance pigments to classical pigmen

ts. Both
Sudarshan legacy and legacy Clariant have a very strong footprint put together in organic pigments. But if you see what the value addition and legacy Sudarshan also brings the effect pigments portfolio.
But if you see the portfolio in terms of inorganic pigments, corrosion protection, pigment dispersion and dyes. These are the areas where we had a big weakness, or I would say, a weak portfolio, and this has really strengthened our product portfolio.
Some of the specialty dyes find very exciting applications like your phones we have several colors approved in iPhone, Samsung, etc. And so the aluminium dyes is a very interesting business given this addition. Some of our pigment dispersions find applications in personal care, seed coating markets, again, a very good presence, which comes along with us.
The corrosion protection pigments find very good application in automotive on the base coat, which we get. So all-in-all, I would say, a very exciting portfolio, which we bring to the table.

Altogether, we have about 200 to 250 people in the technology roles, and we are looking to further strengthen this,

Rajesh Rathi: . So I think some reflections from our integration process, So I think some of our areas as I said, this was a combination already of two legacies, Clariant and Heubach, but both the companies had very limited integration of data, systems, culture, processes.

And so, we have really launched building one culture, integrating our SAP systems. Today, we operate on 4 different SAP systems. We want to integrate this into one. We want to build one culture. And I'm glad to tell you in a short span, more than 70% of the employees have been covered for our purpose mission values going forward.

We have also launched a large cost reduction program where we are able to create a substantial value creation funnel. So all-in-all, I would say, we started the integration on the right pace. The second area which we found there was the customer centricity was lost as there was no customer service in several geographies.

This was in the back then. I mean, giving you a very stark example, if a customer wants to find out where the material is, they would have to send an e-mail. They would get a code. They would have to log on to the code after 24 hours and try and find out, if they're lucky, where their material is.

We believe customer service is a very important priority. And we are bringing customer service back. So what we mean is in each geography location, we would have customer service that customers can reach out, So in Europe, Spanish, Italian, German would be common languages, which we would equip it. That's one area.

And as a consequence of this, what would happen is a lot of the salespeople are spending time on doing customer service and supply chain jobs instead of focusing on building the business, developing the business. None of the senior management was in touch with the customers. And thus, if you are not in touch with the customers, how do you build trust and reliability.

And also, you know it's the customer pulse which you need to understand and drive internal initiatives to meet the customer requirements. That was missing. I'm glad to tell you that my entire team is in the market, on the ground. In fact, I have met more than 100 customers personally and you know to discuss how we can build this trust and reliability back. – Earlier there was no one face to the customer.

So there were several salespeople would call on to the same customer. We have created one person contact at the customer, and we've already launched that within the 10 days of acquisition.

One more important part, which we've done is we've built the technical competence back.

I think customers valued the technical collaboration. So we've built the technical marketing function. We've built the R&D function back

. We've rehired several people. We've not just
rehired them, but brought in a lot of focus for them and a lot of importance. We feel that they are the backbone of our organization. And this is also leading to a lot of good confidence with customers.

During the insolvency, of course, supply chain processes were broken. We need to rebuild these supply chain processes back, but one decision we've taken is though we may be inefficient till we build back our supply chain processes. We have upped our safety stock so that the delivery performance to the customers doesn't suffer. There were critical gaps. As I mentioned, the technical workforce was already kind of put in place. But still, we had several gaps, particularly in the support functions, HR, IT, finance. And we've made good progress by hiring senior resources in supply chain, procurement, finance and HR already. Just deep diving, as I mentioned, cost reduction is going to be a very important phenomenon for us, going forward. And we are together working across the organization. So we are not just focused on one area, but we are looking at building right from operations, supply chain, looking at what are the cost savings initiatives. We are looking best practices across manufacturing sites. You know, we make several products across sites. Where do I get my best yield? What are my best manufacturing facilities? And how can I replicate on these other sites? Procurement, I think we are looking at how we can lead Asia-led procurement more and negotiate better contracts. IT, we are fast tracking. There were several initiatives which we had done already to reduce IT costs. We'll continue to do that. But more importantly, we have already started working on the SAP.

There are other SG&A costs we are working on. The R&D or the product management is really focusing on building portfolio optimization, removing inefficiencies and looking at a few strategic backward integration projects. We are looking at how we can win back some businesses which were lost.

And finally, we would come back to some net working capital. We do have some room in the future to release some working capital. Some of the core principles which we are driving the business. And I think it's very important to understand that even before the business went into insolvency, the business was on the block from Clariant for some time.

Thus, the business has been defocused now, I would say, for several years. So the culture of you know culture in the organization was survival from day to day. Look at cash flows, , don't think long-term. And we are saying that we want to build a mindset. What we are saying is move the mindset from playing to survive to playing to win.

We are saying be bold, be passionate and ambitious. We would love to dream big, but stay humble with all your stakeholders where you can listen to them and continuously improve. I already spoke a lot on customer centricity, and this is going to be a building block for us.

Building ownership and agility as we've put in our organization structure, the very design of our organization structure has been to build entrepreneurship and agility in the organization.

And I'm already seeing good results where people are willing to make quick decisions, which in or else why it would have taken years. Simplicity, is a very important part. As I mentioned, the heritance of or you know the legacy comes from Hoechst, which was a large multibillion euro chemical company.

Today, we are a pigment company. And the processes which we follow in some of the legacy companies, especially are still inherited from Hoechst. And that's where we are saying that we need to make them more relevant for the business today and make the simples very simple.

Going forward Financial stability is very important. We are very prudently managing cash. We have been very

conservative. We want to ensure we are going to keep conserving cash as we're going forward and being very conservative.

My team and I are very, very excited about this opportunity. This opportunity to build on our legacies, merge as one of the most valuable pigment companies. Customer centricity, , building the trust and reliability with our customers. You know we could become a world-leading color solution provider.

There's a great platform and opportunity given our technical competence, our comprehensive product portfolio and a global manufacturing footprint. And we are again looking forward to truly acting as one global team. We'll talk now more on the numbers. And there are several numbers which we are going to present.

So I would request your attention going forward,. So some of the reflections from the market environment. The market is not easy. I mean, that's no secret. Everyone knows, given the geopolitical and the tariff situation, it remains uncertain. There's a flat demand, and there is also destocking, which is happening.

But on the positive note, as I mentioned, we've had several customer conversations, and it has become very clear that customers want to partner with us. They want us to become a reliable long-term supplier. And this is a very positive, and this is somewhat somewhere we are using these areas to build our business.

Apologies that our audit took longer than it was expected, and we could not meet with the timelines. But I think Mr. Natu will explain some of the areas where we had a few concerns going forward. Yes, Mr. Natu.

Nilkanth Natu: Thank you, Mr. Rathi. As Mr. Rathi has mentioned, we have completed the audit for the financial year '25, including the acquired group. However, this annual audit took longer than expected. A couple of reasons. This particular acquired group was not audited at the consolidated level since the calendar year 2022.

It has 48 acquired group entities under the reporting coverage with 3 different ERP systems in the acquired group and that is also not integrated, created some data challenge for us to extract as far as the audit is concerned. And the last is the acquired group was not used to the rigor of the statutory audit of the listed company.

And since it was not audited for the past 2 years, it took a lot of efforts. Our team has put in tremendous efforts to complete the audit, and we feel happy that team has delivered this humongous task. Thank you. On the transaction details, as we have mentioned, just to have a recap, this is a transaction which has asset purchase agreement and the share purchase agreement.

The preliminary purchase price paid as per the APA and SPA is at EUR151.9 million. As against

this purchase price, the assets which were taken over on the deal closings, the significant ones are the tangible and the ROU assets for the various manufacturing plants taken over are at EUR181 million.
The net working capital, which we have acquired from the acquired group is EUR190 million, which is inventory, trade receivable and trade payables. And apart from that, we have also got cash and cash equivalent to the extent of EUR68 million. So this is overall the comparison of the purchase price paid and the assets which we have taken over on the closing.
Now next couple of slides are very busy with the numbers, and I would to take you through the slides. The first slide is on the One Sudarshan quarter 4 financial year '25 performance. And this slide has three parts. One is the legacy Sudarshan. When I say legacy Sudarshan, it is a legacy Sudarshan Pigment business plus RIECO.

And then we have an acquired group to present the One Sudarshan as the performance parameters. The sales for the quarter as far as the legacy Sudarshan is concerned is a

t INR825
crores, which shows 8% growth over the last year Q4 number of INR764 crores. While Sudarshan Pigment legacy has delivered the robust sales growth, which we can see in the subsequent slides at the rate of 16%, somewhat subdued performance of the RIECO has pulled down the overall percentage of the legacy Sudarshan.
The gross margin shows good improvement from 42.9% to 44.2%, which is 1.3% up, which has been reflected in the adjusted EBITDA for the quarter, which is at INR126 crores compared to INR119 crores. And in terms of the percentage, it is at 15.2% compared to 15.6%. For the acquired group; for the month of March, the sales stands at INR525 crores with a gross margin of around 55.8% and the first month EBITDA is at INR22 crores.
With this, One Sudarshan performance for the quarter on the sales side is INR1,349 crores as compared to INR764 crores last year. And the adjusted EBITDA is at INR148 crores compared to INR119 crores of the last year Q4.
Rajesh Rathi: You want to mention about the one-off.
Nilkanth Natu: Yes. When we say the adjusted EBITDA, this adjusted EBITDA is for the employee cost of INR12 crores, which is relating to the acquisition. And there are one-off expenses of INR8 crores, including earlier period MIDC CETP settlement, which we expect that this will be onetime cost.
Next. Now coming back to One Sudarshan financial year '25 performance. Again, this is a legacy Sudarshan, which is the Sudarshan Pigment plus RIECO and the acquired group. On the full year basis, the legacy Sudarshan sales stood at INR2,821 crores compared to INR2,539 crores last year, showing growth of 11%.
The gross margin shows good improvement, which is at 45.3% compared to 44.2% last year, which is 1.2% up. And the adjusted EBITDA for the Sudarshan legacy group is at INR380 crores compared to INR316 crores last year and the EBITDA percentage is at 13.5%. Acquired group, we have covered in the last slide, since this is only for the month, the number remains same.
And when we see that total Sudarshan, One Sudarshan, on a consolidated basis for the financial year, the sales are at INR3,346 crores compared to INR2,539 crores last year. And gross margin is at 47% compared to 44.2%, majorly also because of the acquired group gross margin, which is at 56%. EBITDA adjusted is at INR402 crores compared to INR316 crores.
Next. Coming to the pigment performance. Now this is the performance for the Sudarshan legacy Pigment plus acquired group pigment business. For the quarter 4, the Sudarshan legacy Pigment has delivered the sales growth of around 16%. The sales stands at INR744 crores compared to INR644 crores last year and the gross margin at 44.7% compared to 44% of last year, adjusted EBITDA for the quarter is at INR121 crores compared to INR100 crores last year with 16.3% EBITDA margin. And the Pigment global business for the quarter, the sales stood at INR1,269

crores compared to INR644 crores last year and with the EBITDA at INR143 crores, including acquired group compared to last year INR100 crores for the quarter 4.
This is the performance for the full year 2025 Pigment business. So for the year, Pigment business sales growth is at around 17%, INR2,595 crores sales compared to INR 2,223. Gross margin shows good improvement of 1.9% reflected in the EBITDA margin of 15.2% for the year with adjusted EBITDA of INR396 crores.
And for the consolidated Pigment global, the revenue stood at INR3,119 crores compared to

INR2,223 crores and EBITDA adjusted for the Pigment Global is INR418 crores compared to INR300 crores last year. Coming to the RIECO performance. Rieco performance during the year was subdued, while revenue dropped by 28%, which is at INR228 crores and also reduction seen in the gross margin, putting entire year EBITDA number under negative.
The revenue was impacted due to the lower carry forwar

d of the order from the FY '24 and lower
order booking of H1 in the last financial year. Gross margin has also been impacted due to the cost overruns, which we had seen for the projects, which were executed during the last year against the orders booked in the FY '24.
We are rebuilding the organization for this business with experienced team in the project business with the right skill and experience in the project execution, which will help us in streamlining the operation, building strategic sourcing capabilities and working on the reduction in the overhead.
We have seen marginal improvement in the quarter 4 performance due to the stringent control over fixed cost and project execution with detailed process review put in place for the project cost. We have seen during the year opening order book for the current year. The opening order book balance is double as compared to the last year. And with good visibility of order booking in the near future, we remain confident that RIECO business will turn around during this year.
A couple of key financial ratios. Earnings per share is at INR22.5 compared to INR16. ROCE is at 10.3% versus 11.7%. But just to keep you posted, this is the One Sudarshan ROCE with the acquisition assets and the capital employed being considered. Net debt to equity is at 0.3. Net debt level at the year-end is at around INR650 crores and net working capital as a percentage of sales is at 25%.
I will hand it over to Mr. Rathi for the outlook and the priorities ahead.
Rajesh Rathi: Thank you, Mr. Natu. So how we look at the acquired group, and I think we are very confident of the turnaround, as I had mentioned even earlier. And this financial year, looking at some of the cost synergies, which we are building up, the cost reduction initiatives, and we are very confident that we should be able to deliver a EBITDA of EUR35 million this year.

And in the next 3 to 4 years, we should be able to deliver an EBITDA of EUR90 million to EUR100 million in the acquired group. So from this perspective, I think we are on a good path going forward. Of course, this is all given that there are no untoward or force majeure situation. We feel that we can confidently turn this around.
Yes. Some of our key priorities is, we are double down on winning back some business. We are continuing to focus on cost and value capture. And till we get the one SAP up, how do we build in the interim MIS and also accelerate our one SAP road map. These are some of our key priorities going forward.
Thank you so much for carefully listening to us. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. Anyone who wishes to ask the question may click on the raise hand icon to as their questions. Kindly accept the prompt and join as panellists, unmute your audio and announce your company name before proceeding your question. You may also write your questions in the zoom chat option in the bottom of your screen.
Ankur Periwal: Nirav, till the time we get the queue, maybe there are some questions on the chat box. Should we take them accordingly?
Moderator: Yes, sir. Sure, sir.
Ankur Periwal: Sure. So Rathi ji, I'll probably take up some questions from the chat box and you can address them accordingly.
Nilkanth Natu: Ankur ji, your voice is feeble. Can you be slightly loud?
Ankur Periwal: Sorry. Is it better now?
Nilkanth Natu: Yes, yes much better.
Ankur Periwal: Sure. So some questions from the chat box, so I'll take them up you know accordingly. The first question from the chat box, total addressable market and the market growth approximately?
Rajesh Rathi: The organic pigment market is about USD5 billion with a growth rate of about 3%.
Ankur Periwal: Sure. I hope that addresses the question. Taking the next one. Exceptional costs for FY '25 stood at INR104 crores. We believe these

were largely related to Heubach acquisition. Could you
provide a ballpark estimate of the integration-related costs expected in FY '26 and FY '27? Mr. Natu, I was audible?
Moderator: Sir, the management is on mute. Sir, can you please unmute your line and proceed with your

question?
Rajesh Rathi: Yes, just one second please. FY '25- '26, we expect about EUR10 million integration costs. For the year ahead, we've still not planned for it.

Ankur Periwal: Sure, sir. Thank you. There's another question from Abhay Jain, Hillview Global. My question is, are you looking at cost cutting, which is optimizing cost and facilities as of now?
Rajesh Rathi: I think from a manufacturing footprint, we don't plan to optimize any manufacturing or close any facility. The rightsizing of the Frankfurt site has already been done even before the acquisition, which the administrator had initiated. From a perspective of cost reduction, we have a huge cost reduction drive, which I had explained in my presentation.
Ankur Periwal: Sure. Neerav, probably you can take some questions from the raise hand option there now.
Moderator: Thank you. We'll take the first question from the line of Rajesh Kothari. Kindly accept the prompt, join as panellist, unmute your audio. Kindly provide your company name and then proceed with your question.
Rajesh Kothari: Thanks for this opportunity. Sir I have two questions?
Moderator: Sorry to interrupt you. Could you please introduce your company name and then proceed with your question.
Rajesh Kothari: Rajesh Kothari Founder and CIO of AlfAccurate Advisors. We are a large shareholder of your company. I have two questions. So first of all, congratulations for this great asset you've acquired. And I'm sure you will turn it around over the next 3, 4, 5 years to your company's profitability. Sir, I have two questions.
My first question is recently, when I look at DIC results, which is also the largest player in this industry, they also reported 5% EBITDA margins. And if I go by their press release, it is equivalent to 2021, so almost 5 years back that margin they have achieved and they're back to that. And even you reported a strong 4.5% margin, although it is only for 26, 27 days, so without much benefit of your cost optimization program.
So my question is what is leading to the improvement in EBITDA margins for the global industry, despite the challenges of tariff and destocking by customers. So that is my first question. Should I also put now my second question or should I you know how the flow should be or I can ask once you answer that question, whatever way you are confident?
Rajesh Rathi: Sir, you can go with your second question too.
Rajesh Kothari: My second question is with reference to RIECO in particular. It will be great if you can give a little bit more details about what led to the revenue decline? Is it a loss of customer? Is it loss of market share? And what will lead to getting back to that revenue and that market share and also the EBITDA margins in particular because your gross margins are already healthy despite decline in revenue.

So is it a volume growth versus value growth? How we should read that and the key steps what you're going to take to come back to profitability? Because after 2, 3 years, now Sudarshan stand-alone is doing very well. Heubach is also hopefully will improve. But all of a sudden, we saw the new puncture from the RIECO perspective. So can you give some little bit more color on that, That will be useful.
Rajesh Rathi: Thank you, sir. So let me I'll address your question on the Pigment performance of this. And I request Mr. Natu, if you can take the Rieco question. I do not want to comment on our competitors' performance, but I think if you look at our industry, I think historical a

verage has
been EBITDA margin between, let's say, 8% to 11%.
And with our cost with our integration as One Sudarshan and the cost synergies and the focus on technology and technical people, right, building strong relationship with customers, some of the fundamentals which we are getting, we are very confident about the projections which we have given on the acquired group. And legacy Sudarshan's business, of course, would run on a business as usual.
Rajesh Kothari: I see. So basically, from the global market perspective I'm sorry, I didn't get answer on that. My question was, how do you see the global industry because there is improvement in profitability. Like, we have also occurred only for 22 days. But all of sudden, the company has reported 4.5% margin. So what has led to the improvement in margin? My question is that, sir.
Rajesh Rathi: The cost reduction efforts which we have been making, we already started planning some of the

cost reduction efforts during after the definitive agreements. And with the administrator, we've been supporting him on stuff. And these are some of the areas of margins we have seen.?
The global situation is when I say, the global situation is difficult, we are not getting natural tailwinds that we could grow our business from that perspective, and that's the concern area. So that's where I think the EBITDA margins you are able to see. And going forward, we should be able to improve our EBITDA margins even in this financial year,.
Rajesh Kothari: And this assumes what revenue for Heubach?
Rajesh Rathi: So you know it's just been 3 months, and I don't want to kind of overly emphasize, but I think we should on a question on a rough basis, I think we should assume that the current run rate is at Eur 650 million, to at least Eur 700 Million by the year-end.
Rajesh Kothari: Okay. Thank you for answering this question.
Moderator: Thank you very much.
Nilkanth Natu: Answering the questionon the RIECO. So as I mentioned in my opening remarks, we have started the transformation project for the RIECO business, and RIECO business has been going through positives and negatives in the past couple of years. A couple of levers where we as a management are working is rebuilding the RIECO organization with the right mindset and the leadership, which knows the project business.

And we are happy to state that we have completed this exercise. Along with that, the key is how to drive the project execution and how to build the capability for seamless execution of the large projects, which we had seen in the past, we were having some challenge in terms of the large project execution.
With the right set of team, which is being there, we feel confident that this team will be able to deliver better performance and better project execution going forward. Simultaneously, we are also working on reduction in the overall overheads so that the fixed cost control is one of the critical levers, which we have started working on in the RIECO.
And we strongly believe that you will see the results of those initiatives in the coming quarters in FY '26. Thank you.
Rajesh Kothari: What steady margins we should assume at RIECO level?
Rajesh Rathi: 8%.
Nilkanth Natu: Currently, we are at a very lower end of the EBITDA percentage. We expect that this particular business should deliver somewhere between 7% to 8% as a range to start with. And our endeavor is to take this forward to the lower double-digit number in the years to come.
Rajesh Kothari: Thank you, sir. Wish you all the best. Thank you.
Nilkanth Natu: Thank you sir.
Moderator: Thank you very much. I request all the participants kindly restrict to two questions per participant and kindly join the que again for a follow up question. Next question is from the line of Manoj Bahety. Kindly accept the prompt, join as panellist, unmute your audio. Introduce yo

ur
company name and then proceed with your question. Go ahead, sir.
Manoj Bahety: Hello. Am I audible?
Moderator: Yes sir.
Manoj Bahety: Hi. This is Manoj Bahety. I'm from Carnelian Capital. So, Rathi ji, first of all, thank you so much for giving such a detailed presentation and also congratulations on a successful integration and getting the audited financials done. So I have two, three questions. I will just put those questions together.
So first one is I wanted to get some color on that how do you see the cost competitiveness of your operations in Europe vis-a-vis manufacturing in emerging countries? Because I think the way the earlier owner under Heubach ownership has landed into financial trouble. One may be related to their internal inefficiencies or higher cost thing.

But was it something related to that operations in Europe are that means, not that competitive vis-a-vis operations in India and China. So your initial reading on that. Secondly, how do you see the incremental capital allocation for the business as a whole? Would you be required to put some additional capital after assessing their existing infrastructure manufacturing facility?
And my third question is if you can elaborate a bit on that what will drive the EBITDA margin expansion of your European operations, considering the tariff threat, which is there right now.

So these three questions I do have. Thank you.
Hello. Was I audible?
Moderator: Yes sir, you are audible. Management may I request you to unmute and proceed with the answer?
Rajesh Rathi: Yes. So your the first question regarding Europe, of course, there's no denial that the cost in manufacturing in Europe is higher. And that's the reason our strategy has been to make only specialty products. And that's where we've rightsized our operations in Europe to make specialty products.
We do feel that it is place to make specialty products, and it has inherent advantages of building reliability and trust with customers and you get a better value. And that's why gross margins are high compared to the legacy Sudarshan even though we plan for higher gross margins. And however, the fixed cost and other costs are going to be heavy and that's where I think it pulls down the EBITDA margin.
We do have a good plan to ensure that the German becomes part of our global integrated facility with this new manufacturing footprint. Your question on the tariffs, I think, of course, tariffs situation is very uncertain. However, given our global manufacturing footprint, it gives us the most flexibility now to respond favorably to our customers.
So we have options to deliver from Europe, Mexico, Brazil, India. So that's the flexibility we bring in now with our manufacturing global footprint. If you see legacy Sudarshan, I think if you look at from that perspective, we would be able to supply only from India given that. So that's the new context for us.
Manoj Bahety: Yes. Sure. And my question on incremental capital allocation and EBITDA margins are?
Rajesh Rathi: So I think given the currently, we don't see any addition. so from a volume perspective, we have enough capacity for our growth for the next 4 to 5 years. We don't need any capex. The plants were fairly well maintained. So whatever normal maintenance capex is required, that's what will be required going forward.
So I would say, to sum up, no major planned capex. There may be a few strategic projects, which we may want to backward integrate, etc. Those will be minor capex.
Manoj Bahety: Sure. And last one on the , what will drive uptick in EBITDA margins going forward other than the cost initiatives and the integration initiative which you have already taken?

Rajesh Rathi: Sorry, come again, please?
Manoj Bahety: So my last question was on the EBITDA margin u

ptick. What will be the drivers other than the cost initiatives which we have taken?
Rajesh Rathi: I think there are two, three drivers. One is the cost reduction initiatives, which will go on for the next 18 months. It's not -- they will continue for 18 months. The second initiative is we are trying to win back businesses, which we've lost in some time. So these will be the drivers -- these will be the two drivers going forward to build the EBITDA.
Manoj Bahety: Thanks for taking my questions and wish you good luck.
Moderator: Thank you very much. We take our next question from the line of Nitesh Dhoot from Anand Rathi. Kindly join as panellist, unmute your audio and video and proceed with your question.
Nitesh Dhoot: Hello. Am I audible?
Rajesh Rathi: Yes.
Nitesh Dhoot: Hi Team. Good Afternoon and congratulations on the successful integration. So my first question is on the change in product mix as part of the integration, something that you highlighted earlier, I mean, more of specialty in Heubach and non-specialty more towards Sudarshan. So how do we see Sudarshan's margin trajectory going forward, the legacy business that is?
Rajesh Rathi: I think legacy Sudarshan also had a very good specialty portfolio. So I wouldn't say -- I didn't say that. I think the question is that -- and as per our projections we've given, I think the legacy Sudarshan business will be business as usual, will keep growing at 10% to 11% going forward. And the major part -- and the other part of EBITDA growth will come from the acquired entity.
Nitesh Dhoot: So you mean to say, there will be no shift of products, I mean, between the entities. I mean some of the specialty products moving to Heubach from the legacy business, that is not going to happen. I'm sorry, I mean, I recollect from one of the previous discussions that there was supposed to be some shift where you would have gotten more commodity products into India and shifting some of the specialties to Europe.
Rajesh Rathi: Yes. So the -- I think what you're referring to is transfer of some of the commodity Frankfurt products, which have happened to the legacy Heubach India business already. And that's completed.
Nitesh Dhoot: All right. Okay. Sure. And sir, next question is on the depreciation for Heubach, which annualizes to almost about INR270 crores. So what will be the depreciation numbers for the

acquired entities, I mean, the run rate? And how much is the gross block for the acquired entities? Net block, as I understand is somewhere closer to INR1,200 crores. What's the gross block there?

Nilkanth Natu: So Nitesh for the acquired group, the depreciation run rate on a yearly basis will be in the range of EUR23 million to EUR24 million for the year.
Nitesh Dhoot: All right. And the gross block, sir?
Nilkanth Natu: So Nitesh, as we had presented, the value of the tangible asset is EUR181 million.
Nitesh Dhoot: Okay. All right. So just one last question on the working capital. So I think with the numbers given out, if you just do some working, it's coming out closer to 85 days. You can correct me if I'm wrong for Heubach.
And so -- and will we need additional working capital there, especially on account of market receivables, which appears to be limited at just about 27 days, I mean, basis the workings that I did. So how much will the receivables be in terms of number of days going forward? Will there be an increase there?
Rajesh Rathi: The working capital increase would come from increase in inventory. As I mentioned in my presentation, some of our planning processes are broken, which will take some time to fix. But we don't want the customers to face issues in supplies, and that's where I think we are -- we expect that inventories would increase as going forward right now. From an accounts receivable and payables, I think they would offset each other. As we keep

getting more payables,
receivables also would increase.
Nitesh Dhoot: All right. Great, sir. Thank you so much. I will come back in the queue.
Moderator: Thank you. I request all the participants kindly restrict to two questions per participant and join the que for the follow up. Next question is from the line of Madhav Marda. Kindly join as panellist, unmute your audio proceed with your question. Also kindly introduce your company name.
Madhav Marda: Yes. Hi. Am I audible?
Moderator: Yes sir go ahead.
Madhav Marda: Thank you so much for your time. Just wanted to understand a bit below the EBITDA line. So mainly of the deleveraging. So if you could just help us understand how -- like how much annual free cash flow generation in your view, the overall Sudarshan business can generate in fiscal year '26 and '27, if you could give us some broad sense, so just to get the path for deleveraging. That's my first question?
Nilkanth Natu: Hi, Madhav; Nilkanth, here. So as we have seen the net debt at around INR650 plus level. Going forward, with the visibility on the free cash flow over the next 3 year to 4 year period, we expect that we should deleverage and come to a zero debt level.
Madhav Marda: Sir, how many years do you think it takes to hit zero debt given combined business, like it takes 3 years in your view to get to zero debt position?

Nilkanth Natu: We expect between 3 to 4 years.
Madhav Marda: 3 to 4 years. Okay.
Nilkanth Natu: Yes.
Madhav Marda: And just one -- another basic question was for the underlying Sudarshan Pigment business, excluding Heubach, what was the underlying margin in that business, like the sort of business that we had before Heubach and adjusted for the Heubach or the RIECO operations. How is that business doing today, the underlying margins?
Nilkanth Natu: So Madhav, we have presented the legacy Sudarshan Pigment business. So for the quarter under consideration, our Pigment business delivered 16.3% EBITDA on an adjusted basis.
Madhav Marda: Okay. Thank you.
Moderator: Thank you. Next question is from the line of Dhruv Muchhal from HDFC Mutual Fund. Kindly join as panellist. Unmute your audio and proceed with the question.
Dhruv Muchhal: Hello.
Moderator: Yes sir. You are audible.
Dhruv Muchhal: Yes. Thank you so much. Thank you for the chance. Yes. Sir, first thing on the cash payment that you have done for the acquisition. Sir, you have to pay EUR151 million. And from the cash flows, I see you have currently paid about INR800 crores, INR900 crores for the acquisition. So is there some pending payment remaining for the acquisition, which probably comes now?
Nilkanth Natu: Dhruv, can you please repeat your question?

Dhruv Muchhal: The acquisition price is about EUR151 million, which is probably about INR1,400 crores toINR1,500 crores. And from the cash flow statement, I see you have currently paid about INR850-odd crores, INR850 crores or probably INR900-odd crores. So is there some remaining payment for the acquisition?
Rajesh Rathi: So Dhruv, there is no remaining payment, which is required to be paid for this EUR151 million.
Dhruv Muchhal: Okay. Everything is done. As of Q4, everything is done?
Rajesh Rathi: Yes. As of Q4, EUR151 million has been paid.
Dhruv Muchhal: Okay. And sir, the other thing was there is a good amount of working capital, which has come along with the acquisition. So this is all mark-to-marketed. I mean, there is no significant write-offs or once you evaluate it better, you will understand. So there are some -- say, for example, inventory is high, say some, there is some unmonetizable inventory. So everything is mark-to-marketed?

Rajesh Rathi: Yes, Dhruv, your understanding is correct. All these are fair valued.
Dhruv Muchhal: Got it. And sir, last thing is in the -- when th

e acquisition was done earlier, you had mentioned about, if I'm not wrong, INR800 crores to INR1,000 crores of further investment in working capital and capital refurbishment and all those that will be required over a period of time. So does that estimate still hold? And if yes, over what period of time do you think that investment will happen, that cash flow or investment will happen?
Rajesh Rathi: I think a normal maintenance budget of EUR15 million to EUR20 million, that will be required. We are -- from a perspective of working capital, there is -- there may be slight probably EUR8 million to EUR10 million, which we are investing. I don't think we'll require above that.
Dhruv Muchhal: Okay, perfect. That’s helpful. Perfect sir. Thank you so much. That’s all and all the best.
Moderator: Thank you. Next question is from the line of Rikin Shah. Kindly join as panellist, unmute your audio. Introduce your company name and proceed with your question, please.
Rikin Shah: H i. Am I audible?
Moderator: Yes sir, go ahead.
Rikin Shah: So, hi, I'm Rikin from the Boring AMC. So I wanted to ask firstly on the product overlap. So sir, is there any sort of product overlap between the 2 companies? And what's the degree of the overlap? And sir, my second question is for the entities, where we have not done an asset purchase deal. So is there any sort of contingent liabilities that we have taken on?
Rajesh Rathi: From a product overlap, there is -- as I mentioned in my presentation, there's a fair level -- if you look at a high level, there's a fair level, I would say, either where Sudarshan was present at a low level. That's where we've added on inorganic business, corrosion protection, pigment dispersion and dyes.
In terms of the organic pigments, there are a few complementary products. And of course, there are a few products which are overlapping, but I think we have a good strategy to ensure that we don't cannibalize or lose any of this business. Regarding the contingent liability, Mr. Natu, you want to.
Nilkanth Natu: Regarding the contingent liability as far as the solvent companies are concerned, we have considered -- we have evaluated those contingent liabilities, and we have suitably factored those in as a part of our purchase price allocations and which has been given in our notes.
Rikin Shah: So we don't that in the foreseeable future, we could -- we're not likely to see any of them materialize?
Nilkanth Natu: So sir, what we are saying is that based on our assessment where we see the probability, we have considered those provisions as a part of our fair valuation exercise. We don't expect that to get

materialized unless there are any other force majeure or unless there are any facts which get altered or changed in near future. Thank you.
Rikin Shah: Okay. Thank you, sir.
Moderator: Thank you. Next question is from the line of Bharat. Kindly join as panellist, unmute your audio. Introduce your company name and proceed with your question. Go ahead Bharat.
Bharat Sheth: Hello. Am I audible?
Moderator: Yes sir.
Bharat Sheth: Thanks to Rajesh ji and congratulations on successful integration. I am Bharat Sheth from Quest. So Rajesh, I have one question. You said -- particularly on inventory, you said some of the inventory which has come from the acquired entity. So when do we expect that inventory to run

down at normalized level, in what time frame? That is first question.
Second, we have projected EBITDA of EUR35 million for FY '26 for this Heubach. So is it after a onetime integration cost of EUR10 million or it's before? And last question, any thought process on RIECO divestment? Hello..
Rajesh Rathi: Yes. So your first question, as I mentioned in my presentation, we are building inventories as our planning processes are broken. So we will be inefficient for some time, and we will work on a high working ca

pital, That's the first question.
The second question on the EBITDA is that the EUR35 million is, of course, after the integration cost. Third thing is, as we explained in RIECO, we are investing to build that business. And Mr. Natu already explained some of the steps we've taken on fixed cost reduction, building the order book, getting the right people. And we are very confident that RIECO will turn around and it will become a good part of our business.
Bharat Sheth: No. My question is, when do we expect inventory to normalize over time frame, three quarter, four quarter or?
Rajesh Rathi: At least for this financial year, I would say it will take time for us to build the supply chain process.
Bharat Sheth: Okay. Thank you and all the best.
Moderator: Thank you. I request all the participants kindly restrict to one question per participant and rejoin the que for follow up question. Next question is from the line of Rohit. Kindly join as panellist, unmute your audio. Introduce your company name and proceed with your question.

Rohit Nagraj: This is Rohit Nagraj from B&K Securities. So just two questions. One is on the business perspective. So on Heubach, in terms of the user industry, where is the largest concentration in terms of auto segment, polymers or decorative coatings, etc. So if you can just give a little bit on that.
And second question, when we are talking about $35 million EBITDA for the acquired group in 2026 and later about $90 million to $100 million in '28, '29, what is the kind of EBITDA margin expansion that we are looking at from current March level of 4%? And on a longer-term basis of your indicated EBITDA margins of 8% to 11%, when are we targeting that from a strategy perspective? Thank you.
Rajesh Rathi: The strength, I think the concentration of business, as you rightly said, which is the coatings or the paints market, it's decorative paints, auto paints is a good strength for the legacy Clariant business. In addition to –this, some of the personal care businesses, some of the stationery businesses and seed coat and agro business is also important. The third level which is digital inks, a good strength in digital inks. So these are the 3 areas which we look at.
Regarding the EBITDA margin, when we -- for the acquired group, when we are saying, we'll reach $90 million to $100 million, I think that reflects already an EBITDA margin of 9% to 10%.
Rohit Nagraj: Sure. Thank you and all the best.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question. I now hand the conference over to the management for closing comments.
Nilkanth Natu: Thank you, Mr. Ankur and Axis Capital. Thank you, participants, for your time and interest in Sudarshan Chemical. We are very confident that this acquisition marks a strategic move for our company towards leading global pigment industry. We are confident in our ability to integrate the business effectively. We remain confident in long-term prospect of this business, and we look forward to engaging with you again in future. Thank you.
Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this conference. Thank you for joining us, and you may now disconnect. Thank you.

Call: Oct 2025

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1st October, 2025

BSE Limited National Stock Exchange of India Limite d
Phiroze Jeejeebhoy Towers, Exchange Plaza, C -1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex ,
Scrip Code – 506655
Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call

We are enclosing herewith a transcript of the confe rence call with Analysts / Institutional Investors, which took place on Wednesday, 24th September, 2025, after announcement of the Unaudited Financial Results (Stand-alone and Consol idated) for the quarter ended 30th June, 2025.

The said transcript is also being uploaded on the w ebsite of the Company.

Kindly take the same on record.

Thanking You,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

Encl : As above

"Sudarshan Chemical Industries Limited
Q1 FY26 Earnings Conference Call"
September 24, 2025

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER –
SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. AMEY ATHALYE – GENERAL MANAGER –
FINANCE – SUDARSHAN CHEMICAL INDUSTRIES
LIMITED

MODERATOR : M R. NITESH DHOOT – ANAND RATHI SHARES AND
S TOCK BROKERS LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Suda rshan Chemical Industries Limited Q1 FY '26 Earnings Conference Call, hosted by Anand Ra thi Shares & Stock Brokers Limited. As a reminder, all participant lines will be in the li sten-only mode and there will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance you can signal the operator by raising the hand.
I now hand the conference over to Mr. Nitesh Dhoot from Anand Rathi Shares and Stock Brokers Limited. Thank you, and over to you, Mr. Dhoot.
Nitesh Dhoot: Yes. Thank you, Neerav. Good afternoon, everyone. W e welcome you all to Sudarshan Chemical Industries Limited Q1 FY '26 Earnings Conf erence Call. Sudarshan Chemical Industries management will be represented by Mr. Ra jesh Rathi, Managing Director; Mr. Nilkanth Natu, Chief Financial Officer; and Mr. Ame y Athalye, General Manager, Finance. We will start the call with the management's presentat ion, post which we will open the forum for an interactive question-and-answer session. We will re quest all participants to ask only two questions and they can join back the queue for foll ow-up questions.
With this, I hand over the call to Rathi ji for hi s opening remarks.
Rajesh Rathi: Thank you so much, Mr. Nitesh Dhoot and Anand Rathi for hosting this call, and we are looking forward with our interactions today. So firstly, I would like to give you an integration update.
Some of the information I'm going to repeat as this is some important information for everyone to understand and some of you may not have the full context or may not have seen last time.
On 3rd March , we completed the transaction where we acq uired the legacy Heubach's and legacy Clariant business. So to give you a context -- Heub ach's, or Clariant legacy is among the top 2 pigment players globally. And has a rich history, a nd several organic pigments being invented in this company.
So a very rich heritage of technology and, more im portantly, a global manufacturing footprint with 17 manufacturing sites across the world, a ver y high quality and a broad product portfolio with advanced a lot of technical focus, I would say ..
Sudarshan, or the Sudarshan legacy, one of the fas test-growing companies in pigment industry, 75 years of experience with customer centricity as our core value and a strong agility culture within the company. So if you combine the 2 compani es and look at the broad portfolio, manufacturing footprint and the technical base of H eubach, and we bring in customer centricity, and commercial and agility. So a definite formula f or creating a world leader in pigments, a value-creating pigment leader floated in customer c entricity and agility. So that's the new Sudarshan, I would say.

In all, we have 19 manufacturing sites now globall y in 11 countries, 5 continents. We serve almost all customers in every country and they have a very unique and a broad product portfolio.
Our manufacturing footprint is very wide. And give n the current geopolitical situation and the tariff situation, this is a big advantage for us as an organization, as we have the flexibility of supplying from India, Europe, LatAm to any of these countries, and especially U.S. So the manufacturing footprint gives us a big advantage.
If you look at our product portfolio, we serve a v ery, broad product portfolio. We serve the conventional industries of coatings or paints, plas tics, printing inks. But in addition to this, we

also serve digital inks. We supply our aluminum dye s into suppliers to iPhones, cellular phones and some of our colors are also used in the latest iPhone 17 and 17 Pro. So these are the new areas where we sell into with our broad portfolios.
So again, to giv

e you a context, Clariant for the last legacy for the last 5 to 7 years, had decided to divest the business. After that, Heubach took ov er the business, then there's an insolvency. All this had led to the mindset to become day-to-da y survival. Whereas we want everyone now to shift to plan to win.
Whether you are in the sales team, how do we win a gainst our competitors, whether you are in the plant, how do we be agile in reducing our cost and being humble. That's the change which we are trying to bring within the organization. Of course, being courageous and bold is very important. But staying humble at the same time is v ery keen and humbly listening to all our stakeholders, especially our customers, and post co rrect our paths where required.
The customer centricity and responsiveness is at o ur heart. And we are rebuilding our customer service teams, which were disintegrated today, we d idn't have customer service. Customer service has become back offices, either in Romania, Poland, Mexico or in India. We are bringing back the front-facing customer centric teams. Entre preneur mindset is very important and speed in what we do.
The fourth principle is simplicity. Clariant belon gs to the Hoechst legacy. Hoechst was a EUR35 billion company with many businesses and hence quit e a few of the processes designed may not be relevant today and very complex. So we want to d rive simplicity in what we do.
I think bottom line financial stability is very im portant. Cash is king we are investing for the long term, but how do we ensure that short term, we preserve cash and be prudent is also as important.
Our integration has progressed very well. And I wo uld say, all in all, the integration is of three legacies and not two. It's the Clariant legacy, the Heubach legacy and Sudarshan legacy. So, we are really actually looking at integrating three co mpanies and a lot of hard work is going on in that.

To give you a more definite flavor on what we have done. Especially in this quarter, what we've achieved is we stabilized all our operations and en sure that product capability is not a concern for our customers even though some of our supply ch ain processes are still broken. We are fixing those, but we have ensured that we pump up inventor y so that our service levels improve.
As I mentioned, we've set up customer service, we'v e defined a road map for our integrated IT systems. Just to give you a flavor, we are working on four different SAP systems and we want to integrate those into one. And also, there are se veral applications outside of SAP, which we use, almost 70 to 80 applications. We want to see h ow we can reduce those costs and also integrate those applications in that perspective.
So, from that perspective, the next leg where we ar e playing in, is setting up the GCC, the Global Capability Center from that perspective. And also, we fully finalized our org structure. So, I would say, all in all, our team has really achieved a lot in the short period. One of the areas, if you remember, I spoke about and which I committed i s our team had committed to this turning around the business was important, and that was bas ed on cost reduction and value capture. During insolvency, there were several surcharges im posed on customers, and those charges have to be taken back and hence, we are working on a lot of cost reduction in AP area.
From optimizing our operations, where we are lookin g at across, what are the ideas of reduction in cost within the sites, but we're also comparing our processes across sites to see how we can reduce cost. Procurement has been a big lever, wher e I think the procurement initially by the acquired group was more focused on Europe, but we a re shifting this to Asia to more competitive sources and also taking advantage of our combined v olumes.
IT, as I already spoke to

you, several ideas on red ucing the cost. When we benchmark IT costs, the IT cost by at least 3 to 4 times higher than th e world benchmark was. So we deliver both from a cost reduction and also bringing in efficien cy and processes.
The other SG&A cost, we've looked at several optimi zing the structure which has happened, and that's given us a great benefit to in terms of that . And our product management, we were outsourcing several of our products, which we've in -sourced, and that will also give us a big advantage. Our net working capital will be our next focus on how to optimize cash and working company.
As I always said that, we are very excited of our j ourney ahead. There's a great opportunity. If

you look at how the industry is shaped. Five or six years ago, there were five global players. Today, there are only two global players, with Suda rshan as the only player who is focused on only pigment business. So this provides us a great opportunity in creating the most valuable pigment company in the world.
The way we are driving our customer centricity, cus tomer centrality across and bring in agility, I think this is going to be a very distinct advanta ge for us. We will become a world-leading color solution provider because our technical marketing, product management teams and our portfolio and the right sales team, we can work with customer s really to providing great solutions to the customers.

With this, I will start with the Q1 performance upd ate. Just to give you a little bit of a reflection on what's happening in the market. It is a fact tha t some of our customers today, there are headwinds from a market perspective. Our customers currently struggle with low demand and also high inventory.
High inventory was caused by two areas. One was giv en the tariff situation, some of our customers had built inventory, the geopolitical sit uation also anticipating better demand. So this was one area. But specific to Heubach, during the i nsolvency, there were several customers who are very insecure and built up high inventories. We expect them to destock this and by December, we should come back to a little bit of ou r normalised numbers.
So there's a double impact really for us where we s ee moderate demand and many customers who are built up inventories, so destocking. Also t his, we are learning new areas where we see from August Europe is almost shut. So because of th at, this is a new seasonal impact, which even I have learned about from that perspective.
So however, having said all this, there's a great t rust from our customers, and customers want to rebuild a meaningful relationship with us. We've al ready been honored with several customer prestigious awards from both the coatings and plast ics industry. We've got the excellent supplier awards and we have been seen as an ideal global par tner for combining our expertise and we have a great commitment from customers to do busine ss with us. So that's a great area to kind of move together on.
With this, we'll come to the numbers from our Q1 qu arter.
Nilkanth Natu: Thank you, Mr. Rathi. Good evening, ladies and gent lemen. I will take you through the quarterly financial highlights, starting with One Sudarshan. Total revenue for the quarter stood at INR2,507 crores. This number includes legacy Sudars han, acquired Group and Rieco business. Year-on-year and quarter-on-quarter numbers are not comparable, as acquisition of Heubach Global Pigment business was completed in March ‘25.
Legacy Sudarshan includes a stand-alone Sudarshan a nd existing subsidiaries performance of the legacy Sudarshan. Revenue for the quarter stood at INR628 crores marginally down by 1% and EBITDA for the quarter is at INR87 crores versu s INR81 crores last year, and EBITDA margin is at 13.9% versus last year of 12.7%.
We have seen revenue ramp-up st

arting in the acquir ed group. Revenue for the quarter is at INR1,882 crores versus one month revenue of March ‘ 25 post deal closure, which was at INR525 crores. In absolute EBITDA is at INR78 crores, whic h is 4.1%.
Coming to the pigment business. Legacy Sudarshan’s revenue from the pigment business for the quarter stood at INR578 crores which is marginally down 2% compared to the last year Q1, which was at INR589 crores. EBITDA for the quarter is at INR87 crores compared to INR90 crores last year and the EBITDA margin is at 15.1%.

Revenue from global pigment business, which is lega cy Sudarshan’s pigment business and acquired group stood at INR2,456 crores for Q1 FY ' 26 with the adjusted EBITDA of INR165 crores, which is at 6.7%.
Rajesh Rathi: Just to add what Mr. Natu has said, in legacy Sudar shan, we may see Q1 and Q2 to be a little flattish. But by the year-end, we sh ould pick up sales. This was mainly in specific geographies and specific customers. Also, we found some areas like especially Europe, and North LATAM, where demand was weak though we are wo rking on winning back some of these areas. And as we see, acquired group, the sales ram p-up has started but the market is not favorable, but we are in a good shape to bring back some of the businesses.
Nilkanth Natu: On the financial ratios, earnings per share for the quarter is at INR6, which is

not annualized number. Return on capital employed f or the quarter is at 14.3% compared to
13.7% last year and net debt to equity is at 0.5%.
We continue to drive our focus on the net working c apital. Net working capital as a percentage
to revenue stood at 23.9%. Net debt for the quarter stood at INR1,084 crores. With this, I will
hand over back to Mr. Rathi for his closing comment s. So net debt, Mr. Natu, do you want to
explain that?
Nilkanth Natu:: Yes. So net debt for the quarter is at INR1,084 cro res compared to INR652 crores in the Q4 of
the last financial year. And this is because of the part of the purchase consideration, which was
paid in June, which is as per the agreement.
Nilkanth Natu: So I think this was just part of the payment, which was paid in June as part of the whole purchase
price integration. Yes. With this, I hand it over t o Mr. Rathi for his view on the outlook and
closing remarks. Thank you.
Rajesh Rathi: Yes. So our projections, as we said that we are on track on what we have projected acquired a
group for EUR35 million EBITDA. We after seeing thi s business for 5 to 6 months now and my
team feel very confident that we would be able to d eliver not only this year's number, but
financial year '28 or '29. We would be on track to delivering the 90 million to 100 million
EBITDA out of the acquired group.
I've already spoken about tough market conditions. But in spite of that, we would be able to
deliver these numbers. So all in all, I think a good place where we are in . There are definitely
some distinctive advantages which one Sudarshan bri ngs into play. One is obviously 1 of the
fastest-growing pigment companies. But if you look at all our legacies the combined experience
is probably beyond 200 years.
So that's a great history which we have with us, we can build on. We offer customer first
solutions and we really build back that technical e xpertise, the technical market, the product
management and the customer connect the sales team. Quite a few of our sales team, a major
part of our sales team is very technically driven, which helps in kind of delivering customized
solutions to our customers.

We offer one of the most comprehensive organic pigm ent portfolio. But now we also have an
expanded portfolio into specialty dyes anti corrosi on with pigments, pigment preparations which
has really given us a great a boost in our prod

uct range, probably the most comprehensive
broadening product portfolio. One distinct advantag e we have is if you look at our manufacturing
footprint.
We are the only ones with such wide footprint of ou r manufacturing footprint and more
importantly, 50% of this being in Asia. So a long t erm cost imperative, where in addition to this,
a specialty portfolio out of Germany and then, of c ourse, we have LATAM also as an important
region for us to manufacturing pigments.
So this really gives us a great, I would say, compe titive advantage, long-term advantage as we
build this. So thank you, everyone and thank you fo r listening to us on that perspective. And
with this, we hand it over back to the moderator fo r the question-and-answer session. Thank you.
Moderator: Thank you very much. We will now begin with the que stion and answer session. Our first
question is from the line of Archit Joshi. Kindly a nnounce your company name and proceed with
your question.
Archit Joshi: Hi, good evening gentlemen. This is Archit Joshi fr om Nuvama Institutional Equities. Firstly,
many congratulations for a successful integration a nd reporting a decent quarter. Sir, my first
question is regarding your comment rather that you made with regards to being on track to
achieve the early guidance that we had given for He ubach EBITDA, which is roughly EUR35
million. And as we can see closer to the annual – h ello, am I audible? I think I got disconnected.
Moderator: No, sir, you're audible. We can hear you.
Archit Joshi: Yes. So sir, I was saying the part that you had set up for FY '26 to achieve EUR35 million of
EBITDA from Heubach seems fairly within reach. But if you could explain what would drive
this to take us to our FY '28, FY '29 number, I wou ld like a breakup, if you can give on two
accounts, what would be the cost items that you thi nk are easily achievable or are low-hanging
fruits, which might help in boosting the EBITDA?
And on the sales front, how do you see this INR2,00 0-odd crores revenue, quarterly revenue of
Heubach if one annualizes, let's say, to INR8,000 o dd crores every year, to grow at what rate to
be able to reach that EUR90 million to EUR100 milli on EBITDA?
Rajesh Rathi: Good question, I think as we had mentioned, that's a great opportunity in cost reduction and
value capture. And several levers the main ones bei ng manufacturing or operations. We expect
a large part of the cost reduction to come from the m. Equally important is the procurement or
purchase levers. And looking at these two levers an d then there is a onetime correction in the

Org structure.
Some of the Org structure benefits, though we've co mpleted we are still not seeing in the EBITDA margins as the restructuring cost of that is still there. So from that perspective, these are the three main levers. Then there are small lev ers like IT. There are other functions from our perspective where we are looking at thisfrom a grow th side.

As I mentioned until January, we don't see too much of growth but we are engaging very well with customers. We will see some growth coming in f rom that. And then on a year-on-year, we see no natural growth of 4% to 5% coming in from th at business year-on-year. These will be the levers where we will kind of coming. Please also re member that when we started looking at this business, the EBITDA was zero. And as we are workin g at to value capture, it takes time for it to come in to have the full impact. So that's where I think we are sitting today.
Archit Joshi: Great, sir. I think that answers my first question. Second question, and then I'll follow back in the queue, if possible. You had mentioned that 50% of our production comes from Asia. So, I'm assuming that this is 50% production volumes, might we also get the number on what we do in Europe and US, as manufacturing capacities that we hav

e there?
Rajesh Rathi: I think these are just ballpark figures, that I am giving you, a flavor of how this distribution is, I would say, ballpark, 50% from India, 30% from Germa ny and balance from LATAM, America and Japan, right, other geographies. And that gives a very distinct advantage for us, because the way we have a global manufacturing footprint, this is definitely a competitive advantage for us. And most of our competitors are either fully based in Asia or have no presence in Asia, or negligible presence in Asia.
Archit Joshi: Sorry, sir. A small one squeeze in.
Moderator: Sorry to interrupt you, Archit. Can I request you t o come back for a follow-up question, please?
Archit Joshi: Sure, sure.
Moderator: Thank you very much. Next question is from line of Rohit. Kindly accept the prompt, join as panelist, unmute your audio, turn on your video, in troduce your company name, and proceed with your question.
Rohit Nagraj: Thanks for the opportunity. Rohit Nagraj from B&K. So congratulations on the successful integration and relatively good performance. So fir st question is in terms of the production footprint. So have we started optimizing the produc tion, given that Sudarshan legacy business was also exporting some of the products to these co untries.
And now since we have the Heubach facilities, parti cularly situated in Europe. Have we started shifting some of those products to Heubach or where are we in that process of optimizing the production? And if so, what is the time-line that w e are looking at in terms of optimizing it and getting those benefits accrued? Thank you.
Rajesh Rathi: So, a great question, Rohit ji. From a perspective, there are 2 aspects to look at, where to meet the product, First was as there was a process, whic h was in place, where some of the non-specialty Azo pigments, were being moved from Germa ny to India So that process is just getting completed now Then the product management group is in totality, looking at what's the right place to make the right product, globally. That so -- and that depends on 2 factors, is the manufacturing cost, landed cost of the product manu facturing, total cost of the product on what geography and what's the capacity utilization impac t.

So, though product management looks at the entire m argin and then decides how to make it. And of course, one caveat is there. We have a tariff si tuation and hence, the tariff situation sometimes would kind of lead the strategy to meet this produc t locally in Mexico or Germany and not in India.
Rohit Nagraj: Sure. Thanks. Sir, second question on the numbers f ront, 2 sub-questions. One is that the integration cost that we have taken during this qua rter. Is it going to be a recurring in nature? And if so, what could be the quantum?
And second question on the net debt front, the debt has increased during the quarter. However, the cost of debt and interest seems to be extremely high. So how are we likely -- I mean what is the kind of average cost of debt that we can take f or FY'26? Thank you.
Nilkanth Natu: Thanks, Rohit. Nilkanth here. So firstly, on the in tegration costs, the current integration /restructuring cost is at INR32.8 crores, and we ex pect the similar run rate. And this is for the initiatives, which are currently being driven our g o-to-market initiative, value capture, etc

Rajesh Rathi: Just to add, some of our IT restructuring costs or the cost of organization restructuring, that's not included in this, that will be over and above this
Nilkanth Natu: And on the finance cost, Rohit, while there has bee n increase in our expenses, which we had mentioned in our opening remarks; in the Q4, there was a partial timing impact because we had drawn down the loan during March, and there was a b it of the timing, which was on a lower side. This particular quarter has a full quarte

rly impact on the finance cost, which is seen in the financials.
Rohit Nagraj: So just clarification, no questions. First, the res tructuring and integration cost, what is the time line that they will end. And if I take the run rate of about INR40 crores, INR45 crores of interest, it looks like on an annualized basis, the average c ost of debt is about 15%, 16%. So just clarifications on these two aspects? Thank you.
Rajesh Rathi: We plan the integration cost for this year and the integration cost should be Eur 10 million plus for this year, excluding the IT or the organization restructuring, Rohitji. On the interest cost, Mr. Natu, you want to start?
Nilkanth Natu: So, Rohit, on the interest cost, since it is -- rig ht now, you are looking at the net debt. If I see o n the gross state, the interest cost should be in the range of 6.5% to 7.5%. There are also other accounting impact in the interest cost, which is on account of the lease accounting, where the finance cost on the lease is also captured here. It is not on the borrowings, but it is more of the lease accounting there. So, from the perspective of the modeling, 6.5% to 7% can be taken as the finance cost on an average.
Rohit Nagraj: Thanks a lot. These are very helpful. Thank you and all the best, sir.
Nilkanth Natu: Thank you, Rohit.
Rajesh Rathi: Thank you.

Moderator: Thank you very much. Next question is from line of Bharat Sheth. Kindly accept the prompt, join as panelist, unmute your audio, turn on your v ideo, announce your company name and proceed with your question. Go ahead, sir.
Bharat Sheth: Yes. Rajeshji, how are you? And thanks for the oppo rtunity.
Rajesh Rathi: Yes, sir, we can hear you.
Moderator: Yes, sir, we can hear you. Go ahead.
Bharat Sheth: So, Rajeshji in, say, Germany, which is currently c ontributing 30% of our production and if I understand that in time of acquisition, we were ant icipating the government will do some kind of research, I think cost structure and everything. So is that already there in the place? Or is German manufacturing unit is profitable, or what st age we are in turning it to be profitable?
Rajesh Rathi: Sir, I can't fully follow your question. But what I understood is our manufacturing footprint, if you're talking about our manufacturing footprint…
Bharat Sheth: Correct.
Rajesh Rathi: From Germany, whatever products had to be transferr ed have been transferred back to India. And now it's a stable manufacturing list -- there a re good value capture ideas on Germany, and we will ensure that it is self-sustaining on its ow n.
Bharat Sheth: Okay. Good. And second thing, in opening remarks, y ou also kind of bringing down our working capital. Currently, what cycle we -- I mean, how ma ny number of days we have working capital and where -- how do we plan to bring it down? And w hat is the sustainable level that we are anticipating? Hello?
Rajesh Rathi: Yes, just a second, Bharat. We are approximately at 24%, 25% of working capital. We want to bring it down to 21%.
Bharat Sheth: Will it be by year-end? Or is it gradually that wil l come down?
Rajesh Rathi: Gradually. Our focus is first on building the plann ing processes and our first target is building customer trust. So ensuring even if we are a little inefficient, we don't want to compromise on that. The good part is pigment inventory is -- does n't get obsolete. It has a shelf life of like an infinite shelf life say20 years So, we will ensure that at the right time once the planning processes are in place, we will optimize the inventory.
Bharat Sheth: Okay. Thanks a lot and all the best.
Rajesh Rathi: Thank you, sir.
Moderator: Thank you very much. Our next speaker shareholder is Nilesh. Kindly join us, panelist. Un mute your audio. Turn on your video. Announce your company name and proceed with your question. Go ahead, man.

Nilesh Ghuge: Yes, hi. Good afternoon, sir. This is Nilesh from H DFC Securities. Can you hear me?
Rajesh Rathi: Yes, very clearly.
Nilesh Ghuge: Yes, sorry. So a couple of questions. First thing o n the depreciation. So can you tell us the depreciation for this year and FY27? Will it be the extrapolation of the Q1 number?
And second question, in your presentation, you ment ioned that our customers currently struggle with low demand, and they already have high invento ry because they built up high inventory due to insolvency. So based on current demand and o utlook on the demand, how many months of inventory do they hold as of now? So these are t he two questions. Thank you, sir.
Nilkanth Natu: Thank you, Nilesh. On the depreciation part, curren tly, for the quarter, the depreciation is at INR99 crores, and we expect the similar range each quarter going forward for the FY26. Thank you.
Rajesh Rathi: On your second question, Nilesh, I think, of course , there are two impacts. One is overall, in general, there is a destocking effect because peopl e have our anticipated demand and also looked at any uncertainties and build up the demand. The s econd part is also that the -- when it's concerning us, that's Heubach, i built up Heubach customers, legacy Heubach customer s, built up demand due to the insecurity, right?
So these were the two factors, I would say, where d estocking happens and that's why destocking is more pronounced for us now, Because a lot of cus tomers are destocking. It's very -- customer to customer, it differs, but we believe that custom ers are kind of stocked up on certain products till December, and we should see a good numbers co ming up.
Nilesh Ghuge: Thanks. Thanks a lot, sir.
Rajesh Rathi: Thank you.
Moderator: Thank you. Next question is from line of Hussain. Kindly accep t the prompt. Join us, panelist. Unmute your audio, turn on your video and announce your company name and proceed with your question.
Hussain: Sir, I just wanted to understand if the domestic ma rket is spurred on numbers. And you have said that in the Q1 and Q2, the numbers will be wea k and largely in Q3, Q4. So what's the prime reason for -- I think you have already said in term s of that there is some inventory buildup. But how do you see that in the full year? Can you see a full year revenue growth of more than double digits? Can we see full year revenue growth of doub le digits considering that in the domestic business?
Rajesh Rathi: Simply, just to clarify, when you mean domestic bus iness, you mean the Legacy Sudarshan business,
Hussain: Correct. Correct.

Rajesh Rathi: Legacy Sudarshan business, absolutely, sir. I think we should -- the aim at the end of the year is to get the 10% in that region, 8% to 10 % number fr om the year-end perspective. Q2 should be still a little soft on two reasons. One is, of cour se, last year, our Q2 was very robust. And we have seen significant growth.
And this combined with that, seeing last year's rob ust growth and this year's a little bit of a muted demand, these are the two areas where we'll see a l ittle bit of softness in Q2, and we should be able to build up that as we go ahead.
Hussain: Got it. And sir, secondly, when you think of the gl obal payment sector, I think you already start said that only two players -- so from the earlier f ive players to two players. So on the pricing front, have you seen that the pricing has largely i mproved because of the two players -- being only two players in the segment, largely driving th e compared to five players, has the realizations have improved across the book?
Rajesh Rathi: I think generally, the -- there is a good competiti veness on pigments from Asia. And there is, of course, a price differential between the Asian pla

y er and a global player. But that has not significantly increased. And I think our focus is o n capturing value volumes. And hence, we will keep our pricing at where we are around.
Hussain: Got It. I think, sir, that is the only question from my sid e. Thank you.
Rajesh Rathi: Thank you, Hussain.
Hussain: Thank you.
Moderator: Thank you very much. Next question is from the line of Raja. Kindly join us panelist and mute your audio, turn on your video, announce your compa ny name and proceed with your question.
Go ahead, sir.
Raja: Sir, just a couple of questions. So first one is yo u mentioned that some of the commodity business

has been moved from Germany to India. So I would li ke to know, has it been more to Sudarshan India business are the Heubach India. And also, wha t is the margin uplift that you're looking at by moving?

Rajesh Rathi: These are -- some of these products were part of th e movement, even before we had acquired this group. So it was moved to Heubach group compan ies, either be public listed or the private both. This was done because these products were not very viable out of Germany, The costs were very high.

And hence, the these move to India, From India, I d on't recall right now the margins, what this was, but I think it was a very favorable area where we could compete with making these products here, right, where in Germany, we were not able to.

Raja: Okay. Got it. Sir, the second question is I see tha t the power cost is a major component of your other expenses, particularly on the European region .

Rajesh Rathi: Can you sir -- it's very difficult to follow. Can y ou talk louder?

Raja: Yes. Sir, this question is on the power cost in the European region. Given this war between Russia and Ukraine, so I mean, generally, most of t he companies are seeing the higher power costs. So I just want to, is the scenario improving or is it the same or is it decorating?

Rajesh Rathi: So I think there's also a normal cycle in Europe wh ere in the winter season, the power prices to increase. The big surge, which had happened during the Ukraine, Russia, for energy at that time, is not prevalent anymore, And hence, the power diff erential cost during the normal months other than the winter is not significantly very different .

Raja: Okay. So it's no longer a headwind for us, is that…

Rajesh Rathi: No, it's not a headwind for us anymore.

Moderator: Thank you very much. Next question is from Nitesh D hoot from Anand Rathi. Please go ahead.

Nitesh Dhoot: Just a couple of bookkeeping questions from my side . So first is on the pigment business gross margin. Can you give the split between the legacy a nd the acquired group? That is the first one.

Rajesh Rathi: So Nitesh ji, So I think currently, we are not givi ng out the gross margin numbers given that once the business stabilizes, especially of the acq uired group, we'll be able to do that. But the acquired group does have a higher gross margin than the legacy Sudarshan business.

Nitesh Dhoot: And sir, just one more for Nilkanth ji. So basicall y, if you see the other expenses, that includes the integration cost, INR33 crores, that's related to the acquired group. In the last quarter, if I remember, you had INR20 crores expense, and that wa s considered in the adjusted EBITDA number, which you gave out in the presentation.

For Q1, however, this appears to have been left out when giving the adjusted EBITDA at INR165 crores. So considering this as a one-off, does it n eed to be added back to that EBITDA number or how should we go about it?

Nilkanth Natu: We have adjusted EBITDA with INR20 crores of one-of f costs. The current INR165 crores adjusted EBITDA, which we had mentioned in our pres entation needs no further adjustment.

Nitesh Dhoot: Okay. And just one more on the foreign exchange adj ustment. So you've mentioned INR2

7crores
as the gain that has been adjusted. And in the repo rted numbers, there is another INR11.5 crores. So I mean, is this part of that number or has it to be treated separately?

Nilkanth Natu: So Nitesh, the INR27 crores the forex gain adjustme nt, which we have mentioned in our presentation, this is more of an accounting treatme nt, which is related to the FX translation on the intercompany loan between Sudarshan India and S udarshan Europe BV. These loans we are given as a part of this transaction. So we have exc luded this exchange gain from the normal operating EBITDA, which is reported.

Moderator: Thank you very much. I now hand the conference over to the management for closing comments.

Nilkanth Natu: Thank you, Mr. Nitesh and Anand Rathi Research. Tha nk you all the participants for your time and interest in Sudarshan Chemicals. We remain conf ident in the long-term prospect of our

business and also on the integration, which we are which we have mentioned in our opening remarks. We look forward to engaging with you again in the future. Thank you.

Moderator: Thank you very much. On behalf of Anand Rathi Share s and Stock Brokers Limited, that concludes this conference. Thank you for joining us , and you may now disconnect your lines.

Thank you.

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Call: Nov 2025

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20 th November , 2025

BSE Limited National Stock Exchange of India Limite d
Phiroze Jeejeebhoy Towers, Exchange Plaza, C -1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex ,
Scrip Code – 506655
Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Invest ors Conference Call

We are enclosing herewith transcript of the confere nce call with Analysts / Institutional Investors, which took plac e on Thursday, 13 th November, 2025, after announcement of the Unaudited Financial Resul ts (Stand-alone and Consolidated) for the quarter and half year ended 30 th September, 2025.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited
Q2 FY '26 Earnings Conference Call"
November 13, 2025

MANAGEMENT : M R. RAJESH RATHI – MANAGING DIRECTOR – SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER – SUDARSHAN CHEMICAL INDUSTRIES LIMITED
MR. AMEY ATHALYE – GENERAL MANAGER – FINANCE – SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MODERATOR : M R. ROHIT NAGRAJ – B&K SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 FY '26 Earnings Conference Call of Sudarshan Chemical Industries Limited hosted by B&K Securities. As a reminder, all participant lines will be in the listen-only mode and there wil l be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.
I now hand the conference over to Mr. Rohit Nagraj from B&K Securities. Thank you, and over to you, sir.
Rohit Nagraj: Thanks, Michelle. Good morning, and welcome, everyo ne. We thank Sudarshan Chemical Industries management for providing us the opportun ity to host the company's 2Q FY '26 Post Results Conference Call. Today, we have with u s the Sudarshan Chemicals' management represented by Mr. Rajesh Rathi, Managing Director; Mr. Nilkanth Natu, CFO; and Mr. Amey Athalye, General Manager, Finance.
Without taking further time, I shall hand over the call to the management to walk us through the company's performance, post which we can conduct th e Q&A session. Thanks, and over to you, sir.
Rajesh Rathi: Thank you, B&K and Rohitji for hosting us. It's a r eal pleasure to speak with all of you and a pleasure to talk about the last quarter's performan ce. I hope you all can see screen.
I just wanted to ensure that everyone has recap on the fantastic deal we did on March 03, 2025, which gives us a real opportunity to become an Indi an MNC. Heubach belongs to legacy of Clariant and Hecht, which was among the top two glo bal players with more than 200 years of experience. Quite a few of the pigments were actual ly invented there.
And with Sudarshan acquiring this business, it giv es us a great opportunity for growth.
What we've acquired is 17 global manufacturing site s and a very broad portfolio and a great technical team. Together with Sudarshan's agility a nd entrepreneur spirit, we believe that we can create a true Indian MNC.
In terms of the manufacturing sites, now today, we have 19 manufacturing sites across 11 countries, five continents. We serve almost ever y country and have more than 4,000 direct customers. We have a very broad product portfolio a nd we serve not only the traditional industries like coatings, plastics, printing inks, but have a great presence in digitals and special applications like we do supply colors for iPhone, S amsung and hence, gets us on a higher notch.
To begin speaking on the quarter's and half yearly performance, basically, I want to begin with talking about some of the market reflections. As yo u can see, the Q2 quarter has been a little disappointing, disappointing from a perspective tha t while the fundamentals of the business remain very strong, there's a temporary dip in dema nd, which I'm going to explain a little more in details.

And so, one is we've seen low demand across most of the pigment end use And now our business is global and main economies like Europe, U.S., Lat Am kind of affects our sales a lot too.
So, we've seen lower demand. This was mainly for co atings and plastics. This was driven also by very high interest rates, which kind of led to a lower household demand and lower demand on paints and automotive industry.
Most of our global customers have degrown. But add ed to the problem of this degrowth was, as I had mentioned last time, during insolvencies, cus tomers bought above normal stocks not only from Heubach, but products which were similar from competitors.
And we never anticipated such high level of stocks with customers. And as we were discussing with the customers, that's how we've now come to kn ow. and because of their poor demand, the
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ate of depletion has been much lower than what we had anticipated.
And that's caused a concern for the Q2 performance . I'm going more deeper into the performance. Sudarshan's sales has been flat year o n year. But if you look versus Q1, we did a 13% growth. EBITDA has been flattish, and we'll tal k a little more in details later.
So, to explain this slide, legacy Sudarshan means S udarshan's pigment business and RIECO put together, the acquired group business and then One Sudarshan includes the legacy and acquired group.
This is pigment only slide. So legacy pigment busin ess was flat. And this was mainly affected due to the coatings market in India, and we will ex plain a little more what's happened in the coatings market.
The plastics market has done well. And we also saw marginal impacts in some of the markets where we were changing our distributors, etc, due t o the new go-to-market strategy. But the drop in EBITDA has been even higher. Again, none of the fundamentals of the business have changed. This is a temporary phenomenon.
We had to lower our production given the high inve ntory during Q2 quarter. This led to a low operating leverage and this has caused the EBITDA d rop. Again, as I mentioned, this is a temporary phenomenon. Going forward, we should come back to our 14%, 15% levels moving forward on our EBITDA margin.
On the acquired group, as I mentioned, there were two issues. The demand of the customers has been soft. And customers had a large stock on Heuba ch products, which resulted even in a lower demand for us. and lower EBITDA margin due to the s ales and volume drop. The EBITDA margin would have been even more severe, but given some of our initiatives on value capture, we were able to bring this back into a positive.
H1 performance. So, Mr. Natu, you want to take it.

Nilkanth Natu: Yes. So, this is One Sudarshan H1 performance and t he Legacy Sudarshan we've improved Sudarshan pigment business and the RIECO business. The sales for the first half is flattish at INR1,340 crores H1 to INR1,330 crore, and EBITDA is also in the range of INR178 crore.
For the Acquired Group the first half the turnover of INR3,565 crore with INR103 crore of EBITDA and which is at the 3% of the EBITDA margin. We've seen the Legacy Sudarshan pigment sales marginally lower which is mainly the softness in the Europe and North LatAm region.
And Acquired Group run rate for the first half is around INR590 crore. This is the H1 for pigment only, so further deep diving into the pigment perfo rmance business for the first half. The Legacy Sudarshan pigment business we see a flattish slight degrowth of 1.6% in the revenue. The sales is at INR1,229 crore. EBITDA is at INR172 crore wit h 14% EBITDA margin for the first half.
On the financial ratios. While the key ratio EBITD A net debt to equity and net debt lever are at the same level what we had reported earlier in Q1 a lso. So, from the financial balance sheet side, the financials are robust. On the net working capit al we're in 26% and as we guided earlier we've to reduce the working capital and this will be the gradual process as we've stocked up some inventory for the customers overseas.
Rajesh Rathi: On the projections we've revise our guidelines. Thi s year the expected that the acquired group to a about 35 million. Given the circumstances whic h I explained to you, we also expect Q3 to be subdued. And hence, we had to revise -- we expec t customers to really start buying from Q4 onwards, and that's where I think we had to revise our projections to 25 million to 30 million.
But our 3- to 4-year guideline still remains the sa me.
As I mentioned, this is a temporary phenomenon due to the demand adjustment, and that's the reason why we have to only adjust for this year. Ou r long-term 3- to 4-years gui

dance remains
the same. I'm also glad to inform you that our inte gration is going very well. So, if you look at the fundamentals of the business, other than the te mporary demand issue, I think all the other fundamentals are well in place and going very well, So, with this, I'd like to give you a little bit of an integration update on how we are doing.
We've been able to stabilize some of our operation s and product availability. We have been able to generate good leads. And as soon as demand comes back, we will be able to get these sales back from our perspective.
Our value capture process is well going -- progres sing very well. And we've already launched a project to integrate our IT and entire data. We've defined and setting up a new GCC structure, and we finalized the full structure So, from that p erspective, the integration is well on track.
It's almost six to seven months that we've complet ed the acquisition. And I think when we reflect on were there any positive surprises or any negativ e ones? I think the first positive is all assets and all inventories are in very good condition We h ave reaffirmation of a great connect and depth with higher-value customer applications and w e've been able to build that trust with

customers.

Core functions like operations, technical are in g ood shape. And we were able to confirm whatever value opportunities we saw during our diag nostic. A few negatives. I think the costs are quite high. Fixed costs are quite high and espe cially on the manufacturing side, even when the volume drops, the fixed cost of manufacturing i s high and you are not able to see that much drop adjustment in the manufacturing cost.
And we never anticipated the customers to have such high level of inventories, especially in global key accounts, we've seen -- that's where our Q2 sales were mainly affected, but it's a temporary phenomenon. Our value capture goes across five major themes.
One is operations and supply chain. And there are great opportunities for us to optimize across products across our legacies. And there are product synergies, which today we see we have two units in Roha, and we've already seen some successe s in that and getting some value capture opportunities.
Optimizing the supplier landscape and leveraging o n the scale to negotiate better contracts has been our endeavour. We've done a lot of clean sheet -based negotiations, on volume rebates, and that's given us good this.
IT, I think the infrastructure contracts have been renegotiated. Some of the apps which were high cost have been rationalized. On the org and SG&A is an ongoing process. We've been able to remove some duplicate roles, but we still see there is still some potential going on, on this.
In terms of the technical and product management, we are looking at several opportunities to in-source a lot of pigments, compare recipes, footprin t optimization. We've already seen a grand success with some of the recipe harmonization of ot her core products.
Thank you. Thank you very much. As we go forward, I think we'll continue to build trust and commitment to grow with us I think there is a high interest and a very serious relationship building. And once the destocking or once the stock s of our customers are over on these, we will see a good upside. A strong value capture coming, w e will keep accelerating this big potential in the future to free up some of the working capita l.
We are going a little slow on that, but we will se e as we progress in this year, we will see better results. And systems and data integration is kind o f to solidify the One Sudarshan. These are some of our major priorities as we are going forwar d.
To kind of talk about, as I said, our 3 to 4-year guidance remains the same. This year's guidance is adjusted to between euro 25 million to 30 millio n with a caveat tha

t Q3 will still remain subdued. Thank you very much.
Moderator: Sir, shall we start with the Q&A?
Rajesh Rathi: Yes, please.

Moderator: Thank you very much, sir. We will now begin the que stion-and-answer session. Your first question is from Sanjesh Jain. Please accept the pr ompt on your screen. Turn on your webcam, unmute yourself and proceed with the question.
Sanjesh Jain: I got a couple of questions. First, looking at your guidance on the acquired company, we are talking of 25 million to 30 million. In first half, we did 10 million. And if I assume Q3 generally is seasonally weak for the acquired company conside ring the festive season and the winter, that means we are looking at what upwards of 10 million to be done in the fourth quarter. What is giving this guidance? That's number one.
And this is a generally seasonally weak quarter be cause this is a post festive season, I think coating will have a relatively lower demand. What i s giving us the confidence that Q4 financial year, which is January to March will be a stronger quarter, and we are expecting to do almost what, 10 million plus kind of EBITDA in the Acquire d company? That's my first question.
Rajesh Rathi: Thank you, Mr. Jain. So, first of all, I think Q4 i s our strongest quarter, whether it was legacy Sudarshan or for Heubach. and Q3 is a weak quarter, as you rightly mentioned, -- especially given the Christmas season, most of the Western eco nomics, half the month is closed and also November is slightly affected because of Thanksgivi ng, so, in general, Q3 always remains subdued and Q4 is always the best quarter ever. Tha t's one.
The second is, as I mentioned, the customers expec t to deplete their stocks because of the low run rate by December end. And from January, we are seeing a strong message from the market that they would require -- they will start buying a nd we'll see the demand come up. So that's the confidence which we have going forward. And we expe ct the Q4 quarter to be even stronger than what we mentioned, in terms of guidance.

Sanjesh Jain: Got it. One follow-up there. What kind of inventory is there in the customer system? Any color on that, whether that's a significantly larger inve ntory? That's number one.
And number two, any color on the order book that w e are getting for the Q4 in terms of lead indicator that gives us that Q4 will be a much stro nger quarter?
Rajesh Rathi: Sure.
So, what we've seen in the current phenomena that t he global key accounts have done a major stock up given their insecurity on and they were ve ry dependent on Heubach. So, these customers and rest of the customers have done better and the impact we are seeing is due to the global key accounts.
We've had deep engagement with these accounts, and they have assured us that the demand will start coming back from January. We have already see n some of these customers place orders for January onwards months, and that gives us the confi dence that this will come up.

Sanjesh Jain: That's very clear. One last question on the domesti c business. Just looking at the stand-alone number, the gross profit margin appears to be rathe r quite weak, dropped from 47% to 43% in a scenario where I think chemical commodity prices ap pears to be quite benign. What explains such a sharp drop in the margin? This is the materi al margin.
Rajesh Rathi: This is -- it includes -- the gross margin includes the manufacturing margin, and that's where we described that we lowered our production so that th e inventories we are able to lower, and this led to a lower operating leverage...
Sanjesh Jain: So basically, what we are telling is that we have d einventorized our balance sheet that we have sold from the inventory. So, a lot of operating cos ts will now get captured above

the gross profit
level rather than below the gross profit level. So, can you tell us how much inventory have we reduced in the stand-alone business in this quarter versus last quarter?
Rajesh Rathi: Sorry. Yes, can I? Is it okay to you. Yes, about IN R100 crores.
Sanjesh Jain: No, sorry, that I can get from the change in the in ventory from the P&L. That's -- apologies for question.
Moderator: The next question is from Rajesh Kothari. Please ac cept the prompt, introduce yourself, and proceed with your question, sir.
Rajesh Kothari: Thanks for this opportunity. Just two questions fro m my side. Sir, you mentioned that in disappointment perspective, the negative surprise p erspective, you said that the fixed costs are expected -- there was a negative surprise on fixed cost are expected -- I mean, much higher than what you thought. So can you give a little bit more color in terms of probably it also means a more scope for cost reduction compared to what earl ier you would have thought for? So that's first question.
And the second question is you said on the working capital efficiency, you will continue to further -- there were some -- you found it to be a little bit higher than what you thought it should be. So how do you see the working capital efficienc y to drive over the next 12 to 18 months?
Rajesh Rathi: So I think absolutely, sir. The first -- I think we see a good potential of cost reduction. However, some of the fixed cost to reduce takes time due to regulatory frameworks. But I think there is no doubt that there is a big potential to reduce and v alue capture has been a major theme for us kind of looking at that. and some of the initiatives lik e setting up the GCC, setting up ONE SAP will also give leverage going forward beyond our regular operations purchase cost reduction.
That's the first question, and we are looking forw ard to that. In terms of working capital, as I mentioned earlier, we wanted to gain trust of our c ustomers and are because of four different systems, different planning systems, some of our pr ocesses were not in line, plus we did not anticipate this much of high stock with the custome rs that demand will come down. So we planned for a little bit of a higher demand, and th at's where our working capital has been high.
But going forward, we are already taking steps to s tart reducing this working capital, and we see a good potential even there.

Rajesh Kothari: So, therefore, as you go forward, what kind of work ing capital days do you think one should assume for FY '27, particularly for this global bus iness? And in terms of the cost savings, do you think some cost savings probably you can achiev e a little bit more compared to what you -- that's what my question is.
Rajesh Rathi: So, I think, sir, for next year, you should -- our aim is to get to about 24% of working capital to sales. And going forward, of course, we are not hap py with this number. Going forward, we would look at how to optimize further. But I think this is the visibility we see for next year.

Rajesh Kothari: Where it is currently?
Rajesh Rathi: I think at around 26.2%.
Rajesh Kothari: Okay. Because when you acquired, you also had a goo d amount of debtors and there was expectation that even from there, you can drive mor e efficiency in terms of overall the valuation what we paid. So, whether the debtors are getting r ealized?
Rajesh Rathi: Yes, Mr. Natu do you want to respond?
Nilkanth Natu: Yes, as Mr. Rajesh mentioned, currently, we are at 26.2% of the net working capital, and we expect by FY '27, we should reduce it to 24%. Answe ring your question on the debtors realization, the debtors which we acquired in this insolvent group, those realizations had taken place in the first two quarters and we don't see an y – and that is all.
Moderator: The next question is from Gagan Dixit. Please intro d

uce yourself and proceed with your question. Mr. Dixit, please accept the prompt.
Gagan Dixit: Yes. Sir, given your addition of the top three glob al pigment players that over the time you want to become -- you want to compete with, I think, BAS F, Clariant. So, when I see, over the time, so what -- after the Heubach acquisition, so what w ill -- we see that you have some sustainable advantage we see. I mean, if you can give some colo r on the cost advantage or this product mix or the customer reach, that would be helpful, sir, just from the point of view over the next three years, sir.
Nilkanth Natu: So, I couldn't follow your question, but basically, we have acquired Clariant and Heubach together. So, there are only two global pla yers now. The other global player is the DIC group, which includes BASF and Sun Chemical and we are Sudarshan, Heubach, and Clariant together.
I think we're very strong in coatings and digital inks, like legacy Sudarshan was strong in plastics, and that's where we are growing. But with the acquisition of Clariant or/Heubach, what we have also great access to special applications l ike phones, agro market, stationery, etc. So that's how we are playing a great. Also our product portfolio has expanded tremendously.

Gagan Dixit: Okay. My second question is that, sir, there is a f ew months back, the news came that in the media that you have done some continued the legacy deal with the Brenntag that group of the distributor of Australia, if I'm correct. So, can y ou give -- quantify that what are the benefits you see from this entry into the Australia market?
Rajesh Rathi: So, Australia, we were always present. This was a m inor and not a very large market for us, and I think it's a small go-to-market change. There are distribution channels we are changing globally, due to the new situation in the market.
Moderator: The next question is from Jatin Sangwan. Please acc ept the prompt on your screen. Turn on your webcam, unmute yourself and proceed with your quest ion.
Jatin Sangwan: So, my first question is just a follow-up on the re venue part. So, when you mentioned that Q3 will be subdued, so is it right to assume Q3 will b e lower than Q2 at level or we will see some kind of improvement Q-o-Q going forward as some of the inventory will start easing out?
Rajesh Rathi: Jatin ji, it's a complex question to answer because there are two phenomenon's.
Like I mentioned, December is a very -- you have ha lf the December month only. But at the same time, certain businesses are coming back. So, as a mix impact, it's also new to us, because we never saw half the month of December not being there and major geographies now December, they don't operate. So, it's very difficu lt to kind of come at that, but I think we should be in the close range probably of Q2 numbers.
Jatin Sangwan: Got it. And my second question is on you mentioned that there are fixed costs at Heubach level. Our backup and calculation suggest that the fixed c osts could be as high as 36%, 37%. So, linked to that, is it right number to look at it?
And linked to it, another question is we have seen some reduction in employee expenses and other expenses at Heubach level. So, is it right to assume when the revenue will increase in, let's say, in Q4, the employee expenses and other expense s will still look at reduced level, and that's why we'll see higher EBITDA margins in Q4?
Rajesh Rathi: Absolutely, sir. The operating leverage with the hi gher demand would definitely be in Q4. But there is a systematic effort also on our part t o reduce fixed cost. So, you will see both. Hopefully, you should see both the impacts.
Jatin Sangwan: And sir, is this 37% number is directionally in lin e or are we missing out on s

omething?
Rajesh Rathi: Sir, I cannot answer this question online. Maybe ou r team will revert to you.
Moderator: The next question is from Dhavan Shah. Please accep t the prompt on your screen, unmute

yourself and proceed with your question.
Dhavan Shah: Yes. So, my question is on the stand-alone legacy b usiness. In the last con call, I think you mentioned that the Q2 would also be soft like Q1 in terms of the pigment. But if I look at the Q2 number for pigment, we have already witnessed 12% q uarter-on-quarter growth. So can you please explain what led to such growth in Q2?

And how do you see the second half for the legacy pigment in the domestic market as well as the export business?
Rajesh Rathi: Yes, absolutely, we did 12% to 13% growth, but our anticipation was even better numbers on quarter 2 -- on last year quarter. That's where I h ad said that compared to last year quarter, it's a little subdued. I think the growth phenomenally cam e from the plastics area. In India, the plastics area, we saw good growth. The coatings growth was s ubdued.
Dhavan Shah: Okay. Okay. And going forward for the next second h alf, how do you see the picture overall in terms of the domestic as well as the export busines s? And given that you already did the capex, I think three, four years back, roughly INR700-odd crores, how is the utilization right now? And what is the progress over there, if you can sha re thoughts.
Rajesh Rathi: Sure. I think given the second half, I said we expe ct a very good strong domestic performance. Export Q3 should be subdued. Q4 onwards, we should see a good pickup there. Our capacity utilization on the capex are going as per plan. In fact, given the new situation, some of our capex performance would even get accelerated.
Dhavan Shah: Okay. But last quarter, you mentioned that the grow th would be around 8%, 10% for the legacy pigment. So that will -- that guidance maintains?
Rajesh Rathi: So, all in all, I think given the performance so fa r has been subdued, Q2 is subdued. Q4, we should come back.
Dhavan Shah: Understood. And sir, if I look at the published num bers and if I compare it with the investor presentation numbers for the pigment or maybe the c onsole legacy Sudarshan, there is some discrepancy. So if you can help us to understand be cause that number is not matching with the as reported number, even though if we add up the RI ECO numbers also?
Rajesh Rathi: Just one second. I think this Natuji and Amey, will you answer that or you will get in touch with. So, sir, Dhavan, I will get in touch with you becau se the numbers which we have reported are for revenue from operations. But if there is anythi ng, post this call I will connect you. Unless you have any specific questions, we could answer ot herwise, they will get in touch with you separately.
Moderator: We'll take the next question from Rohit Nagraj. Ple ase proceed with the question, sir.
Rohit Nagraj: So, first question in terms of the 17 manufacturing sites outside of India. So, what is the plan in terms of getting some of those products from those high-cost destinations to India? And have we started the process? And will that also be one o f the levers to reach the $90 million to $100 million of EBITDA by, say, FY '28, '29?
Rajesh Rathi: So, out of the 17 manufacturing sites, five are alr eady in India itself The rest of the products, some products from Germany, there was already a mov e to move some of the product lines into India. Those -- that project will get completed in some time, and that will give us a good benefit.

Other than that, we don't see too much of movement . In fact, given the tariff situation, we are moving some of the products actually to Europe and to Mexico
Rohit N

agraj: Sure. Sir, second question in terms of the R&D or p roduct development. So, we have said in the opening remarks that we've been working with the li kes of even Apple, Samsung. So how has been the inquiry flow from our customers? And how d o we see that those inquiries getting to fruition and finally turning into revenues?
So just a broader understanding on the technology side, the R&D setup and how we are integrating both the Heubach's technology with the Sudarshan's R&D capabilities.
Rajesh Rathi: Rohit ji, great question. I think, Rohit ji, in the last two years, this whole process of innovation was quite broken. There was not much technical emph asis. We have created this technical teams and reactivated the technical teams.
I think the first step was to set up a confidence and a trust with customers, which we've achieved in Q1 to even regain some of our lost businesses an d then get into some of the innovation partnerships and are already kind of looking at sev eral ideas on working on innovation with our customers and are looking at that perspective.
This, obviously, looking at these projects, the wh ole lead time to get this done, etc, is more than a year, etc. But I think that engagement and the cu stomers then don't find you that transaction,

It's a more meaningful relationship as you kind of build going forward.
Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to the management for closing comments. Thank you, and over to you, sir.
Rajesh Rathi: Thank you, everyone, for your interest in Sudarshan . As we close the investor call, I would like say that our 3- to 4-year projections remain the sa me. There is a temporary setback, I would say, due to external situations on the demand and where our customers have a lot of stocks. This situation will improve. So, we would require your p atience and looking forward to working with you.
Moderator: Thank you, members of the management. On behalf of B&K Securities, that concludes this conference. We thank you for joining us, and you ma y exit the meeting. Thank you.
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Call: Feb 2026

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19th February, 2026

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C-1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam ,

Sub : Transcript of Analysts / Institutional Investors Conference Call

We are enclosing herewith transcript of the conference call with Analysts / Institutional Investors, which took place on Friday, 13th February, 2026, after announcement of the Unaudited Financial Results (Stand-alone and Consolidated) for the quarter and nine months ended 31st December, 2025.

The said transcript is also uploaded on the website of the Company.

Kindly take the same on record.

Thanking You,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

"Sudarshan Chemical Industries Limited
Q3 FY26 Earnings Conference Call"
February 13, 2026

MANAGEMENT : MR. RAJESH RATHI – CHAIRMAN AND MANAGING DIRECTOR
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER
MR. AMEY ATHALYE – GENERAL MANAGER – FINANCE

Moderator: Ladies and gentlemen, good day, and welcome to Sudarshan Chemical Industries Limited Q3 FY '26 Earnings Conference Call hosted by Anand Rathi Share and Stock Brokers Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded. I now hand the conference over to Mr. Nitesh Dhoot from Anand Rathi Shares and Stock Brokers. Thank you, and over to you, Mr. Dhoot.

Nitesh Dhoot: Thank you. Good morning, everyone. On behalf of Anand Rathi Institutional Equities, I would like to thank the management of Sudarshan Chemical Industries for giving us the opportunity to host their Q3 and 9 months FY '26 earnings conference call. From the management team of Sudarshan, we have with us today Mr. Rajesh Rathi, Chairman and Managing Director; Mr. Nilkanth Natu, Chief Financial Officer; and Mr. Amey Athalye, General Manager, Finance. Without further ado, I would like to hand over the call to the management for their opening remarks, post which we'll open the forum for an interactive question-and-answer session. Thank you, and over to you, team.

Rajesh Rathi: Thank you. This is Rajesh Rathi. Thank you, Anand Rathi and Nitesh Dhoot for hosting our call. We are looking forward to a very active participation in today's call. And with this, I would like to start our presentation. I would just like to reflect on and remind everyone that we completed the acquisition of Heubach's global business, which included Clariant's pigment business. Just to remind everyone, Heubach legacy plus Clariant were among the top 2 global players with a legacy of more than 200 years. Sudarshan, on the other hand, was the fastest-growing pigment organization with customer centricity at its heart and agility. Our whole endeavour is that this new Sudarshan would be a global value-adding pigment leader, rooted with customer centricity and agility and innovation coming from Heubach.

So, we are combining this in creating a new pigment global leader. And it's a very exciting journey what we are embarking on. Altogether, we have 19 manufacturing facilities in 11 countries and 5 continents. This is a major differentiator for us in the marketplace and 55% of our manufacturing footprint is in Asia, which makes us quite competitive.

We have the broadest product portfolio in the industry. And with this new One Sudarshan, we are serving new markets like cell phone markets, digital inks, personal care in a much larger way. Very exciting product portfolio and the markets we are serving.

With this, I would like to give you some update on our integration. To remind everyone, we've completed 11 months into the integration. We've made very good progress. The first thing we wanted to create was customer confidence and customer centricity was our main theme there. We've done a lot in this region. We've gained back the trust of customers. We've improved our customer service. Example, we've created customer service teams locally in each country. We've rebuilt our technical marketing organization. We carried high stocks for a long time to ensure that we are able to serve the customers well.

We did not want them to experience any issues in supplies so that it builds back the trust. And that's gone a long way with us.? Second, very important aspect was value capture. And we've been working very intensely, and this was our thesis of -- the second thesis where we wanted to look at how we can turn around this business.

So, we've been working on multiple work streams across operations, procurement, organization, IT and fixed cost and the implementation is going very well. We already have captured INR40 crores of this which we have re

alized in our Q3, if you compare it to Q1 and we also have a very healthy pipeline going forward.

In parallel, if you look to our value capture efforts, we are improving the setup of the operating model of One Sudarshan. One big initiative is creating a global capability center where we plan to shift not only the back office, but also create some capability roles here and use digital innovation to even improve our response time to customer, become more productive.

This initiative is going to be very important, and I'm glad to tell you that we have inaugurated our GCC on February 4 and we will now be ramping up in the next1 year this operations Again, very important, creating that one culture. As we are present in multiple geographies, multiple legacies and it is very important to kind of create this one culture of Sudarshan.

And we've aligned more than 90% of our colleagues on purpose, mission, values on living this culture. Last not the least, it was very important to harmonize processes and systems. We were working on 4 SAPs. And we are progressing very well to harmonize this into 1 SAP by December '26. This is a very important initiative.

Again, will create a lot of productivity improvement. As imagined, today, we are dealing -- we have to generate 4 different invoices to the customers. And this all will kind of -- once we are on 1 SAP, this will all become one transaction, So, again, a great deal of improvement we would see there, and this again is progressing very well. Now, jumping into the Q3 performance.

I would say Q3 quarter was a very tough quarter, not just for us, for the specialty chemical industry, very tough quarter and especially we saw big demand issues in Europe and North America. Let me talk a little more about it. we saw low demand across our industry and across all our industries which we serve.

This was primarily, if you see the household market, paint market was affected, automotive market was affected and that caused some concerns. Most of our customers had very subdued performance, and there was a lot of destocking happening.

But more specifically to us, during the Heubach insolvency time, most of our customers were very dependent on Heubach and were insecure about the supply position, and hence created a lot of high stocks during that period. Once we started interacting with customers and they started gaining confidence, these stocks, they wanted to deplete.

And their expectation was that they would start buying from this Q4. And we'll talk a little bit more when we are talking about the Q4 or what we feel will happen on Q4. The other challenge

in the last quarter was also the tariffs. A lot of customers, especially our U.S.-based customers had a big challenge, and the buying was a little bit muted there. But, we've got good clarity going forward in this.

Talking about a little bit on the numbers. This is a One Sudarshan number, including the Pigment and RIECO performance. Our revenues compared to the last quarter were flattish or a slight degrowth in the legacy Sudarshan. This is mainly attributed to the same issues which I described.

The acquired groups saw a larger dip mainly on account of destocking by our customers as they had high stocks of Heubach-related products. And as One Sudarshan, compared to Q2, Q3 was far more subdued. I'll talk a little more on the numbers later. The EBITDA on the acquired group, we saw a loss of INR38 crores.

And , due to Labour Code, we had INR46 crores approximately of -- due to the Labour Code we had to make for One Sudarshan provision. So, this was the overall performance. The 9-month performance, if you see, Sudarshan legacy has been flattish.

And as One Sudarshan, of course, it's not a comparable thing because the corresponding 9 months did not have the acquired group. And as I mentioned, our business was flattish compared to

Q3 given the muted demand. And I'll speak a little more.

In fact, I would want to deep dive a little more on the acquired group given the performance and so if you look at the acquired group only now, I'm going to speak on the acquired group; Q1, we reported a profit of INR78 crores, And this is the bridge from INR78 crores to how we reached to a negative INR38 crores,?

So, I think there were two areas. One was the selling price variance. Then a huge drop in volume and mix, which cost INR116 Crores. But on the positive side, we could reduce cost of employees by INR25 crores and other IT costs, insurance and other fixed costs, we could reduce by INR15 crores. And hence, we ended up at INR38 crores. If our cost reduction efforts were not there, our losses could have been INR78 crores. This is the 9-month Pigment performance, again, similar area. On RIECO, so if you want, yes, Natuji please take it on.

Nilkanth Natu: Thank you, Mr. Rajesh. On the RIECO performance, the quarter under consideration, we see the revenue at INR51 crores compared to INR60 crores last quarter. And on the EBITDA side it is marginal negative. But what is positive, if we see it for the 9-month performance, there has been a lot of improvement in the EBITDA compared to the last year, negative INR20 crores to the current year 9 months performance of INR4.2 crores.

Couple of initiatives which we are started in the RIECO business. One is the transformation of the business and fixed cost to improve as well as the strict monitoring of the project cost is helping us to regain the EBITDA. We expect that quarter 4 for this business to be good and this will be the turnaround year for the business. Thank you. On the financial ratios side, earnings per share EPS before exceptional and not annualized is negative INR1.4 majorly for the 9 months.

Earnings per share for the period under review is negative INR1.4 per equity share. We see positive in terms of the net debt to
equity ratio is at 0.5% and this has been in the similar range for the couple of quarters. And the net working capital is at 25.6% and we are focusing on the optimization of net working capitals going forward in the coming quarters. thank you.

Rajesh Rathi: With this, we complete the Q3 performance. Wanted to give you an outlook for the business. As we described I think Q2 and especially Q3 were very subdued performance, but I'm glad that the worst is behind us. And we look forward and it was an industry issue and one must understand that we acquired this business, the transformation was going forward. And at the same, this subdued demand and of the industry didn't help us.

So that's -- but I'm glad to tell you that, that worst is behind us, and we are looking forward to a very positive results As I mentioned, customer trust is rebuilt. And they had assured us that they will start buying after January, and I'm very glad to tell you that most of the global accounts have started buying to the full extent, which was promised, and this is what we've seen in January and early Feb.

We also see good better signs of little bit of economic recovery. Our integration is progressing very well, and we will continue to build a solid One Sudarshan. Our value capture work is going very well, and that should really help our profit going forward and working capital improvements.

As I described, due to Q1, we had come back well, but given the subdued performance of Q2 and Q3, our EBITDA has been at EUR 6.5 million, but we have a very good positive momentum and outlook and I want to clarify here that we expect a EUR 9 million to EUR 10 million of a business EBITDA.

However, we are in a mode now to start because we've rebuilt some of our supply chain processes and we've understood what the customer demand is, we want to start reducing our inventories now, especially the finished goods inven

tories. And that would have an impact on
our EBITDA going forward, but it will have a very positive impact on cash flow, and that's the right business decision going forward.

In the coming -- I will talk a little bit more on this so that I clarify. What we mean is business EBITDA is the operating profit from actual sales without the impact of inventory change, and especially the inventory change at manufacturing locations. And I'll clarify what I mean here.

The reported EBITDA, we are talking about operating profit from actual sales with the impact of inventory change at manufacturing sites.

Our target in the next three quarters is to reduce our inventory in the range of EUR 30 million to EUR 40 million. This is business positive as it will generate higher operating cash while reducing finished goods inventory. However, like I said, temporary, we anticipate that this will lead to a reduction in reported EBITDA.

The balance sheet impact, as you can imagine, this will reduce the working capital, generate operating cash flow at the current run rate of sales. This will have a positive impact on the balance sheet and net debt level will be lower. However, on the P&L, rationalization of production volume in the coming quarters is likely to have an impact on the reported EBITDA due to the release of capitalized overhead or inventorized overhead in the range of EUR 9 million to EUR 12 million.

And this would happen in the next three quarters. This will be a short-term impact. On an annualized basis, this should get normalized. So, I think to summarize on the balance sheet, we will be able to reduce the inventory to the range of EUR 30 million to EUR 40 million, which will have a very significant positive impact on our balance sheet, improved position of net debt. However, on the P&L, there could be EUR 9 million to EUR 10 million of this, mainly due to the overhead absorption. We just to remind everyone –that we took over this business, which was not doing very well, and we needed some time to transform it.

So, I would have loved that we did this much faster, but there are some realities and that's what's happening, given the market conditions. This has been a little slower than where we wanted to reach, but we must remind ourselves that Sudarshan is now one of the largest pigment players

in the world.
We have the widest product portfolio. There are industry tailwinds which are supporting us. We are structurally advantaged with our global footprint. As I mentioned, 55% of our manufacturing footprint is based out of Asia, which is a big advantage for us compared to any of our global competitor and our EBITDA performance is heading in the right directions as synergies are slowly coming together.
With this, we would be open to taking any questions.
Moderator: Thank you very much. We will now begin with the question and answer session. The first question is from the line of Sanjesh Jain.
Sanjesh Jain: So, this is Sanjesh Jain. I'm from ICICI Securities. So, a couple of questions from my side. First, on the cost side, now that there is a sharp rise in the benzene prices, and we have seen in the earlier avatar of Sudarshan, just wanted to understand how a merged entity looks like. The price hike used to take a quarter or two before we get the full benefit on our P&L, and that used to put a temporary pressure on margin?
Now that there is a sharp increase from the low end of the benzene derivative now, how do you see cost pressure panning out, say, in a quarter -- next quarter or a quarter after that? That's my first question. Second question on the inventory that we are trying to liquidate now, generate more cash and have a better or a lighter position?
I thought this should have started immediately post the merger, at least at our end, I can understand customer being a little skeptic on the co

ntinuity part. But from the Sudarshan
perspective, we should have embarked on this earlier. Why now? Why two quarters of delay,

we were looking we are looking to completely acquire, stabilize operation and only then go for a liquidation of inventory from a BCP perspective, and now we are more confident in doing that. Is that the right way to see? These are my initial two questions?
Rajesh Rathi: Thank you so much Mr. Jain. Great questions. I think the first one is on the benzene side, we do -- on certain raw materials, we do see increases. But I think we are well covered on the raw materials, and we should not see any impact on Q4. Secondly, with our larger portfolio, our dependency, the impact which could have, especially if you refer to benzene would be quite miniscule.
So, in general, we don't see this. The number two question is very important strategically. As you may recall, our most important aspect was to build customer trust. At the same time, all our supply chain processes were broken. We had to implement a common supply chain planning tool across the 3 legacies. And that has progressed well.
We had to create a good supply chain organization. And until we had that confidence that we will be able to deliver as per customers' expectation, we did not want to start reducing inventories because that would have disrupted our building the customer confidence.
One of the most pain area for them in the last 3 years was a complete disruption on supplies. And I'm very glad to tell you that our strategy has worked well. The first 9 months has created a very good confidence with the customers. We have built some of our processes, though we have to do some more work, but we now feel confident that we can start reducing inventories.
Sanjesh Jain: That's clear. Follow-up question on the demand side. Now that this quarter has been quite subdued, and we appear to be more confident for Q4. From the time we started on the EBITDA side, we started with EUR 38 million on the anticipation and now we are three quarters down the line staying at $16 million, how do we remain confident of profitability being maintained and improved from here? And number two, on the demand side, what is giving us the confidence? Is there an order backlog or an order book which we are sitting on?
Moderator: Sanjesh, sorry to interrupt you, we are losing your audio.
Sanjesh Jain: But can get my question or you want me to repeat it?
Rajesh Rathi: I got your question. So, I think the first thing -- I think your first question was on what is our confidence on the demand. Our confidence on the demand is, as I mentioned, the customers promised that they would start buying after January, and we are seeing that already in January and early February, as I mentioned. So, that gives us the confidence that Q4 demand is coming back.
Basically, structurally, why we are confident about delivering our long-term target is, none of our thesis remains strong. We are working on the value capture. We built customer trust. And if the market -- we didn't have as much of market issues, we would have been able to deliver a better number, and that gives us the confidence for the long-term.

Moderator: The next question is from the line of Chetan Cholera.
Chetan Cholera: I'm Chetan Cholera from Pragya Equities. See, as a promoter, your current stake stands approximately 8.19%, which is notably low. Could you share your thoughts on this holding level? Any plans to increase it or how it aligns with your company's long-term strategy?
Rajesh Rathi: We've transformed Sudarshan into more of a, I would say, professionally driven organization and our shareholding is quite substantial. The Rathi family owns substantial shareholding, and they will continue supporting us. We have several good strat

egic investors, I would say,
investors who are long-term. I think from my perspective, I have warrants, which will come and that will help to increase my share.
Chetan Cholera: Yes. My second question is, what's your long-term strategy of whole Heubach operation? Is there any plan to merge or hive off some of the operation or divest some of the operation?
Rajesh Rathi: Whatever manufacturing footprint changes we wanted to bring in, we have already brought those changes. Frankfurt was to be rightsized, which has been done. And that production is already transferred into India. We don't see any need to further -- I mean, there will be tactical but no major product changes in manufacturing..
Chetan Cholera: Yes. Your thought on EU, USA trade deals and what kind of advantages we will have because of it?
Rajesh Rathi: In the short term, there will not be any immediate impact given that it would take at least 10 to 12 months until the agreement gets ratified by EU and India before the actual enforcement. We will continue to closely track developments to assess the implications and accordingly reevaluate our approach as required. Our global production footprint allows flexibility to respond as the market and policy conditions evolve. And that's where I think it's -- we are very keenly looking at how this India-EU FTA shapes up.
Moderator: Next question is from the line of Jignesh Kamani.
Jignesh Kamani: Hi, Jignesh Kamani from Nippon Mutual Fund. Just on the seasonality on Heubach. So, we have only just three quarter number of the Heubach. So just can you help understand about the seasonality part, if you take it from first quarter to third quarter, it looks like revenue has declined by 20%. So out of that, how much is because of the seasonality element and how much is because of the weak demand? And -- so out of say, if you take 100 as a base for full year, generally how the seasonality pattern happened between 1Q 2Q, 3Q and 4Q?
Rajesh Rathi: So, Jignesh ji, thank you. I think most of -- when you see the subdued performance today compared to Q1 to Q3, it is primarily driven that of destocking and so we won't see such a strong -- going forward, this is not a seasonality effect. Of course, as we've now become more global, the seasonality, December -- generally, I would say, at least last 10 days of the month, everything is closed.

And so that's the impact we see the 10 days in the 120 days where we see that demand, especially in Europe and LatAm. So -- but the current performance which you're seeing is largely -- it won't be that drastic. Though Q3 would be our weakest quarter, it won't be that drastic.
Jignesh Kamani: Understood. And second question on the fixed cost structure. So, if I assume that 45% is a gross margin. So if you take first quarter where we did close to around INR78 crores kind of EBITDA on the revenue base of INR1,880 crores, roughly around X of raw material, our overhead cost, including fixed and variable was roughly around INR950 crores to INR1,000-odd crores at the Heubach level?
So, when you mentioned that INR45 crores kind of -- INR40 crores kind of saving you achieved in last 2 quarters, it's just 4% of the total overhead cost, both fixed and variable. So, it looks slightly on the lower side considering that you mentioned that there's a large amount of the overhead cost and everything and which there is optionality available on the realization part?
Rajesh Rathi: So Jignesh ji, if you look at our cost, if you look at our pipeline of value capture, that is very strong. However, for it to hit the EBITDA, we need some time. Because please remember that it's not even 10 months that we've taken over this asset. and for us to start looking at some areas, it does take time. And of course, we are dealing with very stringent countries where the labor law is difficult, some of the other costs

, which takes time. So, from that perspective, the pipeline
is larger, but the impact on P&L takes some time to come in.
Jignesh Kamani: Sure. And my last question on -- say, if you take over this INR4,000-odd crores annual fixed -- annual cost ex of the raw material, how much proportion is the fixed cost and how much is variable? Because even a slight drop in revenue will -- if fixed cost component is very high, then

volatility in EBITDA will be much sharper because of the higher element of fixed cost, at least
till the time our cost saving, I can say, benefit will flow to the P&L?
Rajesh Rathi: So, one of the challenges, and that's where I think we are focusing on fixed cost reduction, the acquired group, the manufacturing cost -- fixed cost is very high compared to the variable cost, and if you look at legacy Sudarshan, the variable cost is high, the fixed cost is low. And that's why any dip in demand causes a much larger impact on the EBITDA on the acquired. And that's the area we are working on.
Moderator: Next question is from the line of Gagan Dixit.
Gagan Dixit: This is Gagan Dixit from Elara Securities. Sir, so, till now you have achieved INR40 crores quarterly rate of the cost saving from the synergy. So, what is your target, I mean, at the end of the FY '27 quarter, I mean, the synergy that you want to achieve from it? And is there any restructuring cost further need to be incurred in this whole process? That's my first question sir?
Rajesh Rathi: So, Gagan ji, the entire thesis of what we are looking at the long-term 3- to 4-year target, where we are going to deliver EUR 90 million to EUR 100 million comes a lot from assuming that there is normal sales going on comes from cost reduction. And I can tell you that our funnel of cost reduction is going in the right direction. So far, the impact was also of the timing so far and given the volume was much lower, we could not see that impact on the P&L.

Gagan Dixit: Okay, sir. My second question is, sir your net debt is at consol group level is INR1,153 crores, while your finance cost is around INR40 crores. So, it looks like that the rate is very high, more than 13% annualized rate looks like. So do you have any plan for the refinancing? That's my second question?
Nilkanth Natu: Gagan, thanks for the question.. So, in terms of the interest cost, it has 2 elements. One is the interest cost on the borrowings, and also, as per the IndAS accounting standard, we also need to account for the finance cost on the leases etc. So, if say only the normal run rate of the bank finance which we have taken for this acquisition and overall debt level, we are in the range of 5.75% to 6% as our interest cost. Balance effect is because of the IndAS accounting on the lease and the other fair valuation of the acquisition.
Moderator: Next question is from the line of Rohit Kothari.
Rohit Kothari: Yes. Thank you, Mr. Rathi, for a very elaborate explanation. I would have two questions, principally. I saw somewhere in the slide and you're saying that the business EBITDA would be roughly EUR 10 million in the quarter to come and probably a little higher in the quarter next? However, there would be a onetime inventory loss, which would take down the reported EBITDA. But is it fair to understand that over the next 2 quarters, the business EBITDA would be EUR 10 million and say, EUR 12 million or EUR 13 million, about EUR 25 million, and there would be a onetime stock impact, which would take it down to about EUR 7 million or EUR 8 million over the next two quarters?
Second, due to this liquidation, will the entire EUR 40 million lead to a debt reduction? And just as a question, January has already gone by, and we are probably in the middle of February. What is the confidence of the management to hit EUR 160 million to EUR 165 million of sales from our European ac

quisition?
Rajesh Rathi: Rohit ji, great question. So, first of all, I think the confidence level of Q4 is quite high based on our performance so far, right, from that perspective. What we are looking at is – Rohit ji, what we are looking at is, what you described going forward on the business EBITDA, that's correct. And we are looking to reduce EUR 30 million to EUR 40 million of inventory, which would translate into cash and reduction in net debt as time progresses. And the impact of that in the short term could be EUR 9 million to EUR 12 million, and we must understand that this is only because of the overhead allocation. The inventory is not bad inventory. This is all good inventory The only thing what's going to happen is my production volumes are going to be much lower than my sales volume, and that's where it gets impacted. Did I answer your question, Rohit ji?
Rohit Kothari: Yes. So, what you are saying is once the EUR 30 million, EUR 40 million of stock is sold probably from Q2 financial year next, you would normalize your production and sales levels to a little higher than what we've seen or what we are seeing in this quarter and the next. And correspondingly, both the business EBITDA would go up and there would be pretty less inventory losses from Q2 onwards?

Rajesh Rathi: Very well said Rohit, ji. Very well captured.
Moderator: Next question is from the line of Atishray Malhan. Kindly introduce yourself and proceed with your question. Due to no response, we move on to the next participant. Next question is from the line of Rohit Nagraj.
Rohit Nagraj: This is Rohit Nagraj from 360 ONE Capital. Sir, first question is again in terms of the inventory liquidation. Is it that we will be selling this inventory at a discount just to make sure that it gets adjusted over the next three quarters and a similar -- I mean, adjacent question to that, this quarter on the acquired group, we did about INR1,479 crores of sales?
So, for the next three quarters, would it be just marginal increase given that these inventories will be liquidated and there will not be consequent growth from the current levels. So, for the next three quarters, is it safe to assume that there will be only marginal growth in terms of the acquired group revenues?
Rajesh Rathi: So, I think answering your second question, there will be sales growth, but we are saying that the sales will be from inventory rather than fresh production. So, what we are saying is the production volumes will not be in line with what our sales is going to be. This is -- again, to clarify, this is all good inventory. So, we are not selling this at any discount or anything. This is all good inventory. We are adjusting our supply chain parameters, our planning parameters that we can do this. Did I answer your question, Rohit ji.
Rohit Nagraj: Yes. The second question is in terms of the inventory aligned with the customers. So, so 2 elements to it. Now, last quarter, we had stated that on a sequential basis, we will be having more or less a similar kind of performance, but we've seen that performance has materially deteriorated. So, did we not have any inkling in terms of how the customer offtake has been?
And second question is that, is there any challenge in terms of the user segment where the demand is getting hit and that's why these inventories at the customer levels, they are not being liquidated or not being used up. So, 2 parts of the question. One is that whether our understanding of the customer inventories was not in line? And second, in terms of industry landscape, are there any headwinds in terms of demand or consumption?
Rajesh Rathi: The first question is, we did expect and that's what we've said that Q3 demand would be subdued, but we did not expect this to be at that level. The amount of stocks which our customers carried, we did not have –and

it was very difficult to estimate how much stock they have.
And when they'll start buying. So that was we thought it will be more subdued than Q3, but not to the level which it fell. So, from that perspective, that was a learning for us to see what it is, but I think most of this is behind us now, because customers have started buying. Could you clarify on the second question?
Rohit Nagraj: So, the consumption at the customer end, which remains subdued and because of which we are not able to sell the products, is it due to the reason that the user industry consumption where the pigments are being used? Is there any demand challenge or consumption challenge? So the

industry on a large, whether it is stagnated and there has been some challenge because of which the material is not being consumed by the customers?
Rajesh Rathi: Yes. So, the demand has been challenging, but this is a short term. This is not a long-term shift, I mean people will not stop painting their houses or people will not stop buying cars. But I think this was a temporary challenge. And all our customers are facing this temporary challenge. And as the economy improves, I'm sure.
But the amount of dip, it's not -- the customers' demand is not to the level of our performance. This was mainly destocking, So, customers' demand is not down by 20%, That's the big difference.
Moderator: Next question is from the line of Kashyap Pujara.
Kashyap Pujara: I'm Kashyap from Thelme India . I had a couple of questions, and pardon me if it's repetitive. I just had a bad network, so might have slipped out. So, firstly, on the legacy Sudarshan business, the revenue has been flat in the first 9 months. And historically, this business has grown at close to 11% CAGR over long periods of time, bearing a few exceptions in between, though.
So, just one question was that having -- after the Heubach integration, the thought process was that some commodity products could be kind of put to India, and that could have, in fact, bumped up the India growth. So just curious to understand from you how one should think about the legacy Sudarshan business growth rates for the remainder part of FY '26, that is Q4. Do you think the softness continues? Or do you think that you are seeing turnaround here? And what are the long-term sustainable growth rates for the legacy Sudarshan business?
Rajesh Rathi: Kashyap ji, I think the fundamentals of the Sudarshan business remains strong. What we saw is one of the -- like one of the exceptional quarters which we've seen in legacy Sudarshan in the past, where the industry went through a very bad patch, And that's where our -- even the

Sudarshan legacy growth was subdued. And that caused this.
Second clarification I would like to give you the Frankfurt products were not transferred to Sudarshan legacy, but to the Clariant legacy plant. So that impact wasn't to be seen in Sudarshan legacy, but Sudarshan legacy, we have transformed the portfolio, and those thesis of our capex still remain intact, and we should see growth returning back -- returning.
Kashyap Pujara: So, from Q4 FY '26, you think we'll be back on that 10%, 11% growth rates of Sudarshan legacy business?
Rajesh Rathi: I would not like to give, but I'm saying in the long term, we should be back to 10%, 11%.
Kashyap Pujara: Sure. And just on the Heubach piece, while a lot has been discussed there, the demand that we are seeing right now that -- on which you are basing your guidance of, say, EUR 9 million, EUR 10 million in FY '26, Q4, is it a function of restocking at the customer level that's coming back? Or is it that the demand environment has actually picked up? Because I'm just trying to

understand whether this is more like a onetime uptick in Q4 as restocking happens? Or is the end deman

d environment gradually turning better?
Rajesh Rathi: Like I described,, the demand is subdued, but not to the level we saw our performance. So, the customers finished their destocking and they are buying because there is normal probably demand there. And -- so it's not going to be just a Q4 effect, but this we are saying that demand is coming back, because the destocking is over and people will start buying normally.
Kashyap Pujara: Understood. And I'm sorry, just one more question. Sir, this 10% margin guidance or on $1 billion, close to, say, EUR 90 million or EUR 100 million of EBITDA that you're kind of guiding. Just how are your thoughts on this? Is it more like a back-ended number or do you think that you will be able to kind of build it more linearly in terms of cost optimization, working capital initiatives? Would it be like some trickling in '27, '28 or everything kind of trickles in more towards the end? Just trying to think about how one should build a bridge to 10% or EUR 100 million EBITDA that you're kind of implying?
Rajesh Rathi: No, absolutely, Kashyap ji. So, I think we would see a gradual improvement in performance and a ramp-up. And then there would be a little bit of a upbeat because all our initiatives will be completed on cost reduction for the next year. So, the full year benefit you will see towards the end. But you will see a gradual improvement.
Kashyap Pujara: Do I have room for one more question? Sorry.
Moderator: Sir, I may request you to come back for a follow-up question. Next question is from the line of Atishray Malhan.
Atishray Malhan: I'm Atishray from Abakkus Mutual Fund. Just 2 questions from my side. Firstly, on a consolidated basis, what percentage of your employee cost is currently coming from outside of Asia and specifically from Europe?
Rajesh Rathi: Difficult to answer. But I think if you can ask what's your intention, more than happy to answer where we were headed.
Atishray Malhan: No, I'm just trying to ascertain because you had mentioned that about 55% of your manufacturing footprint is coming from Asia, right? I'm just trying to get a sense of the employee cost because, obviously, that's a big percentage of your overall cost profile now?
Rajesh Rathi: Yes. So, I think our aim is to get to 12% to 13% of employee cost in the long run. And that's where we are targeting towards gaining. , there's a big setup other than manufacturing even outside of India in terms of innovation, the entire technology and a lot of support to the business.
Atishray Malhan: Okay. So just to that point, since Q1, we've been seeing, obviously, there is reductions -- sequential reduction in the total employee cost. So, if you could just probably mention how you've achieved that?

Rajesh Rathi: As I stated, our org structure design is very lean, and it's a functional organization. Earlier, they were BU organization. There was a lot more management out of Europe, which has been streamlined.
Moderator: Next question is from the line of Dhruv Muchhal.
Dhruv Muchhal: Dhruv from HDFC MF. Sir, a question on the legacy business. So, there's some weakness in terms of probably the growth has slowed a bit. I'm not sure if -- so the legacy business and the acquired business, I'm not sure the portfolio is exactly the same. I mean there's not significant overlap?.
So, the weakness that you're seeing in demand, is it a very broad-based industry weakness?

Because the acquired business, we understand the customers had also acquired a lot of inventory and all those. But the weakness that we see in the India business, I mean, the legacy business, I'm just trying to understand what can we attribute that to because probably it's not the inventory, but is it the general demand weakness across all industries?
Rajesh Rathi: Thank you for your question. Great questions, Dhruv. As I mentioned, if you see w

hat Sudarshan
legacy represents, how the industry has performed, And in the acquired group, you see the destocking. What we saw is the first 7 to 8 months a very subdued demand even in the India subcontinent, right, which was fairly growing, but we've seen that completely change after November. so, the legacy business is completely attributed to the demand slowdown from our customers, and this will come back as we go forward.
Dhruv Muchhal: Got it. Sure. And secondly, again, continuing, we had invested meaningfully in new products, new segments in the legacy business. So, if you can provide some comments, how are those performing probably in terms of approvals? And also, the margin trend that you're expecting, is it -- I mean, at a gross level probably because at operating level, you will be suffering a bit. But at the gross margin level, are these products performing as you had expected? Or there is scope further to improve on margins on those products also?
Rajesh Rathi: I think the products on the newly invested are performing very well. However, albeit given the slowness in demand, we have not seen the volume, but we are still -- so that part has worked. In fact, we see a demand much better for that compared to some of our regular products, from that perspective. And going forward, we see a great synergy between the acquired group and Sudarshan legacy products where we could make some of the base products here and kind of look at finishing them in Europe too,
Dhruv Muchhal: Got it. And sir, just to follow up on this. So, the industry weakness that you're seeing -- focusing on the legacy business, the industry weakness that you're seeing is not causing a price -- I mean this is not probably because of the price action or because of oversupply and causing a price action on your products. It is more of genuine demand, I mean, volume uptick. So, it's not a mix of volume and price. It's purely volume as of now. And you don't see it moving to price because the volumes are coming back?
Rajesh Rathi: Yes, absolutely.

Moderator: Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to the management for closing comments.
Nilkanth Natu: Thank you. Thank you, Nitesh Dhoot and Anand Rathi Research. Thanks a lot, participants, for joining our investor call. As Mr. Rathi mentioned, this has been a subdued quarter, but we see the green shoots and we see the improvement in the coming quarters to come, and we are see the uptick. We remain confident in our journey going forward. And we thank you for your continued support. Thank you so much.
Moderator: Thank you very much. On behalf of Sudarshan Chemical Industries Limited and Anand Rathi Shares and Stock Brokers Limited, that concludes this conference. Thank you for joining us, and you may now disconnect the lines. Thank you.

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Call: Jun 2026

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4th June, 2026

BSE Limited National Stock Exchange of India Limited
Phiroze Jeejeebhoy Towers, Exchange Plaza, C -1, Block G,
Dalal Street, Mumbai – 400 001 Bandra Kurla Complex,
Scrip Code – 506655
Bandra (East), Mumbai – 400 051
Scrip Symbol - SUDARSCHEM

Dear Sir / Madam,

Sub : Transcript of Analysts / Institutional Investors Conference Call

We are enclosing herewith transcript of the conference call with Analysts / Institutional Investors, which took place on Wednesday, 27th May, 2026, after announcement of the Audited Financial Results (Stand-alone and Consolidated) for the quarter and financial year ended 31st March, 2026.

The said transcript is also uploaded on the website of the Company at www.sudarshan.com .

Kindly take the same on record.

Thanking You,
Yours Faithfully,
For SUDARSHAN CHEMICAL INDUSTRIES LIMITED

MANDAR VELANKAR
GENERAL COUNSEL AND COMPANY SECRETARY

Encl: As above.

"Sudarshan Chemical Industries Limited
Q4 & Post Results Earnings Conference Call"
May 27, 2026

MANAGEMENT : MR. RAJESH RATHI – CHAIRMAN AND MANAGING DIRECTOR
MR. NILKANTH NATU – CHIEF FINANCIAL OFFICER
MR. AMEY ATHALYE – GENERAL MANAGER FINANCE

MODERATOR : MR. ANKUR PERIWAL – AXIS CAPITAL

Sudarshan Chemical Industries Limited
June 01, 2026

Ankur Periwal:: Good morning, friends. This is Ankur Periwal: from Axis Capital, and we are pleased to host Sudarshan Chemical Industries Q4 as well as 12-month Ending Financial Year '26 Post Results Earnings Call. The call, as usual, will start with a brief management discussion on the quarterly and the full year performance, followed by an interactive Q&A session. The management team here is represented by Mr. Rajesh Rathi, Chairman and Managing Director; Mr. Nilkanth Natu, Chief Financial Officer; and Mr. Amey Athalye, General Manager, Finance.
Over to you, Mr. Rathi, for the initial comments, post which we'll open the floor for Q&A. Over to you, Rathiji.
Rajesh Rathi: Thank you, Ankurji, and Axis Capital for hosting our call. So just kind of introducing Sudarshan again, I think more than a year ago, March '25, Sudharshan acquired the Heubach business. With this, we got businesses of Clariant, which is second largest pigment globally and Heubach's business. To give you a background, Clariant had invented most of the pigments in the world and is deep rooted in innovation.
Sudarshan, one of the fastest-growing pigment company, the most profitable globally with customer centricity and agility at its heart. Combining these two entities, we are creating the most value-adding pigment player globally, rooted in customer centricity, agility and innovation. We are very excited about our One Sudarshan journey and what we can bring to this industry.
To remind again, everyone, we have 19 manufacturing sites globally in 11 countries, 5 continents. More importantly, more than 50% of our manufacturing assets are based in Asia, a large competitive advantage to us, thus compared to this globally, our competitor asset base in Asia would be less than 1%. We serve all major industries, more than 4,000 customers in 100 countries, 1,600 products, one of the widest product range in the industry and more than 200 people working in technology.
Giving all a little bit flavor on the integration. Integrating the companies was very important. When we started the integration process, we didn't realize that we are integrating two companies, but actually three companies as integration between Heubach and Clariant was not completed.
And from day one, we had challenges on profitability. In addition to this, we had to remove or roll back the insolvency surcharge. We had to roll this back because customers felt very indignant because of these charges. So that again put a lot of pressure on profitability.
We had very high working capital, high inventories. But at the same time, customer service was very poor because of broken supply chain processes. In order to win back trust, we said we will not focus on the inventory on the first 6 to 9 months,. In fact, we increased some of the inventory. And as we are kind of streamlining the supply chain processes, we are kind of aligning ourselves to this now.

There was a Legacy mindset. As I said, there was no integration. But in addition to that, no integration. During the insolvency, each entity was asked kind of working on their own, right, and survival was on their own. Hence, a big silo mentality had developed as everyone had to survive on their own. That was the other challenge for us. No one thought of the One company together and what's good for it.
Critical leadership, talent was missing and lack of harmonized reporting systems. This was a big challenge., We want to lay a strong foundation so that we are on a good foundation for the growth to come in the future. So to elaborate a little bit, what we've done in the past 1 year is really build back trust with customers, and glad to tell you that we've received the Best Supplier of the Year awards from several of our customers with customer centricity at

our
heart.
The second main point was value capture. We really focused on a lot of value capture initiatives across the organization with almost every part of the organization is touched on this and that has really helped us to deliver a positive EBITDA for the acquired. We wanted to ensure that our processes are efficient and hence, quite a few of the transaction processes we want to bring back to India so that we are more efficient, and we've set up a GCC now.
In the next 6-8 months, they should get fully operational. One Culture alignment that everyone works in one direction, with one mission, one purpose. This has been a big initiative throughout the organization, more than 95% people have gone through rigorous workshops in aligning the mindset towards the One Sudarshan.

As we say, One Culture is important. The integration on process and systems were as important, and we thought this is strategic in nature. And hence, we've decided to launch the One SAP Drive project Integra to integrate 4 systems into 1 integrated system. It's a big challenging task because it's not just SAP, but also 180 different applications outside of SAP are getting integrated, and we hope to complete this by this year-end.
Talking about the Q4 performance. Very glad to tell you that we had a very robust performance in Q4. For the acquired group, we had projected Business EBITDA of Euro 9-10 million , but we delivered, Euro 11 million. We had planned to reduce inventory by 20 million. We've reduced inventory by 29 million
So I think the team has done a great job in delivering the robust performance as we say. More importantly, what has happened is that the net debt, which was at INR934 crores in December '25 has reduced to INR755 crores on March '26.
Talking a little bit on the performance of Q4, again as One Sudarshan and to explain this, the first few 4 columns talk about the Legacy Sudarshan business, then is the acquired business and then the total pigment global business. As you can see, compared to Q3, we've done a tremendous job in delivering good growth. And this was really triggered because the whole destocking impact, which customers had that got over.

And during the insolvency, as I had mentioned, a lot of customers had stocked up because of the insecurity of supply. And now that was completely over and customers have started buying it. Also, our value capture initiatives delivered a very good performance from a perspective of EBITDA. All in all, I think a very good Q4 numbers as we can see.
We had introduced the concept of Business EBITDA last time, which was different than the reported EBITDA. This was mainly because we were going through a large correction in inventories. As I mentioned, we've reduced our inventories by Euro 29 million last year, and that causes a big fluctuation in the EBITDA as you start reducing EBITDA.
Mr. Natu would explain a little bit of the bridge between reported EBITDA and business EBITDA and more clarification on that.
Nilkanth Natu: Thank you, Mr. Rathi. So as Mr. Rathi has mentioned, we have started reported business EBITDA last quarter and this quarter due to the significant reduction in the inventory.
Business EBITDA is the profit, which is on the actual sales to the customer without any impact of the finished goods and semi-finished goods inventory changes.
As finished goods inventory increases due to the higher production, overhead is inventorized into the balance sheet, the absorption of the overhead moves to the balance sheet. This reverses in the period when they starts selling from the inventory and then inventorized overheads gets charged to the P&L.
On yearly basis this gets normalized when we see the sales volume and production volume converges. The reporting of the business EBITDA in this quarter was due to significant reduction, which we have done in the in

ventory during the quarter.
Coming back to the numbers, the reported EBITDA for the quarter is INR73 crores, which is adjusted with one-time purchase price allocation credit due to the Business Combination Accounting of INR37 crores. This is one-time gain and this is a noncash gain. This is further adjusted with INR82 crores of the release of inventorized overhead during the quarter due to the reduction of the inventory, which we have mentioned earlier. With this our business EBITDA for the quarter underreporting is INR118 crores. Thank you.
Rajesh Rathi: Speaking on the full financial year performance of the business, the revenue from Sudarshan Legacy, was flattish. This was mainly because we had some rationalization in the go-to-market strategy in our distributors And in our distributors, especially in Europe and LatAm, which caused a temporary blip.
In addition to this, on the EBITDA part, there were some integration costs sitting in and this has caused the EBITDA to slightly dip. In terms of the Acquired group for the full year, as we saw on the revenue basis, we saw some destocking impact, which we should be able to normalize. And great efforts were made, in the value capture and that's where you're seeing a good positive EBITDA turnaround for the year. This is including RIECO. In the performance, while just came through these slides and seek a little bit more on RIECO.

Nilkanth Natu: Thank you, Mr. Rathi. On the deep-diving into the RIECO performance for the quarter end for the year, I will more concentrate on the full year performance. For financial year '26, RIECO had reported the revenue from operation of INR268 crores compared to INR228 crores last year, the growth of 17.5% and this increased due to the execution of high-value projects during this year.
On the EBITDA we are actually in the rebound and recovery from the negative INR17 crores EBITDA to positive INR10 crores. And this has been driven majorly by the revenue increase and our initiatives on the transformation side, which are organization restructuring, fixed cost reduction and absolutely robust control on the project cost monitoring, which have helped in the EBITDA improvement of the RIECO.
Rajesh Rathi: Coming to the financial results, the positive side is our net debt for the group is at INR755 crores and this is also after considering the acquisition finance. Just to recap, our debt number for Legacy Sudarshan in FY '23 were also in a similar range of around INR800 crores. So we see as a group, this is a positive sign that we are keeping our balance sheet healthy and net debt-to-equity ratio is at also 0.3x.
On the outlook, I think first we will be talking about the Middle East crises as we say, the Gulf war situation has definitely impacted our cost base and several raw materials used by one Sudarshan are petroleum-derived and we are facing both price increase and supply constraints. And our first endeavour is to ensure that we have enough raw materials even if it's at high cost. Our energy costs have significantly increased. We have a logistics cost increases, but more importantly logistic returns have increased. But what we have been working is we are using our global footprint as a competitive advantage to ensure that supply ability to our customers is good.
We further accelerated our value capture efforts and we selected ensuring that we are able to pass on the cost increases to our customers. So we are paying a delicate balance. We're watching each region, each industry, how the industry is reacting, ensuring that we do not lose volumes, but at the same time we are able to pass on the increases.
We've also created a cross-functional team to closely monitor the situation and react as fast as possible. So we are dealing this more on a tactical basis on the Middle East crisis. So let me talk now on the full year, how we see

the year.
As you've seen a very robust performance in the Q4, we've built back customer trust as you can see and the destocking situation on Legacy Heubach products is easing and almost over, I would say, at least the insolvency destocking. We also saw good buying from global key accounts.
We are cautiously navigating the challenging working environment created by the current geopolitical situation, uncertainty resulting in logistic challenges, rising raw materials. So we are ensuring that we are navigating this situation very cautiously. Integration, as I mentioned, is progressing well.

The SAP GCC, One Culture, One ESG movement is moving very well to solidify our Sudarshan. And our value capture initiatives will lead to improve profits and working capital improvements. We remain fairly confident in our strategic rationale of the acquisition. We expect to achieve 90 million to 100 million over the next 3 to 4 years as guided at the time of acquisition.
And all this is driven by synergies, value capture initiatives and sales growth. We expect to deliver an EBITDA of 35 million for the next financial year. All in all, as I mentioned, the integration is going well. To remind everyone, I think we have one of the largest global pigment platforms with scale, reach and a great deep industry legacies.
Sudarshan itself has 75 years of inheritance; Clariant and Heubach more than 200 years, and that's what kind of helps us with a deep inherent knowledge. We have the broadest product portfolio and a technology depth. We have rebuilt our technical teams, and we would be able to serve every customer needs, and that's what we are focusing on.
I already mentioned about our global footprint, structural advantage, enabling a resilient supply chain for us. Integration and value capture engine and lot of other synergies have been identified, and we are ensuring that we are able to capture on those initiatives. A very positive EBITDA trajectory supported by volume recovery, margin discipline and cost optimization.
All in all, we are emerging out stronger with a clear execution agenda and an improved plan to sustainability. Thank you very much.
Moderator: Thank you very much. We will now begin the question and answer session. First question is from the line of Anil Nahata. Kindly announce your company name and proceed with your question.

Anil Nahata: Can you hear me?
Moderator: Yes sir. We can hear you.
Anil Nahata: Good morning. This is Anil Nahata from Parami Financial. I have a couple of questions for the management. The first question is in the last quarter, we had sort of indicated that we want to liquidate the inventories over the next two or three quarters. So -- and that was around 35 million to 40 million, if I remember right. So how we have progressed on that? And with the war and everything and the prices rising, now is that inventory still going to have a loss or we can even look at breakeven or even profit on the inventory sale?
Rajesh Rathi: So as I indicated in my presentation, Mr. Nahata that we've been able to reduce EUR 29 million of inventory. And as we navigate this situation, we will see what are the other additional opportunities in the coming year to reduce further inventories.
Anil Nahata So what will be the extent of inventories left for which you had stocked up for meeting the customer requirement? Just a ballpark figure?

Rajesh Rathi: So these were kind of existing from the very beginning and as we built up the stock. And I think we hope that we are able to further optimize our inventories to the tune of EUR 15 million to 20 million.
Anil Nahata My second question is while you have indicated that the net debt at a group level is now around INR760 crores, which is very good news and the balance sheet is healthy. However

, I
also note that most of the cash is in the Sudarshan basically the Indian entity and most of the debt is in the external entities. So how do you look at reducing the debt over a period of time?
Nilkanth Natu: Thank you, Anil. Very good observation that we have also the cash in the Indian entity, but there is also the cash in the Acquired group. As we move ahead this particular debt, which is in the Acquired group, we will get served from the cash flow generation from the Acquired operations.
Anil Nahata: I understand that. But when you look at the current year kind of guidance of around 5% EBITDA, I mean, that will not be sufficient, right? So when you move to EUR 90 million to EUR 100 million, I guess, I can understand you will have some operating cash flow. So I mean, if you can give some kind of a trajectory of how are you looking to reduce that INR1,600 crores in the next 4, 5 years to what level that will be highly appreciable?
Nilkanth Natu: Thank you, Anil. As we had taken this acquisition finance, the repayment schedule is a ballooning schedule. So the first repayment will start in the current financial year and will get step up. So we are fairly confident as we move along with the EBITDA trajectory, this will be covering the debt repayment as we move on. Thank you.
Moderator: Thank you, Anil. I will request you to come back for a follow up question. Next question is from the line of Rohit Nagraj. Kindly announce your company name and proceed with your question. Rohit Nagraj may I request you to unmute your line. Announce your company name and proceed with your question.
Rohit Nagraj: Yes. Hi, am I audible?
Moderator: Yes.
Rohit Nagraj: This is Rohit Nagraj from 360 ONE Capital. Sorry, I joined a bit late. So I'm not too sure whether you had this in your commentary. But from the supply chain side on both the aspects in terms of raw material sourcing and the product placements, have we faced any challenges over the last 3 months and what are the steps that we are taking to smoothen this particular challenge given that now we are looking at resourcing across geographies and our customers are located across different continents. So any view on this would be helpful.
Rajesh Rathi: Thank you, Rohit. I think as I mentioned that we have -- our raw materials are petrochemicals derived, and we are facing both price increases, supply constraints, but we have ensured that now we are able to cover enough inventory that we don't look at that, right? Energy costs have also increased.

So what we've done is we are leveraging our global manufacturing footprint to ensure that the supply to our customers is on. We further accelerated our value capture initiatives. And we are passing on our cost increases to customers on region-specific
Rohit Nagraj: Sure. But we have not faced any material challenges as of yet?
Rajesh Rathi: No. Absolutely.
Rohit Nagraj: Okay. Fair enough. The second question is in terms of the integration benefits. So have we got

the entire integration benefits or will there be something left which can be accessed during, say, FY27.
Rajesh Rathi: The entire integration impact would come in the next two financial years. As we -- as I've mentioned, our value capture is a very important stream, and we see a lot of opportunities. The second is as we implement our One SAP and set up our GCC, we will see good addition. And that's where we are projecting a very healthy turnaround on the EBITDA of the acquired group.
Rohit Nagraj: Sure. Thanks a lot and all the best.
Moderator: Thank you. Next question is from the line of Gagan Dixit. Kindly unmute your line, announce your company name and proceed with your question.
Gagan Dixit: Hi, thanks for taking my question. My first question is about the Heubach group.
Moderator: Gagan sorry to interrupt you. May I request you proceed with your company na

me first and
then go ahead with your question.
Gagan Dixit: Yes. This is Gagan Dixit from Elara Securities. Yes, I have a few questions about this group. So your revenue run rate has improved to Euro 61 million in Q4 versus Euro 47 million in the Q3. So, how much is the true demand versus the restocking impact if you can just give the breakup? And what is the typical April and May run rate that currently that's going on? That's my first question, sir?
Rajesh Rathi: So I think the Business EBITDA on the Acquired group as we reported is without the destocking impact, it is about INR118 crores And this has mainly come, as I mentioned, that it's not about restocking, but this is like people have started buying. Earlier quarters, there was a destocking impact. So from that perspective, Q4 is always the strongest quarter, but customers have started buying and there is a seasonal trend where you find Q3 will be a very weak quarter as we've gone more global,? and as December is a fairly muted month for the group.
Gagan Dixit: And the second question is about the demand. So you mentioned in the presentation that this Q4 recovery was driven by the Global Key Accounts, India, Europe demand recovery and also tariffs in the North America. So is this a broad-based recovery that you see across, I mean, for a 14% stakes or it is concentrated in selected accounts or regions? That's what, just if you give some color about it?

Rajesh Rathi: We've seen overall good recovery in Q4. and we've seen a full good global recovery in all segments of the industry, primarily in coatings, where our Acquired group is very strong,. So I would say, good rebound in overall all segments.
Gagan Dixit: And sir, my final question is about some guidance or some idea about the Legacy Sudarshan margins. So your margins are very healthy around more than 14% -- I mean, business EBITDA margin. So for FY '27, is this sustainable due to rising crude oil volatility, raw material cost volatility, all these things. So will you expect some normalization or that's what if you can give some color about it?
Rajesh Rathi: No. We are hoping to maintain a healthy margin on the Legacy Sudarshan business. We are making every effort to pass on any cost increases through the value chain to our customers so that our margins are protected.
Moderator: Next question is from the line of Nilesh Ghuge.
Nilesh Ghuge: I'm Nilesh Ghuge: from HDFC Securities. Sir, one first question is on the depreciation. If I look at the quarterly depreciation for your consol, so in earlier 3 quarters, the run rate was in the range of INR99 crores to INR100 crores in that range. But for this quarter, it was about INR50 crores. So any adjustment here in the depreciation?
Nilkanth Natu: Thank you, Nilesh. So the depreciation for the quarter is at INR50 crores. As we mentioned earlier the Business Combination Accounting under Ind AS 103, revised during the measurement period, which is a 1 year from the date of closing of the transaction, which was last year March '25, gives us a window to fair value the assets and liabilities before finalizing the purchase price allocation. As we mentioned last year, the purchase price allocation was preliminary of the original purchase price allocation.
During the measurement period, we have fair value of all the assets and liabilities, and that too on the fixed asset side. And that impact of the remeasurement of the fair value has been considered in the final purchase price allocation. And this has given one-time reduction in the depreciation cost, which has been reflected in the reported Q4,. On an annualized basis, the run rate what we have seen of INR196 crores for the entire year should be factored in for the capital governance.
Nilesh Ghuge: So on annual basis, how much you are saying?.
Nilkanth Natu: I'm sorry, not INR196 crores, INR347 crores.

Nil

esh Ghuge: Okay, INR347 crores. Sir, second question on the tax. Sir, can you guide us on the tax rate for annualized basis? That will be helpful, sir.
Nilkanth Natu: On the tax rate, the ETR is currently slightly on a higher side for the acquired group as -- on conservative of several accounting basis. We have not considered deferred taxes in few entities. But maybe you can consider the similar range for the year also.
Moderator: Next question is from the line of Ranjit Cirumalla.

Ranjit Cirumalla: Yes, I am Ranjit from IIFL Capital Services. My first question is to Mr. Rathi ji. So while doing the Heubach acquisitions, we were also talking about making our Frankfurt site more of a speciality centre, while we intend to kind of move the commodity production more towards the Indian operations. So how far have we been in this particular journey? If you can elaborate a bit on this, that would be helpful.
Rajesh Rathi: We've already moved some of the commodity products to the Indian Heubach site in Roha and Frankfurt family remains towards speciality coverage.
Ranjit Cirumalla: Also, if you can share some bit more color on the volume and price-led growth during the 4Q and FY '26 for the Heubach and consolidated group?
Nilkanth Natu: Ranjit, can you please repeat the question?
Ranjit Cirumalla: Yes. So a bit more granularity with regards to volume-led growth and the price-led growth for the fourth quarter, more so for the Heubach group?
Rajesh Rathi: Majorly volume growth -- volume-related growth has come in. We have not gone through any price increases, in Q4. This is all volume recovery.
Ranjit Cirumalla: On this EUR35 million EBITDA that we are guiding for FY '27, if you can provide us a ballpark figure about how much are we building in from the integration benefits and the recovery in the business?
Rajesh Rathi: So there is -- it's a mixed bag As you can see, this year also the EBITDA has remained positive only because of the value capture initiatives. And these are all both baked in. There is a very moderate growth taken into account for the year given the current geopolitical issues.
Ranjit Cirumalla: My final question is to Mr. Natu. While we understand the Y-o-Y comparison may not be correct given that we had only 1 month consolidation last year. But if you see on a sequential, while we understand fourth quarter and the first quarter is key or seasonally good quarters for their pigments, we have seen a sharp 33% growth in sales on a sequential basis from the third quarter to the fourth quarter. But when I look at the other operating expenditure, there is only an uptick of 13-odd percent. So how should we see this? And that is what has clearly benefited us on the EBITDA front. The other expenditure growth has been lower than the sales growth.
Nilkanth Natu: Thanks Ranjit, and great observation. While there has been a sales growth in the quarter 4 compared to the quarter 3, quarter-on-quarter related growth, which has also resulted in better operating leverage, as Mr. Rathi has also mentioned the value capture initiatives, which we have started are also building as a result.
Moderator: Next question is from the line of Nitesh Dhoot. Nitesh may I request to unmute your line and proceed. Due to no response, we well move to the next participant. Next question is from Ankur Periwal.

Ankur Periwal: Okay. So 2, 3 questions there. So one, in the last quarter, we did highlight about a slightly elevated cost inventory, which was sitting at Heubach's books and possibility of we incurring some bit of lower margins or maybe losses there. But given the RM inflation now, what's the thought on that number? And what that number will be now given that we would have sold some as well?
Rajesh Rathi: Mr. Ankur, I think just to clarify, we were not o

n high-cost inventory, but our inventory numbers were high and as Mr. Natu had explained, as we reduce inventory, the overhead charges flow from the balance sheet into the P&L, which causes the EBITDA .We've reduced EUR29 million of inventory in Q4and during this year, we are targeting to reduce EUR15 million to EUR20 million more gradually.
Ankur Periwal: Sure, Rathi ji. And you also alluded towards, let's say, lack of confidence among customers given the way things were getting handled earlier. Are we behind that curve largely? And

incrementally, let's say, by the end of next financial year, which is FY '27, will we be looking more at a normalized inventory and what that number could be? We are right now at give and take 90 days inventory on a consol basis. Can this number -- what can this number reduce to?
Rajesh Rathi: Yes. So Ankur ji, I think, firstly, the customer trust has been built back. Customers have started buying, right, from us, which is great news. As we want to further reduce EUR15 million to EUR20 million which we think will be the normal state of the business going forward. And that's where I think the reported and business EBITDA would merge going forward. This is an exceptional situation where we have reduced substantial inventory.
Ankur Periwal: Sure, sir. Second, your thoughts on RIECO. Some time back, we had thoughts of probably hiving off the business, turning around the business and having it off. How do you look at that asset now? Is there further uptick in profitability margins or a business ramp-up that you would like to achieve? Or your thoughts essentially on that business here?
Rajesh Rathi: Absolutely, sir. I think the transformation is not over and the numbers have not substantially improved, which our expectation is. I think the business requires more time to kind of deliver robust numbers. And we are confident that in the coming years, the numbers should keep improving as the transformation gets completed.
Moderator: Next question is from the line of Rajesh Kothari.
Rajesh Kothari Rajesh Kothari here from Alf Accurate Advisors. Sir, I have just 2, 3 questions. So first is -- and pardon from my ignorance, I joined little late. My first question is on stand-alone business. By when do you think we can come back to that good double-digit growth because still the overall industry is also a little bit struggling, but now the paint industry is talking about a reasonably good growth. Last year, auto industry was doing very well, but not getting reflected in our numbers. So how do you see the growth for stand-alone? And what will be the key drivers for that growth? That's my first question.
Rajesh Rathi: As I mentioned, Rajesh ji, I think the Legacy business was impacted a little bit with rationalization of distributors, abroad and that kind of business or diluted growth. Given the geopolitical crisis, we should deliver 8% to 10% of growth this year.

Rajesh Kothari And sir, my second question is, in particularly our acquired group business, what do you think will be the impact of the higher energy cost? And does it mean disturbance in terms of -- for production target as well?
Rajesh Rathi: The energy cost increase is impacting all of us and especially Europe and our endeavour is to ensure that our margins don't get impacted. We are able to pass on these increases. However, region-wise and the country of origin of our competitors, there is certain lag in passing on, but we are ensuring that whatever is necessary, we'll pass on the increasing –and at the same time, maintaining the volume. So it's a little bit of a balance act we need to perform.
Rajesh Kothari And energy cost to be how much percent of the revenue or the -- in the global business?
Nilkanth Natu: So Rajesh ji, this is in the range of 6% to 7%.
Rajesh Kothari This is a post-increase, am I right, not the pre-increase

?
Nilkanth Natu: Yes.
Rajesh Kothari And my last question is we have seen significant increase in, generally speaking, all chemical prices. And does it also positively impact us in terms of -- since we are holding the old inventory, the earlier pricing and current pricing probably would have changed significantly. So does it help us to reduce those write-downs and probably it can have a positive impact on our overall inventory?
Rajesh Rathi: No, we don't see that, Rajesh ji. What we are doing is we don't want to profit from this situation, and we want to maintain our volumes. So we are ensuring that whatever cost increases we see only what we are passing on to the customers. Our customers also recognize that in the value chain, there is inventory and this is phase of building trust, we are very transparent with customers.
Moderator: Next question is from the line of Nitesh Dhoot.
Nitesh Dhoot: Nitesh Dhoot from Anand Rathi Institutional Equity. I'll go ahead with my question. So sir, you mentioned about 8% to 10% growth -- volume growth on the legacy business, just where would we be in terms of capacity utilization for our legacy, the Indian plants? And I mean, how much capacity headroom do we have in the legacy pigments business? And also a connected one that looking at the Acquired group, where would we be in terms of the overall capacity utilization there, if possible to have that kind of a number, any ballpark there?
Rajesh Rathi: So Nitesh ji, I think we have enough capacity headroom in both the legacies to grow. And our projection of what EBITDA we've shown in the 3 to 4 years does not require any investment for volumes. So we should be able to achieve this as we have enough capacities between both the entities for our growth coming forward.

Nitesh Dhoot: Sure. So why I ask this question is because when we completed our expansions in the Indian plant, we had indicated about 3 to 4 years of reaching full capacity utilization and probably that we are already in the last year of that period FY '27. So that is the reason behind asking have we reached closer to optimal capacity utilization or not?
Rajesh Rathi: No, I think we have enough we debottleneck further, so it does provide headroom for growth. And I think given that when the integration is fully completed, I think we would have enough capacities on as one unit together, for our group.
Nitesh Dhoot: And just one more on the gross margins of the Heubach group that's after adjusting the insolvency premium and normalizing the insolvency premium, what would be a steady gross margin number to work with? Or maybe if you can just give the difference between the Legacy pigment gross margins and the acquired pigment gross margins, that would also help?
Rajesh Rathi: So I think between the Legacy and the acquired group, on the gross margin part, there is at least 4 to 5 percentage points of higher risk -- but the fixed cost is higher on the Acquired groupSo that's how it kind of balances out from that perspective.
Nitesh Dhoot: Yes, sure. and this difference is purely due to the superior product portfolio there or the backward integration bit or what would exactly be the reasons attributed to this difference in the gross margins between both the businesses?
Rajesh Rathi: I think product portfolio and the industries, which we serve to.
Moderator: Next question is from the line of Avinash Nahata.
Avinash Nahata: I represent Parami Financials. So two questions. The first question is, Rajesh ji, while the time of acquisition and during the course of last 5, 6 quarters, we would have identified certain assets, units, plants, which is more relevant to somebody else than us from strategic point of view, from geographical and basically, while we are realigning our supply chain, so there would be certain assets which you think might require disposal. So any thoug

ht on this?
Rajesh Rathi: So we are exploring on the noncore assets, we could explore -- the first year was very busy in integrating the business turnaround. Right now, the thought process is very initial and I think we will come back to you at the right time when we could look at this. But there is definitely an opportunity.
Avinash Nahata: Okay. And my second question is regarding the demand in the industry. So I mean, if you can talk about collectively, both in Europe and maybe to our entire representative geography, what is the kind of demand growth we are looking at, from the industry demand perspective and second is winning back our customer, winning market share. So both put together what growth can we see? Leave aside pricing, if we can talk about volumes, what growth can we see over the next 2-3 years?
Rajesh Rathi: I think Q4 represented a strong comeback in volumes, and we were hoping that this trend would continue. Given the current geopolitical situation, quite a few of our customers are

seeing a little bit of a muted demand or some of their complementary products not being available, and that's where some of their production levels are low.
Second, people are taking a very cautionary advice on building up inventory I mean the like everyone is guessing when this gets over, people don't want to be stuck with high-cost inventories. So in the near term, the demand looks muted. But it's very hard to predict when this crisis would get over, how the demand would come back.
But I would say barring the geopolitical crisis, the demand looks fairly good going forward from that perspective. The U.S. market, the housing market, the paint market is a little bit in trouble. And as that economy recovers, we would see that demand coming.
Avinash Nahata: Okay. Just a follow-up on this. If I were to ask this differently. Over the last 3 years, what has been the demand in the industry? And my question still remains unanswered, Rajesh Ji, is with our realignment of supply chain, winning back our customers, okay, I understand people don't want to get stuck with higher inventory, so maybe when things normalize, the restocking, will happen at a normalized level.
So, A, what is the growth in the industry in the last 2-3 years and at a normalized level, what can we grow in our portfolio? Because for us, it is also winning back our customers, not the industry growth only.

Rajesh Rathi: Yes, absolutely. And that's where I think when you saw the Q4 growth, this was not the industry growth. This was our growth of winning back the business and the destocking of customers getting over. The general industry growth of 2 to 3 years is -- generally the pigment industry goes with the GDP of that area and our overall growth of the industry varies between 3% to 4% globally. That's the industry growth of the pigment.
And what I described to you is when from a growth Q4 perspective, our entire growth came back. There is no one-offs. It was like customers starting to buyback, having looking at destocking over and having that. At the same time, I must say, like I said, there's a temporary blip I see given that customers are very cautious.
Avinash Nahata: Okay. And if I can squeeze one more is on the shareholding perspective. So there are certain family members which are on the non-promoter. So what is the message for the shareholders? I mean, is there any thought process there?
Rajesh Rathi: On the shareholding, I think as we have professionalized the management, the family had stepped down from the Board and the management. And that's the reason the family had taken a view to de-promoterize as they were not playing that role perspective. I think, however, they still remain committed to the growth of Sudarshan.
Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing

comments.

Nilkanth Natu: Thank you, Neerav. Thank you, Axis Capital and Mr. Ankur Periwal: and thank you all the participants for your time and interest in Sudarshan Chemical and putting forth business questions. We are entering FY27 with stronger platform, clear execution agenda and improved path to sustainable profitability. We remain confident in our growth journey and strategy, and continue towards our commitment to deliver value to our stakeholders. We look forward to engaging with you again in future. Thank you.
Moderator: Thank you very much. On behalf of Axis Capital Limited, that concludes this meeting. Thank you for joining us, and you may now leave the meeting. Thank you.

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